

Crompton Greaves Consumer Electricals Ltd. (CROMPTON)

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Call: May 2023

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Date: May 26, 2023

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 39/2023-24 Our Reference: 39/2023-24

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation dated May 19, 2023 and May 22, 2023 , regarding the
Earnings Call on the audited financial results for the quarter and year ended March 31, 2023 , held
on May 22 , 2023, kindly find enclosed the transcript of the same.

You are requested to take the above information on your record .

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Page 1 of 16

"Crompton Greaves Consumer Electrical s Limited
Q4 FY2023 Earnings Conference Call"
May 22, 2023
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MANAGEMENT : MR. SHANTANU KHOSLA – EXECUTIVE VICE
CHAIRMAN – CROMPTON GREAVES CONSUMER
ELECTRICAL S LIMITED
MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICAL S LIMITED
MR. RANGARAJAN SRIRAM – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – BUTTERFLY

GANDHIMATHI APPLIANCES LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF
FINANCIAL OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED
MR. YESHWANT REGE – VICE PRESIDENT, STRATEGY
AND FINANCIAL PLANNING – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Crompton Greaves Consumer Electricals Limited
May 22, 2023

Page 2 of 16

Moderator: Welcome you all to Q4 FY '23 and FY '23 Results first-ever interactive webinar with senior management of Crompton Greaves Consumer Electricals. We have with us today, Mr. Shantanu Khosla, Executive Vice Chairman; Mr. Promeet Ghosh, Managing Director and Chief Executive Officer; Mr. Rangarajan Sriram, Managing Director, Butterfly Gandhimathi Appliances Limited; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; and Mr. Yeshwant Rege, Vice President, Strategy and Financial Planning.

Now I'll hand over the mic to the management team for initial comments on quarterly as well as annual performance. Post that, we will start the question-and-answer session. Thanks, and over to you, sir.

Shantanu Khosla: Good morning, everyone. This is Shantanu here and thank you all for joining our year-end and Q4 analyst call. With me, I have Promeet, our Managing Director and CEO; Sriram; Kaleeswaran and Yeshwant. I will start as usual by making a few overall comments and I will comment largely on overall full-year perspective, and then we will move on finally to questions. In an overall challenging environment, our consolidated revenue grew a strong 27% over the fiscal with a standalone growth of 8% on Crompton. Most importantly, in spite of the environment and the external challenges, we continued to ensure that we maintained and, in fact, stepped up our investments which will pay dividends in building our long-term strategic choices and business.

Firstly and most importantly, we continued to invest in our key acquisition of the Butterfly business. As you are aware, this was the first full year of Butterfly operating along with Crompton. We have, over this period, transitioned from the erstwhile promoters, made key growth interventions, and have begun efforts to consolidate and execute the joint business of the two companies. This has resulted in this fiscal in Butterfly delivering its highest ever profits with an EBITDA of Rs. 97 crores and the full-year revenue growth of 10%.

Secondly, we have continued to step up our investments in strengthening the brand and brand awareness and made consistent efforts to reach closer to consumers through our wide-ranging activities across various touchpoints. It included the launch of digital LED campaigns, defining a new brand architecture, structured digital marketing, in-store transformation, increasing influencer connect, etc. Over the full year, our advertising and promotion spending stood at 3.6%, a significant increase over the 2.8% of the previous fiscal.

Thirdly, as we have been doing over the last couple of years, we have significantly been investing in innovation and R&D, which we believe is a long-term lifeblood of our company. As you are aware, we made a significant step by creating an independent R&D centre a while ago. This year, that investment in capabilities, people and infrastructure continued, and our R&D investment this year increased 50% over the previous year and is now at Rs. 80 crores.

Thirdly, we have continued to invest in the critical new category entry in the kitchen area, where we entered built-in kitchen appliances segment in Q1 of '23 with a comprehensive range of chimneys, hobs, built-in ovens, built-in microwaves, and dishwashers. Close to 10 months of Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 3 of 16

launch, the business performed well and is progressing as per our plans. Significant efforts and investment went on channel development and building strong back-end processes. The focus has always been to have a differentiated portfolio with superior features.

The built-in kitchen segment is Rs. 2,200 crores as a market and is growing at 10%. We are currently in the investment phase, and we will continue to spend towards distribution and marketing to achieve

our goal of being a top 3 player with at least a 10% market share in the next two to three years.

Finally, we have continued to invest in significantly improving our processes and stepped-up investment in driving manufacturing excellence through Project Udaan. Our Project Unnati has delivered savings of Rs. 248 crores over this fiscal, which would be a key source of our ability to make the investments I mentioned above.

Additionally, I would like to touch on the key critical transition, which we went through at the end of last quarter and through the beginning of this quarter on our business fans, with the new BEE norms. As we talked in our last quarterly call, we do a conscious calibrated call on how we should transition with an objective of getting superior products into our customers, and thereby, into the hands of our consumers faster than competition. As we look back on the results of this quarter through the beginning of the Unnati program, it looks like this call is working as we have delivered competitively superior results across our fan business through this transition as compared to competition.

Finally, I would like to touch upon an area which we are proud of. As we had done this work obviously with an objective of building our business and delivering superior shareholder return, we are seeing that we are being more and more recognized in terms of rewards and recognition from outside parties, and we received a significant number of awards this year, which we laid out in our Investor deck.

We were ranked among the top 500 companies in India by Dun & Bradstreet. We won the title of India's Best Managed Companies by Deloitte. We were among the 10 companies to be recognized on the Next Leaders category by the Institutional Investor Advisory Services. We received a National Safety Award from the Global Safety Summit 2022 in the consumer electricals sector. Personally, something I am very proud of, Crompton was recognized as one of the best organizations for women in 2023 by The Economic Times. We also very recently, literally over the weekend, won two awards in the prestigious E4M Prime Time awards. These awards recognize excellence in advertising and brand building.

Before I hand over to Promeet to update us on Q4 performance, let me share that company's Board has announced a dividend of Rs. 3 per share versus Rs. 2.50 per share in the previous year. This is in line with our policy on dividend, which we have brought back up to a 40% payout ratio after the payout ratios having dipped during the COVID years.

With that, thank you, and I am passing it over to Promeet to talk more details of our quarter 4 performance.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 4 of 16

Promeet Ghosh : Thank you, Shantanu and good morning, everyone. Hello, this is the first time I am addressing you from this boardroom. But before I get into the details, I just want to talk a little bit about our new go-to-market strategy, which is going to leverage the combining strengths of Crompton and Butterfly.

As the first step, we are in the process of clearly defining the brand architecture of our kitchen appliances portfolio, which comprises of both Butterfly plus all domestic appliances business of Crompton as well as the large domestic appliances business of Crompton. This will help us to lay down the roadmap of where to play and how to win. Crompton's might of pan-India distribution network, along with Butterfly's product portfolio, will help us move in the direction of making Butterfly a national brand.

As you know, Butterfly is a very strong brand in the South region we are playing it to be a national brand. This will also be supported by redesigning our combined organization to serve the channel in an optimal manner. To start with, we will conduct a pilot project.

Now coming to how Crompton as a whole has performed. Consolidated

Crompton Q4 revenue

stood at Rs. 1,791 crores, which is a growth of 16% in the last year, while standalone Q4 revenues stood at Rs. 1,604 crores, a growth of 5% from the last year. Now particularly, as far as fans is concerned, our largest business - to give you a sense of color, value growth was flat in Q4. In FY '23, we recorded volume growth of about 3% and a value growth of about 5%.

Q4, as Shantanu noted earlier, was the first quarter post BEE implementation and we took a calibrated approach to managing our inventory across the last two quarters. And if you look at the last two quarters, Q3 and Q4, as a combined performance, you will see that we have performed quite relatively versus competition.

For the BEE transition, we had adopted a three-prong strategy, which has been out quite well.

We took the lead in educating consumer, being market leader, on star rated fans. Secondly, we focused our efforts on mitigating the impact of cost increase, which have to be claimed for setting up the rating of our fans. And finally, the plans on strategic pricing interventions, thereby improving the competitiveness.

Now importantly, a segment that we focused on was the BLDC segment, which I am happy to say, grew 2.5x the previous year in the last quarter and it grew 2x year-on-year. Close to 3 lakh

BLDC fans were sold in Q4, we rolled out the active BLDC campaign, and I think this is the air delivery, an innovative technology that goes behind our innovative energy-efficient fans. Through these efforts, we have seen growth across key markets including Ahmedabad, Pune and Bangalore.

Going forward, we plan to add more decorative offerings in the BLDC range. We have launched BLDC fan, Roverr, which is a smart 5-star rated under light fan, featuring active BLDC technology, anti-dust and fluidic telescopic design. With these efforts, we are now already among the top 2 BLDC players.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 5 of 16

Continuing the focus we have had on improvisation, our premium ceiling fan segment continued to grow quite strongly in both value and volume about 20% over the previous year. Apart from ceiling fans, the TPW category grew greater than 10% also last quarter. There has been now focus on in-housing TPW range, which improves our control over quality as well as give us a cost advantage.

As you are aware, the fan segment has been quite competitive. The competition has multiplied manifold in the last five, six years. However, we continue to gain market share in every quarter over the previous last four years, and we have maintained our overall market share during the year while improving our share of premium fans.

Going forward, from a value consciousness and inflation point of view, consumers are more likely to be inclined towards a purchase of technology to create improved energy-efficient fans, which is a positive long-term pavement from segment. Further, post-pandemic, there has been a pickup in housing, which provides another structural pavement.

Now let us turn to pumps. In Q4, as you might already be aware, we took two important actions to bring our pumps business back on track. Firstly, we rolled out a new brand architecture for the mini pump series and strengthened our brand offering by introducing sharply differentiated products. Then we undertook some strategic pricing decisions to ensure that the price premium is at the level that the consumer is willing to pay for.

And now this is showing up in the business with pumps growing at a value of 15% last quarter.

Overall, in the last year, the value growth for FY '23 has already been about 9%. With this, the pumps performance, as we said, has improved. And this is an important part of what we are undertaking to continue to strongly give an impetus to our pumps business going forward.

Along with the growth in the trade channel, we are focused

on improving tractions in the modern

retail channel as well as in the retail rural channel, which grew 2x in Q4 over a lower base cost from the previous year. If you recollect, last year, we launched a Saathi program, plumber loyalty program, which is technology driven. And I am happy to say that that is playing out quite well.

One of the key actions that you will see in the pumps in the near future include strengthening in the northern market. The plan is to roll out targeted ATL and BTL activities, along with the category revamp for key segments.

Appliances, I am happy to report that we had a value growth in excess of 40% in Q4. And in FY '23, we had a value growth of about 30%. The appliance business continued to show strong growth momentum. The core categories, water heaters and air coolers combined had a growth of 34% in Q4. And one of our focused and fast-growing categories, mixers and grinders, grew in excess of 70% and close to 2 lakh mixers were sold in Q4. 46 new SKUs were launched in the small domestic appliances category, which is part of the sale of the kitchen appliances. And focus on secondary sales and we focused on secondary sales by setting up nearly 100 distributors and made various feet on street (FOS) appointments. This resulted in significant growth in the business in small domestic appliances of about more than 60% in the last quarter.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 6 of 16

Gearing up for the summer, a few new products have been launched, one of them is Cool Breeze, desert cooler with modern aesthetics and crude pump which works even with hard water. The other is Optimus Window Cooler, which is an extension of the Optimus series and has the highest air delivery and wider-angle throw.

Now to our flagship business, the large kitchen appliances business. This is a business that we are mentioning at the point and after close to about 10 months of launch, the business has performed well and progressing to plans. The focus is to have a differentiated portfolio with superior and industry-first features. Significant efforts were spent on channel development wherein 55 brand stores, signature stores in some cases and exclusive stores in others, are heavily

opened across 12 city clusters. Lead generation campaigns and performance marketing has generated quality leads with good conversion rates.

NPD, the New Product Development roadmap, has been designed on the basis of unmet consumer needs. By 2024, we plan to be present in 26 city clusters with 100 -plus brand store and continue our trust on lead generating campaigns. The kitchen segment has always been a focus area for us, this is the reason we got Butterfly and our entry in the built-in appliance segment will further consolidate our position in the space, in addition to driving growth and premiumization of the Crompton brand. With the above initiatives, the ECD segment in Q4 showed a revenue of Rs. 1,326 crores, growing at 8% versus last year. EBIT margin stood at 16.4%, an improvement of 60 basis points for Q3.

Now lighting. Lighting, as we know has been an area which has unshort our expectations and continues to be an area of improvement. Importantly, in this business, our value growth in the year has been flat. But also in Q4, our volume growth has been flat, while the value growth was in the negative, which means that we invested upon volume growth.

Now clearly an area of focus. What we have, as we speak, decided to do is to address our go-to-market in that segment. And what we are doing is we have now integrated our lighting D2C sales and brought it under the category head. Earlier, as you are probably aware, this used to be a part of the central sales structure. This will be the much-needed focus in alignment in the same. We have also, a few days ago, hired a new D2C sales head, who will be overseeing this segment. Some of the

other initiatives that we are undertaking is launching some innovative products, especially in the lamps and battens area with a low-cost delta. We have also recently entered some categories like tube light and table lamps, night lamps, etc. We continue to drive aggressive cost reduction through our programs like Unnati and Udaan. And finally, we are expanding our go-to-market reach as well with 35 new distributors in contract areas currently. And we are also building the rural and e-commerce channels for introducing further lines.

Now strategic initiatives. We have been continuously focusing our efforts on the implementation of identified strategic initiatives, which includes in-store detailed transformation, which aims to improve overall customer experience in-store. We transformed, probably 80% of the states and plan to cover another 500 additional stores in H1. Go-to-market acceleration, as we have already spoken about - the go-to-market initiatives that we are taking, both in looking at the overall Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 7 of 16

kitchen appliances area, which includes the small domestic appliance area of Crompton as well as Butterfly and separating out the lighting B2C business area.

Project Udaan. I expect that we talk about from time-to-time. It's focused on manufacturing and supply chain excellence. Unnati, we have been talking from time-to-time, continues to generate a few substantial savings. Even now our focus has gone beyond direct costs, also to indirect costs and we hope to see benefits we are having from that.

ESG finally; sustainability is something that is very close to our heart. Our sustainability efforts have been geared towards achieving energy savings, reducing supply chain miles for fans and appliances and promoting water conservation and management. We are ramping up our investments in R&D for long-term durability and performance of our products and in order to improve our consumers' experience in sustainable and eco-conscious products.

Finally, consolidated balance sheet and liquidity. Consolidated cash and cash equivalents at the end of FY '23 stood at Rs. 657 crores. And net debt at that time stood at Rs. 344 crores.

Consolidated net working capital has increased by Rs. 104 crores versus March '22, mainly due to stocking for inventory build-up functions. Finally, we see a strong balance sheet positioning and very well placed to invest in the long-term development of the business and to continue to grow our business strongly.

Rangarajan Sriram: Thank you, Promeet. Good morning, everyone. The Board of Directors of Butterfly Gandhimathi approved the results for the quarter and the year ended 31st of March 2023 on 12th May. So as per the results, our Q4 revenue stood at Rs. 187 crores with a margin decline of 2% versus last year. And our gross margin stood at 31.9%, and our EBIT margin stood at 2%.

The key highlight for the quarter is as follows. We continue to remain focused in improving the retail mix to drive the healthy business across the channels. That has resulted in one of the fastest growing and the retail continue to grow faster, it grows around 19% in Q4 with a healthy improvement in margins.

And I feel that e-commerce de-risk is behind us. We are getting the growth back in the e-commerce channel, which is critical, but we also plan to do so by fully listing the existing portfolios and launching channel specific products. And we continue to remain focused on building capabilities across functions in sales, category marketing and R&D and in back-end manufacturing. So which strengthened our entire operations, and we have started to hire

experienced people and capable people.

From a market position point of view, in the Q4, the market share remains almost flat for across all the core categories with a marginal increase in share in mixer grinders.

And then our retail

continues to be the growth driver. We continuously invest in new product development, and especially in the last quarter, our share of business from new products tends to be significant by launching over more than 23 orders. That is the update as of now from Butterfly.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 8 of 16

Promeet Ghosh : Some quick final remarks from me. While the Indian consumer durable market is rapidly evolving, the demand environment had its ups and downs. While commodity prices started to ease off during the year, we expect some time to pass before this translates into inflation easing off. The demand has improved in quite before, but we must closely monitor inflation levels, which remain largely unchanged in the past few quarters.

We expect demand headwinds to stay for a few months, but we will continue to work towards growing our revenues faster than the market in growing profits, at least in line with revenues, which would lead to strong cash generation.

With this, let me just quickly take you through the numbers. The Board of Directors at their last meeting approved the quarterly results for the company. The total revenue for the quarter was Rs. 1,604 crores. The consolidated number would be Rs. 1,791 crores. The ECD revenues stood at Rs. 1,326 crores. EBIT margin stood at 16.4%. Lighting revenues stood at Rs. 278 crores. EBIT margin stood at 10.9%. Material margins were at 30.7%, while on a consolidated basis they were 31.5%. Gross margins on a stand-alone basis were 25.5%, while on a consolidated basis, they were 26.2%. EBITDA margins, stand-alone 12.2%; consolidated, 11.8%. Stand-alone PBT was Rs. 172 crores; consolidated, Rs. 170 crores. PAT, Rs. 132 crores; consolidated, Rs. 132 crores.

And as you can see, we do have the metric of having good growth, having strong margins, and I look forward to the company continuing to strengthen the core as we build for the future. Thank you.

With that, we'll accept questions that you may have.

Aniruddha Joshi : We will now open the floor for question-and-answer session. We have with us first question from Mr. Siddhartha Bera from Nomura

Siddhartha Bera : I had a question on this BEE channel transition and the current inventory levels, if you can share what is in the system. And given the demand you are looking at in the first quarter, how long do you think it will take for the current inventory to get normalized. And second is on the cost side, if you have taken up the entire costs in the pricing side or there is still some recovery which you need to pass on?

Promeet Ghosh : Insofar the cost side is concerned, yes, we have mitigated some of those with the cost management programs as we indicated. And there has been some price increases. We have actually passed on those but in the next quarter, let us see if we can do that.

Insofar as the BEE channel inventory is concerned, there is the degree idea of presence of nonregulated fans in the segment. But as you are aware, we approach this quite differently from the rest of the industry. So my sense is that the extent of our inventory in the channel for BLDC fans is lower than others.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 9 of 16

Shantanu Khosla : I will add one more point on that. As you are aware, the expectation of the lower star, the 1 star, 2-star product was that the pricing would be higher than the pre-BEE. And that is one of the reasons, a lot of competitive companies loaded a lot of non-BEE stock. However, as Promeet mentioned, given the competitive nature of the product, a lot of that pricing initially did not happen. Therefore, the BEE 1 star, 2-star product in the marketplace, in the initial period was the same price as non-BEE. Therefore, competition, which have put in a large non-BEE, did not even have the price advantage to the consumer.

And that has led to potentially

competition inventory of the 1 Star product being even higher.

Siddhartha Bera : Got it sir. Sounds good.

Aniruddha Joshi : We have the next question from Ms. Renu Baid from IIFL Securities.

Renu Baid : I have two, three key questions. My first question is on the core business. In fans, if you can help us understand what is the kind of price and cost bridge required in the BEE rating which

essentially entails the kind of cost increases, the price increases required from us over the next 12 to 18 months to bridge this gap? And accordingly, by when do we expect the margins in the ECD segment to normalize back to 18% levels? Or do we think structurally, there is now a readjustment to the EBIT margins in the ECD segment for the core business? That is the first question on fans. And if you can also highlight the market share, current market share that we have in this category.

Kaleeswaran A : Yes, thanks, Renu. To start with, from an overall costing perspective, BEE transition meant there is about 15 percentage increase in costs via the Unnati program that we have discussed earlier. This cost increase has been mitigated through various VAVE activities, and we have got it down to about say 5% to 7%.

Initially, the thought was we will be able to pass a large part of this cost increase to the consumers in Q4 itself. That has not happened. And we expect this cost delta to remain for some more time, considering where the inflation is today and how do we see the demand scenario outlook. So right now, we are not looking at any price increases. As things move forward, we will see a calibrated approach net of further Unnati reduction that is possible, can we pass on the 4% to 5% delta that is available.

Part would be addressing in terms of the margin model that we are looking at. Eventually, we believe as an organization that there is a lot of growth opportunity in fans as a category rather than looking at EBIT margin percentage. And you have seen a large part of it panning out in some of the activities that we carried out in Q4. Significant uptick has happened in terms of investments behind our Fans, let it be on the innovation side or a bit beyond the advertisement and marketing side.

As we move forward, we do believe a sustainable absolute EBIT which is going to deliver growth for us, and that would in turn expanding EPS is probably a better strategy for us than looking at the EBIT percentage growth and looking to restore that. Fundamentally, we believe volume and value growth is more critical than EBIT margin.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 10 of 16

Shantanu Khosla : The last thing I would add to that Renu is, if you look at the gross margin, I see that the gross margin declines are significantly less than the EBITDA decline, versus historic peak levels. So we are in the process of recovering pricing as Kalees mentioned, the cost increases. The EBIT is a choice driven by the stepped-up investment level.

Specifically in three areas, and you can see this across our numbers. 1) advertising; 2) innovation and R&D; and 3) our continued investments in go-to-market. As these translate, they do better and better revenue growth, which we believe they will do over time. The absolute profit we feel will end up in the right place.

Moderator : The next question is from the line of Mr. Baidik Sarkar from Unifi Capital

Baidik Sarkar : First up, the increased disclosure numbers are welcome, and I hope the level of disclosure gets better from here on. Could I request for a deconstruction gentleman, what is exactly that is ailing our Lighting segment? Because I am not sure of this an industry event because Havells on their much larger base for lighting has delivered in Q4 as well. So if you take us a few steps and help us understand how you are imagining this going forward?

Shantanu Khosla

la : First, I think it is important to let us separate and talk two separate parts of lighting, B2C and B2B, because clearly the dynamics are different. Let us talk B2C. There is no doubt, as we mentioned before, that we have relatively underperformed in our B2C business.

One of the most important interventions we believe that what Promeet already talked about the interventions we're making in go-to-market. Let me try and clarify that. Our sales force for lighting was part of our integrated national sales force. Now we believe that because of that, there was always a tendency to not get the right level of focus that the lighting business go-to-market required.

Frankly, we had exactly the same issue on our small appliances business, and about 12 months ago, we separated this out from the fans distribution infrastructure, and we see extremely positive results on that well above most of the industry. So that's given us confidence. Because what happens is, actually at the retail level there is not that much of an overlap between the fans, retailers and the big lighting retailers.

Because of the nature of our business, if you keep the sales force integrated, they invariably tend to be more focused on fans because it is a bigger business. The choice that we have made now, is that we have separated and created a completely independent go-to-market organization for B2C lighting, which does not report into the overall national sales operations but reports into the business and category. We believe that this focus on go-to-market can make us step change distribution. And that's the first big change. Of course, as Promeet mentioned, that has to be followed and supported by the other enablers of product innovation, continuously refreshing the

line, getting the right pricing in the market and marketing support.
Promeet Ghosh : And also costing
Crompton Greaves Consumer Electrical s Limited
May 22, 2023

Page 11 of 16

Shantanu Khosla : Right, and costing so that we get the right pricing, etc. This will start beginning to get executed as we speak. So we should start seeing the positive results of this as we look out into the next couple of quarters. But the small appliances experiences that we have had gives us new confidence that this is the right way to go in this kind of business.

Baidik Sarkar : Thanks Shantanu, that is helpful. How's the season been so far? We are almost halfway through Q1. How should we imagine the operating leverage from each of initiatives play out this year?

Shantanu Khosla : The season as how do I call it, healthy mix. Obviously, our business has done relatively well especially our seasonal products, we should add great results this quarter on geysers, we have had outstanding results on overall fans and in fact particularly TPW which tends to be more seasonal. But when I say mixed, it is mixed in the sense of up till now, at least, we have got sudden cool days or rainy days coming in market by market. This tends to unsettle the day, like what is happening.

But overall, we are quite happy with the way our business has performed. If I look at in terms of the first quarter, in terms of percentage of the full year, it looks like a decent season on the whole. However, as Promeet very clearly mentioned, the overall inflation etc., picture moving out is still somewhat uncertain. So we have to watch the market over the next couple of quarters I would say.

Baidik Sarkar : Thanks gentlemen. Best wishes, I'll be in touch. Thank you

Aniruddha Joshi : The next question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan : My question is regarding the broad-based revenue breakup across the ECD and the Lighting segment. Lighting, if you can give how much is B2B, B2C and B2G. And ECD between fans, pumps and small appliances, rough numbers that will be fine, sir.

Kaleeswaran A : Ravi, as you would know, we do not give

the category specific details at this point of time. We have given a broad overview in terms of our additional disclosures that we made during the call. However, just as a construct, if you have to look at it, our lighting business is split almost equally between B2B and B2C. Over a period of time, the strategy has been to probably de-risk B2B so that we come out of something which is not predictable and does not have a pattern to it like a government order or a noninstitutional order as part of the B2B segment operation.

The focus as we move forward will be largely on the B2B side of business. And on ECD, if you look at it, largely we are fans led, with the next two categories being pumps and appliances. With small domestic appliances being a nascent part of the journey, the appliance of Crompton is largely led by geysers and coolers at this point of time.

Ravi Swaminathan : Got it, sir. And from a profitability perspective, within the fans, is there any marked difference between the BLDC fans and the regular fans that we sell?

Crompton Greaves Consumer Electrical s Limited
May 22, 2023

Page 12 of 16

Promeet Ghosh: The absolute profits are always higher when you start looking at the premium range and BLDC range as compared to the entry level section. Yes, we do tend to do more on the absolute profit basis on the higher range of fans.

Ravi Swaminathan: Got it sir. Thanks.

Promeet Ghosh: Thanks, Ravi.

Aniruddha Joshi: Next, we have question from Mr. Rahul Agarwal from Incred Capital

Rahul Agarwal : I am deviating a bit from the results. Just one question to the management as everybody is here. In our interaction with investors, there is a lot of discussion that happens if synergies can be drawn from Crompton Greaves Consumers. In case going forward, the management thinks of merging with a suitable large brand in the country, the names which come out generally are CG Power and Polycab. I just wanted to get your thoughts. Like is there any kind of possibility for that to happen or the team right now is clearly determined to run the business independently and we should just ignore these thoughts at our end? That is the only question I have sir, thank you.

Kaleeswaran A : Absolutely, no is the answer, Rahul.

Shantanu Khosla: We are as a team, single mindedly focused on running the business to maximize revenue growth, profit back and thereby shareholder value. That is our focus for the short, medium and long-term.

Kaleeswaran A : Just adding to it, Rahul, today as you would know, we are very well placed as a brand, and we have got leadership in the categories that we operate with. Our unit economics are pretty strong. The fundamental market leadership in the categories are clearly established, and we have got a

very strong and robust balance sheet in hand. Coupled with that, the Butterfly acquisition is also playing in line with what we wanted it to do and the opportunity to do significantly higher at this point of time. So we have a focused team with the right amount of capital distribution and capabilities to create shareholder value. So we do not see the need of strategic partner at this point of time to create that value.

Rahul Agarwal: Perfect. So thank you so much. I will come back in the queue.

Aniruddha Joshi: Next, we have a question from Mr. Achal Lohade from JM Financial.

Achal Lohade: Sir, if you don't mind, could you please just remind us in terms of FY '23, what is the value growth in fans, pumps and appliances, once again, please? And in terms of the butterfly margin, now since you have mentioned that in terms of the de-risking the channel part, e-comm channel part, how do we look at the margins from here on? Earlier the expectation was it could be closer to mid-teens, early teens to mid-teens. Are we still sticking to that? Or it could be around the current levels from a full-year perspective?

Kaleeswaran A : S

o let me start with the Butterfly part of the question, Achal. I think the business, if you look at it prior to acquisition, pre-COVID era was largely government-led. And subsequently, it was e-commerce led. Over a period of time, it has been moving around 5% to 7% EBITDA. I am really Crompton Greaves Consumer Electricals Limited
May 22, 2023

Page 13 of 16

happy to share that in our first full year of operation, Butterfly has delivered its highest ever profit and this profit has come on de-risking e-commerce and establishing Butterfly as a brand in the retail channel and now if you look at the margin model, it has moved from 5% to 7%, and we are moving towards a steady state of anywhere between 8% to 9%. And there's an opportunity to hit double-digit sometime in the future.

Having said that, I think Shantanu referred to this in the earlier call also that one thing that we wanted to take as a learning and apply to Butterfly in our seven-year journey is, we do not want to cut down the investments behind brand, people, innovation and the business side of it. So that is something is going to be a priority. And we are here for long-term to make Butterfly create value. And the objective is not to change the mid-teen margin, and therefore, get lower growth; it is about how you deliver sustainable growth, get into and strengthen your categories and get market leadership or improve on your market shift to where we are. And therefore, those investments should take us closer to 8%, 9% stable EBITDA moving to about say, 9%, 10% over a period of time.

Now the first question that you asked us in terms of where we have landed on our category growth on a full-year basis. Fans is a 5% value growth. Pumps is a 9% value growth for full year.

Appliances is a 30%, large kitchen appliances in the new category and therefore there is no base to it and light is a minus 1% or almost flat on a full-year basis.

Achal Lohade: Understood. Thank you. I'll come back in the queue. Thanks.

Aniruddha Joshi: Next, we have question from Mr. Aditya Bhartia from Investec.

Aditya Bhartia: Sir my question is on the distribution team that we are having. You mentioned that lighting distribution team now we are kind of segregating and earlier, we have done it for appliances. Just want to understand how we are working for pumps. And is there any change that we want to be making over there as well?

Kaleeswaran A : See, pumps to start with Aditya, it is a very different problem that we have to solve for. If you look, we continue to be a leadership position in the rest of the category of it. And largely, it is the surface pumps, which is driving the growth for us. The step one that we did there is to get the brand architecture design.

So if you look at our mini pumps today, it has got a clearly defined architecture from something that delivers a base value to something that can even go to a IFP feature. That is the ability to fill the tank faster and the efficiencies that it adds in we have a pricing level that has been brought in, which helped us to grow the pumps business, what we did in Q4 after a multiple quarter of challenges that we had on the pumps side of it.

Lighting, slightly a different strategy when we were referring about the distribution might that we need to improve there. The numeric distribution of our lighting footprint as you compared to fans or the pumps or appliances is far different, it is at least 5x to 8x more than the potential that you have for any other ECD category that is there.

Crompton Greaves Consumer Electricals Limited
May 22, 2023

Page 14 of 16

So when you have a centralized sales system, your ability to f

ocus on lighting and ensure that

your peer objectives on the market for the go-to-market strategy to get it, it's pretty difficult to look at it. So what we are looking right now is we have hired a new head of sales who will report to our category Head of Lighting, who will focus on the B2C lighting into the distribution.

And we think over a period of time, this should help us to arrest our decline in lighting, along with the innovation work that we are doing on the product side.

Shantanu Khosla: If you talk only about pumps, we are now seeing good success in this model, which we have put in the marketplace on pumps, however this is basically on many of our Monoblock pumps. There is another segment of pumps where we are not as strong, which are the multi-stage pumps. The stuff that goes into bore wells.

So the next opportunity of growth that we are working on, is re-applying the learnings of brand architecture and product innovation which we did on the Monoblock and mini-side and now also going to replicate that on the submersible and bore-well side. And that, we believe, will give the next incremental leap for growth on pumps over the years to come. On top of the ongoing opportunity, which we continue to see in our area of strengths, which is the mini.

Promeet Ghosh: And apart from that all, this will be overlaid with a thrust on premiumization in the pumps. So now we have a brand architecture and that brand architecture moving up the chain there is an important part of the pumps.

Aniruddha Joshi: Next, we have question from Mr. Venkatesh B from Axis Capital. Please unmute your line and go ahead with your question. Thank you.

Venkatesh B: Just a few data questions, what was the advertising and sales promotion spends in Butterfly in the full year of FY '23? And what was the corresponding number for FY '22. And just one more, we ended FY '23 at the Crompton level at around Rs. 1,005 crores of debt. How much of this do you plan to repay in the current year?

Kaleeswaran A: See, our overall debt at the end of Q4 after parting away with Rs. 600 crores in March stands at about Rs. 900 crores at this point of time. Of the Rs. 900 crores as per the calendar schedule, we have another Rs. 325 crores going out in Jan '24. The subsequent fund comes in June, July '24.

So therefore, around that time, we have a good opportunity to get rid of the entire debt on the balance sheet. Now coming on to the marketing spends, Sriram, would you like to add, I think it is about 5.5% for this year.

Rangarajan Sriram: Yeah, the marketing spends this year is around Rs. 60 crores versus last year Rs. 54 crores.

Venkatesh B: Thank you very much. All the very best.

Aniruddha Joshi: We have next question from Mr. Devansh Nigotia. Please unmute your line and go ahead with your question. Thanks.

Crompton Greaves Consumer Electricals Limited

May 22, 2023

Page 15 of 16

Devansh Nigotia: In the presentation, we mentioned that we are number 2 in BLDC fans. So can you elaborate on why there is such a big market share shift between our leadership in traditional fans versus becoming number two in BLDC?

Shantanu Khosla: Two things. One is while we are overall market share leaders in fans, as we have been mentioning in these calls, we never started off as market share leaders in premium fans, pre-BLDC even if I go back four, five years ago. And Havells was the market share leader in premium fans, pre-BLDC.

Over the years, as we have been driving premium, we have significantly reduced that gap on premium fans. Separately, BLDC is a part of premium fans. So just talking about BLDC, and we believe that is important because that's what is the direction for the future. As you are all probably aware, the first mover of significance in

this market was Atomberg, because it was the only real meaning of there about 12 months ago in a very small BLDC market, they own most of it.

As we have all got more active – us, Havells and various other competition, there has been an increase obviously in total BLDC segment, but there has been a significant decline in the leader share which is Atomberg. So Atomberg is still number one, but we have outstanding fan sales in the last quarter as a very clear number two. I fully expect that this gap will keep narrowing over time as we get more and more of our programs and variance, etc., into the marketplace.

Promeet Ghosh: I would just add a couple of points here. Look, we probably are fresh off the block on BLDC than we could have been. What I take a lot of comfort from is once it becomes an area of focus, you will see the impact in the market. And that is going to continue over the next several quarters. But more importantly, I think I see a lot of opportunity in the overall premium segment. We do have relatively though our overall fans business which comes from the premium segment, and you can already see what we can do, when if we put focus on that area. So really, as growing our premium segment as well as bolstering our BLDC presence, frankly, has strong upsides that I can see in our Fans business going forward.

Devansh Nigotia: Okay. Thank you. Thanks a lot for answering all questions.

Aniruddha Joshi: Thank you. We have last question from Mr. Aakash Javeri from Perpetual Investment Advisors.

Aakash Javeri: My question is how much BLDC as a percentage of our overall fan portfolio? And how do you expect it to be over the next two to three years? And what are top selling models currently in fans?

Kaleeswaran A : Aakash, BLDC for us is a new variant into the fan family. It is pretty early days. The number of fans that we sell in the country in terms of absolute volume on the economy segment is far high. BLDC right now will be about roughly 2 to 3 percentage of our overall portfolio. And one is looking at BLDC, the way we would also request people to start looking at this as an opportunity on the star rated segment. So if you divide the portfolio and start looking this as premium and then you start looking at within premium how do you start moving towards a 5 -star rated fans, which is where your BLDC typically gets anchored. We see this portfolio as an industry itself
Crompton Greaves Consumer Electrical s Limited
May 22, 2023

Page 16 of 16

there is enough headroom to grow. And we as a market leader, we think with what we have in the pipeline and the innovation that is holding in for , we think there is substantial journey that has to be made on the market share gain, which is something that we can talk about as we come to the future quarters.

Shantanu Khosla : The one thing I just add on this data is the entry pricing for BLDC today in the market is around Rs. 3,000. The mass market of fans, which still contributes about 70% to 75% of the market is around Rs. 1,500 to Rs. 1,800 . So there will be growth, we believe, significantly, not just in the price itself which maybe at disproportionate level, but there's growth possibility, with energy savings and other innovations, decorative , etc., across this entire pricing ladder with the most categories in India, a greater rate of growth at the top end of the market.

Aakash Javeri: Thank you so much. And just our top -selling models in fans if you could name a few.

Promeet Ghosh: High Speed is our single largest category, obviously a little bit of gap .

Aakash Javeri: Sure. Thank you so much.

Aniruddha Joshi: Ladies and gentlemen, that was the last question. We thank the management of Crompton for giving ICICI Securities the opportunity to host the interactive webinar. Now I hand over the call to the management for closing comments. Thanks, a

nd over to you, sir.

Promeet Ghosh: Well, thank you very much. Thank you for joining, and I hope to keep in touch with you across the coming quarters and weeks. And please be in touch with our team if you should need any further clarifications. Appreciate you taking the time.

Shantanu Khosla: Thank you, everyone.

(This document has been edited to improve readability)

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Date: August 21 , 2023

To,
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BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 97/202 3-24 Our Reference: 97/2023-24

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation dated August 07, 2023 and August 14, 2023 , regarding the
Earnings Call on the unaudited financial results for the quarter ended June 30 , 2023 , held on
August 12 , 202 3, kindly find enclosed the transcript of the same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839

Encl: a/a

Page 1 of 19

"Crompton Greaves Consumer Electricals Limited
Q1 FY 24 Result Conference Call "

August 14, 2023

MANAGEMENT : MR. SHANTANU KHOSLA – EXECUTIVE VICE
CHAIRMAN

MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. KALEESWARAN ARUNACHALAM – CHIEF
FINANCIAL OFFICER

MR. YESHWANT REGE – VP STRATEGY & FINANCIAL
PLANNING

MS. NATASHA KEDIA – HEAD INVESTOR RELATIONS

ANALYST : MR. KUNAL SHETH – B&K SECURITIES

Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 2 of 19

Moderator : Good morning, all. Ladies and gentlemen , welcome to the Crompton Greaves Consumer Q1 Earnings Call .

From the Crompton management, today, we have Mr. Shantanu Khosla, Executive Vice Chairman; Mr. Promeet Ghosh, Managing Director and Chief Executive Officer; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; and Mr. Yeshwant Rege.

Sir, I would request Mr. Promeet Ghosh to give us some opening remarks and take us through the presentation, post which we will open the floor for a Q&A session . Over to you , sir.

Promeet Ghosh: Thanks, Kunal. Firstly, thanks to B&K Securities for hosting this, and apart from the people that you mentioned, Kunal, we also got Natasha Kedia who looks after IR service . To everyone who is on the call, good morning and welcome.

We are attempting this time to have a different format for our Quarterly Earnings Call .

Hopefully, I will give you a cleaner perspective of what the Company is doing . It is my pleasure to take you through an update and presentation of the Company 's performance in the past quarter.

Incidentally, the first page what you have is Energion Rovers Smart Fan , which is one of the products that we are proud of it has Underlight and IoT built-in, selling at MRP as high as Rs. 15,000 and is emblematic of the kind of efforts that we are making to premiumize our portfolio.

Let's go to the next page . And before we start also, we were the largest in BLDC grounds-up portfolio , again, indicative of the kind of efforts that we have been making in the market as well as in innovation . Importantly, while you can see a very broad range of BLDC fans, note that this is largely a grounds-up BLDC portfolio rather than simply converting an existing portfolio of fans to BLDC . This is a segment that deserves exceptional focus and that is what we brought to the same .

Let's now get into the next slide . You know, about a month ago , we posted a presentation. We can get into the next page of the presentation . We posted a presentation on our website about Crompton 2.0. I assume most of you have seen it. We also talked a little bit through that presentation . So, I am not going to repeat what we are doing, but just to call out the highlights , firstly , historically, obviously , we had a very strong position in core category, particularly bulbs and fans. We made a successful foray into kitchen . We have invested materially into innovation capability with the consumer led innovations for the category of the market which is exceptional across the country .

We have also focused a lot on being profitability led. Now what we are going to do differently in Crompton 2.0 is firstly be absolute profit led, rather than margin led , and we have as key driver of growth the innovation and the premiumization with changes to both the front-end as well as the backbone , all in aid of ensuring that we are able to deliver on those two key metrics .

Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 3 of 19

Now , firstly , and this is something that you are well aware of , a new organization structure is enabled with an empowered leadership structure , the leadership team . A restructured organization is already in place . We did this about two months ago . Significantly, the organization restructuring meant that we have industry veterans , and the front-end people being here in Crompton for years and years , and at the backend we have a whole bunch of domain experts who have now come in and significantly bolstered that area .

So, our senior leadership team is fully in place , but with an empowered organization also comes accountability , and I think that is at the core of how we see this entire team driving and transforming Crompton into what its rightful position is t

o deliver a growth-oriented
organization .

So, let's go to the next page . A quick update on some of the key steps on Crompton 2.0 that have since been initiated . One, we continue on the premiumization journey . We saw strong growth in the premium ceiling fans category . Saliency of premium fans has since improved to about 28 % . Then the new brand architecture for pumps which we have talked about in the past , particularly in the Mini segment , and we have rolled out a new brand architecture while we have our largest selling Mini Agri Pumps, we also have premium pumps that we are selling and will improve the realization that we are getting .

In the kitchen segment, our focus is being to have a differentiated portfolio with superior and industry-first features based on extensive consumer research and insights. For instance , we introduced chimneys with significantly reduced sound decibel levels and the super slim hobs for consumers so that they do not have to cut their slab.

Now so far as go-to-market is concerned, I will just briefly touch upon that ; if someone wants , we can get into greater detail later, but very briefly we have been focusing considerably on building out our alternate channels . So, we started to be very strong in what's called , general trade , but we have also put a lot of emphasis on alternate channels materially contributing to growth going forward and that has grown 32 % YoY as you can see . Now alternate channels include e-commerce, rural, etc. Now particularly e-commerce, for instance, is consistently growing and in Q1 grew at about 44% YoY .

We have also been working on expanding our reach in the small domestic appliances , also called kitchen appliances , as well as B2C lighting . Particularly in lighting, we have significantly expanded our reach by adding several new distributors in the markets with the addition of more feet on street (FoS) .

We have also built upon our rural channel and our e-commerce channel by introducing new products.

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 4 of 19

For small domestic appliances, the infrastructure setup is nearing completion, particularly in the North and the South , and again , we added distributors and appointed FoS. Together with all of this we have been working on in-store visibility leading to retail transformation .

Brand investment , we spoke of this quite a bit and that as we transform the Company to be demand & growth led, investing in the brand is a critical thing that we intend to do. So, you can see significantly stepped-up A & P spends , which has gone up about 4.2% (at standalone level) in quarter 1, but you are likely to be seeing these elevated levels because we see this as having a huge impact on the off-take of our products in the months and quarters ahead. Similarly , I will talk a little bit about these marketing campaigns being rolled out , and these all have a high share of voice for our products .

And so far as innovation is concerned , we have introduced several new products . In fans, I already mentioned that we have arguably the largest range of BLDC, particularly ones which have been built ground-up. We have added variants under the Mini-series in the pumps category , and we have launched new variants in our water heaters range to put it as specially focused on e-commerce .

For a quick update on Butterfly, I provide an overview and, we can discuss this again in greater detail later, but in particular , as you already know , we are doing very strategic orientation of our channel mix by emphasizing the retail & modern trade and optimizing the e-commerce while de-risking the corporate channel .

In Butterfly, where our core channels are now performing very well , we are in the process of merging Butterfly with Crompton, and we have the

an opportunity to standardize go-to-market

synergy apart from cost synergies and the go-to-market synergies would improve Butterfly's reach , particularly initially in the Western and Northern markets. This is called the 'Power of One', and we see this take off in the next few quarters.

We have expanded our portfolio. We have made brand investments and also in Butterfly where A&P spends are at 5.4% and launched several above-the-line and below-the-line activities . We have expanded our portfolio in cooking, and food processing and cookware range .

And finally , so far as our integration is concerned , that is underway , and we expect that to be completed by the end of this financial year. We have informed the stock exchanges earlier , and we have now received approval from both the NSE and the BSE, which have enabled us to go ahead with the filings with the NCLT for the merger.

Now, next page , Macro environment. Broadly, I would say , we did not get a lot of help from the macro environment over the last quarter . It has continued to be very challenging, but we work relentlessly to deliver strong results despite rising inflation leading to subdued consumer sentiment or general overall softness in demand .

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Unseasonal rains did not particularly help and regulatory changes further added to the volatile demand environment which impacted channel inventory and supply situations. With inflation at 4.8% in June '23, the overall consumer buying index in consumer durable segment has so far remained soft. These pressures impacted the overall margin, but the efforts of premiumization, mix improvement and cost optimization have partially offset the impact.

After a slowdown in April and May 2023, the demand however seems to be picking up from June and that trend will continue in the months to come. Going forward, we expect higher price/mix contribution as we are positioned to deliver improved H2 FY24, hopefully, with improvement in the conditions over the next half of the year.

Now, next specifically getting onto the quarter. I will not read out what we are saying in the presentation because I think that you have read, but just basically just follow with a few of the highlights.

ECD revenue grew by 6% despite the challenging environment, particularly strengthened by strong growth in our appliances segment. The actions that we took on our lighting portfolio helped improve our margins by as much as 300 basis points. We believe that this is going to bolster our lighting, fit for growth, position, as we have over this period focused on the changes in our go-to-market structure.

Now in Butterfly, as I mentioned, we focused towards retail and modern retail channel while de-risking e-commerce, but it is important to note that we have significantly stepped-up A&P spends, while investing in our brand which we expect will payout in the future, and as I said the new organization structure is in place.

Our new built-up kitchen appliances business is so far shaping up well. It is small, and we are obviously investing materially in this business so far, but so far great indications are there.

Next page. These are the consolidated financials. Now you must have seen this already. The ECD margins, the EBIT margin stood at 12.7%. The ECD margins notably include segment or EBIT loss that the kitchen appliances business is currently incurring, and we see that as an investment for the future.

For the lighting segment, EBIT margin improved to 12% and that is despite the revenue decline of 13%.

Now on the ECD segment, fans, broadly volume where we grew about 5%. Q1 saw a strong momentum in ceiling fans and TPW fans. The 5% growth in the fans category was driven by improved saliency of premium segments which

ch I have spoken about already, as well as strong growth in TPW.

Crompton Greaves Consumer Electricals Limited
August 14, 2023

Another segment that we focused on that I mentioned earlier is the BLDC segment, which grew 80%+ in the last quarter and quite a large number of about 3 lakh+, very broadly speaking, BLDC fans were sold in the last quarter.

Our media campaign 'Star rated fans' and 'ActivBLDC' have resulted in good momentum and high share of voice. We collaborated with as many as 14 digital influencers to drive profitability and discoverability achieving high views.

Going forward, we plan to add more decorative offerings in the BLDC range, and we recently launched BLDC Baby Enso, which is a smart BLDC fan with energy savings, and needless to say, we are one of the top 2 players in BLDC fans so far. Apart from BLDC fans, like I said, the TPW segment is also growing quite well.

Next, coming to pumps, this has been a flat segment this quarter. We continue the actions that we took in Q4 FY 23 to bring our pumps business back on track. We rolled out brand awareness programs for the Mini pump segment to communicate essentially based on faster tank filling as well as greater durability. That has helped contribute to a sharp differentiation from "me too" products which we were earlier making some, maybe or no longer are.

We have also undertaken strategic pricing actions to ensure that the price premium is at the level of which the consumer is willing to pay for. The pumps, the value growth, which I said is relatively flat, but it is a weakness in the north because of increased competitive intensity. While in the Eastern region, which is the other large pumps region for us, is getting back on track, and we are currently working on significantly strengthening our Northern market, and we are also simultaneously seeing promising signs of growth in our Agri segments.

Appliances had shown a strong growth in this category and we spoke about this earlier. This is also a segment where we have actually split into two, one being the large domestic appliances, the other as the small domestic appliances, LDA and SDA are the references to these segments that you are going to see going forward. Now this obviously did not particularly impact the last quarter, where the old original structures took place, but importantly, the small domestic

appliances, particularly mixer grinder grew at 50%+ YoY, while the water heaters and the air coolers business grew about 11 % YoY, and the large domestic appliances now also fold under the broader fans category and electrical segment for us.

The infrastructure setup is near completion, and the experience has been so far good, management along with particularly the growth in the small domestic appliances market.

Our campaign for the air coolers was well received and resulted in high share of voice.

Particularly in storage water heaters, we started supplying products which meet the new BEE criteria and instant water heaters we launched two new SKUs in June '23 named the Solarium Neo 5 liters and Rapidjet 5 liters.

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 7 of 19

Built-in Kitchen appliances revenue stood at about Rs. 11 crores led by good momentum in chimneys and hobs. Significant efforts are made to develop the channel. There are cumulative 54 brand stores which combine Signature stores as well as Exclusive stores, which now have our kitchen appliances range and have been opened across 20 city clusters and our reach is now in ~260 outlets.

Lead generation campaign and performance marketing has generated quality leads with good conversion rates. We continue to invest in building the business by creating brand awareness and building our people capabilities and some i

indicator of this, and as I said earlier this business is currently in the loss of 7 crores in Q1.

Lighting: in lighting, we struggled in the past, and one of the many initiatives that we are taking to turn around the lighting business is that the lighting B2C sales has been ploughed out. It was a part of the overall sales organization earlier and now specifically falls into lighting B2C sales head who falls in directly into the lighting business unit head. We believe that that clear carving out and focus at the sales level will help our go-to-market in lighting.

Insofar as the other elements of our GTM restructuring are concerned, we are strengthening our dealer network with range addition and we will be expanding and driving our outdoor range in lighting. We are also driving premiumization. You may be aware, we introduced a premium range of products and that property will further be developed in this quarter with more launches in that segment, and we have also launched innovative solutions and have entered new categories like rope lighting, table lamps and night lamps etc, all with the objective of broadening our offering in the market.

Softness in the lighting B2C demand is also not unique to us, and I think you must have seen that this is also something that has impacted other industry players, and this is because of a combination of price rationalization and increased competitiveness. The pricing reduction, particularly in the bulbs and battens ranges, also impacts volumes because it leads to lower channel stocking.

Next, let's go to the slide 14, Butterfly. Butterfly reported good performance earlier, but I will quickly take you through the highlights. Revenue was at Rs. 219 crores, which is down 14 % due to double-digit growth in the B2C channels, but while we did channel rebalancing, the overall number was about almost 14 % lower than last year. Material margin stood at 42% with an expansion of 650 basis points year-on-year. Significant improvement in material margins driven by improvement in retail mix, operating efficiencies and cost optimization.

The Company continued its efforts towards building capabilities across functions such as sales, marketing, operations and R&D, and the 9% EBITDA margin that you see is post the investments both in marketing as well as in people capabilities. We are continuing our efforts in building our people capabilities apart from strengthening processes and compliance, which has resulted in the lower attrition and better safety related performance.

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 8 of 19

Marketing campaigns, the next page, yes. This is the glimpse of various marketing campaigns that we have rolled out. You know, I will not take you through all of them. You are quite aware of many of these, but the idea essentially is that we are investing both in demand generation by stepping up our B2B and retail activities, as well as by strengthened go-to-market previously in the vast areas like rural and e-commerce, at least we hope that we will begin to see in the coming days. Now very roughly our A&P spends at Company level was higher. It was at about 4.5% versus the 3% than they were in quarter one in FY '23. That's about 1.5% higher.

We can get into consolidated financial performance. Kaleesh can talk through this later in detail, but I will just hit the high points.

Revenue growth from operations stood at about Rs. 1,877 crores remaining flat Y-o-Y. ECD growth was at 6% Y-o-Y. Softness in demand for lighting and Butterfly. Material margin at

30.8% was mostly due to higher BEE costs in fans and price correction in pumps. This was positively offset by improvement in margins in lighting and appliances as well as rebound in trade for Butterfly .

EBIT DA margin was about 10

% on account of higher A&P spends . PAT margin remained flat

at 6.5%. We continue to have negative working capital and have generated robust cash flows from operations .

Consolidated cash and cash equivalents at the end of the quarter was Rs. 783 crores. This compares with Rs. 657 crores that we had as on 31st March 2023.

Finally, key positive development in the organization as we look to the future is to accelerate growth and healthy margins and deliver strong TSRs for our share holders . So, as we become a more growth -oriented organization , I believe the stance that we are taking at various ends , at the various elements that you have already seen will lead to value creation for our stakeholders .

We will protect and grow our core categories of fans , large domestic appliances , and pumps , and endeavor to win in the kitchen segment . The kitchen segment now comprises the small domestic appliances business of Compton as well as Butterfly, and we expect that to be a key driver of growth going forward. We have identified cues in lighting , and as I said the improvement on the cost front that we have been able to do in lighting gives us the confidence that lighting business is becoming good for growth as we focus on the GTM and various process enhancements to be able to leverage this cost position .

The way I think about the step change towards Crompton 2.0 is first to strengthen and consolidate the backbone of our organization which begins with creating a center of innovation that is intrinsically led by consumer needs . We have got about 160 people at our Innovation Center at Vikhroli . We have one more R&D Center in Butterfly as well . We had a significant amount of money and investment going into that some of the benefits of which , you have already seen, but it is still early days yet for the benefit we believe the innovation will help us drive .

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 9 of 19

We will foray into new segments, and we expect to enter about maybe 2-3 whitespaces in the next 3-4 years and that effectively is in the need areas that we believe we have a right in winning and areas that we can become leaders over a period of time. At the same time , we are also developing strategic long -term manufacturing and supply chain footprints , which will support and enable our emboldened ambitions .

In conclusion , I would say , although we are structurally stronger today , we have been in the midst of a rough macro environment with the industry facing some near -term challenges as the broader consumer sentiment is still cautious . Therefore , while the journey of Crompton in H1 FY24 is expected to be a bit bumpy , we expect that the situation will continue to improve , and we are seeing some early signs of that towards the end of this fiscal. We continue to work tirelessly to strengthen our competitive position and simultaneously identify the market leading growth which I need to reassure you about , you know, this really , but our newer initiatives will be unveiled as we go along and finally , I am confident of strong fundamentals in the underlying business and my belief in the future growth trajectory remains strong .

Thank you for your patient listening , and now we will be opening the floor for Q&A .

Shantanu Khosla: Over to you, Kunal.

Moderator: The first question is from Anirudh Joshi , ICICI Securities . Anirudh , please go ahead and ask your question .

Anirudh Joshi: Sir, two questions . One, we have said the gross margins have got impacted due to some of the issues in pumps and the higher BEE costs in fans . So, do we consider this as a one-time or these are in a way structural in nature and so the gross margins are likely to remain lower than what we had seen in earlier quarters ? So, that is question number one .

How much is structural and

how much is one -time impact ? And how should we look at margins ahead ?

Second question is on EBITDA margin . So, we have raised the A &P, and I can see in the presentation that we are aiming at higher SOV for many products . So, what is the SOM target that we are looking at ? Maybe 50 bps market share expansion each year or maybe 100 bps expansion in market share . So, can you please quantify on that ? So, basically , what is the ROI that we are looking on the additional investment in ad spends?

Kaleeswaran A. : So, first to start with as an organization , we would believe market share is an outcome of various activities that we do . It is not that we want to chase a particular market share and see where we land to do it , but investing in end consumer , having innovative products to take to market , which will drive the revenue growth and in turn will lead to our market share. So, it is not that we are chasing a particular number as a market share . It is more about the actions that we want to investigate on .

Coming back to your other questions in terms of gross margin and EBIT, where do we stand? Starting with gross margin, first and foremost, Butterfly and lighting business are done, within Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 10 of 19

both the business segments we have seen gross margin expansion led by cost initiatives. Having said that, in fan, the BEE cost is yet to be baked into pricing in full, and I think as we go into Q2 and Q3, there are opportunities or compelling cases that is presenting in front of us to take those price increases, which will help us to restore the margins as we move forward.

Secondly, on pumps, it is more in terms of where we see the competitive intensity at this point of time. We have started with the brand architecture. The brand architecture has helped us to arrest decline in pumps and get into a growth phase. We are also seeing some of our early decisions on Agri is starting to give us good green-shoots. We need to see how that sustains as we move forward, but overall, as the brand architecture expands, the premiumization of pumps will also help us to get the gross margin back. So, that is how we are looking at gross margin in a structural way as we look at the forward quarters.

Coming into EBIT, this is a countdown strategy where we clearly said that we are going to invest behind our brands and which means that would lead into 150 to 200 bps increase on a year-to-year basis on our marketing spends, and we think this is something that we will continue to do, and meanwhile that will be more in terms of the revenue growth that we want to deliver rather than a specific marketing quarter led ROIs. Overall, as Promeet said earlier, as an organization, we are now moving towards profit led than being profitability led.

Promeet Ghosh: I would just add a few more things here, Kaleesh. One, insofar as your question was about structural changes. The cost structure has gone up because of BEE, and now the interesting thing is that all participants in the market obviously are impacted by this, and because of the somewhat weak economic environment, I do not think any of the participants have been able to pass that one, but we believe that in the quarters to come they will be passed and that will bolster margins going forward and so forth. On Pump, yes, insofar as the advertising investment is concerned, I think there is an effort to step that up as we are going to be growth led. Now on the EBIT level, we are hoping that some of the cost synergies will also start to kick in, with the efforts that we are making, but obviously, they cannot be synchronized, but that is something that again will give us some more cushion.

Moderator: Thank you, Anirudh. We have the next question

from Siddhartha Bera, Nomura. Siddhartha, you can please go ahead and ask your question.

Siddhartha Bera: Sir, my first question is on the fan side. So, you have indicated a 5% value growth in the quarter. What will be the secondary growth in the quarter in the fans category? And also if you can share the overall growth for pumps and overall appliances in the quarter?

Kaleeswaran A.: Pumps, we delivered a flat growth in terms of the total quarter is concerned. Appliances is close to 19% growth is what we have delivered. Fans, at this point of time, if we have to look at a BEE rated secondary impact that we saw in the industry, past half was significantly lower to where the industry was concerned in terms of non-rated fans. We would assume our primary and secondary to be on track.

Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 11 of 19

Siddhartha Bera: And if I look at, again, on the EBIT margins for the ECD segment, I mean, sequentially, we have seen quite a reasonable correction, contraction on the margins. So, are you planning to take any price hikes? So, last part is because of the BEE as you have indicated. Now, how is the visibility on pricing? By when do you think you can maybe go back to that 15%, 16% margin which you used to report? And how soon can that be, if you can just share some thoughts here?

Kaleeswaran A.: Fundamentally this is like what we wanted to call it as a Crompton 2.0 where we want the organization to be growth led. Now, there are two levers when you are talking about this EBIT.

One is, what is an end of price increase or cost reduction that you need to do to improve gross margin? And second is, where do you invest? It was always easy to cut those 200 bps in terms of the marketing spend and get into a business that will have a 14%, 15%, 16% EBIT as compared to a business that has a sustainable revenue growth, which we think will create value.

So, allow us not to comment on EBIT target or a margin expansion at this point of time. We believe that as the revenue growth is probably paramount to us as we speak.

Structurally, where would we go? To address your first question, we think on the gross margin there is probably we are moving towards a compelling case of a price increase. Now this is not something that you would tend to calendarize it because it is a market where you have multiple players and you need to be competitive in the industry. So, as we move forward, the case is much stronger to where we were in Q4 or Q1. So, there would be price intervention that we would

make in case of fans.

Now, when you do that, then we also talked about premiumization of fans as a portfolio. Mix is also going to be an enabler for us to drive our gross margin. A combination of price increases, mix optimization, moving towards premiumization and continuing to invest behind brand we think will expand our absolute profits and therefore deliver EPS growth in the long run.

Moderator: Thank you. We have the next question from Rahul Gajare, Haitong. Rahul, please go ahead and ask your question.

Rahul Gajare: Now, I think you just mentioned that I think a product mix is what will ultimately aid profitability. I want to understand, could you discuss what is the share of premium fans in the total fans? And how that has moved in the recent past? And also, do you maintain a similar metric for a Company level, across product category, what is it that you classify as premium and the share of that? Because I understand the growth has been impacted at the lower end of the product compared to the higher end of the products. So, that is one thing I want to understand from you all on the premium side.

Kaleeswaran A.: So, from a fans perspective, our portfolio used to be about somewhere around in late teens as a

share of premium. Today, as we speak, one-fourth of our fans business comes from premium segment. And this is aided by multiple launches that have been made both in induction and in the BLDC segment. And as we talked about our BLDC strategy has been to build a ground-up portfolio, and that is what has helped us to probably expand the range keeping the consumer

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 12 of 19

needs in mind. So, this one-fourth of the portfolio has significant head room to improve as we move forward, which will help us to improve the overall earnings as we look forward.

Now if you look at categories outside fans, probably, I will take lighting as an example, and I will leave it at that. Lighting, if you look at, one way of premiumizing is looking at the same category and see what more you can do in bulbs and battens. The other opportunity is also look at things like ceiling, which probably has got a unique pricing, which is significantly higher than bulbs and battens, and it has got a margin profile also, which is much, much stronger as compared to the bulbs and battens.

So, how do we expand our ceiling range? Today, our ceiling to our portfolio is about one-third as compared to industry, which we would presume is about say 45% to 50%, and that overall also period of time will help us to premiumize the lighting portfolio and help us to improve the margins.

Shantanu Khosla: No, but very clearly as Promeet said, there is a strong renewed focus on premiumization across all our categories. That includes also Butterfly, where premiumization within the segments that we play in - pressure cookers, gas stoves and mixers is a clear opportunity which the Butterfly team has been introducing initiatives for. For example, recently the Butterfly team introduced Tri-Ply healthier cooking, less oil pressure cooker as a premium.

And in terms of the enablers Promeet talked about which we have strengthened, the back end, the entire supply chain operation, our innovation operation, our real expertise and Center of Excellence, upgrading with us, all are going to have this common focus of driving our strategic drive of accelerating premiumization.

Moderator: Thank you. We have the next question from Ravi Swaminathan from Spark Avenue. Ravi, please unmute and go ahead and ask your question.

Ravi S: My question is an extension to the previous participant's question, more towards the BLDC side.

So, how do you see the BLDC as a market panning out? What might be the industry average of BLDC out of the total current sales that is happening? And how are we positioned? What is our share of BLDC? And what is the kind of profitability of BLDC fans? Given the fact that apart from the conventional players who are there, there are also few new players who are there in the space like Atomberg, etc. So, if you can give your thought process on it over a two-to-three-year period will be helpful.

Promeet Ghosh: Look, what I will say is that BLDC is a technology which has some advantages. Induction motors have certain advantages as well. As we look forward, we see both, the BLDC and the induction be a part of the fans that are sold in the future. So, neither of them is going away.

Insofar as our approach to BLDC is concerned, as you have already seen, we have made significant investments in building out our BLDC range. One difference is that we have built out a BLDC range particularly as a native BLDC.

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 13 of 19

So, this is a little bit like EVs and Internal combustion engines. You have cars which have been retro fitted with EV technology, and there are cars which have been ground-up bit on the basis

of EV technology . We think that for a consumer to truly

get the benefit of the technology , we

have to do the latter, and while the other may give you some shorter -term benefits , over a period of time that is the direction that we will go towards .

And so, look, it is an interesting technology , and you will see us do more and more in that area.

We are one of the top two I would say in that segment already , but we are just getting started .

Ravi: And my second question is with respect to the white spaces that you had mentioned in the presentation , that you would like to get into . Logically speaking , there are one or two sizable segments where you can easily get into and grab share . That is the switchgear market , switches market where you can strengthen , you already have a very strong presence in reach and distribution where you can get into . And then there is this cable segment , which is capital intensive and probably you may try and avoid . So, your thought process on getting into these segments or some other segment if you can give?

Shantanu Khosla : We would appreciate that but obviously, we cannot talk about specific segments . There are multiple segments in which we can have the opportunity , which we are evaluating . In fact, we are at different levels of progress in different areas . We are unable to talk about it . You will all be the first to know. The only thing I would mention since you mentioned that , yes, given our infrastructure , there are a lot of segments which are easy to get into . Our focus is not just to get into a segment , but our focus is going to be to get into a segment in which we can win , and that is not easy .

Promeet Ghosh: We have also said so far as , the direction of the Company is this, we created a separate vertical for new business initiatives which is specifically going to be looking at some of these areas . So, clearly , there is a fair amount of work that is going on to evaluate the various segments .

Moderator: We have the next question from Renu Baid, IIFL.

Renu Baid: I have one key question around the margins and profitability . Sorry to harp on it again . If you look at 12.7 % ECD margins , they have been all -time low , say about 50 -60 basis point impact coming in from the large kitchen appliances . So, can you help us understand while there have been comments given , can you broadly help us bridge the gap from this 13 .2% to 13.3 % margins to our normalized 17 % EBIT margins that you were doing ? And in line with the strategy that we have highlighted in terms of focusing more on growth and investing in marketing team , how should we readjust the expectations for EBIT for the ECD segment given the mix and the end market responses which have been there ?

Kaleeswaran . A: So, first and foremost, Renu, I was not to give a forward guidance of what we are looking at in terms of EBIT. But we talked about how we are going to look at growth drivers for the business and how are we going to expand the margin.

Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 14 of 19

Coming specifically to the bridge that you are seeking in terms of how has that moved, roughly about 15 bps which is on account of large kitchen appliances losses that was there, about 150 bps is on account of the higher marketing spends that we have done, and another 150 bps is on account of the gross margin drop that we have seen in ECD. Now this drop is largely and obviously on account of what we talked on fans BEE pricing challenges that we had , which I think as we move into Q2 , Q3, we would be taking few price increases at appropriate time. Over a period of time coupled with mix and price , we should be able to get back to the gross margins where we were in ECD.

And coming specifically to EBIT, I think our higher investments should tantamount into revenue growth for us , which would help us to expand absolute EBIT rat

her than EBIT margin , and that

is a structural change that we need to make . Eventually , we believe value creation for all stakeholders will be through EPS expansion rather than looking at a 17 % EBIT margin . Now as and when we grow the business and operating leverage kicks in , and we reach there , we do reach there , there's no constraint or cap that we are putting on that number , but right now we want to grow the revenue for the business and towards that if it takes investments into it , we are committed to make those investments .

Renu Baid: If I can ask on Butterfly ?

Kaleeswaran A.: See, on Butterfly , the good news is we have expanded margins out there . This is largely on account of two things. Shantanu talked about premium ization . We have seen this across categories , for example , the steel cookers have started to pick up as compared to aluminum . So, that is one positive sign . We are seeing that in cookers. We are seeing that in mixer grinders . This coupled with the cost initiatives that we have taken , what we have in Crompton , the project Unnati getting extended to Butterfly has also helped us to drive gross margin improvements out there . There also, considering our learning out here , we would not be curbing on investments behind brand . So, already Butterfly is tracking at about say 5%-5.5% on A &P spends. We would

only try to keep that at the same level or increase as we try to grow .

Now the most important lever for Butterfly is the 'Power of One' that we talked about . While Butterfly is a strong brand in South led by Tamil Nadu , we believe that there are strengths that Crompton can provide to Butterfly and make it a pan-India brand over a period of time , and this is riding on the distribution leverage that Crompton has got. We are starting with few pilot markets in Northern India and in Western India . A couple of markets is what we are starting with. Once we establish that , we think that can expand the growth opportunities for Butterfly beyond where it is today . And the channel optimization is largely done in terms of e-commerce and retail. You have seen good strong double-digit growth in retail and in terms of non-core channel also, we are clearly de-risking.

So, if you look at the key acquisition , Butterfly was largely a n e-commerce led business delivering about 5% to 7% EBITDA . Today , we have rationalized it to become a 25 % e-commerce business and drive business through retail along with e-commerce . We have also Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 15 of 19

pushed on the process of rationalizing. A large part is completed in terms of non-core channels and now is the time to invest behind that brand and take it national.

Moderator: Thank you , Renu . We have the next question from Achal Lohade, JM Financial . Achal, please go ahead and ask your question .

Achal Lohade: If you could help us understand in FY '23, what has been the mix in terms of fans , pumps , water heaters and air coolers ? Why I am asking this is , given the different challenges we are facing in different segments , if we can understand how the revenue mix and what kind of margins we have had in FY '23, I think that would be of great help .

Kaleeswaran A. : We do not share the data at a category level margin or category level share , but what I can give you is a broad perspective . We are fans led in ECD . A large part of our portfolio comes through fans followed by pumps , and probably in about a year or two , we will see our appliances business also reaching there . So, it is fast growing in appliances led by SDA and the LDA led through water heaters and geysers .

Achal Lohade: Is it possible to get some similar , in the similar fashion the margin ? Like, is it the case that pumps is the highest margin compared to fans or other way round?

Shant

anu Khosla : ECD is about the same .

Kaleeswaran A. : Yes. Platform margin for ECD at a category level is almost the same .

Shantanu Khosla : Apart from , of course , the large kitchen appliances .

Achal Lohade: And just one more , you said about investment in kitchen appliances , the amount was about Rs. 7 crore in Q1 FY '24. Is it possible to get some sense about 4 Q spend as well , what kind of investment was there ? And how do you see it from a full-year or next couple of year perspective ? Could this be a big drag for the next couple of years in terms of margins and then we see a break-even and then improvement from here on ?

Kaleeswaran A. : Again , we do not give forward guidance , but the way you would look at this , this is one of the fastest growing categories within kitchen . This is largely about Rs. 5,000 crores - 6,000 crores in terms of chimneys and hobs growing at about say 10 % is what we have seen . Now we have started 10 cities through a signature store route and followed it with B2C. Now we are expanding it beyond the 10 cities.

We are getting into alternate channels beyond EBOs, which is kitchen led, e-commerce led, and bit of modern trade is also starting to contribute in a significant manner . This would continue to have a revenue scale up over the period of time , and it will have losses that we need to take as we look at the current financial year, and these losses are more investment behind the brand both in terms of people and in terms of marketing . We think there is fair amount of opportunity for Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 16 of 19

us to gain in this segment considering our overall strategy of where we want to be in kitchen and from a longer perspective , this is one of our growth trackers .

Shantanu Khosla : And obviously , as we made a choice to enter this category strategically for the future , our objectives and our goals were such that this would be that you will turn to the Company if you look at it over the medium and long-term.

Promeet Ghosh : Look, many of the investments and capability in the segment have obviously already been made.

Achal Lohade: That is helpful . Just one clarification with respect to, in one of the comments you mentioned that Agri is where you are seeing further scale up . There is change in the brand architecture . You have launched Agri pumps . Would Agri be more competitive in terms of pricing and margins compared to the domestic pumps and the mix as we speak is 70 % , 80% domestic pumps ? Just wanted to have some clarity over there .

Promeet Ghosh : Yes that is true, that the large share of the pumps segment continues to be residential which you can also call domestic . 'Agri as a business is stepping up and growing well . That 'does not mean that we are de-emphasizing the other one , and the brand architecture by the way is on the residential side , particularly on the segment that we call the 'Mini'. So, yes, we expect to continue our growth momentum in agri, but obviously continue to strengthen our core which is residential.

Achal Lohade: The Agri pumps margin would be lower than the pumps' current margins. Would that be fair?

Kaleeswaran A.: We do not provide sub-segment -wise details. Apologies .

Shantanu Khosla: The important thing from our point of view for Agri is we are market leader in residential pumps. We are still a relatively small player in Agri. Therefore , we believe that Agri is a growth opportunity for us .

Now , of course , to begin to actualize that growth , it is not a single variable , it is a multiple of variables . We have been doing that part of what will be the growth driver , filling in gaps in our Agri portfolio which is obviously different from the domestic . There is also a long -term spend of solar in that particular segment . There are go -to-market differences in terms of the channel . So, i

t is an entire program which we are now beginning to see some traction of as we build on it, but it is a clear big growth opportunity for us.

Moderator: Thank you. We have the next question from Rahul Agarwal , InCred.

Rahul Agarwal: Sir, just I have one question but across your three segments, and this is largely going to revolve around outlook for the year . It looks like in ECD , fans have grown 5%, pumps flat , appliances 19%, and appliances my sense is about 20 % of ECD . So, should we really expect fiscal '24 to have early double -digit revenue growth on ECD ? Lighting is declined in first quarter . Obviously , you are working on new products and expanding reach for B2C. How long would this take ? And again , the same question , do we see growth in fiscal '24 or not ? And similar question of Butterfly .
Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 17 of 19

We also declined Y-o-Y even on revenue in first quarter there as well . What should we expect for full year ? So, whatever you can share , it would be really helpful . Thank you.

Kaleeswaran A. : As just we re-emphasized; we would not be giving forward guidance. But we look at what are the tenets that we are driving towards and how are we trying to make the organization move forward ? The first and foremost we will start with lighting. I think lightning , the objective is to make the business fit for growth . So, when we say fit for growth , we always talk ed about we need to have a business model that is going to be market led, which means that there are categories that we need to expand into like ceiling . We also need to be industrially competitive in categories like bulbs and battens.

Now this would mean that your strong gross margins which will help us , one, to take appropriate pricing actions in categories like bulbs and battens. At the same point of time, we have enough money to invest behind towards brand and other initiatives that we have to do .

Now where are we today as we speak ? I think we have got our gross margins in the right trajectory for lighting. Now we need to get our product strategy right and also get our competitive price actions completed . In parallel, we wanted a go -to-market strategy for lighting that is different from how we deal with ECD. So, the team is in place . We are rolling that out . Coupled with this , as lighting is not going to be a story of one , two quarters where we are trying to look at a turnaround etc., we are moving in the right direction . And early signs are pretty positive . As we look at end of this year , we wanted to see how the lighting business transform from where we stand here and move towards a growth trajectory.

As so far as Butterfly is concerned , you have to look at Butterfly in three facets . There is the retail channel , there is e-commerce , and there is no n-core. Intrinsically , if you look at the business , it has been discussed earlier . It was e -commerce , which meant the brand was more playing a price warrior game in multiple channels which had a conflicting interest both in trade and e -commerce .

The correction that we have to take in e -commerce has been completed . Now we are not only making Butterfly a Flipkart oriented e -commerce business , it is now in Flipkart . It is in Amazon and as we look at it , it will have its spread in multiple other digital platforms also. And the portfolio is reasonably optimized , and it is well poised for growth in e -commerce as we look at H2 onwards .

In terms of non -core channels , Butterfly as we talked about evolved as a brand over a period of time starting from a business that was into government orders led, corporate led etc. Now all the corporate channels are also getting de-risked so that we focus on the core business which will help us to invest behind brand.

Now in that , as we do these two things , we have already seen a strong double -di

git growth in

terms of our retail channel for Butterfly and we would expect that to continue . With the

improvement that we have made in material margin for Butterfly , that has given us the
Crompton Greaves Consumer Electricals Limited
August 14, 2023

Page 18 of 19

opportunity to invest behind Butterfly. Now this investment is not only going to be on brand. We need to invest behind people also , and that would mean that as we expand into outside South, we need to take people on board and help the m, help make Butterfly a national brand over a period of time .

Now , this is again a business that we need to have a long -term strategy . We as an organization here for long term and not for a quarter or two , and that means we should not be shying away from taking those calls and making those investments for business . So, Butterfly, I think, therefore is pretty well -poised in terms of how it is going to pan out in the coming years and the directions are in the right place .

Coming back to ECD , the three segments that we talked about as far as fan is concerned , there is an opportunity for premiumization. We talked about the range that we have got in BLDC . And premiumization does not mean it is only BLDC which gives a price point at which we can take the consumers to upgrade by having decorative offerings and making fan more part of your lifestyle experience than something that can do air delivery . So, umpteen work is going behind innovation which is consumer led. We are seeing the results of it already . We are a top two player in BLDC segment already with almost a lakh fans being sold per month in the BLDC category itself .

So, as we move forward , we think that is a significant growth driver for us , but as much as we speak , I think we are India's largest player in terms of the economic segment where we play in fans also, and there is enough head room to grow in that segment too , in many other places and many parts of India where we have representative market share to our overall market share that we have today .

Of course, brand architecture is one lever that we have been talking about, which has helped us to drive Agri is something that we want to focus . We are an 85%-90% residential led category . Over a period of time , we want to grow agr i and residential together and see where we land . And importantly , appliances have given us enormous amount of success in the last three years , and this is something as you could see is probably a start . You have seen appliances , particularly the small domestic appliances category growth that we have seen is more an initiative that we have started in North and South . We have the East and West market available with us . We have e-commerce as a channel that is wide r because this is prone towards e -commerce . So, there are enough opportunities available within the appliances space for us also to grow , so, not looking at a near -term growth target or where FY '24 will lead to , in the long term .

Shantanu Khosla: In terms of the way we look at our offline objective and this is the long -term, mid-term is , we always want to grow our categories faster than the market . Said another way , we always want to aspire to have programs that build our market capabilities . As Kalees h outlined, for all the ECD segments and for the broader kitchen appliances we think we have the opportunities and programs which will enable us to do that . In fact, as we mentioned the early signs indicated that they are doing that . I think as Kalees h mentioned , we still have a couple of things to sort out , but Crompton Greaves Consumer Electricals Limited

August 14, 2023

Page 19 of 19

we believe we are sorting that out. So, it probably take a little more time to get on this track of growing faster than market .

Moderator: Sure. Ladies and gentlemen , that was the last question since we have run out of time .

I would

like to thank the management of Crompton Consumer for taking time out and giving us this opportunity and also giving us a detailed presentation and patiently answering all the questions .

Thank you so much , sir. Any closing remarks that you would like to make , sir?

Promeet Ghosh : Thank you very much for joining us . We will keep in touch and in case you have any other questions , feel free to reach out to Natasha , and well , we keep chatting in the future .

Moderator: Thank you so much .

K. Arunachalam: Thank you , Kunal . Thanks everyone.

Moderator: Thank you. This concludes the call.

(This document has been edited to improve readability)

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Call: Nov 2023

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Date: November 14, 2023

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 186 /202 3-24 Our Reference: 186 /2023-24

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015) – Transcript of Earnings Call

With reference to our earlier intimations dated October 13, 2023 and November 6, 2023, regarding the Earnings Call on the unaudited financial results for the quarter and half year ended September 30, 2023, held on November 6, 2023, kindly find enclosed the transcript of the same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Crompton Greaves Consumer Electricals Limited
November 06, 2023
Page 1 of 17

"Crompton Greaves Consumer Electricals Limited
Q2 FY24 Post Result Conference Call "

November 06, 2023

MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED

MR. RANGARAJAN SRIRAM - MANAGING DIRECTOR –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – CROMPTON GREAVES CONSUMER
ELECTRICALS LIMITED
MR. YESHWANT REGE – VP, STRATEGY & FPA
MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS

HOST: MR. ANIRUDDH A JOSHI – ICICI SECURITIES

Crompton Greaves Consumer Electricals Limited
November 06, 2023

Page 2 of 17

Divya -Purohit : Good morning , everyone. On behalf of ICICI Securities, I welcome you all to Crompton Greaves Consumer Electricals Limited Results Call. Today we have with us , Mr. Promeet Ghosh , Managing Director and Chief Executive Officer ; Mr. Rangarajan Sriram , Managing Director, Butterfly Gandhimathi Appliances Limited ; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; Mr. Yeshwant Rege, Vice President, Strategy and FPA; Ms. Natasha Kedia , Head of Investor Relations . Over to you Mr. Ghosh .

Promeet Ghosh : Thank you, firstly ICICI for hosting this call . Has already been said about Sriram, Kalesh, Natasha , Yeshwant and me . Thank you everyone for joining our Q2 earnings call. What I am planning to do is to take you through some comments , then we can get into Q &A. You have most probably already seen the presentation that we put up. I am not necessarily just tracking the presentation , because I want to make a few more detailed comments , which I hope will be useful to give you colour and then we can take it from there.

Firstly, macroeconomic environment. The environment is still challenging. Discretionary purchases have been softer than anticipated as a result of inflationary pressures and lower than anticipated consumer confidence. However, from September '23 onwards, we did see an uptick in consumer sentiment, which we hope will sustain in this coming festive season.

Unseasonal weather conditions and regulatory changes further added to the volatile demand environment, which impacted channel inventory and pricing actions. These pressures have had an impact on overall margins, but the efforts of premiumisation , mix improvement ,

cost optimisation
have partially offset that impact.

Inflation continues to be a concern. And FY '24 inflation, as you know is forecast about 5.4. An expected slowdown in inflation, we expect will bolster volume growth and having said that , high food prices may act as dampener.

In so far as the Board is concerned , as you are also already aware, at the end of his second term, Mr. Hemant Nerurkar , who is our Chairman for seven years, and has therefore stepped down from the Board.

Mr. Sundaram, who has also been on the Board since the beginning, since 2015 when the company became listed, has assumed the Chair of the company. He will be relinquishing his position as the Head of the Audit Chair , again a position he has held for over time , and he will be replaced by Ramesh, who is a Former Head of Deloitte as you are probably aware . He is going to become the new Audit Chair , and Mr. Sundaram becomes the Head of the Chair of the organisation.

He, as you are also aware, was the Chair of HUL for many years and now also serves on the Board of TVS Capital Funds . He has also been on the Boards of several companies like SBI General Insurance , GSK and Trent . We are also very delighted to welcome two new board members in line
Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 3 of 17

with our tradition of having individuals particularly noted for their achievements in their respective fields . We have two more people who have joined. Anil Chaudhary has joined as an Independent Director. Anil was the MD of Schneider Electric India Private Limited . This was the entity that acquired L &T Switchgear some years ago. So, Anil was the first CEO of the combined entity and was quite instrumental in transforming that combined entity , which is of course is the largest Switchgear company by some distance in India. He has four decades long experience in energy , automation and infrastructure, now also has interest in sustainability, energy efficiency and diversity.

Sanjiv Kacker again, quite well-known. He has had a 38-year long career with Unilever . He was a Member of the Executive Board of HUL before he moved on to head the very large, Unilever

business to expand the Middle East, Russia, Ukraine, Turkey, North Africa as well as Central Asia and that is what he did until he retired. So, we are delighted to have them on board and also have a lot of gratitude to Mr. Hemant Nerurkar, who has stewarded us for many years.

In so far as Crompton 2.0 is concerned, we have embarked on the 2.0 journey. There are several key elements to that, premiumisation, go-to-market excellence, brand investments and new product development and innovation. In so far as premiumisation is concerned, we improved our premium fans saliency to about 28%, which is about a 2.5% higher than it was previous year. Executed some very successful product launches, making us the player with the largest range of premium BLDC fans in the industry and obviously that is showing up in larger numbers, but this is kind of the detailing that has gone into the numbers, so to say.

We deployed a new brand architecture in pumps, added variants such as Shield and Smart series under our 'Mini' category and in the lighting, we have also actually improved our premium saliency, which is now 12% having improved about one percentage point. It is worth noting that we have been growing, both our traditional go-to-market channels, which is general trade as well as some pretty strong growth in alternate channels. So, we doubled our e-commerce business over the previous year. This quarter, it is now more than ₹100 crores per quarter, hopefully that growth momentum will actually sustain even in the future. This growth can be attributed to our expanded product portfolio selection, enhanced product availability, and increased investments in digital market

ing.

Our alternate channel saliency, this is basically everything other than GT (general trade) has improved to 17% from what used to be about 13% in Q2 FY23. We also crossed the 2,500 mark in retail transformation in terms of Crompton branding with our direct channel partners.

We continue to make consistent investments in brand building, which has led to an increase in brand saliency across categories. In Q2, we launched a high impact campaign for mixers and grinders. Hopefully some of you have seen that, which has garnered a high share of voice campaign. "The Secret of Fine Taste" witnessed a 40% increase in reach on a year-on-year basis.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 4 of 17

Multiple content assets were deployed in other categories as well. Six new influencer videos with 3.8 Mn plus subscribers, covering 1 lakh plus views in fans. In small domestic appliances we had 15 influencer videos, 8 million plus subscribers, and 3.5 lakh plus views. All of these are obviously going to help further construct our alternate channel, which we continue to drive for digital discoverability. Our "Always-On Fan" campaign garnered 70% SOV vs competition at 50% share of voice.

We also launched a seasonal water heaters campaign. Overall, our A&P spends actually grew 31% year-on-year in line with seasonal trends and in line with what we talked about in the past. And we implemented focused initiatives to increase awareness, consideration, and preference across categories and channels.

Now, in so far as the financial numbers are concerned, we delivered an industry leading growth of 17% YoY in ECD segment, due to a strong momentum in both fans as well as small domestic appliances. The pumps registered a growth of 10% led significantly by Agri, also being defined at about 17% YoY.

In lighting, where competition remained taut with industry level challenges due to price erosion in B2C, margins improved on account of cost optimisation measures and product mix. Lighting EBIT margins improved by 250 basis points with an absolute EBIT growth of 16% YoY. We have talked about building our lighting business, so that we have a right to win. We have made a bunch of changes on the lighting side to revive growth there. But in the interim as that begins to fire away, we are building up a very strong leading profitability, which gives us the right to grow in that business. In some of that, you will see flowing into growths in the future.

For Butterfly, retail and modern trade continue to grow amidst industry-wide demand slow down. There was a shift in festive season. The festive season is later this year, approximately by a month, I think and 2Q as compared to last year, so there is a little bit of an impact of that is happening. Last year resulted in season pre-buying moving to Q3. And we will talk about Butterfly in greater detail in a moment.

Segmental performance, let me first take Fans. In ceiling fans, again, some of the emphasis that we had on premiumisation is beginning to bear fruit. I told you about the improvement in premium saliency. The premium segment grew by 30% plus year-on-year, which was the standout growth driver. TPW fans, which is, table pedestal and wall fans is growing faster than the category with the high-speed segment within TPW, leading the growth. Laddering actions that we took coupled with new launches boosted our presence in this premium segment.

We have achieved a milestone by beginning to manufacture this sub-economy segment in-house that should help to give us greater control on our manufacturing, but also help improve the cost structures as we go forward. We undertook pricing actions, despite the competitive nature of the Crompton Greaves Consumer Electricals Limited

market, we took pricing increases. I

can't say a lot of our competitors followed, but we took pricing increases, showing our intent on protecting margins in the last quarter and we will see how that goes. Maybe we will take some more in the future.

We are really driving premiumization across the board with embedding that into various parts of our growth market and various parts of our demand generation mechanisms. We are also focused on reducing costs. As you are aware, the BEE transition which happened earlier in the calendar year has had some impact, not all of which the industry has been able to pass on in the segment. But we are working quite diligently on trying to mitigate those impacts as we go forward.

In so far as Appliances is concerned, and this includes both what we call the large domestic appliances as well as the small domestic appliances. As you are aware, we segregated those two segments internally from our rewarding point of view. And appliances overall grew about 17% YoY driven by both underlying segments.

Kitchen appliances maintains robust growth propelled by mixer grinders where we have introduced a 750-watt mixer recently that has been vital and the kettle category, which grew 100% over the last year. We are empowering on-ground Feet on Street (FoS) and sales team in small domestic appliances. And frankly it is all about taking a slightly different approach to small domestic appliances and that which can see a bit more Feet on Street training, reviews, etc. And that is showing up in how our small domestic appliances is growing, which as I said earlier has been one of the drivers of growth for ECD overall.

Water heaters and coolers, which is large domestic appliances, the growth of the segment was backed by water heaters doing extremely well for us. In the last quarter, we sold the largest number of water heaters that we ever had, which is in excess of 10 lakh units. And frankly, that translated into a significant 10% plus market share in the water heater segment combined with market share needs.

So far as our Pumps is concerned, I noted earlier that as you are aware we have got pumps both now in the Agri as well as the residential segment. The residential segment is an area that we have a significant market share in, close to 30%. Now our pumps growth was further bolstered by about 17% growth in the Agri sector, particularly in the Res and we also saw growth in the residential submersible segment. In fact, actually in the res i-submersible segment, I think we can disclose that also growth about 20% YoY. We have come out with a new brand architecture in the Mini segment, which is the largest part of our residential segment and we have seen volume growth there as well. Quality improvement actions in resi-submersibles and focus on panel sales also helped growth. We sell panels and now we have significantly improved attachment ratio where the pumps that we sell now are much larger number of pumps also have our own panels, which are attached to the pumps that we sell, needless to say at margin, add to growth.

And so far as our large kitchen appliance business is concerned, this is the business that we are integrating and there we have seen growth being driven by channel expansion and material increase

Crompton Greaves Consumer Electricals Limited

in EBOs that have a particular channel that we are experimenting with, in selling out large kitchen appliances. So, there was an improvement in EBO productivity and expansion in modern retail. The revenue run rate for the quarter climbed about 5 crores per month versus about 2 crores in the previous month. And the risk and improved traction that we are seeing in Hobs where already we have introduced Wave 2 model that is translating into the recent growth. We are working on rolling out a 360-degree marketing initiative to drive awareness and store

footfalls. This is also the quarter

where we opened the 75th signature store for selling large kitchen appliances.

Now coming to lighting, overall the lighting segment declined about 11% year-on-year as industry challenges loomed particularly in bulbs, battens and even now in the ceiling light segment. A little bit in the B2C part of the business, there was a price erosion that we saw happening particularly in battens and lamps. We are working on the go-to-market, which we have talked about a little bit in the past as well with the structural changes that we introduced early in the quarter. We are also working on sourcing and manufacturing strategy that would further bolster our capability in this segment. We however witnessed some early signs of recovery in the B2B side of the business with flattish demand. Focus continues on growing distribution, leveraging both traditional channels as well as now strengthening our modern trade and e-commerce in the lighting segment as well.

We are working on building a comprehensive portfolio that is focused on ceiling lights and there is a new segment which some of you may will be able to see and there's a few more which are expected to be introduced in that segment on short order. The new sales structure that we talked about was implemented through the 1st of September and we think that will help go-to-market which was a challenge in the B2C segment earlier.

EBIT margin in lighting improved to 10.5% from 8.5% and despite the growth challenges there was an EBIT growth of 16% year-over-year. Like I said earlier, as we work towards strengthening our go-to-market in lighting, we are simultaneously working diligently on strengthening the right to win in this segment and that is showing up in our margin, but we believe that these margins will help quite a bit in the journey going forward, when we have the GTM also fall into place.

Next is Butterfly, you will be aware, we had initiated the process of amalgamation of Butterfly with Crompton and that process received three-fourth votes of majority in terms of equity shareholders did not pass the majority of minority vote and therefore the amalgamation is being withdrawn. We respect the decision of the public shareholders and we believe the independent valuers has offered a fair valuation that was fair to Butterfly as well as to Crompton shareholders.

And having said that if the shareholders turned it down, we fully respect that, and of course we will be continuing to be the controlling majority shareholder of Butterfly with the 75% share holding and we do believe that, our process of realising synergies both on the revenue side, cost side, leveraging the strengths of the two organisations, those will continue unabated. While the legal structure of the two companies continues and it is being our standalone, because they are interested in the Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 7 of 17

stakeholders and that is the way that we have approached the business so far and that's the way that we will continue to approach it in the future.

Overall, and so far as Q2 FY24 performance of Butterfly is concerned, revenue of Rs. 308 crores, decline of 16% YoY due to festive season shift and one-off corporate sales in Q2 FY '23. Retail and modern trade channels continue to grow despite demand slowdown. Specifically in the Kerala region, the growth was boosted by OTC activities. During the quarter, several activities were conducted to drive customer engagement and reinvigorate the channel. EBITDA was at Rs. 25 crores with a margin of 8.2% post investments in people capabilities and brand building initiatives. We anticipate an uptick in demand in Q3 with a shift in the festive season.

Consolidated performance, consolidated revenue growth, this is for all of the segments, revenue

and

growth of 5% YoY. This we said, has moderated because of Butterfly's de-growth driven by industry leading growth in ECD, which was at 17% YoY. We have material margins of 31.3%. EBITDA margins at 9.8%. This was down about 1.6%, partly due to lower material margins and higher investments in brand and capability building.

PAT declined by about 13% for Q2 FY24, excluding one-off tax adjustment. As you are going to call this tax adjustments, tax right backs, we got tax refunds in the previous quarter. Standalone PAT was a decline on a like-for-like basis for Q2 and the decline on standalone basis would be 5.6% YoY. During the quarter, we paid out of Rs. 192 crores of dividend. The net debt stood at Rs. 261 crores versus Rs. 145 crores as of 30th June 2023. The annual fee this quarter, as we said is on account of the dividend that we paid out.

In conclusion, we have materially streamlined business post strategic review, which we have been talking about in my earlier days. We continue to take the right actions I hope to transform the business into a growth-oriented organisation, which is profit-led to deliver strong TSRs.

We are focused on our core categories of fans, pumps, large appliances, and small appliances and have demonstrated success in the large kitchen appliances category, which we entered about a year ago but again, we are seeing a new business being incubated there. While through Butterfly, we also obviously are endeavouring to win in the kitchen appliances business and as you can see the growth in our small domestic appliances business, which is also in essentially kitchen appliances, continues to be very robust in that one of the drivers of the ECD growth of 17% YoY that we reported this year.

We think our kitchen foray is on track. At the same time, we are developing a long-term strategic manufacturing and supply chain footprint which will support our important aspirations and also working on go-to-market excellence apart from greater emphasis on building our brand which is already very strong.

Our focus continues to be on building our innovation capabilities consistently led by consumer needs and our portfolio transformation efforts in addition to delivering on operational priorities.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 8 of 17

You have already seen as I talked a little bit about how premiumisation journey has so far been. Hopefully we will be able to adapt as we will be going forward. Thank you for listening.

Aniruddha Joshi: Thank you sir. Thanks for detailed presentation. Now we will now open the floor for question-and-answer session.

First, we have question from Renu Baid. Please go ahead with your question.

Renu Baid: My first question, I have three questions here. First, can you just summarize the overall demand

momentum in the B2 C segment? You did mention that optimism was seen through September and you expect this to be maintained through festive. Are the B2C or consumer offtake headwinds which were witnessed over the last 9 to 12 months, you think they are broadly behind? And any more colour in terms of any regional colour in terms of offtake or segments would be helpful here?

Promeet Ghosh : Let me clarify it . When we say B2C, we usually mean B2C lighting, so I will clarify that. There may be B2B business as in the rest of our categories.

Renu Baid: My question is broadly on the consumer demand and offtake ?

Promeet Ghosh : So, I just want to clarify first before I answer. So yes, consumer demand continues to be moderate. This is not a market segment where we are seeing a strong boost in consumer demand. Now that may be because of inflation, it maybe because people are not spending as much. There are a bunch of reasons. Frankly, I do not think anybody in the market quite understands why this may be exactly so.

Having said that, what we have done in order for us to keep ahead of it is to simultaneously also strengthen our premiumisation journey . And strengthen our position in not only developing the go-to-market, the traditional GT, what we call general trade, but developing our e-commerce and rural platforms as well. And that is the reason why you are seeing the kind of growth that you have seen in recent times.

I cannot say I am seeing a strong revival in consumer demand yet. Yes, there is some uptick that we are seeing because of festive season, but that is a simple uptick that you see every year. It is a little later this year than it is every year.

Renu Baid: Got it. Second question on the fans and ECDs where fans has come back very strongly with respect to volume growth, while most of the other peers are still grappling from a higher base and slower offtake in the market. So, this kind of volume growth, do we think should be broadly sustainable over the second half and incrementally moving how do we look at the share of premiumisation in the fan's portfolio over the next 12 -18 months?

Crompton Greaves Consumer Electricals Limited
November 06, 2023
Page 9 of 17

Promeet Ghosh : So far as higher base is concerned, I do not think that our base was lower last year .

Kaleeswaran A.: Absolutely. I think first of all, as you know, we do not want to give any forward guidance in terms of what we are trying to achieve in the coming quarters. See, as we talked about, we are looking at an opportunity to grow fans category across various divisions . Fundamentally, one is premiumisation . Maybe compared to the industry, our share of premium to the portfolio is probably on the lower side. So, there is enough headroom available for us to grow on that segment and try, which is something that we have been consistently executing on ground and we are starting to see results of that when it comes to premium fans.

We also believe there are categories within fans like the table, pedestal and the wall category, which is an opportunity that has not been tapped by us. We have started actions around it, and we are seeing good amount of growth coming in from that also.

Coming to the core fans, which is our value segment that we operate in, the reason we do see it is something that we will move along with the industry trend. I do not think that we would be differentiated from there. Wherever there are opportunities on distribution and penetration, we continue to address that. That is on the brand product side. Channels also tend to play a very, very strong role in this, as Promeet was earlier referring . We do see consumer preferences are now slowly moving away from general trade and it is becoming broad based into channels like e-commerce, channels like modern trade and RCS (Retail Chain Stores) . Our execution opportunity remains very, very high in those areas also.

A combination of these four or five initiatives, we think there is good headroom available for us to look at the future in terms of how fans as a category can do.

Promeet Ghosh : And so far as the channels are concerned, it is a very interesting thing. Our understanding is that a large number of people who look at fans on the e-commerce space, eventually go and buy the fan on the GT, on general trade. So fortunately, we have the strengths that we have on GT. We are building up our strengths on the e-commerce as well. The reverse is more difficult to do as you can imagine . So, we are filling in some of the gaps perhaps that we have had in the past.

Renu Baid: And just last question, while the Butterfly demerger is now called off, can you help quantify the targeted savings both in terms of the net savings, probably in terms of cost and revenues that you were expecting for the parent company Crompton and I know getting earnings accretion could be even challenging in fiscal '25 if demand looks so. But how is the way forward in terms of synergies coming in from Butterfly ?

Kaleeswaran A.: One of the things Renu we called out as part of Crompton 2.0 is we have been very good in identifying savings that are above the gross margin via the Unnati programme that we have now been consistently driving for about five, six years. What Butterfly gave us an opportunity is to look at our costs below gross margin. So, we talked about the entire pool of indirect costs, which we

Crompton Greaves Consumer Electricals Limited
November 06, 2023

Page 10 of 17

have about say Rs. 800 crores sitting in there, which is what we shared when we announced the Crompton 2.0 strategy.

We think Crompton and Butterfly coming together in this area, there is a good headroom for us to look at 7%, 8%, 10% cost reduction on that base, which would start evolving as we close this fiscal and move into early next fiscal. Now largely we think there are opportunities in warehousing and logistics. There are opportunities in after-sales-service, etc that we are looking at. So, all those things continue to stay. We do not think any of those things were tied into a legal merger.

And to give you a little bit more colour from the time of Butterfly acquisition to now, there were two tracks that were running in parallel. One is an operational integration of Butterfly with Crompton in spite of a legal merger that we need to do. And the last six months when we announced the intention to merge the company, we opened up a legal track house. So the operational integration track continues, where also prima facie focuses on the revenue and cost synergies that we need to get together for both the organisations and both the shareholders which we do not think so will get significantly hampered by the merger now going through.

Renu Baid: Got it. Thanks so much.

Aniruddha Joshi : Next we have a question from Mr. Keyur Pandya from ICICI Prudential Life Insurance. Please unmute your line and go ahead with your question. Thanks.

Keyur Pandya: The question is on the ECD sales. So, the kind of growth that we have seen with the other players versus the growth we have seen in Crompton, is this in line with secondary or tertiary sales or this is more of stocking for the channel? I just want to understand this and in second half of previous year, I think the commentary was that the company did not push the non-rated fans. In that context, should we outperform in second half also versus the industry? Thank you.

Kaleeswaran A.: So, Keyur, as we said, we do not want to provide a forward guidance on what would our second half could be. We continue to strive and do the things that we talked about for each of the categories we talked about earlier. Let it be fans, appliances, pumps, or kitchen for that matter including lighting. Now as far as the channel is concerned, you would see that the growths are divided into two buckets. Our alternate channels that outperform significantly and these are largely consumer offtake driven channels like a modern trade or regional chain store or for that matter e-commerce, which is phenomenally almost doubled our business in e-commerce as compared to the same time last quarter.

So, I do not think so there is a stocking that comes in here. GT works in line with the market, it is not that you need to look at a significant fill-in that happens. We have been following the market trend as it happens and we would see we are already seeing good festive momentum happening in October. Let us see how does that move forward as we close the quarter for Q3.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 11 of 17

Keyur Pandya: Fair enough. Just one follow-up on this. So basically, there is nothing abnormal in this growth as you mentioned just the breakup of GT,

modern retail and e-commerce either for ECD or for the company level as a whole, any broad numbers for this breakup?

Kaleeswaran A.: We do not give a channel mix split, Keyur. We would see that maybe we are going let's say 2x in alternate channels compared to our GT business.

Keyur Pandya: Understood. Last and second question is on the raw material side. Now have we seen the worst in terms of raw material, now it is up to the company whether the benefits are passed on or retained, but directionally should we see things improving as far as profitability is concerned? Just raw material as well as improving mix? So raw material getting favourable and improving mix towards premium. Should we assume, that profitability should improve?

Kaleeswaran A.: See the fundamental strategy that we talked about in Crompton 2.0 states, which is as an organisation, we want to drive growth by reinvesting back into business towards marketing, innovation and premiumization - that should provide us a sustainable revenue growth and a sustainable margin model for us. Keeping that as the base, the way we would look at this on the two questions that you have raised, one is on the raw material prices.

Interestingly, the categories that we operate in, while there is a commodity play into it, there is a lot of regulatory impact that comes in. Let it be the regulatory changes that we are seeing in fans or the changes that we have to go through in geysers etc in the past. It means that post BEE transition, while the commodity super cycle is over and it is moving into a stabilisation mode, the cost increase that we have to absorb on account of BEE rating is yet to be fully passed on.

And we think as a market leader, it is important that apart from the cost actions, we also need to take price actions. That is where you have seen us doing one round of price increase already in the month of September. As the demand scenario develops through festive and we get better clarity, we may have to look at a couple of price actions further in the coming quarters also, beyond the other cost benefits that we need to see where it is.

So, in a nutshell, the way we need to look at this, at what level the ECD portfolio margin needs to stand at. And we think structurally, there is a headroom to improve on account of the regulatory cost their increases being recovered either through price or cost action that needs to be done. Beyond that, we want to focus on investing behind the brand and driving growth. That is the way we would look at it. Yes, obviously, premiumisation will help us in driving share of profits. The profit pool with premiumisation is always higher at an absolute level as you compare to a non-premium category. But also, you need to keep in mind that a premium category is going to be innovation led and that is a consumer innovation led, which also gives us an opportunity to invest behind the brand to take the brand to the next level. So it will be a calibrated call as to how do we balance growth and profitability and ensure that the absolute profit growth comes in.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 12 of 17

Keyur Pandya: Understood. Thanks a lot and all the best. Happy Diwali.

Aniruddha Joshi: Next we have a question from Rahul Gajare. Please go ahead with your question. Thanks.

Rahul Gajare: This is Rahul Gajare. So, I have one question on your built-in appliances. In this particular quarter, you did report an EBITDA loss of about Rs. 6.5 crore on a revenue of Rs. 14 crore. Could you give us a sense on the total EBITDA loss that you have done in the first half? If I were to adjust for this, your other business is not as bad as what it appears because of this loss. So some financial numbers on this will be helpful. And connected with this, while you are in the midst of transitioning to

Crompton 2.0, could you also highlight if you have plans in the built-in appliances to add more product category in this specific basket? Thank you.

Kaleeswaran A.: So Rahul, allow me to state by saying results are always comparative in market and good or bad does not happen but what you choose to do in one category. With that, I think total losses that we have incurred at H1 level on a built-in kitchen is about Rs. 14 crores. Structurally, the gross margin of this business is in-line with what we do in other ECD categories. So the unit economics are being built in a strong manner.

It is also important that we invest behind this business to get the penetration up over a period of time. It is also a funnel approach where you get your customers through a combination of organic and inorganic route, which means it is at a size where you do not want to do too much on brand awareness, but you need to calibrate how much you want to spend behind the brand also, which is where you see the upfront investments that we need to make into the business is going towards losses, which we think will continue for a few more quarters before the scale helps it to start making

money as a product category and channel.

Now, in terms of the overall product additions that we can do into the entire built-in kitchen, I think we are looking at two-pronged approach. One is how can we first improve the touchpoints even before getting into the product? The channel opportunity as we talked earlier, we have already opened a 75th exclusive signature store. What we also need to keep in mind is do not see built-in kitchen appliance as a standalone business of Crompton. Look at an opportunity for Crompton to start commanding and selling premium products to the consumer. Prior to having this entire category operated, it would have been very difficult for a consumer to relate to a brand like Crompton selling a product that is upwards of Rs. 20,000-25,000. Now, probably we are moving towards one of the fastest to get an annual run rate of Rs. 100 crores in this segment that also means consumer acceptance, that states as to premiumisation as a strategy that you are working up, resonates extremely well with the market. So that's the second benefit that we are trying to get in.

Third, outside the EBOs, we are also looking at touch points within modern trades and RCS for the category to expand and move. That is on the channel side. On the product side, yes, within the Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 13 of 17

category that we are playing in built-in kitchen itself, we are looking at new initiatives to come in. It will be a combination of refreshing the product portfolio, what we are having today with better features, and adding few new sub-categories also within the built-in kitchen space.

Promeet Ghosh : Fundamentally, to your question, Rahul, the answer is yes, we are incubating a new business for good reason. We believe that it has contributed Rs. 15 crores EBITDA loss in the first quarter. And needless to say, the profitability of the rest of the businesses is what it is, excluding those Rs. 14 crores. And we think it is a good investment to make.

Rahul Gajare: Sure.

Aniruddha Joshi : Next we have question from Abhilasha Satale. Please go ahead with your question. Thank you.

Abhilasha Satale: So, my question is on ECD margin outlook. So, as you have mentioned that the lower margin is largely because of the channel mix change and that is what has impacted to a large extent. Going forward, how do we see your channel mix like do we see this 2x growth in alternate channel to continue and therefore, we might face margin pressure in the near-term and then improve there on. How do we see our near-term margin outlook and long-term? And secondly, if I just exclude this channel mix, whatever

the impact on the margin for GT channels, are our margin same what we were making previously or there also we have seen some kind of erosion?

Kaleeswaran A.: Abhilasha, allow me the opportunity to correct you. Channel mix has got nothing to do with the ECD margins coming down. ECD margins is largely on account of structural shift in the product cost of fans, which is due to the BEE regulatory changes that has been brought in. So that has led to incremental input cost that we need to factor in to make a fan that is star rated, which was introduced from 1st of January. So we are in the process of figuring out what is the optimal level of price increase and cost decrease we need to work upon to restore our ECD margins over the period of time.

So, as we cross over some of these milestones in the respective quarterly meetings we will call out all the progress that has been made on this.

Promeet Ghosh : So Abhilasha, we have been doing this for a while that we worked quite hard at dealing with cost pressures quite successfully, particularly at the gross market level. There was a bit of a stretch because of the BEE transition and we are in the process of being able to recover that through internal cost actions as well as through price increases which we talked about. It is not related to a change in GT versus other channel mix.

Abhilasha Satale: Actually you mentioned that there is a room for improvement. So, by when can we say whatever the initiatives we are taking and because of the premiumisation increasing in the overall portfolio, by when are we expecting that margin impact to get nullified and improvement in the margin?

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 14 of 17

Promeet Ghosh : I do not want to give a forward-looking number there, Abhilasha, but I mean I think it is fair to say

that we are actively engaged in this process and over a period of time we have talked about Project Unnati, for instance. We have been reasonably successful in neutralising cost increases. So I do not know, but if you have any question about whether we hope to continue to step up our alternate channel, yes, absolutely. We have a strength in GTM and we are going to continue to step up our alternate channel reach.

Aniruddha Joshi : Thank you. Next, we have a question from Mr. Ajit Motwani. Please go ahead with your question. Thanks.

Ajit Motwani: So, one is the question on the regulatory cost that you highlighted, that the BEE rating had impacted the regulatory cost and that sort of nullifying the benefits of commodities. As you know, more than six months that these things came in, so what would have been the price increases or let's say the net impact that you are yet to recover from regulatory costs increases, and as far as small domestic appliances and fans are concerned, how is the festive season started for us which you can highlight? As far as the small domestic appliances are concerned mixer grinders, water heaters as well as the fans category, how is the festive season started for us?

Kaleeswaran A.: So first and foremost on the margin side when we moved in to the entire BEE transition, roughly the cost increase was about say 15% on account of the energy rating transition that we need to meet up with. About 8%-9% percentage of that has been met with the cost decreases and the value engineering work that has been done. Industry as a whole, as you would remember early in last Q3, everybody called out for a price increase that will be taken in the range of 5 %-6% effective January post-energy rating.

But as we have seen the demand scenario that it has panned out in the last two, three quarters, it has been pretty difficult to do any kind of pricing actions. Either many organisations have rolled it back or held back the entire price increase that they are to take in. Now, as we move

forward probably

two to three quarters down from the entire BEE rating, we believe from a unit economics perspective, we need to balance both price and cost increase. So we had announced roughly about a 1% price increase to 1.5% across the portfolio in the month of September, that has factored in. We are now also working up on further cost decreases that we can do via the Unnati programme that we are working upon. And outside that it might warrant one or two more price increases also, which we are open to take it up to get the margins restored.

In terms of festive demand, October has been positive. We could see there has been an uptick in terms of October's momentum, but we will see that more as the quarter gets completed as orders pan out.

Aniruddha Joshi : We have one question on chat box from Mr. Bhavin Vithlani which I will read out. Could you please help with breakup of ECD divisions, absolute revenue numbers for Q2 and H1. And YoY Crompton Greaves Consumer Electricals Limited
November 06, 2023
Page 15 of 17

growth for A. fans, pumps and appliances; and B. breakup of appliances into water heater, mixers and air coolers? Thanks.

Kaleeswaran A.: We will ask Natasha to share the data by portfolio and that might be helpful for us.

Promeet Ghosh : To the extent that we disclose, please connect with Natasha for those details.

Aniruddha Joshi : So next we have a question from Mr. Siddhartha Bera. Please go ahead with your question. Thank you.

Siddhartha Bera: What I understood is that there is a 3 % to 4% under recovery in the costs like you have mentioned where we need to do some more price increase or cost reduction. So after doing this say in some time, what is the margin level we aspire to owe back to? Will it be closer to 16 or it can be higher than that given that we had delivered even better margins in the past?

Kaleeswaran A.: So I think Siddhartha, fundamentally as you rightly pointed out, we talked about the action that we are going to work upon continuously on the fan segment to improve the margin and how do we need to recover it. At the end of the day when it comes to EBIT margin delivery, we need to look at Crompton as an organisation that needs to deliver revenue growth and that is fundamental. And therefore, it is extremely important that we balance our revenue growth versus our profitability growth which is when we said the revenue growth is not at the cost of price or cost actions, it is going to be investment behind the brand and we need to have innovation. So, we talked about

premiumisation as a driver. We have talked about progress that has been made in fans as a category on the premium growth. Now this is coming in only with interventions being made with products that are coming in from our tech centre with consumer insights and not only led by competitive intensity.

Second, it also means that that product that is going into the market needs to be backed by stronger brand communications. That is why if you see H1 as a whole, marketing spends have gone up by 50%, so that is a significant amount that has been put behind the brand to drive the growth engine up. So we do not want to get into a near-term EBIT margin guidance. As we talked about, we are conscious of the fact that we need to grow the business and deliver profit growth rather than profitability expansion.

But in the journey of profit and profitability, structural unit economics would not be left behind, which is why we are reiterating that in spite of the growth agenda that we are working upon, we need to restore our margins in fans via the cost or the price action that we need to take. So, these are two different sets of actions that will be taken. You will see cost and price actions to help to improve the ECD margin profile. At the same point of time, we want to take that as a fuel to reinvest behind the brand and

continue growth momentum for many more quarters to come. That's how we wanted to balance our portfolio approach on both growth and profitability.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 16 of 17

Siddhartha Bera: Got it.

Aniruddha Joshi : Thank you. Next, we have a question from Utkarsh Mehrotra. Please go ahead with your question.

Utkarsh Mehrotra: This is Utkarsh from Schofield. Just one question, in terms of the price hike that you have taken, has the competition followed and then since that you are planning a couple of more price hikes because to your point given the industry dynamics and demand, do you think they would follow and if they don't, then would you roll back? Thanks.

Promeet Ghosh : I think the price increases that we have taken are an indication of, while they are modest price increases, they are an indication of the approach that we want to take. And look, at the end of the day, it is a mix of how we are going to approach this. It is all about intent and what we are saying is that we want to continue to grow, but we also want to protect our margins. So, we are the leaders in the market, so you will see a mix of this playing out in the market, whether other competitors will follow or not, we will see, but look you want to do what is the right thing to your business.

Utkarsh Mehrotra: Got it. Thank you.

Aniruddha Joshi : Yes, we have last question from Mr. Rahul Agarwal. Please go ahead with your question.

Rahul Agarwal : Thanks for the opportunity. Just one question on the manufacturing side. I think you talked about some changes there. Could you elaborate a bit on fans, appliances, pumps, and B2C lighting? What are the changes should we expect over the next 12 months on manufacturing from Crompton Greaves?

Promeet Ghosh : Rahul, I think we announced earlier that we are currently in the process of creating a strategic sourcing footprint, whether that be from own manufacturing or outsourced. So that is still under preparation and we will come back to you when it is possible for us to disclose it to the market. Having said that, we are in so far as fans is concerned, on a journey of more in-houseing particularly of our seed category, because that is something that will lead to cost savings, greater manufacturing facility and needless to say other strategic benefits.

So that is already continuously going up, and you can expect will be expanded in the next few quarters. What that will do is, not only bring in greater in-houseing, but step-up the capacity utilisation of our own units. Hopefully that will also go towards improving our margins. That is a part of the journey. So, but in so far as the rest of the businesses are concerned, it is work-in-progress is what I'd say. Today our footprint is that about 50:50 in fans between what we do in-house and what we outsource. In so far, as small domestic appliances are concerned, it is largely outsourced.

Crompton Greaves Consumer Electricals Limited

November 06, 2023

Page 17 of 17

And so far as lighting is concerned, B2C and B2 B is largely in-source d currently. And we will see how this will go and obviously the idea w ould be what maximi ses margins, what maximi ses the strategic benefits for us.

Rahul Agarwal : Okay. Thank you.

Aniruddha Joshi : Yes, thank you. On behalf of ICICI Securities, we thank the management for the conference call . And now I hand over to the management for closing comments. Thanks and over to you .

Kaleeswaran A.: Thank you , everyone and wishing you a very, very Happy Diwali. We will con nect in the next earnings call. Thank you.

Promeet Ghosh : Thank you.

Aniruddha Joshi : Thank you. Happy Diwali.

(This document has been edited to improve readability)

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Our Reference: 269 /202 3-24 Our Reference: 269 /2023-24

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated January 23, 2024 and February 15, 2024 , regarding
the Earnings Call on the un audited financial results for the quarter and nine -months ended
December 31, 202 3, held on February 15, 2024 , kindly find enclosed the transcript of the same.

You are requested to take the above information on your record.

Thanking you,
For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Crompton Greav es Consumer Electricals Limited
February 15, 202 4
Page 1 of 19
"Crompton Greaves Consume r Electricals Limited
Q3 F Y24 Post Result Conference Call "
February 15, 2024
MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED
MR. RANGARAJAN SRIRAM - MANAGING DIRECTOR –
BUTTERFLY GANDHIMAT HI APPLIANCES LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – CROMPTON GREAVES CONSUMER
ELECTRICALS LIMITED
MR. YESHWANT REGE – VP, STRATEGY & FPA
MS. NATASHA KEDIA – HEAD – INVEST OR RELATIONS
HOST ANALYST : MR. ABHIJIT AKELLA – KOTAK SECURITIES
Crompton Greav es Consumer Electricals Limited
February 15, 202 4

Abhijit Akella : Ladies and gentlemen, very good morning and thank you for joining us for the Q3 FY24 Earnings Conference Call of Crompton Greaves Consumer Electricals. My name is Abhijeet Akella from Kotak Securities and it's my pleasure to welcome the senior management team of Crompton Consumer who are here with us to discuss the results and business outlook. From Crompton, we have Mr. Promeet Ghosh, Managing Director and Chief Executive Officer, accompanied by his team. We will begin the call with opening remarks by management, following which we'll open up the floor for Q&A. I'd now like to invite Mr. Promeet Ghosh to begin the proceedings of the call. Thank you and over to you, Promeet.

Promeet Ghosh : Thank you everyone for joining this morning. I have got with me Kal eesh, who is the CFO, Sriram, who runs Butterfly, Natasha, IR and Yeshwant, our Head of strategy. Before we dig in, I just want to remind you that this is the second quarter that I have been running the company and as you will all remember I joined in May. In June, we rolled out what was Crompton 2.0 and practically speaking, what you are seeing is that there is two quarters of Crompton 2.0 at work and what I would love to discuss with all of you is how that's going. So far as I am concerned, just a reminder of what we did at Crompton 2.0 and what that's resulting in.

So if you recall, we started with laying out the key building blocks through a renewed org structure, moving into a structure where we created centers of excellence for the back end and for the front end empowering the BUs. We said we wanted to focus on reviving growth in what was otherwise a difficult demand environment, while also being

clear that the growth would translate into absolute profit growth. We began to focus on not only innovation, but on bringing that innovation to the shops. We said we'd nurture the brand Crompton and therefore we'd step up our investments on A&P. And as we look to the future, we would develop a strategic sourcing footprint for all of our businesses because we are in a business environment which is rapidly evolving and of course also focus on making the company future ready in a global environment where sustainability is going to be increasingly important.

Six months after driving Crompton 2.0, I have to say I am delighted to say that in our core categories, in every category we have performed better than our peers and this includes categories where we have had some difficulties in the past. As you know, some quarters ago there were challenges in some of our businesses in pumps and lighting, etc. So just so we are clear, in fans, in pumps, in lighting where the immediate emphasis was on what was a series of quarters of de-growth as well as on our appliances business, which comprises what we call large domestic appliances such as geysers and coolers, and also our kitchen appliances business, which we have been growing within Crompton. In each one of these categories there has been strong growth. Having said that, Butterfly, a company that we bought recently, and I said this earlier, that remains a work in progress. We are getting our arms around that and some of that is reflecting in our results.

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 3 of 19

So since our fundamental approach of strengthening, bolstering our core categories while continuing to invest in building our future, being the kitchen appliances business remains very firmly intact after these two quarters.

Quickly about our standalone performance, we delivered strong revenue growth for the 2nd consecutive quarter, led by industry leading ECD growth, which is about 19% YoY growth and you can compare that with anyone else in the industry following what was actually also a robust growth in Q2 of 17%. The consistent investments that we promised in brand have come through, as have our efforts to build GTM excellence as well as further build our innovation pipeline. This led to an absolute growth of about 17% on our standalone profits (PBT).

In Lighting, something that I heard quite a bit about when I came, and that's been an area of and rightly so about notable de-growth. In lighting what we have done over the last six months is, we have worked on key issues, we have taken corrective measures including personnel changes and I'm happy to report that the lighting business this quarter has very moderate growth, but we have arrested the decline and of course profitability in lighting continues, even in that situation, to be quite strong.

Overall economy we have seen what is a K-shaped recovery, premium segments doing better than the others. While generally speaking as all of you know, it is a tough economic environment and that's what, to my mind, makes it especially interesting that in that environment, the kind of growth that we are seeing is coming through.

Let me get into more details on the segmental performance. ECD, now ECD, as you know, comprises several segments for us - it's fans, it's large domestic appliances and small domestic appliances and pumps. In ceiling fans, our emphasis on premium segment is actually paying off. In fact, our ceiling fans, our fans business overall has grown at about 11% YoY and there have been three areas that I have been particularly focused on, which is Premium, Domex and TPW. Domex being domestic exhaust and TPW being table fans. Each one of these segments has seen robust

growth. Insofar as our product innovations are concerned, you have seen, and I won't ge

t into detail ,

there is a pretty robust pipeline which has been introduced already. We have now a large BLDC presence in the market , coming from nothing about two years ago, we have a large BLDC presence. I would argue that we are the second largest BLDC, who have disproportionately grown our BLDC presence in the market. There was a step change from January last year when the BEE norms came in. Again one of the discussions that we have had before , is that that translates into materially higher costs and it was intense because of the demand environment being what it was. Practically speaking, and nobody in the market passed on those costs, even in this market we have passed on cost increases to the market - moderate, as I said earlier, but we have passed on cost increases. Having said that , it remains an area of both reducing costs as well as of passing on cost increases and some of the benefits of those we are beginning to see in our fans business.

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 4 of 19

Insofar as our LDA business is concerned, this quarter we sold the highest number of storage water heaters that we have ever sold of about 3 lakh units. It is a business which is showing strong double-digit growth, we don't disclose the numbers but strong double-digit growth in large domestic appliances and actually even stronger double-digit growth in our SDA , which is our kitchen appliances business . So both of those, whether it be on the kitchen side of the business or on the home electrical side of the business, both of them have grown strongly. Overall to give you a sense, our appliances business, which is LDA plus SDA is about 24 -25% growth last year , which can tell you how that business is doing. We are now already one of the market leaders in water heaters having come from behind a couple of years ago.

Now, in fact, some of the innovation also you can see coming through in our SDA business, our kitchen appliances. I use kitchen appliance and SDA a little bit interchangeably. So I trust that something that you will get used to. We have also introduced, apart from having a mixers business which is doing well, we have also introduced a 750 Watt Mixer which is actually doing quite exceptionally.

Pumps, another area which after witnessing series of some challenges in the market , is now back to being pretty robust. It's 26 -27% growth together with strong profitability in our pumps business and that is coming through because not only have we strengthened what our traditional area of expertise has been, which is the leadership in the residential pumps business but also because we made an aggressive push into the agricultural pumps business and I am happy to report that we are steadily gaining share also now and that is obviously growing even faster than the overall pumps business is concerned and from a pretty low number, we are now at about 7 -8% market share already. So together with this we are also working quite actively on the solar pump segment . And many of you will have tracked that. We initially got an order for Haryana which we have implemented , also got paid for and now we have got further orders in our kitty which will be met in the future. So the good news there is that , not only is growth coming through, but profitability is strong , and stronger than it has been before.

So the margin improves, actually both in appliances and pumps . Large domestic appliances, there is a value growth of about 28%. This is an incipient business that we are setting up . As you know, this is a business that we have been nurturing, it has grown about 40% year-on-year and on a quarterly basis now recording about Rs. 20 crores per quarter versus Rs. 14 crores in the quarter before, so this is sequential growth . And there is an acceleration of the sales and exclusive busin

ess outlets -

this is the only business that we sell through exclusive business outlets and part of the reason that we got into this business not only to get into large kitchen appliances, but also to make a foray into exclusive business outlets which we see as being an important go-to-market for all our other premium products in the months and quarters to come , and there is innovation coming through there. So there is a second wave of products after the initial introductions which have been introduced into the market . What we call these , the wave of opportunities which are in fact already in the market.

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 5 of 19

Insofar as lighting is concerned, like I said earlier, lighting is a business in which we have snatched the degrowth that we were previously witnessing in this year, but I am glad to see that it's back on the growth path and again this is part of the discussion that we had when we started in 2.0. That one of the immediate priorities for us was to get our arms around the lighting business and you can see a trend here. Our effort has been to first get our arms around businesses which have been facing a difficult market environment and lighting is one, pumps is another and actually even fans. You can see the way that the broader business has been going. So the focus is beginning to tell . Lighting comprises two businesses. One is the institutional B2B business and the other is the B2C

business. At the B2C business, the B2C business is kind of broadly flat while the B2B business is actually back on a reasonable growth trajectory. In fact we have secured some prestigious orders, the Mumbai Coastal Road which should be commissioned in the near future, the Ahmedabad Municipal Corporation order, there is a Chennai Municipal Corporation order. All these are large orders which have come through and are being implemented. We have in fact also created a dedicated team for large projects. So some of this is not showing up in the kinds of orders that we are getting and executing now.

Insofar as the B2C segment is concerned, like I said earlier, broadly flat over last year, the LED business, now you must understand that there is a CFL business that we are discontinuing. So the drop off of the CFL business, which anyway we communicated to you earlier, the drop off of the CFL business is a given in the revenue comparison that we are doing over the previous year. So this is obviously contributed to the numbers that you are seeing, but despite that, the business is doing what it is doing. The LED business, LED lamps and batons business, there continues to be pricing pressure and despite that we have seen significant volume growth. In fact, if I am not mistaken, about 5% volume growth in the LED business, despite there being a fairly material price erosion in that segment, we continue to do quite well both in ceiling and in new product introductions, which again if you remember, were areas that we said we were focused on.

Lighting margins continue to be very robust, very robust. So EBIT margins on lighting improved by 1% YoY to 11.2% so all of the work that's been happening to revive the growth in the lighting business, we have not taken our eyes off profitability. And as I have said before, this continues to strengthen our hands as we build up our go-to-market to be able to revive growth in this segment. And again, just to be clear, we are responsible participants in this market. So we know that we want growth together with profitability and that is coming through.

Butterfly performance. We have kitchen appliances that we play in two segments, one part of Kitchen appliance is embedded in Crompton, the other part of the kitchen appliances being in Butterfly. Now, I already have told you that kitchen appliances within Crompton are doing ver

y

well, the overall appliance business growing at about 28% and I don't mind telling you that the kitchen appliances business in Crompton is doing materially better than that. So it is a business that we know how to run. Our success here on the Crompton side is very heartening. We are getting our Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 6 of 19

arms around Butterfly and clearing out various elements. So it's a work in progress. I'd say there are actually pretty clear demarcation of how Butterfly is approaching the business there; there was in Butterfly, a very material corporate institutional sale. Now, by definition, that tends to be idiosyncratic. While the core segments are in retail with supply supplemented with e-commerce, now we have focused on growing our retail, strengthening on our e-commerce platform, while let's say de-emphasizing the institutional business, which tends to be episodic and actually the revenue growth has come from a sharp fall off in the institutional sales as a consequence. We did disclose the results of Butterfly a week back and all the details are there. So you can get a sense of that.

Now, profits have been under pressure at Butterfly, part of the reason is the revenue drop that we have seen in recent times as we build back the business. And having said that, we do not want to compromise on advertising spends even when profitability has been under pressure because this is not something that we bought for a quarter. So, there were stepped up advertising at Butterfly, festival promotions also, we went pretty whole hog in and there was also a minimum wage revision in Tamil Nadu where much of our products impacted that that led to an increase in wages.

Now where are we going to go from here? As you know, the legal merger with Butterfly is not happening yet, but the operational integration is well on track and that means that the engagement of the sales, manufacturing, procurement with Crompton and making sure that both ways it works, all of that is working for us on the Crompton side in terms of the sales of kitchen appliances to bring to bear, or are going to particularly bring to bear in Butterfly in the future. And of course, Butterfly itself has a strong brand to bring to bear those benefits to Crompton as well. As we have spoken about in the past, 'Power of One' is taking the Butterfly product to other parts of the country, that's also being rolled out as a part of Crompton 2.0.

Lastly, channels, go-to-market. I am happy to report that frankly, both our traditional channels as well as our alternate channels have in fact done quite well. So we have seen growth in traditional general trade as well as strong growth in alternate channels because it is important that while we grow our alternate channel, which comprises rural, e-commerce, MFI's, etc, while we grow that and put a lot of resources, we do not neglect the general trade there, which is our life blood, which is where we are so much stronger than many other people in the business, and I am delighted to say that both have been growing and it is not both growing in one segment alone. So our general trade has grown in each one of the regions - North, East, West, South what we call NEWS and that we are combining with growth also in the alternate channels and I think we are disclosing that our alternate channels now have seen about close to 40% growth YoY (last year) and that means that the overall saliency of our alternate channels today is steadily going higher at about 17-18%. E-commerce and

within that, has doubled. The rest of the growth is coming from strengthening our rural channel. Lastly, a few other comments on EPR and BIS. As some of you know, the deadline for the BIS standard being implemented passed yesterday and I am very happy to say that we have

substantially, in fact almost entirely, met that by transitioning our manufacturing facilities to that
Crompton Greaves Consumer Electricals Limited
February 15, 2024
Page 7 of 19

standard. I know that has been a bit of a challenge for the industry, but we decided to get ahead of the curve, not assume that the deadlines are flexible, whatever the deadline was, we said guys, we got to get it done and we did. EPR is another area - Extended Producer Responsibility and we worked to put an effort to comply with that standard as well, and that's something that I think will play out, particularly not only last quarter also for everyone. Insofar as emphasis on sustainability is concerned, EPR, BIS, all I think are elements of how regulations are tightening across our industry and that really helps us as the leading player, because if you can get your arms around it, then that can be a factor that is beneficial to you. So actually, a few weeks ago, as you have seen one of our water heaters was awarded by the President of India as the 'Most Energy Efficient Appliance of the Year'. Needless to say, that kind of demonstrates to you how focused we are on energy efficiency and sustainability, you will see some of this and some of the others segments as well. Also, happy to note that we were awarded the 'Best Managed Companies' by Deloitte, and in particular, they focused quite a bit on how Crompton 2.0 was structured. Some quick concluding remarks. We obviously created Crompton 2.0 after business review which was really about streamlining operations, empowering people, focusing on the long term while ensuring that basically, the word I like to use is 'transform'. That is proceeding apace. So far first quarter, after I joined, some of this was at the initial stages, but some of the results are already coming through and for the next quarter, I can see that that is taking place. And with that I'll stop there and we'll take questions.

Abhijit Akella : Ladies and gentlemen, we are ready to begin the question and answer session. We have our first question from the line of Aniruddha Joshi from I CICI Securities

Aniruddha Joshi : Thanks for the opportunity. Sir, two questions, one you have mentioned under Crompton 2.0 strategy about investment in distribution a lot. Now definitely it is required, but now the new ONDC platform is also expected to be pretty much functional in, let's say, next 1-1.5 years and may pick up a good pace in next, let's say, next 3 years. So it will significantly change, in a way the distribution structure also in India. So what are Crompton's initiatives in that and how do you see that as an opportunity or a concern or your views on that. That is question number one. And two, now we are seeing multiple new product or premium products also getting launched on Crompton brand. Now Crompton has always stood as a very strong value for money, trustworthy, kind of a brand. So it is never seen as more of a fashion brand or a lifestyle brand as such. So do you believe that a new brand will be required or Crompton itself can take care of the fashion and lifestyle aspirations and there is a very strong potential to drive premiumization on the Crompton brand itself. Yeah, that is it from my side.

Crompton Greaves Consumer Electricals Limited
February 15, 2024
Page 8 of 19

Promeet Ghosh : Good question. Firstly, on ONDC, look it's something that is coming up. It is something actually we are engaged with the government so that we have a good sense of how that will evolve and understanding how we can participate in it in the future. Now the way that I look at it, is that the go-to-market in India is evolving. Now that does not actually mean that one particular go-to-market will atrophy and the others will become very strong, not really. What we are seeing is actually that they will come together.

her. And indeed, it is important for people to have a strong position in each element of that go-to-market if you want to be successful. So, you have what we call general trade. You have already for the last several years had e-commerce as a new go-to-market. Interestingly, for some of our products, what we are finding is that out of 7-8 people who I look at a product on e-commerce, 6-7 of them actually go and buy it on general trade. It is also the cost structures of some of these newer channels is higher, if you don't have a mix of these channels then it is going to be difficult for people to make money. And therefore, you see us growing both general trade as well as alternate channels. And by the way, alternate channels is not just e-commerce, it's also rural. Penetrating deep into the markets, getting to know the nooks and crannies of the country, because your products are recognized there and sell there. So, long story, but you will see even some of the newer age companies today coming up and saying - No we are trying to get into general trade

because we are going to have a bulk of it . So, if you need to have all of these and we are obviously in a strong position of having a very great mix , now even that will of c ourse evolve in the future including with ONDC.

Now to the point that you are making about Crompton being a trusted brand . Absolutely Crompton is a trusted brand. But you know what? I wouldn't characterize it only as a value for money brand because what w e are seeing in product after product is th at there the consumer recognizes the Crompton brand , appreciates the Crompton brand for a range of products, so to give you a sense, our premiums in fans, we have been steadily growing our share of premium fans . Even today, it is actually lower than what i t should be, but we have been steadily growing. And that is at about 26-28% already after steadily growing and that's not just ceiling fans, that is a share of all of our fans , including non -ceiling fans. What tha t tells you is that the consumer has f aith in the Compton brand . We are today selling chimneys which cost Rs. 20,000 , one of the products is Rs. 30,000. So you can see that there is appreciation, yes, we need to continue to build the premiu m aspects of the Crompton brand, but it itself is quite strong. And by the way, actually one of the things I must t ell you is that when we recently did a study again , also of the Butterfly brand , and interestingly keeping the business performance in the re cent quarter aside that is strong, that brand is very strong as well and we are in the process of building it . So I hope that answers your question .

Aniruddha Joshi : This is very, very helpful. Just lastly , on Butterfly, at the time of acquisition, it was e xpected to be earning accretive in almost year 1 itself. But now obviously the situation has been bit different. So you want to guide or give a guidance for FY25 or FY26 for Butterfly ?

Kaleeswaran A. : We do not provide forward guidance as you know. From a n overall bus iness perspective, we called out that Butterfly is a work in progress , more in terms of how do we get our channel balance right. Crompton Greaves Consumer Electricals Limited

February 15, 202 4

Page 9 of 19

And we do believe this is couple of quarters away prior to which we get the entire thin g right and we start seeing business com ing back to the desired level that we want it to be. But having said that, the core channels of Butterfly, which is trade, and e -commerce continues to do well for us. Our entire new product launches is contributing significantly to our overall revenue. All those things are pretty much intact. It is this allied non-strategic channels is something that we are working upon like Corporate , etc. How do we rebalance that and get the business to the right level of growth and profitability?

Promeet

t Ghosh : Look, all I can tell you Anirudh, is that Butterfly is a strong brand in kitchen appli ances, very strong brand in kitchen appliances and a very strong brand in the South . Kitchen Appliances is a business that we have just entered in Crompton. We don't compete, by the way, but it is a business that we've just, we have entered in Crompton three years ago. Again, but we don't disclose the exact size of that business , it is a material business to our overall sales . And that is a business which is growing like I tol d you earlier, faster than 26 -27% which our appliances business is growing. Ma ybe even materially faster than that. So again , we believe that bringing all of those and that's one of the reasons that we bought Butterfly , it's taking longer than we anticipate d, but we do believe that it will show in the performance of Butterfly in t he quarters to come and realize what the potential o f that brand is. We don't give forward guidance.

Abhijit Akella : Our next question, which is from the line of Mr. Rahul Gajar e from Haitong Securities.

Rahul Gajar e: I just have one question. You tal ked about very strong growth in the pumps business, which are mainly sold through channel partners. Can you help break up the growth into Residential and Agri? And if I am not wrong , Agri would account for about 20 -25% of the total pumps, which is a very price sensitive market . Also, if you can clarify if there is a particular geography or product like Mini which did well for the company to get that kind of a growth and during the commentary you also talked about rural picking up while we were getti ng mixed commentary in terms of pick up on the rural side, so you could talk about that also.

Promeet Ghos h: Maybe I will just take a quick shot at it. Ra hul, you are right. Firstly , your estimation of the size of the Agri sales in our portfolio is broadly right. W hile I can't break out the growth numbers between Agri and the Residential , I want to tell you that both of them have grown. In fact, the overall growth in pumps is about 28-30%. So you can kind of run your math from there. And insofar as our channel mix is concerned, again, that channel mix is not a particular channel becoming much more salient. In fact in this segment as well is in all our other segments , rural a nd general tra de have grown . So the growth is not disproportionately coming from any one segment. It is a pretty well distributed growth.

Rahul Gajjar e: So it is not that residential was significantly higher?

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 10 of 19

Promeet Ghosh: No, no it's not. Residential wasn't significantly higher. Residential was lower because it's a much larger base, but both of them are growing.

Abhijit Akella : The next question we have is from the line of Siddharth Bera from Nomura

Siddharth Bera: Sir, our first question is on the ECD portfolio. Now we have seen good growth in the past two quarters. Obviously, part of it is benefiting also because of a low base in the past. So, going ahead, how are you looking at the segment?

Promeet Ghosh: What low base, what low base? How did you come to low base?

Siddharth Bera: I just wanted to understand how sustainable is the growth momentum in the coming quarters because we will enter into a peak summer season and it is generally a seasonally strong quarter for us, so just wanted to understand, are some of these growth trends sustainable in the coming quarters or do you expect some change here like on the fans category if I talk about?

Promeet Ghosh : So far as low base is concerned I don't know where you getting that from, because if you recall last year 31st December was the BEE transition and there was a race across the industry to make sure that whatever non-BEE fans you have

done, you saw it. So, this thing about low base, I'd be a little careful about using Siddharth's, and we have got good growth last quarter, we have got good growth this quarter and it is obviously very differentiated from the rest of the industry. Look, I don't want to dissect about how the growth will be next quarter, but what I can tell you is that we are putting, we are strengthening the essentials of the business. Putting in place the building blocks, which is kind of showing up, I think in the performance of the company and from my perspective, whether for us, for everybody, consumer growth isn't very strong, but because we are doing what we are, I am pretty optimistic about how and where we will come.

Kaleeswaran A. : In fact, many of you had this question that, is there a low base and probably you guys are coming back on a BEE rating. Would like to clarify a few things so all of us are on the same page on this. Please note our ECD growth of 19% is broad based. It's not fans only, fans has grown at 11%, whereas pumps, large domestic appliances, led by geysers, coolers and small domestic appliances, have grown significantly ahead of 20%, and that's why it is delivering the ECD growth. Now it's equally important to note within fans also the BEE change was applicable for non-star rated fans, which is your value segment largely. Our growth of 11% in fans is driven by categories like BLDC, which we have significantly upped our ante and got the investments going behind it and categories like TPW (table, pedestal and wall) fans. So it has got nothing to do with the low base effect. It's a broad-based growth across segments and within fans also there was no impact of BEE ratings having any role to play on having a low base growth that needs to come in from.

Abhijit Akella: The next question we have is from the line of Pulkit Patni from Goldman Sachs.

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 11 of 19

Pulkit Patni : My question is primarily on Butterfly. While multiple times in the call, you said that we are trying to fix things. Can you please explain what exactly is going wrong there? I mean you also said the brand is positioned very well. So, is the product positioning not right? Is the channel not working the way it used to work under the previous owner? I mean if you could just explain one, what exactly is the problem because, as somebody else also highlighted we were talking about break even in the first year. Here, we are actually losing money on this one. On top of that, what are you doing to fix things and then some direction on when we are likely to look at better numbers for this particular business?

Kaleeswaran A. : Pulkit, thanks for raising that. Allow me to give a little bit detailed answer on this and how are we looking at it? See when we acquired Butterfly, now it's about say 1.5-2 years since we have acquired the business and it was during the COVID period and as you all know, there was a COVID fill-in that happened in kitchen and kitchen as a category is not something that is doing to the extent that we would like it to operate today on a pan India basis, and this is reflected in soft results for this full year across all the company players in the industry, that is at a very high level. Having said that,

from our perspective, the way we are looking at in Butterfly is 1) it's a high operating leverage business. Which means that the revenue mix it needs to have, needs to be at a minimum threshold for us to drive a steady 7-8% EBITDA growth, which is what we wanted to strive for in that. Now there are few channels that we need to course correct and we need to ensure that our business model is not dependent on that. And why is it important to course correct and what are these channels? The brand is present in channels like corporate which is largely towards

corporate and consumer gifting and it is

also in institutional government businesses. Now in the long term, we are not in Butterfly business for 1 quarter, 2 quarters. We see this as a business for next 5-10 years. If we have to make this a pan India brand and beyond South, the brand has to have its own position and has to have its take towards a lifestyle experience oriented category, and to ensure that we move in that direction, it is important that first we rebalance the channel strategy. It started with the business largely being a Flipkart led e-commerce price led channel moving towards a broad based Flipkart plus Amazon brand led engagement, that is almost done and it is completed. The second phase of activity that we have to take out to ensure that the corporate business and the government oil marketing company businesses has to be balanced so that we don't have ups and downs of business model when we need to make this a larger brand and not a value for money brand and have a lifestyle brand that it is associated for.

The channel correction is something which is underway. We do think it is about couple of quarters away for us to complete this in full. From the overall business synergy perspective, from a cost perspective, many of the work that we have to integrate with Butterfly, on administrative costs have already started and is giving results. We are also looking at how do we synergize Butterfly's manufacturing facilities for Crompton products and how do we get that operating leverage reduced, the high operating leverage model that Butterfly operates. Revenue synergies with Crompton has also started to work. We are piloting in few markets in north to start with, to see how do we leverage the Crompton's distribution and get Butterfly's product placed. Which is why if you look at it just to quantify it in numbers so that it's easy for you to look at it, we have lost about 35 crores Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 12 of 19

of corporate sales business, which is about say 5% of EBITDA for this brand. And this is a yoyoing business and you cannot predict when it will come and when it will not because it's not something intrinsic direct consumer driven. So that's something that we are going away with. Then we have gone ahead and invested behind the brand and people considering slowly we want to move this brand beyond South and start the work towards it. So overall, fundamentally as we said earlier, the brand is strong, the brand has got strong resonance with the consumer. We do believe it has got a potential to go beyond Tamil Nadu, South and become a Pan India brand. But it means that there is work that needs to be done. It cannot be a value, price-led brand which needs to be on a deal based business every month and every quarter, like how we did this in Crompton. I think we started on a journey in Crompton and two quarters down the line we do believe that the journey is providing results to us and the strategy is working well for us. It is a similar approach that we are taking in Butterfly also, we do believe two quarters down the line we should start seeing directionally moving in the right place for Butterfly too.

Promeet Ghosh : I'll just give you a little bit of a context here. Even in lighting and in pumps, let's take lighting. What we did is, and it's very much work in progress guys. It's very much work in progress. So let's not go away from that. But what we did is we strengthened the go-to-market and we strengthened the senior team. We are exactly in the process of doing those things at Butterfly. The senior team at Butterfly is being strengthened. The go-to-market at Butterfly is being strengthened, dare I say, materially strengthened with operational integration between the companies materially stepped up. So some of this was going to happen, with the

le

gal integration that for whatever reason did not happen, but going forward, this is not stuff that now you should know or that we are not used to right. So business after business, this is what we are doing and it's at an earlier stage in Butterfly. But it will come through. Much larger businesses, actually than Butterfly.

Abhijit Akella : We move on to our next question, which is from the line of Saumil Mehta from Kotak Life Insurance.

Saumil Mehta : My question is continuing from the previous one. No doubt you know, Butterfly is a strong brand but the competition is also heating up in that space. So Bajaj has entered into that space. You're in South, one of the largest player in South has also entered into that space for the last 12 months. Now we understand changing distribution and better product offerings. But from a next 24 months perspective, what could be the KPIs we need to evaluate, specific to from a marketing perspective and we are sure that the journey is on the right track. Can you give us some specific targets which

you have for Butterfly which we can evaluate and you know just to ensure that the journey is on the right track?

Promeet Ghosh : Two quarters ago , three quarters ago or five quarters ago , we had a similar conversation about new people entering our pumps business . We had a similar conversation about other businesses . We had a similar conversation about people entering our fans business . Competition is the way of life. So in consumer durables, there are no entry barriers, there are only sustainability barriers . People can

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 13 of 19

enter. It's not easy for people to sustain and continue to do well. The secrets of doing well in the consumer business are very simple. They are do you have a strong brand? Do you have the operational scale which arises from being a leader in the business. Now you know the strength of the Crompton brand. You know the strength of the Butterfly brand. Just so we are clear , together between Crompton and Butterfly, we are the second largest kitchen appliances company in the country . So that can give you a sense of the scale. Now the requirements of what, how we are going to do in the business are simple. What's the sales mix? How is the sales mix going to work? Is that sales mix coming , from what are sustainable long term go-to-market fundamentals, namely retail , also e-commerce because that's a material part of our overall market . How much of that is coming from there , is that growing, is that getting expanded? And secondly, other than that, is the revenue growth coming through, is the profit growth coming through? Is the profit margin being restored? Those are simple things here. Nothing complicated for Sriram. Once you put the fundamental building blocks in place, the rest will fall in place.

Abhijit Akella : We can move on to the next question, which is from the line of Achal Lohade from JM Financial.

Achal Lohade : Sir two quick questions. One is the market share, if you could just give us a broad sense about the market share in absolute or a change over last, let's say two years or four years, how has that changed for fans, pumps and lighting if you could ?

Promeet Ghosh : I do not want to do that because there are no really trustworthy numbers that we find. I mean clearly you have seen the growth of the rest of the players in the market . So we are clearly gaining share in fans, in pumps , in kitchen appliances and in the Geysers, but I don't know if there are any numbers we want to share, but I do want to be clear that some of these numbers we don't always go by internally, for whatever it's worth.

Kaleeswaran A. As Promeet said, it is coming from the fact that it's not that this industry has got something like a Nielsen which gives you the share,

but even otherwise, if we go by what's available on the table, we are gaining share in fans. We are gaining share in pumps . Fans in fact, for the last three quarters, we have been gaining share and the share gain is led by premium fans. Pumps is led by the growth that we are seeing in our residential and in agricultural pumps . Geysers, we have now become a top three player and within e-commerce we are the number one player in e-commerce and where we have gained market share . Lighting, we are holding the share . In lighting we do believe there's an opportunity for us to expand particularly on the ceiling segment, which is something that we should see it happen now in the coming quarters.

Promeet Ghosh : So I mean, maybe we have kind of gained a couple of points of share in fans. I think we are estimated to have a market share of about 27%. According to these numbers we have gained a couple of percentage points , in our own view we have gained more as you can actually see from publicly disclosed numbers. But you make up your minds guys. And like we said, in fans, our premium has been growing and our TPW and our Domex has been growing, all of them growing faster than the Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 14 of 19

market and in double-digit numbers , double-digit per cent terms . Sorry, but that is all I can give you because we don't have any better numbers to do. Again, in pumps as you can tell if you grow 28% YoY means you have grown in both.

Abhijit Akella : We'll move on to our next question, which is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal : So the question essentially is the summation of whatever we just discussed over the last one hour, under Crompton 2.0, it looks like things have changed in terms of the strategy of growing faster than the industry , that is a clear cut intention and an achievement. I think fan , pumps , appliances and lighting we can see that . Similarly on the margins, the strategy is to invest more and invest into brands and hiring talent and hence there is some kind of operating deleverage here because in spite

of building up top line, our margins are still lower than what Crompton standalone is known for pre - COVID levels. So question essentially is over the next 3 years and it's more like a conclusion to what we just discussed - across these four categories, and more is on Crompton standalone, we have discussed enough on Butterfly. Fans, pumps, appliances, lighting next 3 years, what will be the growth rate in terms of what the management will be happy with? Obviously you have mentioned that you will do faster than the industry, we understand because we are aware of the category growth here, the fans category and stuff like that, the volumes are pretty low here, right? So that is one.

Promeet Ghosh : Volume growth in the industry is lower you are saying?

Rahul Agarwal : Yes, I am saying like the category growth for lighting & fans

Promeet Ghosh : Yes yes

Rahul Agarwal : And combined with the fact that margins obviously are still lower than pre -COVID Crompton standalone, is this a structural low we are seeing or we will again go back to 12 -13% over the next three years. So that's my only question.

Promeet Ghosh : What we have been telling you is that we will grow top line and we will be also focus on absolute growth of our profits. That doesn't mean that we'll be cavalier about our margin as you can see across segments now, but our focus is on growing the profits and continuing to invest in those things which are going to bolster future growth. So despite the fact that there are challenges in the market, we have not shied away from increasing our A&P spend by 30% because that may go into my cost structure today, but it will build the strength of the brand which will come through as

growth tomorrow. So we are doing those things which build the fundamentals, strengthen the fundamentals of the business.

Kaleeswaran A.: I think fundamentally, let us start with Crompton 2.0 we said we want to be an organization that is growth focused and absolute profit led. And which is where we said we started at 10% EBITDA

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 15 of 19

margin and then see how do we move forward from there. Now let me take ECD as a platform and I want to give you a comparison of where did we land in last quarter, Q3 of last year and where are we today in Q3. At an overall level, you look at margins in ECD, which is roughly lower by about say 350 basis points compared to the previous year. Now of this, 80 or 85% of this is driven by marketing spends, which is largely the investment that we have done behind the brands, about Rs. 35 crores incrementally have been spent over last year in this quarter across all the categories, fans, geysers or pumps for that matter. Now as we move forward, we do believe our revenue growth will be in double -digits as a portfolio and that should help us to fund some of these investments that we wanted to look at. And we also believe there are cost opportunities that are still untapped. We are doing very, very good in our direct cost program which is giving us good results over a period of time and we'll continue that. We do believe there is opportunity in indirect cost reduction that has started to give us, where should we go and correct the indirect cost. We have already identified those areas and as we look at the next year onwards, we should be able to start seeing benefits of that also. This, coupled also with the fact that in a category like Fans, we still believe there is room for us to improve the gross margins. We have taken about 3 price increases including what we did yesterday and considering the BEE cost increases that has happened, we still believe there is headroom for us to improve the gross margin in fans. So a combination of all these things along with the growth and where we stand, we do see operating leverage will also kick in as the business starts to scale up in the next two to three -year period beyond the EBITDA margin that where we are today.

Promeet Ghosh : In fact, in the last two weeks we have taken further price increases. We have taken price increases in fans and pumps, again.

Rahul Agarwal : Right. I get it. But the point is, because you are growing top line, your EBIT obviously YoY nine months is lower than what we were making last year. The point is from a ROCE perspective is that accretive? The strategy is accretive or not, that's what I'm trying to understand.

Kaleeswaran A.: Some of these things you need to see - what is the lead indicator and the lag indicator. If you look at it, there were two choices that you had - you be a brand which is into a mass category and where you talked about initially the category growth itself was not there and then try to do a price gain which could become a vicious cycle. We are not here for quarterly profits as we discussed. We are

looking at next 3 years, 5 years, 10 years. How do we need to operate ? In that set of a context, the amount that you are spending behind the brand today is definitely helping us to premiumize the portfolio . Once we premiumize the portfolio, the throughput will naturally go up across all the channels , let it be in traditional trade or in alternate channels, that's when you will start seeing the operating leverage also play out as we scale up the business in the coming quarters and years. So you don't have a choice , when we all know that the economy is moving towards the K -shape recovery. You can't blame the economy and do what you are doing. You need to be nimble footed. You need to be agile

and move towards what the consumer and market is demanding. Our change in strategy is more to amplify that and we do believe it's paying the right results and we are not here

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 16 of 19

for a quarterly ROCE . We look at the next three years, we believe there is umpteen value in this business and probably it has under achieved to the strength that it has. We wanted to ensure that we maximize that as we look forward. That calls for upfront investment and as any business you would always do that. You don't shy away from that.

Promeet Ghosh: Agree with you. I mean obviously a core element of it is operating leverage coming into play. That's fundamental to all of this and we can already see that happen. To be clear , for instance, in pumps, how do you grow margins as well as strong top line, the same thing is happening across and in other businesses of ours as well .

Abhijit Akella : We will take the next question from the line of Srinidhi Karlekar of HSBC Securities.

Srinidhi Karlekar : Sir wanted to know Butterfly's current business mix by channel and where do you want to take it as a culmination of your channel rebalancing exercise . That is the first question .

Kaleeswaran A. : So we give it in the Butterfly press release. Maybe you can connect with Natasha later. She'll be able to help you out with this as to how are we remapping this.

Promeet Ghosh : Butterfly is a listed company and full disclosure are made there . But to give you a sense , the Institutional and corporate business is about 15% .

Sriram Rangarajan: E-commerce is around 30 % and around close to 45 %-50% is between trade, which is when we say retail we call Chain Stores plus the distribution plus modern retail , we are close to 50%. And balance is your CSD , exports oil channel and institutions.

Promeet Ghosh : So it is about 20% institutional, 30 + 50 very broadly, and the principal reason why you're seeing this fall off is while retail and e-commerce have grown over last year, there has been a very sharp fall in the institutional, in fact it's 70% + de-growth . Like I said, that kind of business is very episodic, sometimes it will come, sometimes it will not come and we are not going to bank on that as a core area going forward. So that is why you see the kind of de-growth that you have seen in Butterfly. But other than that, both retail, which is general trade and e-commerce have grown .

Srinidhi Karlekar : On the gross margin in the butterfly portfolio , with this rebalancing and channel mix, one would have expected improvement in gross margin, but there we see sequential decline in gross margins. So would it be possible to throw some color on that please?

Promeet Ghosh : Few things happening here 1) insofar as butterfly is concerned, there is an operating leverage at play here. So if the volumes have come off, then the reverse of the operating leverage and when the volumes come back, then you will have the exactly the reverse come into play because 90% in-house manufacturing. So that is kind of what 's come into play and therefore the numbers, when we

Crompton Greaves Consumer Electricals Limited

February 15, 2024

Page 17 of 19

look at butterfly, we should just be a little bit careful in analyzing those numbers in absolute terms. So if you see a bulk of this is because of gross margin erosion, which comes from operating leverage. So it is very sensitive . So one quarter if the numbers come down then the margin will sharply correct . But with growth , this number will sharply vary. This is perhaps a point that people should just keep in mind when they are looking at the numbers.

Abhijit Akella : We will take the last question of the day from the line of Indrajit Agarwal of CLSA

Indrajit Agarwal

: I have one question on your manufacturing strategy. If you can state how your in -sourcing would change over the next 2 -3 years. Butterfly is 90% in -house so how that is going to c hange and also for the other businesses say fans, lights, pumps, what is the mix now and how do you think that will change in the next two to three years?

Promeet Ghosh : Good question, Indrajit. By the way, this is something that we talked about is an integral part of Crompton 2.0, and there has been progress that's being made at the right time. We will disclose to you the fullest element of how some of this is bein g done. Not yet, but butterfly, let's say, let me give you an example which is, since i t's separately called out. As we discussed earlier, Butterfly is a very high operating leverage company and that operating leverage comes out of the fact that 85% of the manufacturing is done in -house right now. In one quarter , when the volumes come off, that has a disproportionate impact on the profit. But what we are doing today is, like I said earli er, we have a large kitchen appliances business called LDA within Cr ompton. So the entire manufacturing of our kitchen appliances business in Crompton is outs ourced. So what we are doing currently is working on moving the manufac turing from vendors to Butterfly , particu larly of some of our products , to start with the mixer gr inders. So you will therefore see some of the effects of the operating leverage of Butter fly getting significantly addressed . But a lso us help improve margins because we are in -sourcing . Now to give you a sense of the other businesses , I am giving you broad numbers because we don't disclose everything, but in fans a bout 50% of our manufacturin g is in -house and balance is outsourced. Fans, we are in the process of significantly stepping up the in -house manufacturing of fans. Currently our manufacturing facili ties operate at pretty low capacity utili zation. We have 3 actually , 2 of them in Goa - Bethora and Kundaim next to each other , really one unit and one unit in Baddi. Our effort is to do more internally , it is a process that we have started, now 7, maybe 1 2 months ago, but it's a process that we are accelerating. So you will see more outsourcin g. Insofar as lighting is concerned again, we have two manufacturing facilities, one at Ba ddi and one at Baroda . There also, what we are doing is a mix, actually o ur own manufacturing we are trying to go up the value curve in some of the more commodity p roducts , we will actually outsource because you want to do what is best for the organization there . Very approximately I'd say about 40 -50% is in -house and the rest is outsourced. So depend ing on which category of product you 'll see more in -sourcing and ou tsourcing, particularly in some of the more value added products where we want to control the entire value chain. We will manufacture in -house and again our Baroda facility is under utilised . Insofar as pumps is concerned, we have one facility at Ahmednagar and again, we have been stepping up our in -housing of pumps and you will see more of that happening. What I am not Crompton Greav es Consumer Electricals Limited

February 15, 202 4

Page 18 of 19

getting into in greater detail is there is a s trategic overlay to all of this. It is not just producing more internal. It's also producing m ore of what is important internally and holding and owning critical parts of the value chain, so that is also in progress. And frankly, we see that being a big differentiator in the years and quarters to come. Because in each one of our businesses being ab le to own the design, being able to come up with the next generation of products, particularly products which are more energy efficient, more sustainable is going to be critical.

Abhijit Akella : I woul d like to turn the call back over to Mr. Prom eet Ghosh for any closing remarks .

Promeet Ghosh : I pretty much made all the points that I set out to. The messages I want to quickly leave with is that what you see is Crompton 2.0 in action and beginning to deliver the results that we were hoping for Crompton, Butterfly is work in progress , perhaps the gyrations o n Butterfly are a little bit accentuated because it is a very high operating leverage business. But I have g reat faith that with the changes that we are making there and with the experience of having del ivered and continuing to deliver on t he kitchen appliance s business as well, it's something that we will get our arms around in the future .

Kaleeswaran A. : Last point I think fundamentally Crompton 2.0 is paying rich dividends for us and I also wanted to reiter ate here that Crompton standalone , it's not that we are delivering industry -leading growth only , we continue to be industry leading on marg in also. It is very, very important to note that also, in spite of investments being made behin d business and if you loo k at the margin erosion that has happened in the industry in the last one year, it has been due to largely the price and cost challenges for the competitors, whereas for us it is largely due to investments made behind the brands and categories that we operate, which we expect to pay dividends beyond the current quarter and years to come. So we continue to drive revenue and profitability. T hank you.

Promeet Ghosh : And guys, every time we do better than the industr y, I have someone say, low base. Hopefully you know as we consistently deliver over quarters, people will get over that.

Abhijit Akella: Thank like to thank the management team for joining in and thanks to all the participants for maki ng

time for us.

(This document has been edited to improve readability)

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February 15, 2024

Page 19 of 19

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Call: May 2024

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To,
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Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 43/202 4-25 Our Reference: 43/2024-25

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated April 26 , 2024, and May 16 , 2024 , regarding the
Earnings Call on the Audited Financial Results for the quarter and year ended March 31, 2024 , held
on May 16 , 2024 , please find enclosed herewith the transcript of the same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Crompton Greaves Consumer Electricals Limited
May 16, 202 4
Page 1 of 22

"Crompton Greaves Consumer Electricals Limited
Q4 FY24 Post Result Conference Call"

May 16, 202 4

MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED
MR. RANGARAJAN SRIRAM - MANAGING DIRECTOR ,

BUTTERFLY GANDHIMATHI APPLIANCES LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – CROMPTON GREAVES CONSUMER
ELECTRICALS LIMITED
MS. SWETA SAGAR – CHIEF BUSINESS OFFICER –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED
MR. YESHWANT REGE – VP, STRATEGY & FPA -
CROMPTON GREAVES CONSUMER ELECTRICALS
LIMITED
MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS

ANALYST : MS. RENU BAID – IIFL SECURITIES

Crompton Greaves Consumer Electricals Limited
May 16, 2024
Page 2 of 22

Renu Baid : Hi good evening, everyone. Welcome to the fourth quarter FY24 earnings conference call of Crompton Greaves Consumer Electricals Limited. Today from the management team we have with us, Mr. Promeet Ghosh, Managing Director and CEO, Mr. Rangarajan Sriram, Managing Director, Butterfly Gandhimathi Appliances, Ms. Sweta Sagar, Chief Business Officer, Butterfly Gandhimathi. Mr. Kaleeswaran Arunachalam, Chief Financial Officer. Mr. Yeshwant Rege, Vice President, Strategy & Financial Planning. Ms. Natasha Kedia, Head, Investor Relations. With these words, I now hand over the call to Promeet for his opening remarks after which we start with the Q&A. Thank you and over to you, Promeet. Promeet Ghosh: Good evening, everyone. We are doing this in the evening on the day that we announced the results for the first time ever I think. So, hopefully you guys are not too tired out for a hectic day earlier today. You know everyone around the table. I'll quickly introduce Sweta Sagar who we have just announced as the Chief Business Officer, who has joined us in about a month ago now almost and she's just been announced as the Chief Business Officer for Butterfly a couple of days ago. She is no stranger to kitchen appliances, has about 20 years of experience much of it Versuni and also at Hindustan Coca-Cola, Hutchison Essar, and a few other notable companies. So, welcome aboard Sweta. What we will do is, if there are some questions that we need to direct you, we will do that, Sweta. So, I will get straight to my remarks. Again, what we have done is, we have uploaded not only the press release, the results, but also a presentation. I trust all of you had a look at it. So, after I made some short remarks, we will go quickly to a Q&A, idea being that we try and take as many questions as possible of either from what I say just now or from anything else that you may want to talk about. Now, all of you know this is about the third quarter of Crompton 2.0, which we launched after I joined sometime in June. So, it's helpful I think for us to see how Crompton 2.0 is coming along. What I am delighted to report is on top of what was a very robust quarter for us Q4 in FY23, we had very stellar growth this quarter as well. We are reporting about 14% growth in our ECD business and all of our businesses are practically speaking, we have hit various records in terms of our sales this quarter. So, having said that, what I am even more pleased to say is a conversation that I have been having with you over the last few quarters is that, as we accelerate growth in our portfolio, we will do it together with also accelerating profitability and you are beginning to see some of that come through. So, our EBITDA profit which was roughly about 10% for the last three quarters is now stepped up to about 12.5%. That is higher than the EBITDA margin Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 3 of 22 that we had in the quarter last year despite the fact that we have continued to invest across the board in longer term brand building exercise and A & P exercises.

As you probably know, our A&P is up by about 49% wherein we are investing for the future. We are also investing in other areas, but particularly obvious in brand building and there is a further investment of about 14 crores, an expense of 14 crores which has been taken this quarter alone towards EPR. Again, something that I assume you are familiar with. So, with that opening remark, let me quickly get into some of the high points of what happened this year.

Firstly, fans reported the highest quarterly sales this quarter with growth of 13% YoY. Pumps grew by 9% and appliances at 27%. We witnessed an improvement in premium saliency YoY of 3 percentage points, that is 300 basis points.

In ceiling fans, 380 basis points in lighting, and 410 basis points in large domestic appliances. To put our premiumization journey in fans in perspective, a year ago we were selling one out of five premium fans. Now, we are probably selling more than one out of every four fans. We

have also crossed the milestone by some margin of selling 2 crore fans per annum for the first time. We have had strong double-digit growth in fans in our portfolio for the first time since the pandemic. We have had strong double-digit growth in our fans consistently for the last three quarters for the first time since the pandemic and this is of course, also enabled us to improve our gross margins in fans and they have gone up order of magnitude from about 23% to about 25% this quarter - 23% in Q1 to about 25% in this quarter. Remember by the way that we talked a lot about how we were focused a lot on cost saving initiatives. Some of this was taking price increases in the market. So, that is what's coming through.

In solar pumps, this is a new area that we entered last year. During the quarter, we secured fresh orders of 87 crores making our total empanelment for the year of about 122 crores. Needless to say, we have therefore a strong pipeline going forward.

Air coolers grew at 33%. We launched new models there. Small domestic appliances grew at 35%. Large kitchen appliances garnered a revenue of 61 crores. Now, this is a business in which we are investing and our profitability factors in as we have told you before, our EBITDA loss of this business. So, our profit, just for context, there is an EBITDA loss which is factored in of 25 crores in this business per annum. As a part of our investing journey in that business, we have set up a new manufacturing line at our Baroda facility. Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 4 of 22 Lighting for a while has been an area of some anxiety, I am very glad to say is showing great signs of having stabilized. This quarter as well while growth was flat, we can say that the degrowth that we persistently saw in this business has stanching. In this, within this, B2B in particular has shown robust growth, and you can see the benefits of focusing on enterprise projects in a very, very concerted manner come through.

B2C has still degrown and as you know that is to a great extent because of price erosion in our Lamp segments, also to an extent lighting segments. There is also some degrowth there because unlike last year which included conventional lamps, we this year have entirely stopped making conventional lamps. So, there is 0 conventional lamps in our B2C portfolio anymore. So, we have cleaned that up.

Now, in terms of investments that we are making. You already know that we have been quite focused on A & P spends. During the year A & P spends were 217 crores, which was about 3.14% of our revenue versus about 2.5% of revenue last year. That's about 1.1% higher and that is a structural change that we have done and like I said before, our A & P spends are up about 49% over the last year.

Similarly, we have continued to focus on innovation. Now, you may have over the last quarter also seen some of this translate into a steady flow of patents being granted to us. During the year, 85 design registrations were filed, 17 patent applications made, and 10 patents were granted. 71 crores again, a part of the costs already was incurred towards R&D expenditure. We are working to build on further building on our people's capabilities and as you are aware one of the first things we did about Crompton 2.0, was to roll out a new organization structure, but we built on that further and now we have probably unveiled a corporate purpose and corporate values which are firmly embedded in the way that we do our business.

Even with these higher investments, our Q4 EBIT margin

in excluding EPR, which as I said

was about 14.1 crores was robust at 12.3%, which is 1% higher than last year. ECD EBIT margins have consistently increased during the year from 12.7% in Q1 FY24 to 17.2% in Q4. Again, the Q4 number excludes the EPR impact because obviously that is the entire impact of EPR has been taken in one quarter. So, it is not otherwise comparable. Lighting EBIT even as we are coming back to a stable lighting business in the face of declining prices in the market, has remained very strong. So, lighting EBIT margin is at 11.1%, again, excluding the EPR impact. During the year, cash flow from operation was 130% of PBT, which compares with about 72% cash conversion last year. We remained focused on expanding our go-to-market and we are further expanding into our alternate channels. We Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 5 of 22 reported last quarter that they account now for about 20% of overall sales. Make no mistake, it's very, very important for an organization like us to have a great mix of channels because that is the secret to profitability.

So, while we are investing in alternate channels, which are areas like e-commerce, MOR, rural, we are very clear we also are continuing to invest a piece in our general trade channel and that's growing as well. That is also our most profitable channel.

Some records there, our e-commerce channel recorded for the second time running materially higher sales than 100 crores again. Our rural channel grew at 23% and our export channel for this year, for the first time again has hit a record and has crossed 100 crore

export ; still small in context of overall sales, but it is a channel that we are building on and you can see the benefits of that come through. So, we have crossed 100 crores in our exports as well.

Now, very quick word about the future outlook. This quarter we are continuing seeing a fairly strong demand by the summer that we are having this year. So, we have a positive outlook. We continue to watch the commodity space carefully and we are continuing as we have done before to take measured price increases across our product range as we have said we would. We have capitalized on the power of the Crompton brand for requisite investments to help the company maintain its competitiveness and gain market share. While Crompton 2.0 was launched in Jan 2023 and we called out this new approach , I am glad to say that our focus on revenue growth translating also into profit growth seems to be working.

Insofar as Butterfly is concerned, again those results we announced a couple of days ago. As you can see, now we were planning as you recall to merge Butterfly that didn't work out. So, we are moving on. A transition is well underway in Butterfly and we are strengthening the management there. Sweta joining is one of the key elements of that. You will continue to see some of this going forward. We are also in the process of making various interventions, aligning of policies at Butterfly ensuring that the revenue recognition policies etc. are identical to some of those that Crompton follows. That doesn't mean it leads to loss in sales, but what it does do is it differs some times for instance in this case for Butterfly sales from one quarter to another.

There are also settlements that we have closed out. There are one offs that we have taken in that company and clearly, the way forward is to grow from here forward. This quarter the revenue of Butterfly came in at 166 crores. The EBITDA was -20 crores and you can Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 6 of 22 tell that the transition is having an impact , and one offs are having an impact on the EBITDA there. You can see some of this in much greater detail if you look at the Butterfly results also. Apart from everything else, this also includes 1.2 crore of EPR

that we have

done. We have also reorganized our manufacturing facilities, moved them out of one of the facilities that we had at Butterfly. We have surrendered that facility. So, we don't incur the costs, but that does mean that there are some one-off cost from reorganization of business at that factory.

Sustainability. Sustainability and there is not a company, frankly, which is more in the midst of sustainability of global warming as us. We are the largest fans company arguably in the world in ceiling fans, we have a huge position in Pumps, we are the largest residential pumps company in the country. We have a large position in Geyser's. We have a large position in Air Coolers. So, a lot of global warming has to do with us, but we are also and that of course translates into what it will in terms of a business, but more importantly, we are very focused on sustainability and what we do to contribute to global warming, and as a measure of some of those efforts, very, very initial measure of some of those efforts, there's a DJSI ranking that we participated in and that DJSI Index we came in the 7th ranked company globally in our segment, but that is something that we are just getting started in and I think you will see more of. With that, I will open the floor for questions.

Moderator : Thank you very much. We will now begin the question and answer session. We have the first question from the line of Aditya Bhartia . Please go ahead.

Aditya Bhartia : Good evening, Sir, my first question is on the pumps business wherein you highlighted some of the solar pumps orders that you have got. Are we considering Agri Pumps as a big opportunity and within that is Kusum scheme something that is exciting us?

Promeet Ghosh: We are absolutely considering Agri Pumps as an exciting opportunity. As you will recall, that is an area that we went in a quite concerted manner some quarters ago and that is bearing results. So, in fact we have now garnered about 7% to 8% market share in the Agri Pumps business. So, it is a very interesting area for us. Whether we participate in Kusum or not that is something that of course depends on whether the profitability metrics of the bids makes sense to us or not, but certainly we see momentum in our Agri business and we are being able to build on the strength of our residential business and translate that into a much better market position in Agri.

Kaleeswaran A. : And just to add to Promeet, there is a strong pipeline that has been built for solar also. I think today we have about 85 plus crores of orders in the pipeline that is executed apart Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 7 of 22 from the 35 crores of order that we have already executed in Q4 and we will see how the momentum carries forward as we look FY25 onwards.

Aditya Bhartia : Perfect. My second question is on some of the investments that we have been making, like for R&D you mentioned that this year we spent 71 crores, if my memory serves me right, we spent almost a similar number last year as well and A & P also we have stepped up quite a bit. So, do you think that now we have hit a sustainable run rate and from here on these expenses would possibly be increasing at the same rate as revenues and that one time step up that we required is already in the base?

Promeet Ghosh : Yes, I think it is fair to say that the step up is happened and that you would probably see these levels being maintained . That is a fair expectation especially as percentage of revenue, I think you would see those kinds of levels being mentioned

Aditya Bhartia : The last one on Butterfly performance. How should we see that business going forward? All the one offs that you highlighted, are they all being taken into account? Is there something else as well, some other convergence that we may have to work o

n in the next

few quarters? Or from hereon, think things are looking a lot better?

Kaleeswaran A : So, Aditya from a Butterfly perspective, if you look at it, there are 2 -3 aspects that we wanted to work upon during the course of the year. One is how do we ensure that the channel mix is optimized and we make it as a pureplay brand, which is where the re is the sense in institution and corporate channels , that de -risking is largely completed. The second is in terms of how do we align the policies between Compton and Butterfly at similar levels and also ensure that the one -off bits that we have to be ta ken has been taken and get that sorted. By and large that has also been completed. As we look forward for the next quarters, we did convey to you folks, when we met last time, we expect the business to start picking up momentum Q2 onwards. That is when y ou will see both revenue and profitability moving up in the right direction. There are few interventions that we have to make in terms of pricing actions that we have to take for that business also. Those have already started both in trade and in ecommer ce. Investments behind the brand continues. You would have seen that even in Q4, we have stepped up our advertisements spends by almost 2.4X compared to the previous year. So, overall, in a nutshell, by and large the revenue corrections are done. We no w need to focus how do we get the revenue growth back. The investments towards the revenue growth, let it be people or let it be the A & P spends has been incurred and we will continue to incur. The policy alignments are lastly done one or two here and there could be there. Q2 onwards we should start seeing a lot of these things reflecting back in the results.

Crompton Greaves Consumer Electricals Limited

May 16, 202 4

Page 8 of 22 Promeet Ghosh: I would say substantially done.

Moderator : The next question we have is from the line of Aniruddha Joshi from ICICI Securities

Aniruddha Joshi : Sir, two questions. One, we have spent considerably in ad spend and R&D, so in this case, the best way to measure any ROI is increase in market share on higher ad spend and R&D. So, if you can indicate what are the market share gains, we would have got or observed across the segments be it in premium products or the let's say overall categorie s itself? That is question 1. In terms of question 2, at the time of strategy 2.0 presentation, we had seen a possibility of entry in multiple categories that is cables, wires, switches, switch gears, even white goods also. So, any further progress on t hat front? One last question is in terms of Butterfly was expected to be earning accretive in year one, but now almost year two is over. So, when do we see the earning accretion from this acquisition? That is it from my side. Thanks.

Kaleeswaran A. : From a market share perspective, that is the right perspective to look at it, Aniruddha. Glad to state that our market share has gone up in ceiling fans. Our market share has gone up in premium fans within ceiling also. So, we are moving in the right trajectory from that perspective. Even more important to look at that in a category like Geysers , based on the investments that we have made behind the brand; we have today become a #1 player in ecommerce. Looking forward in categories like lighting where we haven't advertised in the past ever, we have just started investing behind the brand. We are seeing early signs of results in categories like ceiling etc. moving in the positive direction. Having said that, market share is an outcome of various things that we do. It is not right to link it only to A&P spends that is going to have.

As we talked about earlier, one is first how do we have an organization that is driving consumer led innovation where we invest behind this and get new pro ducts that are more relevant for the consum

ers, which goes beyond the functionality. Second is how do we leverage our go to market strength. Now, go to market we are not only talking about the traditional trade which continues to be a great strength for us, but also the alternate channels and how do we increase the share of business from that perspective. Third is on ground execution and outcome of this is what you see in market share, but independent of that we are seeing positive actions and positive trends in market share already.

The second question was in terms of new categories. I think as we said last time, that's an indicative reference of what is the lay of the land available for us and how do we want to go about it. Yes, obviously we will look at new categories and at appropriate time will
Crompton Greaves Consumer Electricals Limited
May 16, 2024

Page 9 of 22 come back and communicate what categories we are entering. This is something sensitive and we wouldn't be able to put it up front, but the vectors that we will look at is, one is either our go to market strength or the solutions that we want to look at like large kitchen. That is what will drive our entry into new categories. Things like white goods are not even in the thought process to see whether we have to look at it.

Butterfly, we made some clarification about the path that we want to take on Butterfly in the last two earnings call. The idea for Butterfly is there was a clear opportunity to see whether you make it as a commoditized business which is a mass brand that can be priced at a price warrior play or the alternate choice was it's a young brand, a market leader in South, consumers resonate with it in a very, very good manner. How do we play to the strength of the brand? That means that the business had to take tough calls which means it has to bite the bullet and correct sales and channels like institution and corporate, which are not sustainable because the moment you find that you are getting a Butterfly gas stove in an oil marketing company when you buy a cylinder or when you go to a Reliance Retail and find out along with the garment, you buy a mixer and the brand equity goes down.

So, that's a conscious call to ensure that we correct these channel mixes, ensure that we go to the right channel mix, and also take the other things that we need from one off thing that we talked about earlier. So, from our perspective, this is not a business that we are looking at a one quarter, two quarter perspective. We are committed to this brand. We are continuing to invest behind the brand. We are confident that it will have robust performance as we move forward.

Promeet Ghosh: All I'd say is that your point about investing in the brand and investing in R&D and innovation translating into market share is right, but fundamentally what this is doing for us, is not only strengthening our position today, but getting us future ready and the future is changing faster than any of us might imagine. Consumer preferences are changing rapidly and regulations are changing rapidly. What all of this does is that it not only translates into market share gains which we are seeing, but hopefully makes our position much more robust for the future

Aniruddha Joshi : Got it Sir . Very helpful.

Moderator : The next question we have is from the line of Rahul Gajare from Haitong Securities .

Crompton Greaves Consumer Electricals Limited
May 16, 2024

Page 10 of 22 Rahul Gajare : Thanks for the opportunity and I would actually like to congratulate the team for the improved disclosures, giving better color on the performance. So, that is something which I wanted to say upfront. My question is on the Pumps business. Now, can you talk about the margin range that you typically have for these pumps orders that you would be having, and the execution cycle including the cash collection timelines in such orders? So that's

the first question.

Promeet Ghosh: The profit profile in solar pumps is very good and as is the cash flow cycle. So, for a large bulk of the orders that we executed last year, the money is in the bank.

Rahul Gajare : Okay. And margin, I was not able to hear the margin?

Kaleeswaran A. : So, we don't disclose segment wise.

Promeet Ghosh : So, the point we are making is that while we don't disclose segment wise margins, the

margins in this business are very good.

Rahul Gajare: Sir, my second question is one data point, the EPR number for this particular quarter, if that is something you can maybe provide, I missed that number when you were giving your opening remark.

Promeet Ghosh: Standalone 14.1 crores and 15.2 crores consol. It is also there in the press release that we have made.

Kaleeswaran A. And that is a fully a liability accrued in Q4.

Rahul Gajare: Sure, thank you and all the best .

Renu Baid : Thank you for the opportunity and congratulations team for the strong performance. One question from my side as committed, can you share some more insights in terms of what exactly we are doing in Butterfly to turn the business around and drive growth and volumes and from a medium term perspective, how should one look at profitability, and around this, Sweta who just joined the team, if she can also add her perspective of her readings in terms of shortcomings in the portfolio and where she would like to work upon to strengthen the business positioning and drive the goals? Thank you.

Sweta Sagar : So, thank you for your wishes in first place. It has been about a month and half in this organization. Being associated with Butterfly is very, very exciting because it's a brand which has very strong brand equity as well as leadership in the segments in which it Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 11 of 22 operates. So, while we have our own strength, the way we are looking at this business to move forward is that it is equally essential for all of us to look at the way how we evolve in the dynamic kitchen appliances industry that we operate and to keep up with the consumer engagement which is also ever changing like Promeet mentioned something back.

For my initial thoughts, what we are trying to lay out in this journey is that while revenue and profitability become the end result, we are planning to have five key areas in which we will focus and we will try to track the business through those five focus areas. The first one is going to be in terms of meaningful innovation, both from a portfolio point of view and from looking at new need statements that the consumer can attribute to. The second is about striking a balance in the channels in which we operate and continue to be competitive in that. The third one is that we will continue our efforts in terms of building productivity and efficiencies in all the functions and all the metrics that we are trying to focus on. Of course, the fourth piece is about building customer and consumer engagement, but to get to all of that, we are also focusing on building people capability. So overall. In this new phase of growth, we are aiming to build a very high energetic team that can embody and live our CREATE values. So, that's how we are looking at taking Butterfly forward.

Renu Baid : Sure. Any inputs in terms of the margin outlook? Can we expect the margins, in 2 -3 years to be double digit or they'll be in high single digit levels?

Kaleeswaran A. In the long run we should look at a double digit margin for this business, Renu, but in the near term we want to get this back on growth, get into a category EBIT margin that the business used to operate say 1 -2 years back and then expand from there.

Promeet Ghosh: Also, on margins, one of the things you should be cogn

izant about Butterfly which is for instance, a little bit distinct from Compton is that Butterfly is a much more higher operating leverage business. So, as some of the building blocks that we put in place and revenue comes back, you will see a disproportionate impact on margin.

Renu Baid : Got it. Thanks much, team. Thank you and all the best . The next question is from the line of Akshen Thakkar from Fidelity .

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 12 of 22 Akshen Thakkar : Couple of my questions got answered. My question was around the ECD business.

Promeet when you came in, you highlighted the fact that this is a category which needed investments that there was a little more focus on profitability rather than profitable growth and last three, four quarters has been a good journey. Given where you are in the cycle today, do you feel comfortable with where margins are in ECD business alone and slightly shorter term question you commented on summer having a positive impact on demand, how are you seeing demand on the ground in the last 8 -12 weeks, just qualitative

comments around that would be useful? Thanks.

Promeet Ghosh : See, as I told you, we continue to work on multiple levers at the same time. So, at one end we are obviously focused on executing well. At another end, we are working on investing in our people, investing in consumer and customer engagements, our channel partner engagement, we are also simultaneously investing in our innovation and our A & P. Having said that, as you all know, there is also a huge focus on Unnati, which is our cost vector and while you didn't see it earlier, some of the benefits of that are now coming through. I remember people are telling me earlier that, your margins have come down because you are filtering away the growth. I said not only us, everybody in the fans business and as well as in the other businesses, particularly in the fan business, the BEE transition made a difference to our margins. What we have done is even as we invested for the future, we have also focused on costs and that is why you see the changes in the margins that we are getting today. And needless to say, that continues apace. So, we are continuing to take both measured price increases sometimes or even frequently, not the approach that the rest of the industry is taking, but we are taking them and we are working on costs. So, yes, I remain quite positive about the way margins will evolve going forward, because at the end of the day that is what we have been saying. We want revenue growth and profit growth. So that's what you will see. Insofar as the outlook for the summer is concerned, actually the demand outlook has been reasonably good. There have been some rains the last few days, but other than that the demand outlook has been quite robust.

Akshen Thakkar : Okay. I'm just going to slip in one more question on the lighting business. It has been notoriously volatile and as investors, as analysts, this has been a business both on top line and on margins. Not just for you, I would say for every other company as well. Really difficult to call. The pricing is not really in your hand, so given that, how do you really handicap growth in this business? I really don't know next three years or the sales would be flat, down 10, up 20, and similarly for margins.

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 13 of 22 Promeet Ghosh : I understand. So, let me just help you on that journey without giving too much away about it, but I hope that it, it should be indicative. Lighting is two businesses. Lighting is B2B and B2C, they are different businesses. There is a steady price erosion in B2C, particularly in lamps, that price erosion element is not particularly true of B2B. There, that business has a considerable degree of impact coming out of the investments that

that, for

instance, the Government of India is making an infrastructure. So, whether there's a Coastal Road which we did or a new Jewar Airport which we are doing or a bunch of metro projects that we are a part of, all of these impacts the B2B business. In particular, as I said, specific to Crompton, we have built up over the last three quarters a very robust enterprise business, but B2B also has a small business segment, which grows in line with the economy, but we have in a targeted fashion built up an enterprise business. So, you now know what the demand drivers for the B2B business are. Margins by the way between these two businesses are not dramatically different. They are roughly similar. In one, you have to have a large sales force, in the other you don't. It's much more individual, the cost of servicing is much lower. Now, in the B2C business, there are three parts. There are lamps, there's battens, and there are ceiling lights. Now, last couple of years you have seen a price erosion. Now, that price erosion, very tough to tell where it's going to go, but it's there. You have to track what's happening in the market and then you'll have a certain volume growth and then the prices will fall and therefore the overall revenue will often be a degrowth because the price erosion has been so strong. Will the price erosion continue forever? Obviously not. The price erosion is happening because the Chinese for their part are trying to lower their kits that they sell to India, because they have problems in selling in the rest of the world. Now, that can't go on forever. So, at some point in time, this cost driven price erosion will stop. I can't tell you where exactly it will stop, but it can't go on forever. Certainly, to our mind, that's not where we expect this to go. So, you will see then the volume growth and lighting translated into revenue growth. Having done all of this, it's very important when there is price erosion happening that you don't fritter away your margins. It's very, very easy to fritter here, so you have to watch margins of each one of these players very, very carefully in lighting. That's the trick.

Akshen Thakkar : What is the mix?

Promeet Ghosh: Roughly equal.

Moderator : We will move to the next question, which is from the line of Ravi Swaminathan from Avendus Spark . Please go ahead.

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 14 of 22 Ravi S : Thanks for taking my question. I'm once again trying to harp on the growth potential for the fans category both from a short-term perspective and from a slightly long-term perspective.

Short-term in the sense thinking about last year's high inventory level due to BEE changes and this year summer being quite strong, at least for the industry, what kind of growth that one can have?

Promeet Ghosh: No, one sec, you said high low base level, I think that the fundamental misunderstanding of how our business is done, but let's come back to that.

Ravi S. : No, last year there was a bit of a non-BEE rated fans . And also from say slightly long-term perspective with respect to say the real estate market is likely to do well and some of the competition, is there any change in terms of dynamics where they are slowing down or something of that sort? So, what kind of growth that we can think of say FY25 and then over the 2-3-year period?

Promeet Ghosh : Sorry Ravi if I may, if you will allow me just to explain, one size doesn't fit all. So, you need to understand this. The approach that different companies took to different businesses to the BEE transition was quite different. The way that Crompton took the BEE transition, which as you recall happened on the 1st of Jan 2023 is that Crompton stopped production of Non-BEE fans sometime during the quarter preceding 1st of Jan 2023. What w

e did instead, we did not stuff the channel with huge amount of inventory of non-BEE fans in the quarter ended December 2022.

You can just go back and have a look at the numbers. What that enabled us to do is that in the quarter from Jan 2023 to March 2023, that was actually a very strong quarter for us because we had not gone and put a lot of fans into the market. So, the quarter Q4 of FY23 was a very strong quarter for us. What we are doing this quarter is breaking many of the records and all of the records that that quarter did in getting the growth that we are doing. So, there's a very different approach that we took. November 2022, we actually stopped making fans . So, that's point #1.

Point #2, insofar is the short run and the long run of fans is concerned, short run you can see. There is a reasonable amount of demand momentum. Certainly, we are seeing it whether others are seeing it or not is another question. We do see some of our peers being quite aggressive in the market in order to get growth and I can see that some of the aggression is translating into margins going the other way than the way that they are going for us, but that is their choice. We are continuing to increase prices and seeing the growth that we are. And the short run is of course helped by the summer and even consumer demand, there is an uptick that we are seeing in the market.

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 15 of 22 Now, insofar the future is concerned, the future we are particularly optimistic about.

Remember that the world is getting warmer. When the world gets warmer, you need more cooling devices, and you use cooling devices for longer periods of time. So, where you had one fan, you would probably have one fan, one personal cooling device, maybe two cooling devices, two personal TPW fans in the same room. Even if you have an AC you would have this. Therefore even have more fans. For a vast, vast majority of the country going all the way to air conditioners is not an option and will never be an option. In fact, across the world you find people, even where people can afford air conditioners, you will find people asking for fans of various types in order for them to supplement their cooling solutions . When it heats, it also cools. So, you have geysers which plays well to us. Lastly, for a bulk, a huge majority of our people as the world gets warmer, as the temperature outside gets warmer, another cooling device is the air cooler, because the refrigerant there, the coolant there is at room temperature, and easily available. Of course, you have to get that water which is where our pumps business comes in and at some other point in time, I'll tell you how that places us squarely in the middle of people who global warming is impacting . In our case, beneficiary. So, it's a very interesting space in our view is fans.

Ravi S: Okay. So, say next year kind of 15% kind of growth for the industry?

Kaleeswaran A.: - We do not give period term projections , allow us to skip that.

Moderator : The next question is from the line of Charanjeet Singh from DSP Mutual Funds. Please go ahead.

Charanjeet Singh : Sir my question is basically on the kitchen as a segment, so we have seen COVID related

boom in the overall category, then it kind slowed down. So, how do you see kitchen appliances and kitchen as a category going forward in next 2 -3 years perspective, is it going to come back or it could take much more longer and also real estate related demand, from the real estate cycle perspective, most of our products have connect with that particular category. How is that showing traction? These are the two questions.

Promeet Ghosh : I will answer the second question first. Actually, in our business, insofar as I assume, you are talking about fans. If you are talki

ng about fans, fairly large share of our fans

business, the demand is generated from replacement and not just necessarily from new builds. So, in terms of the new builds are concerned, it has an impact, but obviously replacements have a much higher impact. Now, insofar as how that is going, we are actually seeing, and we have put it out in the presentation as well, that new builds are going up. There is across eight cities in India, new builds are going up. So that will impact Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 16 of 22 us positively in any event. At least for us, the business consistently over the last three quarters, I said earlier, that for the last three quarters we have consistently shown strong double-digit growth, which I don't think there is anybody else in this business, other than maybe start-ups who don't have the same scale.

So, insofar as kitchen appliances concerned, maybe I will take a shot and why don't you supplement, Sweta. My understanding is that currently kitchen appliances, yes, the growth remains moderate. I should tell you, having said this, that even though kitchen appliances have come away from a spike from COVID, the growth is moderated across companies, including Butterfly. In Crompton by the way, Crompton has an SDA business. And that SDA business, what we call small domestic appliances, which is really kitchen appliances. Now, that business has consistently grown at close to 30%, quarter after quarter, and is actually a fairly reasonable sized business, though we don't exactly disclose the size of the business currently. So, when we talk about the kitchen appliances business, we are talking about the broader picture and not specifically about a part of the business, which is certainly firing quite well for us currently. So, the thing is that yes, there is that the spike after COVID is probably towards the end of playing out. Kitchen is such a fundamental requirement that tough to see the demand remain depressed for too long. So it will come back and it will come back well. And that's what I think we are all watching for.

Moderator : We will take the next question from Saumil Mehta from Kotak Life. Please go ahead.

Saumil Mehta : So two questions from my side. One is, when I look at the fans growth, what you have given, you mentioned a comment that is largely volume led growth for the 11% growth, what we have done for FY24. Now, I believe this will also have a traction of BLDC fans which will be high priced. You also talked about the overall premiumization strategy going well. So what I want to understand in the economic segment is there quite a bit of deceleration, which is actually pulling down the overall realization? And my second question is with respect to the channel. While the ecom channel for us is going very strongly, at the EBIT level, while I am not looking at a specific number, but at the EBIT level, how different are the margins directionally in ecom versus a general trade or a model trade? Those are the two questions. Thank you.

Kaleeswaran A. : I will take the later one first and come back to the other one, where we don't disclose channel based profitability. Fundamentally, we are a company that is led by unit economics. That is extremely critical for us when we decide to play in any channel. So all Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 17 of 22 our channels are profitable and the difference is not significantly different between one to another. There is reasonable difference between channels, but otherwise the unit economics is pretty strong across all channels.

On the first question, in terms of the market and how the market is going in terms of fans as a category, we see this in two segments. I think there is one, there is premium and then there is mass. Now BLDC is a sub segment of the premium fans that we play in. And we do see f

rom a category perspective, premium fans are growing at almost a 2x of the overall category growth for fans has been growing in. In terms of mass premium or the

value segment is concerned, if I look at our overall fans performance on the market share also, it's reflecting that we are moving in the right direction. Equally important to look at non-ceiling as a category. So today we see there is a significant opportunity in T PW, exhaust and DOMEX fans. Quarter after quarter we have seen strong double digit growth in this category also. And as we look at the future, this is another area where we think the growth can be sustained. This will happen both in traditional trade and in e-commerce for some of these products.

Moderator : We will move to the next question from Aditya from JPMorgan. Please go ahead.

Adithya S. : Hi Sir, thanks for the opportunity. I just wanted to understand the kind of volume growth in the ECD segment. So, you have mentioned that you have taken three price hikes in the second half in fans. So it'll be great if you could help us understand the kind of price and volume growth for fans, appliances and pumps.

Kaleeswaran A.: See, again, we do not give you very specific details of what is the mix between price volume and this. The thing that I would like to say is, it is pretty strong. When I am talking about market share being gained in categories, it doesn't happen without your volume growing. Fundamentally, we need to act like a market leader. If we are a market leader, we need to ensure that the price actions are taken across all the categories. So it's not only to do with fans, we have taken price increase in pumps also, and in some cases even in LDA and SDA too. It does not ensure means that the volumes have driven, we are seeing strong double digit volume growth both in the quarter for fans and for the full year as overall fans as a business.

Moderator : The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain : Sir, in terms of volume, you said that you grew by strong double digit in fans, is that correct?

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 18 of 22 Kaleeswaran A.: That's right

Natasha Jain : All right. So now when I see, sequentially your premium saliency that has actually reduced from 26.5% to 24.3 %. So I just want to understand, was the volume growth in premium fans lesser than the mass? First is that. And second, you said that you took price hikes in fans, but at an EBIT level, despite all your categories growing strongly, be it appliances or pumps, even fans, we have not seen that translate. So where, I mean, operating leverage benefits should have kicked in at such strong numbers. So is it that the price hike were not absorbed by the channel or the consumer? So those are my two questions.

Kaleeswaran A.: Let me first start with the second question. Just to remind you, if you go back to Q1, the EBIT margin for our ECD segment was 12.7%. As we speak today, our EBIT margin for ECD is at 16.7%. So there has been a significant 400 bps movement in terms of the ECD margin going up. This is backed by two or three actions.

Promeet Ghosh: I mean, are we speaking the same numbers here? There is a big change in EBIT margin.

Natasha Jain: Sir, I meant more on a year -on-year basis, not from first quarter to fourth quarter.

Kaleeswaran A.: Yes. Now when you look at year -on-year basis, as we talked about it, we entered the year on the back of a BEE transition. The cost of increase that has been made on the fans business was never absorbed. Our price increases started kicking in from September, and this has been sequential. We took one in September, one in November, one in February. We are looking at one more as we speak. So these are catch up price increases that has

happened over a period of time and not something that happened in the beginning of the year. So which is why if you look at an exit margin to exit margin, you are seeing 400 pips improvement in ECD margin led by some of these price increases in the fan segment. So that shows that the direction is right. And even on a full year basis, if I take the combined margin of where we were in the beginning of the year to now, we are at about 14.5% ECD EBIT margin compared to about 12.5% percentage in the first quarter. So significant needle has moved in terms of ECD margin; that's one.

Promeet Ghosh: And by the way, that is happening despite the stepped up investment. And despite the fact that there is a 14 crore heat on the company, which you can get the details of how that's split to ECD, that was not there last year. So you may just need to make those corrections as well.

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 19 of 22 Kaleeswaran A.: Maybe you can speak to Natasha, she can help you to bridge this and how to read it. Now, insofar as your first question is concerned, your quarterly premium mix are not comparable because fans is a seasonal business. Q4 and Q1 are our largest quarters where we will see the maximum number of sales happening. And we being the market leader, it is always led by a large part of business coming through ceiling. And then you have the premium fans

following it up. And over all if you also see, the mix is between ceiling and TPW. In quarters, you will also see TPW saliency going up and ensuring that the premium fans as a percentage will be down but in absolute it is far higher and that's reflected in terms of the market share gain also.

Promeet Ghosh: It also stands to reason, when the demand is summer driven, then functionality is the primary driver of fans. And later on, the year when the demand is much more up gradation driven, then obviously the more premium fans sell more. So that you can see that the premiumization changes as we go along. It's not the same across, actually we will be happy to help you through this because there is an improvement at the gross margin level, there's an improvement at the EBIT margin level.

Moderator: The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Thanks for the opportunity. Sir, again just continuing on margins on the ECD side, if we look at going ahead these price hikes which you said have been taken and will get absorbed going ahead, and we will see more benefits probably on the synergy side which you had said that we do more of. There will be a lot of synergy benefits from Butterfly as well in the appliances side. So should we expect, just to understand the push and pull factors on margins from the current levels going ahead.

Kaleeswaran A: So again, Siddhartha, we do not want to give a forward guidance. We are here for the Q4 earnings. Happy to discuss that as to how are we progressing on that. But directionally, as you could see when we talked about the Compton 2.0 strategy and how do we want to move ahead with, you are seeing significant improvement in the margin journey has already happened. What are some of the fundamentals that we will be guided by in terms of the margin for future? We are an organization that stands for growth. That's what we want to focus upon and that is what the crux of Compton 2.0 is all about. But at the same point of time, unit economics is also going to be guarded against. And if it means that there is a price increase that needs to take to protect the margins consistently, that would happen. That is exactly the reason why we are investing behind the brand, to ensure that there is an organic demand that gets generated, and you don't want to be in a situation where you become a price warrior or a price led business. So I do

not think so we are

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 20 of 22 looking at from that perspective on the way forward. You will see consistent actions as we move forward too.

Siddhartha Bera: Got it.

Promeet Ghosh: One way of looking at margins also is that you can look around and see how margins are moving for some of our peers and that in the context, to see the kind of step up in margin that we are seeing, will put things in perspective. There is a material downward movement, particularly where the ECD mixes are comparable, there is a material change

Siddhartha Bera: Got it, sir. Sir lastly on this, what will be your CapEx plan for the next two years?

Kaleeswaran A: Roughly, we are looking about 80 to 100 crores. This will be largely towards manufacturing capability improvement, also behind product development and product innovation.

Moderator: Thank you. We will take the last question from line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: One quick question. If you look at the other expense, I am talking about 3Q to 4Q, it has increased by about 10%. And of that, almost 80%, Rs. 14 crores is EPR cost. If I look at the top line growth, the top line growth Q-o-Q is 23%. Can you help us understand is there any reversal of provisions? If you also could help us with the A&P cost for the third quarter and fourth quarter of FY24, please?

Kaleeswaran A: See, the other expenditure, as you rightly said, includes EPR. If I look at the absolute increase in other expenditure on a quarter-on-quarter, which is year-on-year basis, there is about roughly Rs. 45 crores increase. And a large part of this is the marketing spends increase that we have got followed by the increase in EPR of about Rs. 14 crores.

You are talking sequentially? Sequentially, you see, the increase is largely on account of EPR only, nothing else. Your marketing expense is in line with the Q3. The Q3 spend itself was on a higher base.

Promeet Ghosh: So, you know, just so because you are looking at the 31st December 2023, that is Rs. 202 crores, isn't it? You are looking at consol or standalone? It is easier to explain in standalone

Achal Lohade: No, I am talking about standalone. Where I am coming from is that the margins improvement is actually there in the standalone from 3Q to 4Q, a substantial margin

Crompton Greaves Consumer Electricals Limited

May 16, 2024

Page 21 of 22 improvement. And if I see the gross margin, they are stable Q-o-Q, while the EBITDA margin is entirely driven by the other expenses. The percentage came down, and if I look at the absolute adjusting for Rs. 14 crores of EPR impact, then the increase is hardly 2 or

3% while the top line growth is 23% to be precise. So I was just curious if there is a QoQ reduction in A&P or any reversal?

Kaleeswaran A: There is no reversal, first. Let me split this for you to understand this better. The way you need to look at is, sequentially first, the growth that you are referring is on a sequential basis typically. The quarterly basis is not comparable. Rs. 190 crores are what we spent in previous year Q4, that has moved to Rs. 223 crores. Now within this, there is about Rs. 14 crores increase on account of EPR and Rs. 14 crores increase on account of marketing spends when you compare it on year-on-year basis. On a sequential basis, the absolute marketing spends has remained the same between Q3 and Q4 and you have incremental investments on EPR of Rs. 14 crores that we talked about. That's broadly the reconciliation.

Promeet Ghosh: There are no reversals.

Achal Lohade: Understood. Thank you so much.

Renu Baid: Thank you management team and the audience for being

patient. Thank you for giving

IIFL the opportunity to host this call. Promeet, any closing remarks from your end before we sign off for the day?

Promeet Ghosh: Thank you for joining the call. Appreciate your doing it quite late in the day and trust we have answered your questions. And, if you have any remaining questions, needless to say, please contact Natasha and if needed, we can set up further discussions for you to get a better understanding of where the company is going. Well, have a great evening.

Kaleeswaran A: Thank you, everyone.

Renu Baid: Thank you.

(This document has been edited to improve readability)

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May 16, 2024

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Date: August 5, 2024

To,
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BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 104/202 4-25 Our Reference: 104 /2024-25

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated July 17, 2024 , and July 31, 2024 , regarding the
Earnings Call on the Un audited Financial Results for the quarte r ended June 30, 2024 , held on July
31, 202 4, please find enclosed herewith the transcript of the same.

You are requested to take the above information on your record.
Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Crompton Greaves Consumer Electricals Limited
July 31, 2024
Page 1 of 20

"Crompton Greaves Consumer Electricals Limited
Q1 FY25 Post Result Conference Call"
July 31, 2024

MANAGEMENT : M R. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES

CONSUMER ELECTRICALS LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – CROMPTON GREAVES CONSUMER LIMITED
ELECTRICALS LIMITED
Ms. SWETHA SAGAR – CHIEF BUSINESS OFFICER –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED
MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS
HOST ANALYST : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

Crompton Greaves Consumer Electricals Limited
July 31, 2024
Page 2 of 20

Aniruddha Joshi: Thanks, and everybody, welcome to Q1 FY25 Results conference call of Crompton Greaves Consumer Limited. We have with us senior management represented by Mr. Promeet Ghosh, Managing Director and Chief Executive Officer; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; Ms. Swetha Sagar, Chief Business Officer, Butterfly Gandhimathi Appliances Limited; and Ms. Natasha Kedia, Head of Investor Relations.

From ICICI Securities, we welcome you all to the quarterly conference call. Initially, we will have the discussion from the management on the quarterly performance, and then we will open the floor for questions. Thanks, and over to you sir.

Promeet Ghosh: Good evening, everyone, and welcome to our Q1 FY25 earnings call. Firstly, thanks to ICICI Securities for hosting, and as has been said earlier, I'm joined by Kaleesh, our CFO; Swetha, who's the Chief Business Officer at Butterfly and Natasha, who looks after IR for us. I'm pleased, as you might imagine, I assume that you have seen our investor deck as well as our press release and our numbers. I'm pleased to say, yet again we have hit our highest-ever quarterly standalone revenue at ₹1,959 crores, driven by strong ECD growth of 21% year-on-year. Across our portfolio, the growth has been broad-based. Fans grew at 16%, pumps at 30%, and appliances at 24%. Specifically, seasonal products such as our cooling products, fans and air coolers, both recorded robust growths.

Getting into each product category. In fans, we saw, like I said, broad-based growth including in the TPW category. Our ceiling fans also grew at a healthy clip. This was aided by, needless to say good tailwinds, which arose from the summer season. We also undertook consistent pricing actions to mitigate the commodity price rise that we saw show itself up particularly during the early part of last quarter, and this has helped us improve gross margins.

In pumps, both residential and agri pumps grew well, leading to a 30% YoY growth overall for the category like I noted earlier. In solar pumps, and you're aware that solar pump is an area that we've forayed into recently and continue to gain traction in that segment. We executed orders worth about ₹21 crores in the quarter that went by. And in the meanwhile, we have been building up a pretty robust and healthy pipeline of further orders in this segment. Our execution rate has also improved QoQ from about ₹28 crores in H2 to, as I said ₹21 crores in just the last quarter. We also ran multiple brand awareness programs for our new product launches in the pumps category.

Aided by an increase in summer intensity, we saw a significant step-up in our air coolers, for the last quarter. In fact, our sales for air coolers were the highest it's ever been, and the volume growth in air cooler segment last quarter was 68%. This has helped an overall revenue growth in the large domestic appliances segment of our business of about 25%.

Crompton Greaves Consumer Electricals Limited
July 31, 2024
Page 3 of 20

Premium saliency of large domestic appliances also improved and was at 25.6%. Moreover, three premium models of water heaters were launched to aid the premiumisation in that segment. Dare I say that, but for some supply glitches, our sales of air coolers and a little bit of fans would have been much higher.

In small domestic appliances, we grew 20% YoY backed by a strong growth in mixer grinders. We had the highest-ever mixer grinder sales in the month of June with exclusive launches in the e-commerce platforms.

Large kitchen appliances business as you are aware, we are incubating. We garnered a revenue of about ₹14 crores. That business, as you are aware, is continuing to currently make losses at the

EBITDA level, which are broadly in line with what we had

done in the previous quarter. We also, as

a measure of progress, which has been made in that segment, have now 100 EBOs, which are currently carrying our large kitchen appliances products. We've been working on further developing our chimney portfolio, which has been launched additionally on the e-commerce platforms as well.

Needless to say, we are seeing long-term potential in this business.

The lighting revenue was broadly flat about 2% growth as I remember. And its performance is moving in the right direction. This is a product line which we, as you are aware, restructured about a year ago, and we are beginning to see some of the benefits of that. While in overall B2C category within the lighting segment, there was a degrowth. That was in part because we have entirely stopped selling conventional products now, which was a part of our portfolio in the same quarter last year. Also, of course, there continues to be pressure, price erosion in the segment. But if we take out the categories, which we have stopped selling from previous year, there is a marginal growth also in the B2C segment. Having said that, what's also interesting to note is that we are witnessing double-digit growth in both battens and ceiling lights. You will remember that particularly ceiling lights, in pursuit of further portfolio diversification as well as premiumisation. Ceiling lights has been an area that we have been quite keen to increase our revenue share in.

B2B continues to have robust growth. This has been led by street lighting and industrial segment and several large B2B projects were both secured last quarter as well as executed last quarter. I think you'll be able to see names of several of these orders, which are executed also in the press release. I'm not going to go through them again. And generally speaking, in lighting, we continue to focus on channel expansion and direct dealer appointments.

We've spoken in the past of one of the cornerstones of Crompton 2.0 being making investment towards growth in the company. Now this is especially visible in the investments that we are making in our brand. A&P spends have increased ~30% YoY and ~60% QoQ. We've launched a successful marketing campaign around #PicturePerfectFan, which I hope many of you have seen during the IPL, Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 4 of 20

which has been quite positively received and they also emphasise the superior aesthetics that many Crompton fans have.

Similarly, we've continued to focus on innovation. This has resulted in the launch of 41 new products during Q1 FY25. We also secured the filing of two innovation patents in cooling technology and kitchen appliances, respectively, last quarter.

Despite an increase in raw material prices during the quarter, our standalone material margins improved to 31.3% versus 29.4% a year ago. I'm also happy to share that we delivered a standalone EBIT margin of 14.9% excluding A&P spend, because as you've seen A&P spends have gone up very materially, particularly given that we were in season. As for comparison's sake, I'm talking to you about A&P spend, EBIT, excluding A&P spend, so that the numbers are comparable. This quarter, it was 14.9%, which was 1.6% higher YoY and 30 basis points higher QoQ, both the numbers have gone up both sequentially as well as year-on-year.

Similarly on the same lines, ECD EBIT margins, again, to make them comparable looking at them, excluding A&P spends. We've delivered 19.8% in Q1 FY25, an expansion of 2.3% YoY. Lighting EBIT margin is up at 11.3% excluding A&P spends, an expansion of 20 basis points QoQ. Now as you'll remember, in lighting, we practically did not spend any money on A&P about a year ago. This year, we've spent close to about ₹6 crores in lighting A&P. Now that's not resulting in sales this quarter yet, but we do believe

this is building for the future.

We remain focused on alternate channels, which have again grown at about 30% YoY. Now alternate channels comprise 17% of Crompton sales, which is up from about 16% last year. So, on a growing portfolio, they are having an even faster growth as you can tell.

We strengthened our e-commerce channel and now are continually delivering a ₹100 crore plus revenue from this for the fourth consecutive quarter, driven, of course, by fans, large and small domestic appliances. In this quarter, e-commerce itself has grown 82%, while rural has grown 16% and modern retail has grown 22%, all of these on a YoY basis.

We are keenly watching consumer sentiments and the underlying demand scenario, which is showing some early signs of improvement. We have witnessed an intense summer in several regions of the country, which has, of course, helped the sale of our cooling products. Like I said, some of this could have been better, but for some glitches that the higher volumes had on our supply chain.

Weather patterns have been quite unusual, and while this created a spike in demand in this season, it's of course difficult to see how this pans out. Remember, that we benefit from not only warmer climate, but also cooler climates, having a substantial presence in products like heaters and water heaters, etc. So, we'll see where the patterns pan out.

Crompton Greaves Consumer Electricals Limited
July 31, 2024
Page 5 of 20

You've, of course, seen raw material prices have trended upwards in Q 1 FY25. To combat the pressure on gross margins, we've taken price increases practically across categories, being industry leading in that regard. We are also evaluating whether we should take further price increases, and we will take a decision on them depending on how the overall RM basket evolves. We do want to keep abreast of continuing trends in commodity prices going forward.

You are aware on the balance sheet side that we paid ₹300 crores towards NCDs that we had taken on for the acquisition of Butterfly. We still have ₹300 crores of debt left from that acquisition. Having said that, we continue to generate strong cash in our portfolio and are today a net cash positive company. We are committed to generating not only strong future cash flows, which is an outstanding element of our business model as all of you are aware, but we will use this in line with our clear capital allocation priorities, including sustaining a strong dividend, reducing our debt leverage and investing in the right operational priorities in the business to navigate what is a dynamic environment and deliver sustained shareholder returns.

Moving on to Butterfly, over the last couple of quarters, we have taken several initiatives to strengthen the fundamentals of that business, including actions on price, product laddering, streamlining processes, especially in the online channel, optimising schemes as well as A&P spends. We have been selective with how we've promoted, pull back promotions that were not value creating, and we did so while maintaining our market positions. With the transition underway, retail continued its strong growth momentum, and we witnessed a sequential growth in revenue wherein key categories performed well.

Impact to the budget. Under the recently introduced union budget, the announcement of 3 crore additional houses in rural and urban regions is positive for durable products like ours. Similarly, the focus on renewable energy, especially solar with the exemption of duties on key components, the focus that the government has on various solar products, the change in slab rates under the new regime, which will result in tax savings depending on income levels, and overall, ₹11.11 trillion to be spent on infrastructure, augur well for consumer demand in general and our industry in specific sustainability.

I'm very pleased to share that Crompton is

one of the only two Indian companies, which is a constituent of the top 10 MSCI Emerging Markets Small Cap SRI ESG Universal Select Index. That's a very long name, which I almost didn't get passed. I'm going to congratulate myself also for being able to speak of that long sentence. But yes, this is the MSCI ESG index, and we are one of the only two Indian companies in the top 10 of that index.

Sustainability is at heart of what we are trying to do with the company. I should mention that we have started a wholesale assessment of our product carbon footprint across various categories through Scope 1, 2 and eventually Scope 3. While it still early days in terms of our sustainability initiatives.

Crompton Greaves Consumer Electricals Limited
July 31, 2024
Page 6 of 20

We remain acutely focused on building sustainability as a key differentiator for this organisation going forward.

Conclusion, as you can probably see, we are delighted that Crompton 2.0 strategy, which we unveiled about a year and a few months ago, is helping us deliver consistently superior results with the highest ever quarterly standalone revenue here again. Double-digit revenue growth for the first consecutive quarter and strong EBIT margins. With this, we are exiting the first quarter of this financial year on strong footing. We continue to expect meaningful progress during the remainder of the year.

Thank you for your patience listening. With that, we're open to questions.

Aniruddha Joshi: Thank you, sir. So, now we will open the floor for question-and-answers. If you are having any question, please raise the hand. First, we have a question from Mr. Siddhartha Bera. Please state your organisation and go ahead with your question. Thanks.

Siddhartha Bera: Sir, my first question is on the ECD segment, if you can just highlight on the fan side, what has been the volume and price increase which you have taken, and you also indicated that you have taken a couple of price actions. So how much of it have you taken and is it enough to sort of offset the commodity cost inflation we've seen.

Kaleeswaran Arunachalam: Overall, from a Q1 perspective, the price increase that we have taken in fans is about 1.5% and that

has been taken around mid-May. And in terms of future price increases and whether it offsets the commodity costs, etc. As you would know, there are three levers that we work upon to ensure that our margin model is sustainable. There is a cost programme that is well established now under Unnati. We're trying to see what levers are available, including value-add, value engineering, technical and commercial lever to see how we optimise our cost across all the areas that we work upon.

Second, premiumisation is a critical focus area for us across the product categories that we operate at let it be fans, lights, etc which can help us in yielding better mix and better margins. And even after that, if we believe that as to the margin models is not in line with the unit economics that we want to deliver, we would go for price increases. And you have seen this as a pattern, this is not the first time that we've done a price increase, this was the fourth quarter consecutively where we have taken price increases.

Now as and far as price increases for future is concerned, it's an outcome of many factors. We need to see how the commodity basket moves. We have seen increase in copper prices, in aluminium and ABS, while copper, we have seen a little bit of cooling down in the recent past, but we do expect the trends in future to move northwards. So that would decide plus there are regulatory headwinds that will always be in this business, will determine how much of price increase that we need to do as we move forward.

Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 7 of 20

Now within fans as a category is concerned, there has been a very strong volume

growth, mix and the

price is limited. It's largely a volume-led growth that we are seeing for Q1FY25.

Siddhartha Bera: Just to clarify, since in the last couple of quarters, we may have taken nearly 4-5% cumulative price increases till date. So does it mean that our volume growth will be closer to 15%. So that is what I was looking at on a YoY basis?

Kaleeswaran Arunachalam: Yes, around that, in terms of what we have delivered on a YoY basis on fans.

Siddhartha Bera: Got it. And in terms of margins, with this price hike, which we have taken and in terms of the outlook.

Do you think with probably the advertisement expenses normalising in the rest of the year, we do have tailwinds for further expansion from current levels?

Kaleeswaran Arunachalam: Siddharth, as you would know, we don't provide forward guidance on what our margin model is going

to be. I would like to only reiterate our going strategy with Crompton 2.0, where we clearly said that we have oriented the organisation towards a growth-focused business. And that means that we have to invest behind brand, people, and innovation which we'd continue to do. Even if you look at Q1 FY25 compared to last year Q1 FY24, our marketing spends have gone up by 20 bps, higher in percentage terms and significantly up almost close to 30% YoY basis. And there would also be differentiated consumer-oriented innovation that we want to bring into the market, which will also help us to gain market share and grow sustainability as we look forward. So overall, our ambition continues to grow in double-digit for the portfolio as a whole and expand our profits better than the revenue growth.

Siddhartha Bera: Got it. The last question is on the solar pump side. We did ₹21 crores in the quarter. What will be our order book, which we will execute over the remaining part of the year?

Kaleeswaran Arunachalam: We don't disclose the order book, Siddharth, but that is a healthy pipeline that is being built.

Siddhartha Bera: Okay. Thanks. I'll come back in the queue.

Promeet Ghosh: Guys if you don't mind who ever speaking next let's try and keep the questions to one question, so that we have as many people as possible that we are able to accommodate. We are quite happy to comeback and give the same people who've asked questions give another shot if they believe they have further queries.

Aniruddha Joshi: Yeah, thanks sir. Next, we have a question from Aditya Bhartia. Please state your company name and go ahead with the question.

Aditya Bhartia: Hi, good evening. My question is on new product launches, wherein as part of Crompton 2.0 strategy, you've spoken about introducing two or three new product categories. So just want to understand how

we're thinking around that and when you speak about two, three new product categories, are these completely independent product categories into a product category that we are not into? Or is it an extension of existing categories like doing solar pumps in addition to the conventional pumps that we were doing? So just on that front. Thanks.

Promeet Ghosh: Maybe I'll answer that question, Kalees. The categories that we would enter would be needless to say have adjacencies with what we are currently in. So, we would look to leverage the various strengths that the organisation has whether in some cases, the brand; in other cases, the go-to-market; and third the innovation capability that we have. So it is likely that they are areas that we have a right to win in, not likely, it is definitely an area in which we believe, a right to win. We are unlikely to enter category simply for the sake of entering those categories.

As I've said in the past, our objective in new category entries has and continues to be a significant player in that category over a discernible period of time. We have entered, as you are aware, I mean, you could just have to look at what we've done in the recent past to tell you how we are thinking about it. We've entered geysers and air coolers, and we have a leadership position amongst one of the few top three players in those categories. We have also now in the Kitchen Appliances business, become a significant player in that category as well. So yeah, that should give you a sense of how we will choose the categories that we enter into.

Aditya Bhartia: Sure, that's helpful. And is that something that you are thinking from a near-term perspective? Or is it about first extracting growth from existing categories and then thinking of it from a slightly longer-term, maybe a three- or four-year perspective?

Promeet Ghosh: Tough to say, Aditya. To give a timeline of that. Needless to say, there's a bunch of things that keep happening in the evaluations and strategies that keep getting looked at.

Kaleeswaran Arunachalam: In fact, all we would say is that certain things are close to critical business strategies, and you guys would know that first as we move forward closer to hitting the ground, and at this point of time, we will talk about what have we done in Q1FY25 and how we're looking at it.

Aditya Bhartia: Perfect. That's helpful. Thank you so much.

Aniruddha Joshi: Thank you. Next in line we have a question from Mr. Praveen Sahay. Please unmute your line and go ahead with your question.

Praveen Sahay: Thank you for the opportunity. My question is related to the small domestic appliances. In the last couple of quarters, even the last year, if I look at had grown healthy, like 39% and again, in this quarter 20% of growth. So, can you give some more colour on where the growth is coming from? Is it a product portfolio expansion or the channel mix, which is playing out for you? Would be helpful if you can give some more colour on that from where the growth is coming in.

Promeet Ghosh: Broadly, the growth is coming from a mix of increasing market share, firstly. We are still relatively small in this business compared to the size and strengths of Crompton. So, it's coming from there. It is pretty broad-based. I mean, there are probably two areas that we are in - Mixers and Garment Care, and both of them are growing quite decently for us. It's also relatively broad-based across regions, I mean there are differences in the rate of growth in between the regions, but relatively broad-based. We've also seen in this category, we've had a relatively low salience of e-commerce, and this is a segment in which e-commerce for the broader market is, of course, much higher than we have in SDA. And that is also translating into a pretty good growth for us. So, I'd say this is the broad source. As far as Mixers are concerned, we have come out with newer products. We have actually come up with higher wattage Mixers, which is currently helping very little because it's a new product introduction, but we do believe that it will continue to drive growth.

Praveen Sahay: And is premiumisation also a part of that?

Promeet Ghosh: In this business, premiumisation, as you can tell will come from the higher wattage Mixers, which is what I told you just now. It also comes from a higher grade of irons. It comes from gravitating towards steam irons from regular dry irons. So that is also continuing at a pace. In fact, we strengthened our steam iron portfolio last quarter.

Praveen Sahay: Thank you.

Aniruddha Joshi: Thanks. Next, we have a question from Hardik Rawat. Please state your company name and go ahead with your question.

Hardik Rawat: Hi, gentlemen and ladies.

This is Hardik Rawat from IIFL Securities. I had one question which was with regards to Butterfly Gandhimathi. We were expecting a turnaround in its performance only in the second quarter of the current fiscal, but it seems like it has turned around earlier than our expectations and guidance. So, wanted to understand what has driven this firstly? And secondly, what would be our ad spends for Butterfly Gandhimathi in the current quarter vis-a-vis the same quarter, previous year?

Kaleeswaran Arunachalam: Hardik, we continue to believe that Butterfly is a work in progress in terms of the strategy that we called out on what we need to deliver. If you look back on what we called out for Butterfly as a business, we said H1 would be a decline considering that we are working on price parity, channel optimisation and getting more importantly, the fundamentals right at business. Swetha and team was first working to get that corrected. And as we get that completed, we would start seeing business growing from H2 onwards. But at the same point of time, we also said we are coming off our worst, which is Q4, where we delivered a loss of ₹27 crores for the last quarter of last year. Now in Q1 FY25, sequentially, we have improved revenue and ensuring that some of the right fundamentals being established in price cadence has started to deliver a positive EBITDA for us. That is where we are.

Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 10 of 20

But the work is ongoing, and our near-term focus is to get the fundamentals fixed and start growing the business from H2 onwards.

Promeet Ghosh: Also, if you recall, what we told you last quarter is that in the last quarter, there were some one-offs. So, I think we were quite transparent with you, telling you that there were some one-offs as we work to refresh the business model. So obviously, some of those also, needless to say are not there in these numbers. But it's work in progress, and there is a good trajectory that Swetha and her team are taking that business.

Hardik Rawat: Absolutely. So, going forward, can we expect that the business is largely breaking-even and the transition in the business strategy is now behind us, and it should now get back on the growth path going forward?

Promeet Ghosh: Our transition is a work in progress, so that is something that we are continuing to work hard on, particularly Swetha is working very hard on.

Hardik Rawat: And if you could give the ad spend numbers, please?

Kaleeswaran Arunachalam: I don't have a precise number. Ads spend for Butterfly, we have incurred close to about 4% in this quarter compared to about 2.5-3% in the previous quarter.

Hardik Rawat: Got it, that helps. Thank you so much.

Promeet Ghosh: Stuff like this is not going to come from simply cutting growth drivers.

Hardik Rawat: Got it. Thank you.

Aniruddha Joshi: Thank you. Next, we have a question from Natasha Jain. Please state your company name and go ahead with your question.

Natasha Jain: My name is Natasha and I'm from Nirmal Bang. My first question is on Butterfly. Now when I see your annual report for FY24, I see that your capitalisation in terms of R&D has increased very sharply from ₹4.4 million to ₹32.4 million. Now vis-a-vis even the recurring expense has decreased by 55%. So first if you can tell me what kind of cost is getting capitalised? Because optically, that might make our EBITDA margins look higher in Butterfly. On a similar note, I want to understand why are we reading pre-A&P spend margins? I mean, is not A&P a part of OpEx. So, what is the rationale to call this out separately?

Promeet Ghosh: Let me answer the second question first, here. Our EBIT margins are our EBIT margin, right? They are very much a part of operating expenses. We have called out in the past that this is an area that we Crompton Greaves

are going to focus on to strengthen the brand. And the only reason that I read out the numbers to you is so that you have a comparable number with the previous quarter. That's it.

By all means, look at whichever numbers you prefer to, it's simply for the sake of there being a comparability that I read those out.

Natasha Jain: My point of asking this was, are we by any chance also capitalising some part of this expense as well?

Promeet Ghosh: No, not at all. None whatsoever.

Kaleeswaran Arunachalam: No, not at all. I think maybe probably you have not gone through the Crompton 2.0 strategy that we

called out. One of the initiatives that we very specifically called out as part of the Crompton 2.0 strategy is investing behind brand. And when we talk about this, it means that we go aggressive in ensuring that the brand gets its right due both in terms of its positioning and visibility across the categories that we operate.

So that means that on a quarterly basis, you spend significant sum of money as part of your overall business strategy. So, as you look at it, even in last quarter, we have spent almost 4.5% of our revenue as advertisement spends, incurred as an expenditure. After absorbing that on a year-on-year basis, the EBIT margin has significantly improved in Crompton business and even on standalone.

Yes, now coming into the other question of capitalisation. These are product development expenditure that you incur towards new products that you develop in businesses. This is a practice that is there across, wherever when a new product is being developed and you have a commercial value of that gets identified, you do it as a capital expenditure. Now, in Butterfly for last year, the transition happened from the promoters to Crompton, and we are standardising our accounting policies. So, this accounting entry happened in Q4 of last year rather than spreading out throughout the year. That's why you see a bump-up in Q4. As you look at Q1 onwards, this will be in every quarter, you will do whatever is the right accounting towards the product development that you do for new product categories.

Promeet Ghosh: And capitalisation, by the way, depends on the quantum of spend in that quarter. The fact that the capitalisation is higher is not necessarily related to any other matter. But what we are ensuring is that the accounting practices at Butterfly are identical to those of Crompton. Needless to say, that's one of the things that we have to do.

Kaleeswaran Arunachalam: Yes, and just to help you out a little bit more on this. You may refer to Indian Accounting Standard 38, it talks about product development capitalisation and how do we need to go about it.

Natasha Jain: Understood, that's helpful. Just one more short question. Can you tell us what is the discount as a percentage of your gross sales? Can you give that number?

Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 12 of 20

Kaleeswaran Arunachalam: Sorry, we don't provide the gross-to-net split. I think the way you need to look at our business is having delivered a - net revenue growth over the previous year because that is intrinsic to our business, it includes our business margins also. So it's a competitive data, not to be disclosed in public domain.

The way you have to compare is, how has our net sales performed, have we improved on our EBIT margins, have we generated cash significantly and that will ensure that your P&L, balance sheet comes in a place where you know what's the unit economics for the business.

Promeet Ghosh: And our gross-to-net as an indicator, hasn't changed particularly over the last several quarters.

Kaleeswaran A

runachalam: In other words, Natasha, just probably maybe the question that you want to know and understand is we are not in the business of discounting products to get sales. It's an important point for you to look back. When we're talking about investing behind brand, it is our ability to generate organic demand and that is the only way you can see sequentially how the EBIT margin has improved, is on the back of strong pricing action that has been taken for fourth quarter in a consecutive manner. The brand strength of Crompton is very strong. It is an 85-year-old brand. We need to ensure that it is nurtured well, and it has got a strong unit economics to get backed by. So, it is not that you do a tactical stuff of doing a price cut in one quarter and then see what would yield in next quarter. Those are not sustainable business models that you will be able to continue.

Natasha Jain: Understood. Thank you so much. I'll get back in the queue.

Aniruddha Joshi: Yeah, thank you. Kind request to participants to restrict to just one question per participant. Next, we have a question from Mr. Rishabh Gang. Please go ahead with your question stating your company name.

Rishabh Gang: Yeah, I'm Rishabh Gang from Sacheti Family Office. So, I want to understand on the fans and pumps front, what are our in-house capacities? And what is the usual split of products sold between those in-house manufactured and those outsourced? And any idea on what are the gross margins for them?

Kaleeswaran Arunachalam: We don't give those data specifically, Rishabh, at a gross margin level for in-house business is outsourced. Our EBIT margins at vis-a-vis is disclosed, that will tell you how we have been moving over a period of time. Roughly, we are equally split for the in-house and outsourcing for fans as a business.

Rishabh Gang: Okay, and how is the pricing for those manufactured by others decided in terms of like pass-on of commodity price changes? Like how is pricing decided?

Kaleeswaran Arunachalam: So, you have a standard commodity index that helps us to see what is the commodity index that you

need to pass on. For every product that we manufacture in-house and outsourced, we know what's the amount of commodity costs involved into it, what are the kind of material costs involved and what's Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 13 of 20

the conversion on charge. And then you have a profit margin decided on that and then you do it. So, there are certain things that goes by an index and standard and certain things that goes by the design requirements that we have on the product.

Rishabh Gang: How frequently does the third-party actually change the price? I want to understand that.

Kaleeswaran Arunachalam: I think, it's too intricate data for us to share on our call, on operating data, Rishabh.

Rishabh Gang: Absolutely fine. Just one question here. What is your capacity expansion planning? Do we plan to increase the share of in-house manufacturing? And when we do an in-house thing, what are the return ratios and payback?

Promeet Ghosh: Okay, Rishabh, and again, what you would have seen as a part of Crompton 2.0 is we are rolling out a strategic sourcing plan for our various businesses. The idea, as I've said before, is for us not to simply focus on what is in-house and out-house. But to ensure that as the business evolves, we have control of important parts of the value chain, needless to say, given someone who is investing heavily in technology, that's a critical portion of how we're going to evolve as a company. So generally speaking, our business is one in which the asset turnover ratio is high. So, the payback for investments in in-house manufacturing tends to be quite quick.

Rishabh Gang: Okay, fine. Any expansion plans at the moment, right?

Promeet Ghosh: None that we are in a position

to disclose yet.

Rishabh Gang: Absolutely fine, thank you so much.

Aniruddha Joshi: Yeah, thanks. Next, we have a question from Dhruv Jain. Please unmute yourself, state your company name and go ahead with the question.

Dhruv Jain: I had a question on one of the data points that you've put out in the presentation. You've mentioned that revenue contribution of alternate channels is about 17%, right? Firstly, I wanted to know what is the margin split or any directional colour that you would want to provide us to, say, in the next two years, what is the contribution from alternate channel that you're looking at? And I mean, specifically, what's the broader mix then you will be sort of trying? Any colour would be helpful.

Promeet Ghosh: The alternate channels as a share of overall business will continue to grow over the next two, three years. And that is, as I've said before, in the presentations, it's not that we are targeting a particular share for alternate channels to have, but we do want to have a balanced go-to-market. In our business, it is extremely important to have a balanced go-to-market in order to be able to sustain the kind of profitability that we have and aspire for. Each one of these channels has an impact on the other and having heavy alternate channel is not conducive to business just as not having an adequate exposure Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 14 of 20

to alternate channels is also not that desirable. So, as you can see, some of our alternate channels are growing very fast, and I expect that they will continue to grow quite faster than GT, which is close to

about 80% of our portfolio just now. So, while we will see more of this, it's not like we're targeting now.

Dhruv Jain: I had one question on the competitive intensity. Two years back, we had seen that there was a lot of competitive intensity across product categories. So, if you could just broadly speak about how are you looking at it at this point of time across certain categories, has it reduced? Any thoughts there? Thanks.

Promeet Ghosh: The competitive intensity in our business never abates. So, you have to do what you have to do in the context of competitive intensity. We have the fortune of having moats, which work to our advantage despite the fact that each one of our businesses is intensely competitive, right? So, if we are doing well, it's not because competition has gone down, I wish it did but it's not.

Dhruv Jain: Fair enough. Thank you so much and all the best.

Promeet Ghosh: Thank you.

Aniruddha Joshi: Yeah, next, we have a question from Mr. Achal Lohade. Please unmute yourself, state your company and go ahead with the question.

Achal Lohade: Yes, thank you for the opportunity. Congratulations for a good set of numbers. Just wanted to understand, sorry, I missed the initial part. Did you mention the fans growth was 16/17% something?

Kaleeswaran Arunachalam: That's right.

Achal Lohade: Okay. And would you be able to kind of give some estimate as to how the industry has grown? Is it very similar? Is it much lower than this?

Promeet Ghosh: Achal, we don't have an industry number, a credible industry number, we have some estimates, but we don't have a credible industry number. My guess is that the industry has grown slower than this and then we have grown, gained market share would be our guess.

Achal Lohade: Right. And I remember a few years ago, we used to talk about our market share number. Would you be able to talk about that number? Do you have the like-to-like number of the market share?

Promeet Ghosh: Again, I can't give you a precise number. It's never a good idea but our broad estimate is that we are between 28-29% market share in the business.

Achal Lohade: Which used to be around 25-26%?

Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 15 of 20

Kaleeswaran Arunachalam: So, from a point-to-point, we have gained market share. This is also in fans, led by a focus on premiumisation and which is also helping us to gain market share. And as you would know that the portfolio growth of fans is different between the mass and the premium category. So, our focus there is also helping us to gain share.

Achal Lohade: Got it. And just one small question, if I may, with respect to the margins. Now if I look at first quarter margin, it's at 15%. I'm talking about Crompton standalone ECD margins or even consolidated segment margins for ECD. How do we look at the margins? Given it's a fans-heavy quarter, and following quarters will be a bit heavier on the water heaters, etc, would the margin profile be better or similar or slightly lower than what it was in Q1 FY25?

Promeet Ghosh: Broadly speaking, our margins tend to be in a similar range. Not identical, but broadly speaking, they tend to be in a similar range.

Achal Lohade: Understood, this is very helpful. Thank you and wish you all the best.

Aniruddha Joshi: Thank you. Next, we have a question from Mr. Sanjay Chawla. Please state your company name and go ahead with the question.

Sanjay Chawla: Yeah, thank you for the opportunity. Sanjay from Renaissance Investment. My question is you talk about achieving double-digit revenue growth. Can you talk a little bit about the growth construct or a breakdown, if you will, in terms of penetration growth, premiumisation, price hikes for our existing key categories and also the contribution that you expect from new products and categories in an overall sense?

Kaleeswaran Arunachalam: So overall, from a portfolio perspective, while I will not be able to give you specific numbers. Broadly, the way we are seeing is let's start with ECD, fans, we are the market leader. And as you know, we sold about 2 crore fans last year, making us the single largest player on a global platform.

On that scale, we still believe there is significant headroom for us to drive growth on premiumising the portfolio. Now this is something that you would know that the business used to hover around 17-18%, premiumisation of the portfolio. We have moved close to 24-25% range. And the idea is that potentially in about, say, three, four years, can we take this up to 40%. That's the strategy that we're looking out in terms of plans to deliver growth led through premiumisation. There is also

premiumisation aided by faster replacement cycle that is coming in which should help. Coupled with the fact that even in the mass premium category, we do see geographical opportunities available in certain parts of India, considering our market share differentiation between strong markets and markets where we can improve.

In pumps, as we stated earlier, residential, we continue to be the #1 player. But within residential, we do see, considering our presence when the replacement cycle comes in, considering the water scarcity, people move towards submersible, there is an opportunity to significantly improve on submersible. Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 16 of 20

portfolio in the longer run. Having said that, the area of focus is agri pumps, where we don't have a representative share similar to what we have in residential. So, the idea is how do we improve our agricultural portfolio, both with new products and penetration. You have seen consistent agri pumps growing in the last two to three quarters and gaining share also.

Similarly, we have started entering into solar. We are building a pipeline towards it. We have now two, three quarters of execution excellence as proof-of-concept so that we can take up the orders and execute it. So that continues to also open up further doors to gross pumps as a portfolio.

Appliances, as you know, we are today the #1 player in geysers. We are a top-3 player, geysers as a

portfolio. Geysers in e-commerce, I meant as #1. We are trying to look at both channel penetration, trade is a great opportunity for us, while we do very well in e-commerce. Similarly, air coolers, the last two years has been phenomenal, led by the last two quarters, Q1 and Q4, where we have sold close to 200,000 coolers on a quarterly basis. So that gives us a great pathway and considering that we have an affordable, sustainable cooling solutions between fan and air cooler. We think that portfolio is augmented well to grow for the future.

Kitchen, we think, is one of our potential fast growth track strategy for the future. Subsequent to the acquisition of Butterfly today, we are the #2 player in India on kitchen. We talked about earlier in the call on what are we doing to transform Butterfly. That's moving in the right direction, and we should start seeing results coming out in late part of H2 onwards.

Our Crompton kitchen portfolio comprising of SDA and large kitchen, SDA is already growing at a very fast clip of 20% plus over many quarters now. Idea is how do we sustain and expand that. Large kitchen is a startup, the step one is trying to make that a ₹100 crore business and then try to make money and scale up from there onwards.

The last, but not the least, the lighting portfolio. Our stated agenda for lighting was in Q4, we wanted to stop the decline in lighting growth. Glad to state that we did that. And in Q1 onwards, we have to grow the business and we have started the growth trajectory. Our B2B business with the new vertical that we have created for enterprise has helped us to aggressively participate in tenders and that is growing in the right direction. Our B2C business augmented by our focus on ceiling and battens, the two businesses already growing in double-digit as we speak.

So, the course corrections that we have to do on the lighting business is almost done. Now we should be able to take the opportunity to grow the business from here onwards. Largely price erosion is one thing that we need to play, which is a category headwind that is continuing for many quarters. Subject to that, we are moving in the right direction on lighting business.

So overall, idea is how do we grow the portfolio in double-digit. And as and when we enter into new categories, in the longer run can that add about 200, 300 bps to the overall growth strategy and how Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 17 of 20

do we get operating leverage to claim, to expand the EBITDA margin is what we're looking at in long run.

Sanjay Chawla: And just in terms of the Fans segment, did you indicate the room for market share gain due to distribution growth?

Kaleeswaran Arunachalam: In certain markets, yes, not on overall market. There are markets where we are strong and there are

markets where we believe there's opportunity to improve and gain share.

Promeet Ghosh: Look, as you've seen market share gains happens over, so it's not you have kind of hit a ceiling there.

We have to keep working at it.

Aniruddha Joshi: Yeah, thank you. Next, we have a question from Harshit Kapadia. Please go ahead with the question and state your company name.

Harshit Kapadia: This is Harshit Kapadia. I'm calling from Elara Securities. Just two questions from my side. One is you had appointed Vector Consulting a year back. So, if you can throw some light on how they have improved your performance? Any tangible data that you can support with that would be helpful. And secondly, on your fan portfolio, if you can share data on how much is your premium fan in this quarter as well as the BLDC as a percentage of fans? Thank you.

Kaleeswaran Arunachalam: On the first one, it is still work in progress. It's too early to comment on what is the progress and where we have moved. As and when we make significant inroads, we'll come back to you guys to see

how it is moving. Second, I think what we disclosed is saliency of our premiums, which include BLDC also. We're moving towards about 25% of our portfolio being premium from about 17, 18% a few quarters back. While we don't give specific numbers, BLDC is a growth category for future. We do believe we are the #2 player in BLDC right now. Our endeavour is to reach #1 player in that category also in the long run.

Harshit Kapadia: And would you be able to share your market share in BLDC fans?

Kaleeswaran Arunachalam: We can't disclose that.

Harshit Kapadia: Okay, no problem. Wishing you all the best. Thank you.

Aniruddha Joshi: Thank you. Next, you have a question from Rahul Agarwal. Please unmute your lines, state your company name and go ahead with the question.

Rahul Agarwal: Good evening. Thank you for the opportunity. This is Rahul Agarwal from Ikigai Investments. Just to filter out whatever Kalees just said on how you see different segments. Just wanted to know like top 3 priorities in your mind going into next three years, there's a lot of work you've done over the Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 18 of 20

last three years to get where you are on Crompton stand-alone. I wanted to know like where would you spend your maximum time on? Like bang for the buck for a standalone business. Top 3 priorities for you in your mind. It could be product, it could be channel, it could be cost, could be anything. Just wanted to know your mindset. That's the first question.

Kaleeswaran Arunachalam: See, I think one of the things that we wanted to shape this organisation to move towards this consumer

orientation. While there were many things that we talked about, we are good at margin, we are good at market share, we are good at everything. Finally, our product needs to win with the consumer. So that brings in a priority on how we bring in meaningful innovation that can help us to differentiate ourselves with the consumers. That will be one. Therefore, linked to that is how do we get our act right on new product development and how we ensure that the entire commercialisation of that goes through.

Second is, portfolio after portfolio, in all the categories that we are present, we do see premiumisation as a great opportunity. And we want to ensure that we are able to capture that as a strength. Not many brands in this country can straddle between selling a fan that is ₹1,500 to a fan that is ₹15,000 and do kitchen equipment that costs about ₹45,000 under the same brand. When we have that ability to do that, it is important that we focus on that and see how we maximise the entire premiumisation strategy.

The third would be the go-to-market to support. I think as you have seen in the earlier part of the call, the channels are evolving. We see the go-to-market on general trade is moving in a particular direction and the alternate channels are starting to capture a meaningful share of business. So how do we equip ourselves to deal with this and continue to ensure that we fortify our business to capture those opportunities? These would be the three. The foundation of this would be a great supply chain, which will help us to deliver the demand that is generated and continue to nurture and augment both our brand and people.

Rahul Agarwal: So essentially, it's the same of what you have done over the last three years, right? Just incrementally building on the same thing. Is that correct?

Kaleeswaran Arunachalam: Yeah. I think as you have seen for the last many decades, this business has got a few levers to do. It

is just that we need to continue to do that with great amount of execution excellence. Otherwise, we will only be trying to do something which will not have a meaningful impact on business in the sake

of innovating.

Rahul Agarwal: Got it. And lastly, on the cash usage, I just wanted to know like

there's a ₹300 crore debt balance. One is, obviously, there is a timeline there. So, if you could help with that in terms of repayment? And

second is after that, whatever cash generation happens, your dividend payouts are anywhere like 50% on an average. What are your thoughts in terms of investing in the business and re-investing in the business? Any thoughts?

Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 19 of 20

Kaleeswaran Arunachalam: As you would know, at the time of Butterfly acquisition, the debt that was taken was about ₹2,000 crores plus. As we stand today in about less than two years, we have dropped that down to ₹300 crores outstanding debt. That shows the ability for the business to generate a very high amount of cash. The current outstanding debt is about ₹300 crores, and that is expected to be paid in next year, July.

Our dividend payment has been consistent and has been reasonably improving over a period of time, and we'll continue to focus on that.

Now insofar as cash towards investing behind the business is concerned, we typically look at two areas: one is meaningful new product development which will ensure that we are able to invest behind that and get in our innovation pipeline going. Second is on manufacturing and supply chain capabilities that we need to develop. There will be minor sums of money required for digital, etc, but largely, these two would be the areas. And we will have all the options available in front of us to evaluate the use of cash and form an optimal level of cash holding.

At the same point of time, it's not that we are looking at any M&As to grow the business if that's the other question that you have. We think the organic business currently on the portfolio has got enough headroom to grow in the long run.

Rahul Agarwal: Perfect. Thank you so much. All the best. Thank you for answers.

Aniruddha Joshi: Thank you. That was the last question for today. From ICICI Securities, we thank the entire management team of Crompton Consumer for participating in this call. And over to you for the closing comments for today. Thank you.

Promeet Ghosh: Thank you, everyone, for joining this call and actively participating in it. Thank you also, Swetha, for joining this from Chennai. Swetha has recently hurt her arm. I suspect it's from having wrestled with one of the competitors, what she claims. Thank you ICICI, for hosting this conference, guys. And if you have any questions, please feel free to reach out to us.

Kaleeswaran Arunachalam: Thank you. Bye.

(This document has been edited to improve readability)

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Crompton Greaves Consumer Electricals Limited

July 31, 2024

Page 20 of 20 Registered Address:

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Call: Nov 2024

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Date: November 21, 2024

To,
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P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
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"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
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Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 176 /202 4-25 Our Reference: 176 /2024-25

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated November 09 , 2024 , and November 14 , 2024 ,
regarding the Earnings Call on the Unaudited Financial Results for the quarter and half year ended
September 30, 2024 , held on November 14 , 2024 , please find enclosed herewith the transcript of
the same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839

Encl: A/a

Crompton Greaves Consumer Electricals Limited
Q2 FY25 Post Result Conference Call
November 14, 2024

Management: Mr. Promeet Ghosh – Managing
Director and Chief Executive Officer
Mr. Kaleeswaran Arunachalam –
Chief Financial Officer
Ms. Shwetha Sagar – Chief Business
Officer – Butterfly Gandhimathi
Appliances Limited
Ms. Natasha Kedia – Head – Investor
Relations

Equirus Securities Good evening everyone. On behalf of Equirus Securities, I welcome you all to Quarter 2 of FY25 Result Conference Call of Crompton Greaves Consumer Ltd. We have Senior Management Team from Crompton represented by Mr. Promeet Ghosh, Managing Director and CEO, Mr. Kaleeswaran Arunachalam CFO, Ms. Swetha Sagar, Chief Business Officer of Butterfly Gandhimathi Appliances Ltd. and Ms. Natasha Kedia, Head of Investor Relations. I will request management to start with their opening remarks and following which we can start with the Q&A as well. Thank you and over to you, sir.

Mr. Promeet Ghosh Thanks. Thanks also to the people who are on the call for joining this earnings call. As you know, a short while ago, we announced our Q2 financials. I will make some preliminary remarks and then we can get to question answers. I am being joined, as you already know, by Kalees, Swetha and Natasha. I am pleased to share that we have been able to continue our growth trajectory, recording double-digit growth during this quarter for the 5th consecutive time. We clocked standalone revenues of Rs. 1,645 crores in Q2 FY25, a growth of 11%. In our ECD business, we witnessed robust growth overall with revenue growing at 13% YOY, to Rs. 1,393 crores this quarter. Our overall performance across categories has been broad-based with many of the businesses continuing to fire, with appliances and pumps taking the lead in what is otherwise a non-seasonal quarter. We have appliances growing at 26% YOY this quarter, followed by pumps, which is growing at 20% YOY. Our largest portfolio, fans also continued to grow at 5% this quarter. More about the details of all of these in a moment.

I would like to also remind you that one of the key strategic initiatives that we had called out when we unveiled Crompton 2.0 was to put the lighting business back on a growth trajectory. Something that we have delivered over the last couple of quarters. We initially saw some green shoots through improved margins Quarter on Quarter, and now in Q2 we have a combination of both growth and margins strengthening. The lighting trajectory, as I said, has been strengthened and we have picked up pace in our revenue growth. It was 1% YOY in Q4 FY24, 2% YOY in Q1 FY25, and is now 6% YOY in Q2 FY25. This has led to us delivering industry-leading revenue growth, led by our B2C business, particularly our outdoor and accessories and non-conventional lighting products.

Moving to the specifics. In fans as industry leaders, we continue to sustainably strengthen both our revenues as well as our profits in their growth trajectory. Over the last several quarters, not only have we grown faster than the market, but we have taken consistent pricing increases ahead of the competition. Particularly in this quarter, we have seen a consistent lag in pricing actions by the competition. We have remained steadfast in our own actions and will continue to leverage the considerable strengths of our business.

As you can see, we are conscious about how we drive this business and view it holistically. For instance, you would have observed, how we have steadily built our premium offering through new launches, and how we are building our brand equity through aesthetics and style. This quarter, we introduced, albeit towards the later end of the quarter, new premium induction models such as Avancer Swirl, Santos, Aura2 – 4 Blade, which are already contributing to sales and we expect sales from NPD to materially improve going forward. Similarly, to scale our BLDC portfolio, we are working towards increasing our in-house manufacturing, so as to have more control on important aspects of the business as well as further enhance the quality of our products.

This quarter in particular, our non-ceiling portfolio has also shown strong growth. In the fans industry, as we are frontrunners, we endeavor to

lead the way through world -class green products. We are the first to receive the GreenPro certification in the consumer products category for ceiling fans. I should also highlight that our business is in the midst of various regulatory changes and we have planned ahead and completed in a timely manner the various BIS transitions in our fans business.

In pumps, we witnessed robust growth across solar and residential pumps. In solar, we executed orders of Rs. 42 crores last quarter and as we speak, as Kaleesh reminded me just before I came in, we have crossed Rs. 100 crores of sales, perhaps a little bit more than Rs. 100 crores of sales, in solar and we have in that business a pretty strong pipeline as well. Despite some headwinds on account of weather disturbances and a delayed agricultural season, we continue to innovate and launch new products and further our premiumization agenda.

In our appliance business, we saw again broad-based growth. High-off-take water heaters, room heaters and in particular air coolers, all of them, grew even though it was off-season and lean season, if you will, for air coolers. Mixer grinders have had a very solid run, supported by new launches in mass premium segment and further channel expansion. Perhaps during the Q&A, I'll talk a little bit more about how we now believe we have a leadership position in the mixer grinders business.

Large kitchen appliances recorded a revenue of Rs. 19 crores and while the business is growing, it is also reducing the EBITDA losses which is showing as an indication that we are getting our arms around the business.

I also want to highlight, like I said earlier, the performance in lighting. A segment that I have faced quite a few questions over the last several quarters from you. We are seeing consistent improvements in that segment and growth continues to pick up Quarter on Quarter. As I said earlier, this quarter we have now recorded a 6% growth. Now, especially if you factor the lack of conventional product sales, which was a part of the corresponding quarter last year, our revenue growth is industry leading. And while we have had good growth in the B2B segment, B2C has also now joined in the momentum. This growth that we are seeing is being particularly driven by non-conventional products. Revenue from ceiling and outdoor category have significantly improved post new product launches. In fact, now battens and bulbs, which accounted for a share of business in the previous quarter in close to about 70%, now account for about 50%, which should tell you how materially the business mix in our lighting business has evolved over the last several quarters.

On the B2B side, the industrial segment is performing well. This quarter we executed a marquee project at Bengaluru's satellite town ring road of the NHAI with high performance LED street lights. Our focus is on converting a strong order pipeline across categories and driving traction for new products. Additionally, we have seen a Quarter-on-Quarter improvement in EBIT margins. This is happening across the board in lighting, despite much higher A&P spends. But higher A&P spends are also a characteristic of the company overall. This quarter, our A&P spend stood at Rs. 58 crore, an increase of 69% over the previous quarter. We have in the past said that stepping up A&P spends to both bolster brand visibility and also help our visibility across various platforms and channels, we would be investing heavily in A&P and you can see that happen.

Similarly, we are also focusing on innovations. This has led to two more patents being granted to us this quarter. Alongside this, we have launched 20 more products in Q2 with meaningful contribution in NPD coming into our sales.

Our focus on alternate channels is generating results. Alternate channels grew 37% by YOY this quarter, increasing saliency to 21%

of sales versus what was 18% in the same quarter last year. Here again, this is our fifth consecutive quarter of delivering Rs. 100 crore plus revenues from the e-commerce channel. We, in fact, delivered Rs. 200 crore + revenues in the e-commerce channel this quarter.

Our strong revenue performance is also reflecting in our bottom line. Our standalone material margins were 31.9% this quarter versus 30.1% in Q2 FY24. EBIT for the quarter is Rs. 160 crores, a growth of 18% YOY with an EBIT margin of 9.7%. A healthy improvement of 60 basis points despite, like I said, a 70% increase in A&P spends this quarter. This improvement is largely being driven by our ECD business, which had a margin of 14.8%. Our lighting segment EBIT margins also witnessed expansion to 10.7%. Put together, we witnessed a PAT growth of 30% this quarter on a standalone basis, significantly surpassing our peers.

Now, a quick overview of our H1 performance. In H1, as you already know, our revenue growth rate has picked up pace. We generated revenues of Rs. 3,605 crores, growing at 15%. Similar growth and profits was also visible. EBIT grew to Rs. 362 crores, a growth of 26% YOY. EBIT margin for H1 was 10.1%, an expansion of 90 basis points, and PAT grew 34%.

Moving on to Butterfly performance. Butterfly, as you know, we are on a trajectory of refreshing the business being led by Swetha, and we are well on that track. Butterfly generated revenue of Rs. 258 crores this quarter, with a strong sequential growth of 42%, helped of course by the ongoing festive season. MOR and export channels are consistently delivering growth. We have successfully executed many pricing actions amidst heightened competitive intensity, which is showing up in the margin performance of the business. EBIT margins saw significant improvements sequentially with expansion of 380 basis points to 8.9%. You will remember last quarter also our margins improved materially over the previous quarter sequentially, and now they have further strengthened bolstering what we believe is the overall financial position of this company and its ability to compete in the market. This was primarily due to pricing actions, price laddering, stronger management of trade spends, process intervention, and reduction in operating costs.

We are happy that our Crompton 2.0 strategy is aiding us to deliver consistently superior results with depth double digit revenue growth for the fifth consecutive quarter and strong EBIT margins. With this, we are exiting the second quarter of the financial year on a solid footing. We continue to expect consistent progress through the remainder of the year. Thank you for your patient listening and now we are open for Q&A.

Equirus Securities Thank you Promeet sir, for the detailed presentation. We will now begin with the question and answer session. Anyone who wishes to ask a question can use the raise hand feature. I will request everyone to introduce yourself first along with the organization name and then go ahead with the question. We'll wait for a moment till the time question queue gets assembled.

Mr. Promeet Ghosh Yeah, I mean just one more point for the benefit of the people who are on the call. The investor presentation, which got delayed for some reason, is also on our website. So, if you want to simultaneously access that, please feel free to do so.

Equirus Securities First question is from the line of Kunal Sheth. Kunal, go ahead.

Mr. Kunal Hi, sir. Thank you for the opportunity and congratulations for a great set of numbers. Sir, my first question is pertaining to fans. You have mentioned that we have done well in fans including a margin improvement. I just wanted to check this margin improvement is driven by improvement in share of premium fans and if yes, what would be the share of premium fans currently in the overall portfolio?

Mr. Promeet Ghosh Th

e share of premium fans is at a similar level. This is an improvement that we've seen both at Gross as well as at EBIT margin levels at our fans business. As you are aware, we do believe in growing this business sustainably and we have taken regular price increases in the fans business. We have seen sometimes, particularly last quarter, that there was a significant lag in several competitors taking these prices increase. We don't really think these are sustainable but it's a mix of price increases, stepped up NPDP, as well as premium.

Mr. Kunal And sir, though you mentioned that a lot of competitors are delaying price hike, so is that because of any slackness in demand or it's just an aggressive pricing strategy that they are trying to follow?

Mr. Kaleeswaran

Arunachalam It's pretty difficult for us to comment what is the stand the competitor is taking on for their pricing strategy. From our perspective as a market leader, we want to drive the market to behave in a particular manner in terms of our portfolio and how we want to price it.

Mr. Promeet Ghosh These situations come and go, so you got to be watchful. I can imagine that our peers have also been seeing us grow consistently with the kind of strategy, both on taking price increases as well as industry leading growth. So, sometimes that can have some reaction, but these kinds of stuff don't sustainably change the business.

Mr. Kunal Sure. Sir, my second question is pertaining to pumps. We mentioned that we've grown 20% in the pump business. How much would have the market grown and would we have gained market share in the pumps business?

Mr. Promeet Ghosh In each one of our businesses, there's the regular market growth and there are a few segments which are growing disproportionately, correct? Well ahead of what the market may be growing at. So, in our solar pumps business, as I said earlier, we did about Rs. 42 crores and we've already done more than Rs. 100 crores this year itself. Clearly, we are growing quite fast. In residential pumps business as well, I would imagine that we've probably gained market share in that business. So, yes is it a dramatic increase in market share? No, but yes, we would be incrementally gaining market share in our core business which is residential and growth is being driven by adding newer areas which is solar.

Mr. Kunal Sure. Sir, and my last question is..

Mr. Kaleeswaran

Arunachalam I think there are too many people on the queue. You can come back in queue.

Mr. Kunal Sure. Thank you, sir. Next question is from the line of Siddhartha Bera. Siddhartha, you can go ahead, please just announce your organization name as well.

Mr. Siddhartha

Bera Yeah, thanks for the opportunity, sir. This is Siddhartha from Nomura. Sir, first question again on the fan side. Now, we have consistently seen healthy double-digit growth for the last many

quarters. Some colour on this ? Is the industry growth in line or have we grown ahead? And how do you see the remaining part of the year for the fans going ahead?

Mr. Promeet Ghosh Yeah, as you said, we've had robust growth in fans. And for the rest of the year, it's not easy always to say in our business, but I'd say we expect to see moderate growth going forward as well . Not a big change in the demand scenario between now and the rest of the year is the way we see it. The important thing in these situations is to continue to build on your strengths. This is the key thing that you must do in our businesses. So, what you will see us do is introduce NPDs, some of these NPDs we've introduced towards the end of last quarter, they are doing very well. In fact, one of the NPDs that we introduced sold out. I'm not getting into the details of the presentations , but these are NPDs that we are finding being very well received by the market. It's also to simultaneously bolster our non - ceiling f

ans category, where we believe they will be continuing both industry growth and industry leading growth from our side. So, while we are doing that, our Unnati project continues the pace. So, we will have growth, sustainable growth, leading growth, as well as strong profits.

Mr. Siddhartha

Bera Got it, sir. So, second question on the light side, you indicated that outdoor and accessory segments led to the growth picking up for lights. Did you mention that these were 50% of the light portfolio for us right now? And here also, should we see further step up given the new products you have launched recently?

Mr. Promeet Ghosh Yes, I would certainly hope so. Even as we speak , decorative panels are now our single largest segment. That says something for our company where we've been saying that we wanted to increase our ceiling lights portfolio , even as we speak, they are now the largest segment, which kind of tells you about how fast that business has been growing. And so that's not to say that we are de-emphasizing, but obviously this is growing at a faster rate than our lamps and battens business. And similarly, of course, in the outdoor floodlights, accessories business, there is again disproportionate growth . That is not linked to how the market is growing, the significant growth that we are seeing there. I'm very glad to say that the NPD pipeline and NPD introduction pipeline in lighting has already in fact, come into play in the first quarter substantively already. You'll also see more of the first and second quarter already. We'll also see more in H2. But these are profitable products that are selling well.

Mr. Siddhartha

Bera Thanks, sir. Lastly, sir, can you share?

Equirus Securities Siddhartha, I will request you to get back in the queue.

Mr. Siddhartha

Bera Okay sure, yeah.

Equirus Securities Next question is from the line of Aditya Bhartia. Aditya, you can go ahead.

Mr. Aditya Bhartia My first question is on the kitchen appliances segment, wherein you mentioned that on the mixer grinder side, we are now having market dominance. It would be very helpful if you could further build some light on that. And how are we looking at this segment in particular? Is it Crompton plus Butterfly combined? What kind of synergies are we enjoying at this stage between the two entities? That is also something that I'd like to understand. Thanks.

Mr. Promeet Ghosh Yeah, our belief is that as we speak, we have , as a combination of Crompton and Butterfly, the market leadership position in mixer grinders. So, and I believe in some distance, but I don't want to talk too much about what's happening as we speak, because we are now talking about the previous quarter, where the strength of the previous quarter in mixer grinders is clearly sustaining. So, combination of numbers between Butterfly and Crompton is going very well. We've spoken about this in the past, the way that we are leveraging off the strengths of each other in Crompton and Butterfly . So far as the front end is concerned , we have an independent channel, Butterfly is working differently from Crompton. So, Butterfly is doing is a very, very strong brand in South . In small domestic appliances in Crompton , we are a much more national brand, particularly strong in the West. How we are leveraging the strengths of each other is sourcing all its products, mixer grinders in fact, all its products per se in SDA is now already insourcing it from the Butterfly manufacturing system, which is helping both Butterfly as well as Crompton. So, the back -end is being integrated and helping us, but the front end, they are independently going well.

Mr. Aditya Bhartia So, does that mean that the sales team for the two entities are different at this stage for selling kitchen appliances or is there some synergy around that as well?

Mr. Promeet Ghosh No. So, we are today continuing to operate at the operational level in the sales team in South with a separate Butterfly channel and with a separate Crompton channel. If there is Butterfly presence outside of the South, there is some combined selling efforts, but substantively, these are two businesses operating at the front end.

Mr. Aditya Bhartia Understood. And so, my second question is on the pumps business, wherein solar is certainly a growth area for us. If you could just explain to us how we position competition on the solar side? Is it largely bidding based? How exactly are we getting these tenders? And what kind of opportunity are you seeing in front of you from a two-year, three -year perspective? Is K USUM Scheme also something that you're excited about?

Mr. Promeet Ghosh Yes, K USUM Scheme is helping. These are tender -based businesses. What helps is that clearly people understand that if a pump is at the heart of a solar pump and that's made by Crompton, then clearly people understand that there is consumer experience and service support , etc. Therefore, the Crompton end to end is helping us grow in the solar business. We have a partner who helps us in this project. Frankly, very often, part of how this business will grow over the next several years - very optimistic.

Mr. Aditya Bhartia Perfect. That's very, very helpful, sir. Thank you so much.

Equirus Securities Next question is from the line of Bhoomika Nair. Bhoomika, you can go ahead.

Ms. Bhoomika Nair Yeah, hi. Good evening, sir. Sir, just wanted to understand in terms of the demand trends and specifically from the festive market and also kitchen appliances and how is it really panning out? And my second question is on Butterfly. You know, we're hoping for some improvement in the revenue numbers in the second half. When do we start seeing growth coming back and is our GTM realignment , in terms of the non -profitable aspect , kind of now into the base or do we still continue to see that bit of a challenge continuing?

Mr. Promeet Ghosh Well, maybe I'll take a quick shot at it and then let Swetha answer that. See, from a group perspective, it's been very important for us that we set the fundamentals of the business on a solid base. And

therefore, what you've seen in the business is for us to take some tough falls, let go even of some revenue, if you will, because you can't make an egg without breaking a few eggs. So, if you want to scramble an egg, you've got to crack a few eggs. And I think the business has done that very well that they have worked on the price laddering, they've worked on the terms of trade. And that is showing. And it is showing that the Butterfly brand is strong because these have now been accepted pretty much by the market. And it's certainly my expectation that as we've done this, the revenue growth will also come. It's not I didn't want to, before Swetha takes on this specifically, I want to tell you, this is also symptomatic of how we've consistently dealt with businesses which have required a reset. Lighting is a very similar situation, right? I mean, some quarters ago, we weren't seeing a strong growth momentum. We didn't choose to go out and get that momentum suddenly, but we chose to strengthen the fundamentals of the business, build the profitability of the business and believe that once you have that profitability, you will be able to drive revenues and you are seeing that happen, right? So this is, if you go about it the other way, and don't grow a business sustainably, then it doesn't work out very well. So, it's something that that is a pretty consistent approach of ours. Yes, Swetha.

Ms. Swetha Sagar So, just to elaborate on what just Promeet said, I think, the first thing is that, fundamentally, I think the approach that we are trying to take for Butterfly is brand first. So, keeping brand at the centre and the consumer at the centre

is what we are trying to work out, our channel strategy, pricing, value chain mapping, the cost at which the business operations are happening, exactly like what he's been mentioning, that's what is showing us what we have done in Q2. Second thing, we have resident knowledge in Crompton in multiple other operations, also in terms of turning around businesses. So, that is also coming in handy for Butterfly to look forward for. I think that's the way that we are looking at Butterfly.

Ms. Bhoomika

Nair Sure. And on the question on the demand trends specifically from a festive point of view, how is it really panning out? Are we seeing green shoots in terms of demand and uptick across categories? Any specific comments, segments where you're seeing a sharper growth, if you can kind of comment on that?

Mr. Promeet Ghosh Why don't you talk about kitchen appliances then I kind of talk about Crompton.

Ms. Swetha Sagar Alright. In kitchen appliances segment, the last few weeks of Diwali have been good in terms of consumer demand. They have been positively reassuring us in terms of our off takes and how the consumer is responding to the festive season. We do see that categories like gas stoves and pressure cookers are doing good for us. While we've been working very, very strongly, the non-electrical businesses have seen a sharper demand from the consumers.

Mr. Promeet Ghosh I think it's fair to say that the demand outlook at a broader level is moderate. And as I said earlier, the key thing in these situations is, continue to mind the demand strongly in these times and grow in segments, and in certain segments grow disproportionately, in order to be able to bolster the overall revenue growth of the company. You already heard in pumps, we've grown disproportionately in solar, in lighting, we've been able to grow our ceiling and our outdoor and accessories business. In kitchen appliances, we've had very strong growth in mixer grinders. Actually in LDA, large domestic appliances, we've had very strong non-seasonal growth in air coolers to supplement our regular growth that we're anyway getting and so on and so forth. In fans, we've had very robust growth in TPW. So, yeah, so those are the kinds of tools and levers that you have to keep

using.

Ms. Bhoomika

Nair Yeah, thank you so much, sir .

Equirus Securities Next question is from the line of Umang Mehta. Umang, you can go ahead.

Mr. Umang Mehta Yeah, thank you for the opportunity and congrats on a good quarter. So, I just wanted to check on pumps. So, this quarter, I believe solar pumps contributed a fair chunk of your overall pumps revenues. And still we've seen ECD margins kind of hold up quite well. Also in terms of receivables and inventories, we've not seen any kind of built up. So, your initial worry about going more aggressive on solar pumps, do you think that's allayed and possibly you could do much more than what we've already seen?

Mr. Promeet Ghosh In each of these businesses, you have to learn to do the business. So, we've scaled up pretty well in solar pumps. And we've done that together with other things that we do well, right. So, we continue to work at the back end quite aggressively , to continue to work on costs . So we have a long standing program , Unnati . Also, in solar, for instance, we've worked on how we bid . Just because you're seeing growth doesn't mean that we've gone and bid randomly . So what that has translated into is a very good rotation of money in the solar pumps business. So, even though there may be government -backed orders, we're getting paid in time, for the most part. So, those are the things that we've kind of gained more and more confidence and that's showing up in the way that we're doing the business.

Mr. Umang Mehta Understood. And the second question is on Butterfly. It's more of a factual question. So, in the base

quarter starting Q3, can we assume that the channel correction which had happened in institutional will be over? In the sense, last year Q3 was after the channel correction, right? That would be the correct assumption.

Mr. Promeet Ghosh Okay, let me take a shot at it. I'd say I think we are substantively done with the journey.

Mr. Umang Mehta Got it. Thanks a lot and all the best.

Equirus Securities Next question is from the line of Achal Lohade. Achal, I will request you to announce your organization name as well .

Mr. Achal Lohade Yeah, good evening, team. This is Achal from Nuvama. Thank you so much for the opportunity, sir. First with respect to Butterfly, since we are on that subject, if you look at 2Q performance, the gross margins is stable, while you talked about the price corrections, premiumization thing, and we've seen a substantial drop in employee cost and the other expenses. So, if you could help us understand in second half, because the third quarter will be a seasonally strong quarter. But given the drop in sales , focus on premium products how do we see the second half margins and the growth? Because if I do a rough math, I am seeing a double -digit decline in terms of revenue for the full year, and margins, maybe about 2%, 3%, 4%. If you could help us understand the journey from here on in terms of growth, and the margins for Butterfly specifically.

Mr. Kaleeswaran

Arunachalam Achal , we cannot comment on margin model that we have created but let us talk about what have we delivered and what are we looking at for balance of the year. So, fundamentally, what we have been consistently saying over the last few quarters is get the unit economics right for Butterfly, which means that we have to ensure

that channel parity is brought in place. We have to ensure that pricing actions, including price ups have to be brought in place. And at the same point of time, operating cost needs to be reduced. So, what you see as a reduction in people cost is also part of some of the actions that we have taken to ensure that for a business and size of Butterfly, what are the kind of manpower requirements that you handle. So, today, as we stand compared to last year, our EBITDA margins in Butterfly has improved, even on a lower revenue base that we have delivered. So, that ensures that the health of the business is at the right place. I would like you to recollect and go back four quarters, precisely the statement that we made in lighting, where we said the step one is to get the unit economics right, get the operating parameters right and ensure that the business is in a healthy shape to invest. What is it going to do for us? The money that we have generated is going to help us to do a brand refresh and repositioning on Butterfly, invest in NPD, and that will ensure that it will drive growth for the future. And our priority, as we called out in lighting, here also is, step one is to address the decline and consistently deliver a steady margin and over a period of time start delivering operating leverage and improvement in margin also.

Mr. Achal Lohade Understood. And the second question I had with respect to Fans, 5% revenue growth YoY, if you could guide us in the last 12 months, how much price hike have we taken? And also the volume growth for the second quarter? Is it fair to say that volume has been fairly flatish? And most of the growth, what you're seeing is driven by the price hike?

Mr. Kaleeswaran

Arunachalam It is partially volume growth and partially price increase that has helped us to grow in Q2. Over the last quarter, almost a year now, November last year is when we started taking the price increases. We have been taking bite-sized price increase of about 1.5% -2% every quarter. At this point of time, we think a large part of our pricing action is done, unless we see any other reason for us to do it, the

commodity or other things. Outlook, as we look at from a gross margin perspective, the levers that we're looking at is one, how do we improve further our mix. We called out our ambition in terms of premium fans long time back. Also, we are looking at Unnati as a continuous lever to see how do we improve the margin model through that.

Mr. Achal Lohade Got it. Thank you. I'll fall back in the queue for more questions. Thank you so much.

Equirus Securities Next question is from the line of Latika Chopra. Latika, I will request you to announce your organization name as well.

Ms. Latika Chopra Yeah. Hi. Thank you for the opportunity. I'm Latika from J.P. Morgan. A lot of my questions were answered. I wanted to just quickly check with you for some color on the channel inventory levels, because it seems in appliances, the water heater sales were pretty good for you. And festive season this time was a little early as well, in case it influences the small appliances business for you. And if you could also comment on, how are you looking at the second half for ECD business from a growth perspective? You had 13% revenue growth in this quarter. Is this a number that you're comfortable and you believe all your initiatives on premiumization, channel expansion, new launches are going to sustain this kind of growth? So that was the first question.

Mr. Kaleeswaran

Arunachalam So, Latika, as you know, we don't give forward guidance. But the way we would see it is, I'm answering your first question on demand

plus how are we looking at the business. See, we are a portfolio ECD business. We have fans, we have pumps, we have got large domestic appliances led by geysers and coolers . We have a portfolio of small domestic appliances and then there is large kitchen. And there are varied segments that we have within fans, which is ceiling, non - ceiling and within ceiling, premium, non -premium. Pumps, we have clearly forayed into solar and that has delivered consistent growth for us. As far as LDA and SDA are concerned, we have not even tapped the full potential of the geography and the channel opportunities that we have. So, in the medium term to long run we don't have , I would say, from our perspective, a challenge that we see. We have opportunity to grow and we would expect that in the long run, as we have been calling out, the business can double in about, say, five years time from now, coupled with the existing and new categories .

Ms. Latika Chopra So, my question was actually on this quarter, did you see any early festive related demand benefit? And if you could also comment on the channel inventory trends. Actually, that was the key question. If you could comment on that, please.

Mr. Kaleeswaran

Arunachalam See, channel inventory, we are in line. We have average channel inventory. We have not got any channel inventory issues as we speak across categories. In terms of festive momentum, it's just a shift, mildly for some of our categories. For us, kitchen is the only category, where we would see as a large beneficiary of festive momentum. Otherwise, it has got nothing to do with an early festive or a later festive season driving a 13% ECD growth for us.

Ms. Latika Chopra Understood. And the second bit was just on Butterfly. We did hear a lot of qualitative comments. And in one of the prior answers, is it right to assume that we're kind of done with this Y oY dips in revenue and now revenue should start to stabilize or still a little early to call that out? That's the last question.

Mr. Kaleeswaran

Arunachalam It's true. We are looking to arrest the decline in revenue. By and large, the channel issues that we had to solve , have been solved.

Ms. Latika Chopra Okay. So, even if there is any decline, these will be marginal.

Mr. Kaleeswaran

Arunachalam
That's right.

Ms. Latika Chopra All right. Thank you
so much.

Equirus Securities Next question is from the line of Praveen Sahay. Praveen, I will request you to go ahead with the question.

Mr. Praveen Sahay Yeah. Hi, I'm Praveen Sahay from Prabhudas. So, I have only one question related to the BIS transition. As you had already mentioned in the non -ceiling fan and appliances, you had already transitioned to the BIS.

Mr. Kaleeswaran

Arunachalam Yes, we have

Mr. Praveen Sahay So, is there any cost element associated to that and which you are

able to pass on to? And are there any further segments where you have to transition yet?

Mr. Promeet Ghosh Yeah, Praveen, actually BIS transition now are a feature of our business. So, in business after business and product after product, you will see BIS transitions being required. The important thing is to get your organization ready to be able to do these in a timely manner. Remember, we are Crompton, right? So if the government says 4th of September, it means 4th of September, every product, whether it is coming out of our own manufacturing facilities or out of some outsourced manufacturing facility. So, far, it's something that takes work, it requires a fair amount of planning, but I'd say that it's something that we've now got our arms around. It's not to say that there are no cost implications of it, but as you already know, our job is to keep working on costs as we go along, and to be either able to pass on those costs to the market or be able to optimize costs internally. So, that's how we've been dealing with it. We have seen in the recent past, some of our peers lag in some of these. I think that tends to show up in margins in many cases, but we'll see how well they are able to sustain it or not. From our perspective, we are leaders and we'd like to do what's right for the business and we do see that it's paying off very well for us. So, we do expect to combine market-leading growth with strong profit margins and profit growth.

Mr. Praveen Sahay Fair to assume that you gained out of that as well in terms of market share?

Mr. Promeet Ghosh Tough to say. With regulatory change, you've got to make sure that you're on the ball. Whether you gain from it or not, depends on whether the government goes on inspecting everybody, whether everybody has changed and adhered to BIS norm and a bunch of other things. But you got to do what you got to do.

Mr. Praveen Sahay Got it, sir. Thank you and all the best.

Equirus Securities Next question is from the line of Harshit Kapadia. Harshit, you can go ahead with your question.

Mr. Harshit Kapadia Yeah. Hi. Thanks for the opportunity and congrats for a good set of results. So, my question is on solar pumps. Some of the competitors have highlighted that they are facing challenges in sourcing the solar panels because it requires a DCR requirement. So, are you facing some challenges as well for your solar portfolio? That's the first question. And second is on the new product development, would you be able to share how much contribution do you have in each of your product segment for the NPD? Earlier you used to give that data. So, that would be of a value for us. Thank you.

Mr. Promeet Ghosh The sourcing of solar panels so far hasn't been a material impediment for us. I don't know whether we've given out NPD numbers.

Mr. Kaleeswaran Arunachalam Yeah, we have stopped calling that out in terms of what is our share of NPD. What we believe is that as a part of premiumization and as part of existing replacements, it does come in. But the way we look at it is what is the kind of investments that we are making towards our R&D and innovation. Currently, we are spending about Rs. 100 crores per annum and the aim is to further invest to bring in much more meaningful products.

Mr. Harshit Kapadia Understood, sir. Thank you and wishing you all the best.

Equirus Securi

es Due to time constraints, this will be the last question from the line of Indrajit Agarwal.

Mr. Indrajit Agarwal Hi, thank you for the opportunity. I have one question on the solar pump side. Just want to understand, are you bidding it yourself or is it through a partner?

Mr. Promeet Ghosh We bid together with a partner, but we are the lead partner.

Mr. Indrajit Agarwal Sure, and which geographies or which states have you won most of the bids in?

Mr. Kaleeswaran Arunachalam Haryana , Maharashtra.

Mr. Indrajit Agarwal Sure, and you're only doing the pump side of things, right? Rest is all outsourced. In the sense of panel, the EPC, etc.

Mr. Promeet Ghosh I mean, look, we obviously contribute substantively to the pump's component of the business, but we get a share of the entire bid. So, we benefit from the entire size of the order.

Mr. Indrajit Agarwal Sure, that's all from my side. Thank you so much.

Equirus Securities I think, sir, that was the last question. I would request if you have any closing comments, then we can conclude the call.

Mr. Promeet Ghosh Thank you for joining. Like I said, I'm delighted with the results that we've had. Looking around the market, I don't see many companies, whether in our businesses or others, which are able to grow their profits at a 30% Y oY growth levels. So, that speaks to the kind of leadership that Crompton has together with Butterfly across products, and the kind of effort that we've been putting in, in solidifying our foundations, in strengthening our brand. And I think it's also visible, when we started out, there were a bunch of questions about how we were going to get growth, how we were going to turnaround , what we were going to do with Butterfly. And I trust that some of those questions, as we speak, are being answered. Because I can say anything, but you want to see what we deliver. And I think we are delivering. And, of course, if you guys have any other further questions, do feel free to reach out to our teams. Thank you.

Mr. Kaleeswaran Arunachalam Thank you, guys.

Call: Feb 2025

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Date: February 18 , 202 5

To,
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Mumbai – 400 001. To,
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"Exchange Plaza", 5th Floor,
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Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 222 /202 4-25 Our Reference: 222 /2024-25

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated February 0 6, 2025 , and February 12, 2025 ,
regarding the Earnings Call on the Unaudited Financial Results for the quarter and nine mon ths
ended December 31, 2024 , held on February 12, 2025 , please find enclosed herewith the transcript
of the same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839

Encl: A/a

Call: Jun 2025

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To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
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Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
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Bandra- Kurla Complex Bandra (East),
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BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 22/202 5-26 Our Reference: 22/2025-26

Dear Sir/Madam,
Su
b: Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015 – Transcript of Earnings Call
W
ith reference to our earlier intimation s dated May 06, 2025, and May 15, 2025, regarding the
Earnings Call on the A udited Financial Results for the quarter and financial year ended March 31,
2025 , held on May 1 5, 202 5, please find enclosed herewith the transcript of the same.
Y
ou are requested to take the above information on your record.
T
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Fo
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shmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
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Crompton Greaves Consumer Electricals Limited
May 15 , 2025
Page 1 of 16

Crompton Greaves Consumer Electricals Limited
Q4 FY25 Post Result Conference Call
May 15, 2025

MANAGEMENT: MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED

MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL
OFFICER – CROMPTON GREAVES CONSUMER LIMITED
ELECTRICALS LIMITED

Ms. SWETHA SAGAR – CHIEF BUSINESS OFFICER –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED

MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS

HOST ANALYST: MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Crompton Greaves Consumer Electricals Limited

May 15 , 2025

Page 2 of 16

Promeet Ghosh Good evening, everyone and welcome to our Q4 FY25 Earnings Call. I want to thank the team at ICICI Securities for hosting our call. Joining me today are Mr. Kaleeswaran Arunachalam, Ms. Swetha Sagar and Ms. Natasha Kedia. My remarks today track with our Investor Presentation.

Beginning with fans, the category was led by robust growth in TPW, strong margin improvement YoY . During the year, as you would have seen, our margins are now back to pre-BEE 1.0 levels. The pricing actions and a slate of new launches has helped us enhance competitiveness.

You would have seen that we announced two platforms for the next generation of motor technologies, one for BLDC and the other for induction motors. We have very consciously decided to adopt a Platform -First approach, and that's culminated in the launch of Nucleus and X -Tech. And frankly, it's I think, an important strategic decision, which sets us apart from our peers. It's something that I anticipate will in due course of time over the next few quarters bear significant fruit for us, including as we launch the next generation of BLDC fans, as the industry and we get ready for the next big leap in energy transition. So, our Platform -First strategy , or the kinds of benefits that it offers , greater control over product development, enhanced agility to adapt to evolving consumer needs, improved after -sales service turnaround and builds on deep industry expertise that we have.

We have felt for some time, for instance, that industry as a whole needed to further strengthen the reliability of the BLDC products that are available in the market. We went to work kind of developing something that we believe will significantly address those issues so that we are able to fundamentally address the products that we put out and assume over a period of time, the market itself will move to a different trajectory and that's why Nucleus, which is the advanced in -house BLDC technology, which enhances both performance as well as reliability. Meanwhile, we have also invested again as market leaders, we felt this was important. We have also invested significantly on the induction motor technology, and we're calling this X -Tech. This is a platform which you'll see gradually being rolled out for all our fans. It has already been incorporated in many of our fans, but over a period of time, all our fans will have it. This embodies our commitment to energy efficiency and durability. The hallmark of our products has been durability, and this technology will provide both that as well as exceptional levels of energy efficiency going forward. I do believe this Platform -First approach will materially help us strengthen our leadership position in the future.

Now in view of some time ago, you've seen us announce Crompton 2.0 focus on a bunch of areas that you are familiar with. I'm not going to go into Crompton 2.0 strategy. But in view of our confidence of continued revenue growth in the future, volume growth in the future and the growing focus on the next generation of technologies , as we position ourselves, I'm very pleased to announce that the company is very actively exploring the development of a

Crompton Greaves Consumer Electricals Limited

May 15 , 2025

Page 3 of 16 greenfield manufacturing facility. This will involve a proposed investment of about Rs. 350 Cr. We should be in a position in the next few weeks to come back to you with much more details of how, when, where and all of those details, because those are as we speak being worked upon and tied down. Now needless to say, this is a major strategic initiative, and this will go a long way in overall bolstering the strength of our supply chain and supporting our long-term growth trajectory. We do believe that with this step, we will have the right balance between expanding our in -house capabilities

ties as well as leveraging the trusted and long -term relationships that we enjoy with our vendors.

With this state -of-the-art facility, we aim to elevate overall quality, resilience, responsiveness of our supply chain ecosystem, ensuring that we consistently meet and exceed market expectations. There will be a couple of phases in this project and like I said, the first phase is expected to have an outlay of about Rs. 350 Cr. The first phase will primarily focus on fans with plans to upscale going forward , adding other production lines and laying the foundation for sustained innovation and growth in the company in the years ahead . We should be in a position to share more details with you over the next , near-term.

Now, a question I get asked very often, what are the new categories that we are going to be entering? How are we expanding the TAM of our products? You are familiar that our approach has always been to announce them, when actually are already entering them or have been on the verge of doing that. Now I'm happy to inform one more category, large category that we are entering as a part of our Crompton 2.0 strategy. We are expanding into the rooftop solar business.

Many of you are familiar that the size of opportunity in the solar rooftop business is significant. Its order of magnitude is about Rs. 20,000 Cr. Now needless to say, our approach has been to first build up the capability and give ourselves the confidence that we are able to, when we enter a business, able to execute really well. Now you will be familiar that we did something similar with solar pumps. I'm happy to report that's a business that has scaled up significantly since we entered that area about year and half ago or year and nine months ago. Now this year, that's just gone by, we recorded approximate sales of about Rs. 200 Cr, that has come out of practically three years ago. So, that gives us the confidence that we have both the product capabilities, the supply chain capabilities as well as the execution capabilities to be able to get a material share of the solar rooftop business. I actually anticipate that in the near term, we will also be making further announcements, including in adjacencies of areas that we are already in, but material size TAMs. And we'll keep you posted about some of those in the weeks and months to come.

Now as far as our segment performance is concerned, I spoke about fans. Pumps continue to perform very well, bolstered, as you know, both by market share gains in the residential pumps business, as you know, we are market leaders by some distance, and significant growth in the solar pumps business. In Q4 specifically, we won orders from MEDA and MSEDCL on the Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 4 of 16 solar pump side. We are now moving ahead into the next level of stepping up our investments in the solar pumps business. We have, in fact, also materially strengthened our organisation structure on the solar pump side.

Appliances delivered a high -teen growth. As you know, appliances comprise two parts. One part of it is what we call LDA, which is the Large Domestic Appliances, which is the air coolers and water heaters business and separately the kitchen appliances business, which we call SDA. But since we've talked about appliances together previously, I'm going to talk about them together here as well. High -teen growth overall, standout performances in air coolers over 50% growth, mixer grinders again 30%+ growth. Despite a delayed summer, we've actually had pretty good results on the air cooler side.

Large Kitchen Appliances clocked a revenue of about Rs. 60 Cr while EBITDA remains negative, losses have continued to narrow, and Crompton is also gaining traction online. And now I think we are apparently ranked third on Amazon. Earlier in the year, about a couple of months ago, we have had a change in the team structure

there. I'm happy to report that the changes are helping bolster the trajectory of that business.

In our Lighting segment, revenue rose by about 2%, holding steady through the year despite continued pricing pressures. Now this is one of the bright spots again of our business. I remember one and a half years ago, there was a lot of talk about where our lighting business is going, and we have seen the trajectory there change. While the revenue growth this quarter is flat, I'm very glad to say that we have managed to change the product mix in this segment quite a lot, both on adding new products as well as growing our panels business. For the year gone by, the panels business is now for a company which has always been very heavy in lamps and battens, panels are now our largest business, and a large share of business is now contributed by products which are outside of panels, lamps and battens. And in fact, the lighting business is now going to lead the foray into solar rooftops as well as other announcements that we may make in allied areas shortly.

Having said that, a little more detail there, B2C segment saw top line growth as well as mix improvement, like I've said. B2B segment, we have been building up our capabilities in street, flood, industrial and indoor areas. As you may recall, we've had strengths in street lighting, and I'm glad to see that we've added other capabilities there. EBIT performance was robust, margins expanded to about 11.8% in FY25 and a sharp rise to 15.9% in Q4 supported by a rich product mix and new product introductions. So again, I keep telling you that we don't want to lose sight of profitability because that's what enables us to go out and get market share gains. That's what allows us to introduce new products. And I think you can see that in play.

Moving on to Butterfly, another area where over a period of time we've been asked a bunch of questions about where that is. And similar to lighting, we initially took some time off to get the basics right. And sometimes when you get the basics right, it doesn't look pretty. But Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 5 of 16 when those begin to deliver results, then they look nice. I think you can see some of that happening in Butterfly. The annual revenue was at Rs. 865 Cr. The Q4 FY25 revenue was Rs. 187 Cr, marking a 12% growth YoY. So, you see a return to growth. And that growth has been driven by strong performance in key categories such as mixer grinders, cookers, and wet grinders, all of which had double -digit growth increases. Sequential market share has obviously grown as well. Importantly, the gross margin has improved materially as well. And

this has come from efficiency improvements, price increases. Now we've been telling you that this is something that we've been doing. That has meant resetting terms of trade with many of our trading partners, but we've taken the pain and now you can see some of the benefits, optimisation of input costs and of trade scheme. This is altered in EBITDA margin of 8.6% for Q4 FY25. The business delivered a sharp turnaround in profitability YoY with EBIT rising to Rs. 42 Cr in FY25 and a Q4 swing of Rs. 11 Cr. Pricing actions were implemented across retail, modern trade and exports.

Finally, although consumer demand continued to be subdued in Q4, we are quite optimistic about the trajectory that the business is taking and the fact that many of the issues that the business had, we've been able to address. And I can tell you that, our optimism of the future is also bolstered by upcoming product launches and efforts that we are making on enhanced channel engagements, which I think you will hear of sooner rather than later. Again, we've invested the time to build the right to win, and I think those will start to show. Irrespective of the macroeconomic situation, weather conditions and forecast, our focus has always

been on long-term sustainable growth, and we continue to be disciplined about our execution, responsive in our actions and operations and have continued to build a strong innovation pipeline to drive performance, while remaining closely aligned with evolving consumer needs.

In terms of overall financial performance, FY25 marks the second consecutive year of double-digit revenue growth, a testament to our continued efforts in line with Crompton 2.0 strategy. Our standalone FY25 revenue grew 10% to Rs. 7,028 Cr led primarily by a robust performance in the ECD segment. In FY25, we achieved the highest-ever standalone EBITDA of Rs. 819 Cr. Our margin profile has strengthened with margins improving to 10.5%, driven by reduced input costs despite higher A&P spends. Encouragingly, our bottom-line growth has outpaced our top-line growth with profit growth of 21% in FY25.

Q4 revenue grew by 5% to Rs. 1,879 Cr, reflecting subdued demand conditions, but also underscoring our ability to hold ground even when external tailwinds soften. In Q4, margins held up very well and are at 11.9% with EBIT growing at 8% YoY to Rs. 223 Cr for the quarter.

In the ECD segment, which grew 11% in FY25 and 6% YoY in Q4, we saw a solid performance across all subcategories.

Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 6 of 16 With this, I'll conclude my remarks for the quarter and the financial year and thank you for your patient listening. I think what we missed is we talked about the revenue growth, but not the consolidated profit growth. The consolidated revenue growth was also about 5% and consolidated profit growth is about 28%, I'm sure they have all those details, but I should just mention that. With that rather long opening remarks, I shall pause and take questions.

Aniruddha Joshi Thanks. We will begin the question-and-answer session. Those participants who wish to ask the questions, please raise hand and then we will unmute your line. So first, we have a question from Mr. Aditya Bhartia (Investec). Please unmute your line and go ahead with your question.

Aditya Bhartia Hi, this is Aditya from Investec. My first question is on the solar rooftop business. You kind of spelled out the overall opportunity size. But just wanted to understand how we are thinking of scaling up in this business. What is the kind of targets that we have set for ourselves? And given that we are a slightly late entrant in this business, what's going to be our competitive edge?

Promeet Ghosh Fair point. Firstly, Aditya, you are probably aware that the size of the market is actually larger. But I specifically talked about Rs. 20,000 Cr because that's the segment that we'll be targeting.

What we have done so far, is hired the right people, figured out a bunch of detailing about the product and about the execution that is needed in order for us to succeed in the business.

Now, the reason I think that we will be able to do a reasonable job of it is, one, brand counts for a lot in this business. And that has been demonstrated to us in the pumps business, combined with the execution capability and the sourcing capability that we brought to the pumps business, which again, were we entered by when lots of other people had already entered.

We think a combination of factors, including the fact that it's a consumer product and the Crompton brand is deeply trusted by many, we do think we'll be able to do quite well. I don't want to tell you about specific numbers that we should be able to get, but I think you can already tell from the way that we've done in our pumps business that we should be able to ramp up quite quickly. And we have now a pretty decent team there.

Aditya Bhartia Sure. And you spoke about sourcing capability in this business. If you could just kind of explain, what do you really mean by that? What's the advantage that we'll be having over some of our competitors, espe

cially because we have also seen Havells acquiring a stake in Goldi Solar?

Promeet Ghosh Yeah, I don't want to spell out too much just now, Aditya, if you don't mind. Suffice it to say these are things that we've been working on for a while. We should be competitive in our sense.

Aditya Bhartia Perfect. And my second question is on Large Kitchen Appliances business. While it's good to kind of note that EBITDA losses have started coming down, but it seems that revenue number has broadly remained flattish on a YoY basis. So just wanted to understand what has really Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 7 of 16 been happening around that. What is the longer-term ambition that we have for that particular business?

Promeet Ghosh Yes, you're absolutely right. The revenue growth has not been what we anticipated. And hence my remarks earlier about the way that we are approaching this, including changes to the team, etc. Having said that, Aditya, we are very convinced that we actually have a very good product. We actually have a differentiated product offering. And our understanding is that consumers are quite willing to buy our product, and it's a decent-sized TAM out there.

What we needed to do is to improve our execution, our targeting, our product mix, and that is what we are working on now. And I think what you will see is both a narrowing of the losses going forward as well as a pickup in the trajectory to what really this business deserves. If you recall, we spent a lot of money in innovating and getting the product right. And nobody is probably in a better position to get a product right other than us, because we understand fans and really chimneys are a fan, with electronics thrown in, which we understand pretty well. As you are probably aware, we are investing a fair amount of money in the kitchen side of the business with tablets and hobs, Swetha is here as well because obviously, both Butterfly as well as the Crompton kitchen products benefit from the investments that we are making.

So yes, I do believe that there are good times ahead for this segment.

Aditya Bhartia That's helpful. Thank you so much for your answers.

Aniruddha Joshi Thank you. Next, we have a question from Mr. Siddhartha Bera (Nomura). Please unmute your line and go ahead with your question.

Siddhartha Bera Hi, thanks for the opportunity. First question is on the ECD segment. You did allude to that the demand sentiments were a bit subdued at an industry level in the quarter. So, going ahead, for the coming year, how do you expect the recovery to play out? And given that we had done a couple of premium launches and tiding across segments, was there any contribution from those launches in the Q4? Or should we expect that to be the key driver of growth in the coming year?

Promeet Ghosh There was the contribution of some of our new launches in the fan segment. I have to say that because we did a limited launch last quarter. As you ramp up production, it takes some time.

So, it's fair to say that the contribution of the new products was fairly limited in the last quarter.

You'll begin to see some of the benefits of that this quarter. There is another very big launch, which is happening in fans as we speak. We've launched the Fluido Fan. So, you remember, this is the product which has got a Red Dot award for design. It's a very differentiated looking fan, very differentiated colours. And we do hope that that's something that will also start contributing this quarter.

It's fair to say that the weather conditions which are a contributor typically, Q1 tends to be the quarter where the weather is something that helps drive a lot of the growth, that appears delayed. So, we've consistently had rains across the country, particularly in the South, even in Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 8 of 16 the West and East and also in th

e North. We do believe that things will change going forward, and that will add momentum to the business.

Siddhartha Bera Got it. Second question is on the pump side. I mean, you did allude to the fact that last year, we did do a strong solar pump revenue. Now, if I look at the coming year, given that you indicated close to maybe Rs. 25 Cr orders pending, should we expect that momentum to sustain what you did in FY25? Or will it depend on the number of number of orders you take now going ahead?

Promeet Ghosh Look, I didn't actually talk about the order book actually. But we do think that we should continue to have good momentum in solar pumps.

Siddhartha Bera Got it. Thanks a lot. I will come back in the queue.

Aniruddha Joshi Thanks. Next, we have questions from Mr. Pulkit Patni (Goldman Sachs). Please unmute your line and go ahead with your question.

Pulkit Patni Yeah. Thank you for taking my question. Regarding this capex that you've announced of Rs. 350 Cr in a manufacturing facility, could you give a sense of whether in the first phase, you will only sort of do fans or something else? Because Rs. 350 Cr sounds like a pretty big amount for a fan factory. So, is it that the land initially would cost a lot more? Some

breakdowns on how this capex in different phases will look like?

Promeet Ghosh Okay. So yes, this is initially for fans. Yes, this will in due course also include in the next phase other products. Obviously, the first phase includes the cost of the entire land. So yes, that does get loaded to the first phase. Remember that we are a large fans company. So, our requirements are large, and we are getting ever larger. So, I don't know what size of fans capacity you are thinking about, but this is expected to be - if you don't mind since we haven't currently announced, a few I's which have been dotted and T's which have been crossed, I will come back to you with greater details about where, what, how, etc. But yes, this should be a state-of-the-art facility, and this should be something that is pretty well integrated, and it should be for a material size of plant.

Pulkit Patni Okay. And what is the time period over which we should model this capex in our estimates?

Promeet Ghosh Yeah. So, my guess is that we should be producing two to three years is when we should be producing this. I mean, fortunately, as you know, our capital position continues to be quite strong. We are strongly net debt positive company, let me put it this way. So yeah, you should expect that this comes into production about 2.5 years, so to say.

Pulkit Patni Great. That's useful. Thank you so much and will wait for more details on this capex later. Thank you.

Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 9 of 16 Aniruddha Joshi Yeah, thanks. Next, we have question from Mr. Umang Mehta (Kotak). Please unmute your line and go ahead with the question.

Umang Mehta Yes, thanks a lot for the opportunity. The question was again on the capex. If I'm not wrong, I mean, the fans volume growth this year wasn't that high as such. I mean, so would it be fair to assume that you would be in -sourcing most of the incremental production which you do. And effectively, you could basically look to go from 50% outsourced to entirely in -sourcing after, say, three years? Is it the right way to look at it?

Promeet Ghosh Not really, Umang. We do expect to have, we are not going to go to a fully in -sourced model. Our own expectations of volume growth imply that we will continue to have a reasonable amount of outsourcing going forward. And what will happen is that the overall quality of our supply chain, I think will improve. But while this year, the volume growth has been modest, but from what we've planned, what we are seeing happen, some of which you may see today, some of which you may not see today, means that we continue to have a mix of both in -sourcing

and outsourcing. Needless to say, what we in -source, there are lots of advantages of in-sourcing. And those will obviously come to us, but it's not that we will be entirely an in -sourced company.

Kaleeswaran

Arunachalam Just to add to what Promeet said, Umang, I think two perspectives. One, in a year where you have modest growth at the scale at which we operate, we add about 1 million to 1.5 million fans to the volume, that is the size at which many companies have their total fans business. So therefore, we don't build projects like greenfield looking at a quarter or two or a year. It is from a view of next five years, how do we see the demand panning out and how consumer behaviours are going to move towards various aesthetics and technology -driven segment. And from that perspective, we think this is something that we need considering our future projections.

Umang Mehta Got it. Very helpful. And the second one was on solar pumps. You did reply to the previous participant partially. But just to understand, do we look at it as an episodic business? Or can we build on the revenue which you already achieved so far. Just asking from a modelling perspective because Rs. 200 Cr, what we are factoring in is the growth on that. So, would that be correct to build or not?

Kaleeswaran

Arunachalam Umang, I think the entire solar business is not built in with the thesis of there is a PM KUSUM scheme and that will continue to build this business. This is something similar to EV. You have all seen FAME -I, FAME -II subsidy is now out, but still the business is continuing and probably accelerating in growth. And our hypothesis is that solar pumps will fall in that space. For a player like us who is a market leader in residential, we always said Agri is going to be an area of focus for us. Now solar pumps is helping us to position that pretty well. It is starting with the backing by the government on PM -KUSUM scheme. But even beyond that, the real need for a farmer to have continuity in power is probably the primary reason to transition to Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 10 of 16 a solar pump. And therefore, we don't see this as a sporadic business, and this is something that is sustainable for a longer period of time.

Umang Mehta Great, those are my questions. Thank you so much. And all the best.

Aniruddha Joshi Yeah, thanks. Next, we have a question from Mr. Viraj Kacharia. Please unmute your line and go ahead with your question.

Viraj Kacharia Yeah, just a couple of questions. Most of the questions on Crompton have been answered. Just on Butterfly, you talked about NPD for Crompton. But for Butterfly, how are you going about with NPD and how are you going about measuring the effectiveness and tracking the efficiency in terms of the new product introductions.

Second, largely in terms of the brand positioning and the brand architecture, I think last few calls, you have been talking about the exercise by and large through for Crompton and looking at similar exercise in Butterfly. Can you give some colour, how the brand would be positioned both for Crompton and Butterfly in common markets and both in those region in terms of price points, will it be made premium? Any colour you can give on that?

Promeet Ghosh Look Viraj, let me just reiterate and say that you should be able to see some of these things play out fairly soon. One, I'd say watch the space. But if Swetha is willing to give any more.

So look, there's a fair amount of activity on the brand as well as on the new product launches at Butterfly. The idea would be that we get those out particularly ahead of the season, because the kitchen appliance season is different from the fans and air cooler season. And it's important to get those out ahead of season. So yes, you should see quite a bit of activity there. You will get clarity on the questions. And needless to say, it's not fair

r to kind of lay it out just now ahead of the actual launch.

Viraj Kacharia Okay. Just two questions there. One is, when we acquired Butterfly which was a brand which was strong in South. So, will there still be opportunities? Will we still be looking at the cross - pollination, is the brand going pan -India and leveraging synergies in network and similarly for Crompton in south? Any colour you can give on that?

Promeet Ghosh Yes, firstly, absolutely, Viraj. It is our intent over time to take Butterfly to other parts of India. What you're seeing happen just now is Butterfly focusing on strengthening the core. It's a brand that is very strong in the south, but there are things that we needed to do to ensure that our core was further strengthened, our products were strengthened, our brand has strengthened, and some of those actions you've already seen and you are already seeing the benefits of those. You will see some more of these happen soon enough. But even as we do that, we do see the opportunity of taking Butterfly to other parts of the country and leveraging of that.

Viraj Kacharia Okay, I'll come back. Thank you.

Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 11 of 16 Aniruddha Joshi Yeah, next question is from the line of Mr. Indrajit Agarwal (CLSA). Please unmute your line and go ahead with the question.

Indrajit Agarwal Thanks for the opportunity. I have two questions. First, again, coming back on capex. Crompton historically has enjoyed very high ROCEs and the flexibility of sourcing because of outsourced model. So, with this capex, is the objective to have a better view on sourcing or better returns or both?

Promeet Ghosh Both.

Kaleeswaran

Arunachalam Both.

Indrajit Agarwal So, this will be ROCE accretive?

Promeet Ghosh Yes. Look, at the end of the day again, don't want to get into specifics as yet, but we do think that this investment will generate good ROCE for us. More importantly, this is something that will elevate the Crompton supply chain from new products, new technologies, quality, faster to the market, etc. Let's understand what's happening here. I think you should be able to put together and join the dots. We've announced investments in the next generation of fan platforms. Now you will also see that translating into differentiation into the market. And the investments that we are making, we do think will help us quite a bit in the market.

Indrajit Agarwal Sure. Thank you. Secondly, you talked about the unseasonal rain and cooler weather. With that context, how is the trade inventory levels currently? Is it significantly higher than normal seasonality? Or do you think it's something that can be drawn down if things improve in the next couple of months?

Promeet Ghosh The trade does stock up ahead of the season. That is obviously a feature of how the market behaves. And if unseasonal rains arrive, then obviously, the trade is holding higher stocks than they would have anticipated at this point in time.

Having said that, it is our belief that it's not like the season is gone. It's just that it shifted. And I think we do have to understand that this is not a one -off in the future. It is quite possible that the timings of seasons will move. We've had extended winters, we've had shortened winters, but that's the trade, that you have to have an agile system, growth and your supply chain as well as at the front end to be able to deal with these. And yes, I do think that as the weather gets warmer, this will get addressed. And it is beginning to get warmer in some parts of India. Again, somebody was asking about supply chain earlier and new greenfield, etc. This is, again, an indication that you need to have an agile system, which is quickly able to pivot as you go forward and everything helps, everything that you can do to get that helps.

Aniruddha Joshi Yeah. Next, we have a question from Bhoomika Nair (D

AM Capital) . Please unmute your line and go ahead with the question.

Bhoomika Nair Yeah. Hi, so my first question is on the margins that we are seeing in the Lighting segment, which is driven by an improved mix as you had alluded earlier. Now is this something which Crompton Greaves Consumer Electricals Limited

May 15 , 2025

Page 12 of 16 is very specific to this quarter where we've seen this sharp jump? Or is this something that we can now start seeing an improvement towards these high double -digit or teen -levels kind of margins?

Kaleeswaran

Arunachalam See, Lighting as a segment, if you look at it, we have been calling out clearly for the last six or seven quarters. Prima facie price decline is not something in our control from an output product perspective. And we have been sharp enough to ensure how do we make some of these products fit -for-purpose. You know that our flagship cost reduction programme, Unnati, is helping us to ensure that both direct and indirect costs, not only at lighting level, but across the organisation has been reduced.

Third, our mix is improving compared to where we used to be in our LED bulb led category. We are moving towards panels and ceiling. That is also helping us to move the margin model. Now the idea, as we always talked about as part of the Crompton 2.0 strategy is not continuously expand the margins. It is also to look at growth. Some part of this margin, we have started to reinvest behind the brand. For Lighting as a category specifically, you saw some of those campaigns that were run during last year. We will be accelerating that during the course of this year to ensure that we are able to capture the revenue growth opportunities, too.

Promeet Ghosh And by the way, the margin improvement is despite the fact that we've stepped up investments in the brand. This is despite the fact that we've made more investments in the brand. And we will continue to do that. But these are not sudden one -offs that have happened in this quarter too. Fundamentally, in every business, you have to strengthen your profitability position so that you can give back.

Bhoomika Nair Understood. So basically, the Lighting where there was a lack of growth either in terms of top line or in terms of the margin profile, that is coming back towards a balanced growth. That's the way we should think about it as we move ahead.

Promeet Ghosh That's right. Also, I'd say that some of the growth initiatives, which are adjacent to lighting will also now get announced as we get comfortable with the fact that the lighting business is back on track.

Bhoomika Nair Sure. My second question is on Butterfly. We've obviously done a very good job. We've seen an improvement in terms of our margin profile and double -digit growth with margins further improving to historical 9 %-10%?

Kaleeswaran

Arunachalam I think if you look at it, we called out a strategic road map for Butterfly about a year back, somewhere around last year Q4, where we said the first job that we need to do is get the channel mix right, get the pricing actions right and get some of the go -to-market work started, also get the team in place. And we said that end of Q4, we should be able to arrest the decline and get back to growth path. Phase 1 has been well done, and we are on the right track, and it is moving in the right direction. So, in far as Phase 2 is concerned, which is effective FY26 Crompton Greaves Consumer Electricals Limited

May 15 , 2025

Page 13 of 16 onwards, we did talk about in the previous question that there is a brand repositioning and a bunch of NPDs that are going to get into the market in a differentiated route. We expect this one to augur or augment the revenue growth. Our endeavour in Butterfly is to grow the revenue in double -digit and start expanding margins. We are at about 7 -7.5% EBITDA margin. The idea is to take to about 8 -8.5%, but that's also on the back

of significant

investments will go behind the brand, considering FY26 is going to be a year of relaunch and repositioning.

In the medium to long run, in the next three to five years, we expect Butterfly to grow at about mid-teens and reach close to double -digit EBITDA margin.

Bhoomika Nair Sure. So that's very helpful. Thank you very much. All the best.

Kaleeswaran

Arunachalam Thank you.

Aniruddha Joshi Yeah. Next question we have from Natasha Jain (Phillip Capital) . Please unmute your line and go ahead with the question.

Natasha Jain Yeah, hi, this is Natasha from PhillipCapital. So, I just have one question. The last time when we had come for the Investor Meet, you had showcased the 5 -star induction fan. Now when I

went to the channel, I did find your products, but I could not find out her 5-star indexed fans in terms of your competitors. I know the season has been lean, but can you just give us a feedback how the channel is accepting that? That's it. Thank you.

Kaleeswaran

Arunachalam So, when we talked about the HS 5 Star, as we said, it's an industry first. The idea is that 5-star is probably your best energy saving fan under an induction motor, which is similar to BLDC. The market today is positioning this largely towards BLDC as a segment to drive energy efficiency. But consider that one is on an induction motor platform, and one is on electronic platform, the durability and the consumer experience is far better in the induction motor 5-star. So, we have been one of the pioneer to start the initiative towards this. And at a point of time, we expect this to scale up at the industry level also.

Natasha Jain That's it. Thank you so much. That's all.

Aniruddha Joshi Yeah. Next, we have a question from Ashish Jain (Macquarie). Please unmute your line and go ahead with the question.

Ashish Jain Hi, good evening. My first question is on the solar rooftop panel business opportunity that you spoke about. Can you give some more colour on both sourcing and distribution? And at least in the initial period, will it be margin accretive for us given it would be more outsourcing-based business to begin with?

Kaleeswaran

Arunachalam See fundamentally, as we talked about earlier, it's a market size, which is a target addressable market of about Rs. 20,000 -25,000 Cr. From an overall ecosystem perspective, we did do something similar in solar pumps. In about five quarters, we have reached a run rate of almost, Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 14 of 16 say Rs. 240 Cr per annum. And the business is highly profitable and cash accretive as we have seen it time-after-time and multiple tenders that we have participated in solar pumps.

Now coming to solar rooftop, one of the fundamental differentiator is going to be having a very strong brand that is going into the household. And many of the Indian households have grown with the brand Crompton. And therefore, that brings in a lot of trust for a consumer to go with a rooftop, which has got Crompton on it. So that's the first reason.

Second, our distribution is very strong, both in B2B and B2G. We have got very strong experience that has been built in over a period of time across categories, prima facie led by lighting first, and then we have got this through in solar pumps also. From a sourcing perspective, I don't think so that's a big differentiator. Category after category, we have demonstrated our capabilities to do a very good model of outsourced vendor sourcing at the same point of time, ensuring that the quality and consumer experience is not compromised. And equally, when time is required, we have also not shied away getting into in-house.

Right now, it's going to be an outsourced business. Brand Crompton is going to play a significant role to make an inroad into this category. And it is a business that will be margin accretive, similar to what we have seen in solar pumps.

ar pumps.

Ashish Jain Kaleesh, just one clarification, like how much of this business is incentive or tender-based? And how much is government support directly or indirectly driving growth or demand in this sector today?

Kaleeswaran

Arunachalam Yeah. See, as we discussed earlier, we talked about EV, which went through a FAME 1 and FAME 2 and similarly, solar pump, which is going through a PM KUSUM scheme. This is also starting with an initiative from the Government of India, which is a subsidy-driven business. The payback for the consumer is very strong, which is what is driving move towards solar rooftop compared to other modes of electricity.

But again, as we have seen in EV and as we would see at a point of time in solar pumps, this would also become mainstream even when the government initiative or subsidy goes away. In the medium-term, we don't see any challenge of a government subsidy going away. As we all know, the initiative was just started in FY24, announced by the Prime Minister. So at least for next four to five years, the subsidy is here to stay. But our hypothesis is that the business will be independent after the subsidy also.

Promeet Ghosh Since the question is repeating about how you build up sales in a product like this. Remember that this is a product that the consumer is spending Rs. 1.5 lakhs, Rs. 2 lakhs and the trust is a key part of the element if you want to buy a product like this. And I don't need to tell you that we have a very different consumer brand for that exemplifies trust in home electricals.

Also remember that this is bolstered by the fact that on a service, the product should be quickly serviced and so on and so forth. And I think the consumer experience over the last 85 years, together with the capabilities that we have in sourcing and in execution will stand us in good Crompton Greaves Consumer Electricals Limited

May 15, 2025

Page 15 of 16 stand. This is a little bit different from the solar pumps business where this is a direct

engagement with the consumer. And actually, the cash flow characteristics of this are even better than the solar pumps business, because the money is pretty much paid upfront.

Ashish Jain Got it, Promeet. Thank you so much.

Aniruddha Joshi Thank you. That was the last question for the day. I thank the management on behalf of ICICI Securities and hand over the call back to the management for closing comments. Thanks, and over to you.

Kaleeswaran

Arunachalam Thank you, guys. Thank you, folks. I think quickly to summarise, we started Crompton 2.0 about two years back. There are four key facets we announced on as part of it. One is on our entire lighting turnaround, which is now complete. The second was getting Butterfly back on track. We are seeing green shoots of that. Third is working on supply chain. We did announce a greenfield project that is going to be coming in very soon. And the fourth is on GTM transformation. That's also another area where we have started work. We will talk about that in detail in the coming quarters. That's all from our end, and thanks a lot.

Promeet Ghosh Thank you.

Call: Aug 2025

Crompton Greaves Consumer Electricals Limited
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Date: August 13 , 2025

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 73/202 5-26 Our Reference: 73/2025-26

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated July 24, 2025 , and August 07, 2025 , regarding the
Earnings Call on the Una udated Financial Results for the quarter ended June 30, 2025 , held on
August 07 , 2025 , please find enclosed herewith the transcript of the same.

You are requested to take the above information on your record.
Thanking you,
For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Encl: A/a
Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 1 of 13

Crompton Greaves Consumer Electricals Limited
Q1 FY26 Investor Conference Call
August 07 , 202 5

MANAGEMENT: MR. PROMEET GHOSH – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CROMPTON
GREAVES CONSUMER ELECTRICALS LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF
FINANCIAL OFFICER – CROMPTON GREAVES
CONSUMER LIMITED ELECTRICALS LIMITED

MS. SWETHA SAGAR – CHIEF BUSINESS OFFICER –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED
MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS &
CORPORATE COMMUNICATION
HOST
ANALYST: MR. BHAVANI KUMAWAT – AXIS CAPITAL

Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to Crompton Greaves Consumer Electricals Limited Q1 FY26 Investor Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Bhavani Kumawat from Axis Capital Limited. Thank you, and over to you.

Bhavani Kumawat: Yes. Thanks, N eerav. Good evening, everyone. On behalf of Axis Capital, I welcome you all to Crompton Greaves Consumer Electricals Limited Q1 FY26 Earnings Conference Call. Today, we have with us management represented by Mr. Promeet Ghosh, Managing Director and Chief Executive Officer; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; Ms. Swetha Sagar, Chief Business Officer, Butterfly Gandhimathi Appliances ; Ms. Natasha Kedia, Head Investor Relations and Corporate Communication.

We thank Crompton for giving us the opportunity to host the call and would now like to hand over the floor to MD for his opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, sir.

Promeet Ghosh: Good evening, everyone. Thank you for joining this call. And thank you, Axis Capital for hosting this call. My colleagues on the table have already been introduced by Axis, and I'm sure you're familiar with them . So, I'm not going to introduce them again. Let me quickly jump into the quarterly earnings .

Before I dive into the details of the financial performance and the business performance this quarter, there are a few highlights that I do want to talk about. The theme of the Q1 results, we believe reflects our continuing resilience and agility. We do believe that our performance is ahead of the industry in various categories. And we know that we have recorded market share gains on a YoY basis.

Our high-growth categories, solar pumps and small domestic appliances led the way with SDA growing not only faster than the industry, but also a strong double-digit numbers. Significantly, our solar pumps business also demonstrated a very strong growth momentum. We, earlier in the quarter, secured the largest ever single order of Rs. 101 Cr. in solar pumps from the Maharashtra Energy Development Agency, demonstrating the continued strength of our position in solar pumps.

In the back to growth categories, areas that we've been focusing on over the last few quarters, lighting remained stable despite headwinds from continuing pricing pressures. Revenue was flat, while Butterfly grew in line with the market and expanded its market share in core categories. We also have a bunch of businesses which have high exposure to season. These are categories like TPW, residential agri pumps and air coolers. While the industry saw a sharp slowdown. We also saw a slowdown due to the shorter than usual summer season and erratic monsoon pattern. However, the company performed relatively better, we believe gained market share. Despite the challenging environment on an overall basis, we have held on to our material margins.

Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 3 of 13

I'd also like to highlight two major strategic priorities that are shaping Crompton future. First, we have embarked on a transformational journey, building on our Go-To-Market strengths. The focus is on expanding reach, improving counter share and enhancing consumer advocacy powered by stronger sales fundamentals, digital enablement and capacity development.

All of you know, that our products both impact and are impacted by the environment. Climate change is altering demand patterns and driving changes in consumer behavior. At the same time, we are mindful of the environmental impact of

our products. As an industry leader, we are committed to delivering products that not only meet but also anticipate evolving consumer preferences. We see sustainability not just as a responsibility, but also as a driver of smarter choices, sharper innovation, product differentiation and consumer affinity. Doing good in business and doing well for shareholders is inextricably linked to also doing well for the

environment. Importantly, we have both the scale and the capabilities of being able to offer sustainable products at affordable price points to consumers. We believe this is a major differentiator. Accordingly, we are today announcing ambitious sustainability goals, reflecting our commitment to responsible growth. By 2035, we are committing to reducing our Scope 1 and 2 greenhouse gas emissions by 50%. Additionally, we are also committing to reduce by 60% the emission intensity per unit of sales of our product by 2035, most particularly in our highest selling category, the fans category.

With that, let me get into the nuts and bolts of how we performed the last quarter. As you are all aware, weather-related disruptions clearly had an impact on the industry as they had with us.

Our revenue this quarter on a standalone basis stood at Rs. 1,819 Cr. Material margins remained healthy, reflecting sound financial management and adaptability in a demanding environment. EBIT came in at Rs. 155 Cr and EBIT margin at 8.5%. This quarter, we also became a zero-debt company, having fully repaid the last loan that we had of a Rs. 300 Cr NCD. We, of course, remain a healthy net cash positive company. This underscores our commitment to financial discipline and long-term value creation. Our PAT for this quarter was Rs. 125 Cr with PAT margin at 6.9%.

Moving on to business specifics. In the fans category, performance was subdued, largely because of seasonal disruptions. However, we had a series of innovation-led launches. These included Fluido, Niteo and Nucleoid. These not only resonated well with consumers but strengthened our premium portfolio and brand position. While the ceiling fans category witnessed a downturn, we do believe that we did better than the industry, leading to market share gains. The TPW fans and air coolers businesses, both highly exposed to weather, witnessed a decline in line with industry levels.

In pumps, the business continued to see very strong momentum in the solar pumps segment. Our business has doubled over a similar period since last year. We successfully executed orders, and we have materially grown our order pipeline even apart from the order that we have publicly disclosed of about Rs. 101 Cr, which is the largest order we ever got. Agri pumps and residential pumps both, of course, got impacted by unseasonal rains. Having said that, we do believe that we are performing well in these segments compared to industry.

Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 4 of 13

In appliances, the small domestic appliances business delivered strong double-digit growth, as I mentioned earlier. This is a business that has been demonstrating strong double-digit QoQ growth for the last several quarters and that has sustained in this quarter as well. The growth was underpinned by demand for our mixer grinders as well as for our induction cooktops. In large domestic appliances, we introduced an industry first 2000 TDS-certified anti-scaling technology in water heaters, backed by a whole lot of innovation work that we've done to come out with this product. While the air coolers business, again, this was the high season for air coolers and like everyone else, our business was impacted. Large kitchen appliances recorded a sales of Rs. 15 Cr and seems to have added and seems to be getting strong resonance with consumers in the cooktop segment, a slew of products being added to our cooktop range and that's doing very

well. We have also broadened our chimney range in the large kitchen appliances business.

On to lighting. Industry-wide price erosion persists. Despite this, revenue was stable at Rs. 232 Cr. Remember, this is pure lighting products that we have currently in our portfolio. The standout this quarter was a sharp improvement in profitability. EBIT rose 41% YoY to Rs. 29 Cr. with margins expanding 370 bps to 12.6%. This is the result of our continued focus on improving product mix as well as operating efficiencies in our lighting business.

Our B2B lighting business was a key driver this quarter, delivering double-digit volume growth led by commercial, flood, high mast and poles categories. We also secured several project wins in the industrial segment, which contributed meaningfully to the performance. In the B2C segment, outdoor and decorative lighting witnessed traction as we continue to pivot towards higher-value designer-led design-led offerings.

Moving on to Butterfly. We have an exciting update. This quarter, we unveiled a refreshed brand positioning for Butterfly. Now as you know, Butterfly has been through a continued transformational trajectory and this is the latest update on that trajectory. We unveiled a new brand positioning, which is built around the philosophy of celebrating change. You've probably seen the new Butterfly brand logo, which talks about this. This positioning is designed to resonate with evolving consumer aspirations and is supported importantly by a series of innovative product launches under the Idea's first series with over 40 SKUs being introduced aimed at strengthening Butterfly's premium and differentiated portfolio.

Butterfly's growth revival continues. Its growth trajectory is in line with the industry. Revenue rose 3% to Rs. 187 Cr and there was strong traction in mixer grinders, glass tubes and pressure cookers, all of which are the core business of Butterfly. In each one of these core categories, Butterfly gained share. EBITDA grew 39% YoY reflecting the product mix and operational

efficiencies.

Overall, our kitchen portfolio, which includes Butterfly, SDA and large kitchen appliances performed very well this quarter. We continue to harness our brand equity and innovation capabilities to drive differentiation across categories. Our consumer-centric design approach backed by in-house R&D and marketing excellence has enabled us to launch high-impact products that address evolving consumer preferences and also reinforce our leadership in key segments.

Crompton Greaves Consumer Electricals Limited

August 07, 2025

Page 5 of 13

With that, I will conclude my preliminary remarks. I assume you have also seen the presentation that has been put up on our website and there is also a press release. All of us here are happy to address questions that many of you may have. If I may ask of everyone please restricts your questions to one or two. If you have more questions please come back into the queue and allow other people to ask questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from line of Siddhartha Bera. Kindly provide your company name and proceed with your question.

Siddhartha Bera : Yes. Thanks for the opportunity. This is Siddhartha from Nomura. Sir, my first question is on the growth, if you can provide some color about how has been the growth or decline in the categories like fans, pumps and SDA in the quarter. And if you look at these categories which are more impacted like the TPW and air coolers, what percentage of our ECD revenue will be reach in the quarter?

Kaleeswaran A.: Siddhartha, if I understand your volume was a little feeble. If I understand the question, you wanted to know how the individual segments under ECD have performed and within this, how the seasonal categories has performed. Is that right?

Siddhartha Bera : Right.

Kaleeswaran A.: So one, as you know, we don't give specific details, but I just want to give you a few color on the overall ECD performance. Our ECD business has declined by about 8%. But when we did an industry benchmark, we saw the industry decline at about 11%. And then we collaborated with that, we saw significant progress has been made on market share across all the categories that we are in.

Now individually, if you look at it, a large part of this decline is attributable only to seasonal categories. Seasonal categories, I mean here would include table pedestal wall packs, air coolers and residential pumps. These are the categories that is impacted by the decline. If you look at our growth categories, which is solar pumps, we have doubled our business YoY.

Our SDA business, which we have been investing over a period of time continues to grow at healthy double-digit growth. It has got a trajectory of growing at about 15% to 18% and we are continuing on that. Our back-to-growth categories, which are two focus areas that we called out earlier, lighting is ahead of the industry growth and Butterfly is continuing to grow back on the growth track for the last two quarters.

So fundamentally, Q1 performance is largely impacted by seasonal businesses and significant amount of this decline is attributed to TPW and air coolers. Now within TPW and air coolers, if you look at industry benchmark, we have gained market share in both the categories, which means that our performance is superior compared to where the industry delivered for Q1.

Siddhartha Bera : Understood, sir. So, second question is, again, I mean, if we go ahead, given that this unseasonal impact is likely to be restricted only to Q1, are we seeing any green shoots of improvement now as we go ahead into Q2 for these segments? And second, again, is on this fan, we did showcase

Crompton Greaves Consumer Electricals Limited

August 07, 2025

Page 6 of 13

and launch multiple new categories across induction and BLDC fans. So, what percentage of the revenues are currently being contributed by these categories? And how should we look at the ramp-up going ahead for these categories?

Kaleeswaran A.: Yes. So let me take this into two or three buckets. From a macro perspective, we see that the long-term demand is pretty much intact, and we see the long-term demand is positive. And across categories, we believe there is right to grow for us on various initiatives that we have been discussing in the past.

On top of it, we have also talked about a few new categories that we are entering, one of them being solar rooftop that we announced in last quarter. You will also see progress update on this as we move forward in the coming quarters. Now within the segments that you talked about, particularly you wanted to know about fans and some of the new category announcements or subcategory announcements that we made in the new platforms. We are very pleased to share with you that the two new launches that we have made on BLDC under the Nucleus platform,

Nucleoid plus the other SKUs doing extremely well. We are actually not even completed a pan-India launch on that because demand is outweighing supply. We are trying to see how do we cater to the demand as we move forward. It is doing very well. And as you would know, we continue to be the number two player in BLDC and endeavor is to become the number one player in BLDC. And these launches are pretty much supporting us. And there are a few more launches planned in the subsequent quarters within BLDC to strengthen our portfolio presence and drive on the BLDC category growth and further gain market share.

Promeet Ghosh: To answer your question, Siddhartha, I suspect this is a question that has come up repeatedly. I will tell people the broader indications from the market are also positive .

Siddhartha Bera: Great to hear that, sir. Thank you a lot. I will come back

in the queue.

Moderator: Thank you. Next question is from the line of Aniruddha Joshi . Kindly proceed with the company name?

Aniruddha Joshi: Aniruddha Joshi from ICICI Securities . Sir, two questions on solar pumps. Congrats for the great set of numbers. In terms of if you can share more details regarding the business model, how are we doing the sourcing arrangements? Again, what are the margins in this business? And again, what are the working capital? Are these numbers closer to what Crompton's consol numbers are? And secondly, in terms of rooftop solar, which you alluded to in earlier quarter, we are entering in rooftop solar , So any further progress updates, if you want to share on that? Yes . Thanks. That's it from my side.

Promeet Ghosh: We are responsible for the entire product. The installation is executed by a partner of ours, okay. This is the model that we followed , one partner. This is the model that we followed for the last two years. In so far as margins are concerned, at the EBIT level, the margins are very similar to the overall margin that Crompton records. And working capital in this business is, what should I say, is comparable to the working capital that we have in other businesses. Return on capital in this business is strong . I should clarify here that the way that we've been going about our business is why even as we ramp up our position in the field, we've obviously also Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 7 of 13

simultaneously been careful about how we ensure that the essence of the business and the business fundamentals remain very robust.

Aniruddha Joshi: Okay. Sure, sir. And on rooftop solar, if you can indicate about the launch ?

Promeet Ghosh: Yes. So, I think, as we said, we are entering this business. Needless to say, we made the announcement after we've done a bunch of work on how we are going to execute, building the team for that, building up the supply chain for that product. As and when we secure orders, we will come back and disclose the m to you.

Moderator: Thank you, sir. We'll take the next question from Natasha Jain. Natasha, you can go ahead with your question. Thanks.

Natasha Jain: Yes. Hi, sir. Good evening. Sir, my first question is on the ECD segment. Now, barring fans, your pumps you said have done very well. Appliances have done very well. And I presume appliances, again, is a very high margin business here. Then if I remove those two, probably the de-growth in terms of fans is sharper when I talk about margins. Now, that number when I compared to your peers, I think, probably, we have underperformed some peers, given that all the peers' numbers are out. So, we've been talking about a lot of new product developments on the BLDC side. These are high margin products and then fans comparatively is slightly less seasonal than other product categories. So, that BLDC should have probably saved our margins a little more. So , can you explain is this completely reverse leverage or something else is kind of pulling the growth here downward?

Promeet Ghosh: No. Actually, Natasha, I'm not sure the conclusions you arrived at are robust . Insofar, let's take each one of these in turn. You said that the appliances business has strong margins. The answer is that it has good margins, not necessarily better margins than our fans business or our pumps business . The overall movement in margins in fan is very similar to the movement in margin products in our ECD business. In fact, it is not at all particularly impacted.

Insofar as each one of these businesses is concerned, there are seasonal products and non-seasonal products. In the fans business, there is the ceiling fans business, which is more replacement, and therefore, less seasonal, but seasonal nevertheless. Having said that, there is the TPW part of the business, which is very seasonal. A significant portion of our annual TPW

sales happen in the first quarter. In ceiling fans also, the first quarter is the best quarter. And by the fact that replacements happen most particularly when the weather is warm. Now, insofar as our pumps business is concerned, again, pumps is related to water scarcity. We have three segments that we are in. There is solar pumps, there is residential pumps and agri pumps. Both resi and agri are impacted by weather. Not in this case by hot weather, but by

extensive rains . In fact, you would have noticed that even the solar pump business is impacted by unseasonal monsoon rains. So, our own estimate is that the solar pump business has at best on an industry level been flat. Our performance is a different matter, right . So, I would certainly not make the attributions that you are making, Natasha.

Natasha Jain: Fair enough, sir. I appreciate your detailed answer on that. It helps in terms of understanding a little further. Just last question on fans again. I mean, can you call out how's the inventory as of Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 8 of 13

now and any festive feelers in terms of the other appliance category? How are we seeing them and any green shoots on the ground? That's it.

Promeet Ghosh: Yes, Natasha. I'll go back to saying what I said earlier and so far the indication. Yes, the indications are positive. What we've seen so far in this quarter, indications are that we have some green shoots going forward. The second question that you said was what the fans inventory is , yes, there is fans inventory in the channel. It's beginning to clear and that's also hit by some of the green shoots that you're seeing. What tends to happen, I do want to clarify this and sometimes I think we underestimate. The channel is the same channel. Sometimes the channel is the channel which has fans. It also sells water heaters. It also sells air coolers. It also sells TPW.

Occasionally, there is overlap with other products as well. And when the season doesn't go off, as well as was anticipated, then inventory buildup means that the ability of the channel partners to invest also gets constrained. So, it does tend to impact businesses which are not explicitly seasonal.

Natasha Jain: Fair enough, sir. That's all. Thank you so much.

Moderator: Thank you. Next question is from the line of Umang Mehta from Kotak.

Umang Mehta: Hi. Thank you for the opportunity. Sir, just on Butterfly , you had a slightly slower start, but would you still hold on to your guidance that you look at double -digit growth this year? That's the first question.

Kaleeswaran A.: Yes, that's what we're looking at Umang. The trajectory is good, while the quarter ended at a single -digit growth, but the exit of the quarter already gave us positive indication towards double -digit growth.

Umang Mehta: The second one was on the new category foray. So now we see that you've made some changes in your MOA and a whole host of categories are added there, including large durables. I mean while obviously, you can't share which categories they are, but can we safely assume that large durables is not being considered at this point?

Kaleeswaran A.: Yes. Large durables is not considered at this point.

Umang Mehta: And just the third one was on solar rooftop. Any broad aspirational numbers you can share? I mean I know it's early days, but any feelers you've got from your performance ?

Kaleeswaran A.: See the way I would like to put it across is , you have seen the acceleration that we have done in our solar box business. From 1x to 4x in one year. And already that 4x, we will be feeding it down pretty early in the year as we look at the current financial year. That's the kind of scale that we have. Probably we didn't have an experience in solar when we started solar pumps. Today, we have got a library of business execution capabilities that we have built both on the technology side

de, procurement side and on SITC. So our aspirations are high. And the category size is also pretty high. Total addressable market is available here for us to take a meaningful market share and grow.

Moderator: Next question is from the line of Achal Lohade from Nuvama.

Crompton Greaves Consumer Electricals Limited

August 07, 2025

Page 9 of 13

Achal Lohade: Sir, just building on to the solar pumps part of it. Can you help us understand given the PM - KUSUM, the scheme is ending in March'26, what is your thought process on this particular line of business? What shape and form and size are you looking at? What are the figures you're getting from the government agencies? That's my first question.

Kaleeswaran A.: Yes. See, fundamentally, our understanding is, yes, today, there is a good amount of pie facilitated by the PM -KUSUM scheme. We also need to keep in mind this initiative is not only towards saving the energy cost for the government and moving into sustainable power. It is also to ensure that the power availability is continuous for the farmers.

Today, if you look at the rural areas, continuous powerability is a question mark. Farmers end up spending reasonable amount of money in buying diesel. And today, for example, if they have to trade that off to a solar pump at an affordable EMI, the payback would be around 2 to 2.5 years. So that's one case is without subsidy, right . So fundamentally, one, we have already seen how FAME -1 and FAME -2 has played out in EV. Even when the subsidies are off, the initial trajectory has showed that the sector is moving towards EV. So we do think a similar thing is

what would happen in solar pumps also. Subsidy is an initial pickup, but keeping the consumer or a farmer requirement here, which is beyond free electricity, but more about continuous power availability at an affordable cost of operation, solar seems to be much more sustainable than agri. Second, to look at this over a period of time, you will find that agri market itself will transition into solar. On an annual basis, you see agri market has got a potential to scale up to USD 4 billion to USD 5 billion. Today, solar is very, very small compared to that as an industry size. So, it's a few state phenomenon.

As this moves into a national plan, as this moves into replacing agri, we see the headroom for this category to grow even stronger with or without the subsidy.

Achal Lohade: Got it. The second question I have, if I look at in terms of the seasonality, so one part is the fans, which has gone by. Obviously, there would be some regular sales as well. But if I see from a seasonality perspective, the pumps will see an impact given the rains are abundant. So I presume even agri pumps also takes a hit and so is the case with the residential. Is that understanding right?

Kaleeswaran A.: Yes. Pr omeet mentioned it a little earlier. Solar pumps even, for example, if you look at industry as a whole at best was flat, but we have doubled our solar business. So yes, there are certain segments where you will find that as to yes , the weather does play a role in this entire thing. But by and large, the impact was significantly higher in air coolers and T PW. So, if I take air coolers, TBW and to an extent, residential pumps, rest of the portfolio at an aggregate level, we have grown t he business in Q1 also.

Achal Lohade: Understood. And just a clarification, fans, what is the extent of decline for the industry and for us broadly?

Kaleeswaran A.: No, we don't give specific data. So, we have gained market share. That's the way we are looking at it. We have gained market share both in TPW and in ceiling fans. That's the indicator that probably we have done better than the industry. So, as we said, the way we need to look at this, Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 10 of 13

we have kept our financial model tight, which is why t

he material margin has been held up in

spite of where the industry has been and have also been prudent in our overall spending.

Therefore, we could ensure that the overall impact on a season or a season like this is not fully impacting the overall gross margin or PAT delivery. But aside that, market share gain is the right way to look at it where we see that is on the positive dire ction.

Moderator: Next question is from the line of Praveen from PL Capital.

Praveen: So it's maybe a repeat question because in the MOA, you had mentioned a lot of products where you are not in actually, whether it's a drone or several products. So I just wanted to know like because the several products which are mentioned in the future, do you believe want to venture out in such products?

Kaleeswaran A.: I think there was similar to the question that was answered last time, large durables is not something that we're looking at. But having said that, over a period of time, there are categories that we think there is right to win beyond that. It is not neces sary to state that all those categories we will be entering it. It is basis a priority, it is basis unit economics, scalability for us and the right to win. And as we discussed about this in the earlier calls also, we wouldn't be getting into a category on a participatory basis. The idea is to , can we become a top 3 player in that. Those are the criteria on which will be looked at.

Promeet Ghosh : I think we've said this before. Obviously, there are a whole bunch of things that are actually and so there's only that much that you can read into that MOA. Importantly , I want to reiterate that the Crompton brand is strong. The Crompton right to win in various categories is also robust.

Having said that, the policy that we've been following is that when the time is right, we make an announcement about entering the category, not beforehand, that doesn't make sense, right . So, it is true that also over the last 2 years, we have spent a fair amount of time in strengthening our capabilities in various areas. So yes, we will enter new categories, which those are, I'm sorry, I cannot tell you just now, but you will progressively see. And when we do enter those categories, it will be with the belief that we can be one of the leading players in those categories.

Praveen: Next question is related to Butterfly. As you had mentioned, the 40 SKUs ha ve been launched and you are focusing on the major 3 categories there . Is there any geographical expansion is also on the card?

Promeet Ghosh : Shweta, you want to take that, please? Yes. Maybe you also want to give him a sense of the introductions as well as the brand re -launch , I wouldn't be doing enough justice to that.

Swetha Sagar : Sure. So before that, I think just a quick view into our journey into the new brand Refresh that we have gotten. I think Butterfly had a journey of about 40 years, and we are here in the kitchen appliances business. Post our understanding of how we would want to take Butterfly in the next

5 years and 10 years, I think the first one that we wanted to address was what space that we would occupy with the consumer 's mind space . So, from there, I think we did speak about our human study that we com menced about 1.5 years, understanding where consumers are moving

to their attitudes towards life, kitchen, home and various other things. So from there, it became Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 11 of 13

very imperative for us to be a brand that speaks to the generation today and tomorrow. It was very important that we redefine ourselves but yet stay rooted to what you are as a brand. And that's how we moved into the positioning of getting into celebrating change. Basically speaking to the millennials, the micro generation between millennials and Gen Z who look forward to what's in it for future, but yet rooted to the space where

they are today. So predominantly from there, then it called for a revamp in the way the look of the brand is basically, starting from the pneumonic to the logo.

So, then we started working around the whole piece of celebrating change. And we came up with a pneumonic where the fingerprint of the individual gets converted into a Butterfly, and that's how we came up with the pneumonic, basically emphasizing the fact that as individuals, we might change, celebrate change that's happening around us, but the core of the consumer or the personality doesn't change. And that's what Butterfly is also about. Quite individualistic and very specific to you, which doesn't change, but then you as an individual evolve with the environment around it. So celebrating change calls for taking it forward to the consumer in terms of experience also needs a variety of portfolio interventions, first of which is the revision of our brand architecture that we spoke about that we are working on in the last quarter.

Out of which the first, the Idea First series, a completely new set of products, which are industry-first innovations, talking and solving problems with very specific to consumer problems, which are very thoughtful and that make a real difference to the consumer's lifestyle. So those products are right now in the key categories, which are mixer grinders, gas stoves and pressure cookers.

So that's how the new brand launch and the portfolio expansion has happened to us.

Now coming to expansion outside of South, Butterfly even today plays outside of South and considerable business does come from outside of South because we are a strong brand, a strong player in e-commerce and e-commerce is available in multiple other places outside of South and we serve as per the pin codes that are available. Having said that, the new portfolio and the new brand Refresh helps us accelerate our business thought process in non-South as well. So, we will be looking at increasing our market share and going as per whatever is our milestone that we have laid for ourselves outside of South that's all.

Moderator: Next question is from the line of Keshav Lahoti. Kindly unmute. Provide your company name and proceed with your question.

Keshav Lahoti: This is Keshav from HDFC securities. Sir, the EBITDA margin guidance which you have given for Butterfly slight improved by 100 bps in this year that still holds after weak Q1?

Promeet Ghosh: Yes, that holds.

Keshav Lahoti: Got it. Is it possible to get to know more about each segment, possibly how much would be the seasonal category in your overall revenue mix?

Kaleeswaran A.: See, we don't give a specific impact to that data. Allow us not to share that, Keshav.

Promeet Ghosh: Keshav, again I want to reemphasize something I said earlier. It is not a great exercise to only look at what the seasonal demand categories are, right? The seasonal demand categories are

Crompton Greaves Consumer Electricals Limited

August 07, 2025

Page 12 of 13

TPW, air coolers and pumps, resi and agricultural pumps. But the kind of season that we have does have an impact on other areas as well. I mean to give you an example, if you are anticipating a great air cooler season and you don't sell as much of air cooler, not us, but the channel does tend to have large quantities of spare constraints, glass space being occupied by air coolers, which also has an impact on the rest of their sales. We're not only talking about the cash rotation. So I think you need to look at it in a slightly more broader context.

Keshav Lahoti: Right, sir. I agree. And last question from my side. So what is the capex for upcoming one to two years? And the greenfield you are expanding, so, can you give us some sense on greenfield, when it will commence, what will be the capex outlay?

Promeet Ghosh: Yes. So we have announced that we are going to put up a greenfield unit, which is going to

ing to

manufacture for India and abroad. Our indicative capex for that unit is about Rs. 350 Cr. That should be spent in about 2-3 years.

Keshav Lahoti: And when you plan to start this?

Promeet Ghosh: You will hear soon enough on that.

Moderator: Next question is from line of Deepak from Unifi Capital.

Deepak: Sir, first question on the ECD segment. You mentioned that we have seen green shoots in pumps

and fans. So is this an industry affair or specific just to Crompton? And if this is the case, if you can help us with the growth that we should be looking at for the remainder of the year for the ECD segment?

Promeet Ghosh: We are not going to give you a forward guidance on what for the year is. As to whether this is an industry phenomena or a Crompton phenomena, my sense is that there is some broad-ranging green shoots. How much of that is Crompton special phenomena? Frankly, with in our pocket, I can't really tell you. But my hope and belief is that going forward, it will be a broader phenomenon.

Deepak: Sure. Okay. The second question is on the Lighting segment. We have seen good margin recoveries at least in the last 2 quarters. So just wanted to check on the sustainability of this margin profile for the Lighting segment?

Promeet Ghosh: See, let's understand. Like I told you, the margin improvement is underpinned by improvements in product mix, right. We have, over a period of time, told you that we are pivoting away from a B2C product portfolio, which is substantially bulb and battery. And we are growing our panels business, and we are growing our flood lights business and our outdoor lighting business. What you see are the benefits of those coming through. These segments now have a account for a large share of business. I could go so far as to say that panels now are the largest segment in our portfolio and these businesses also continue to grow, so you take away what you want to from the sustainability of margins in the business.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to the management for closing comments.

Crompton Greaves Consumer Electricals Limited
August 07, 2025

Page 13 of 13

Promeet Ghosh: Well, thank you very much for joining us today. I hope you were able to get answers to many of the questions that you had. In any event, if you don't, if some of these were left unanswered, you know Natasha is always at hand. And you can always circle with her and get further inputs from our side. And I must tell you, we are very excited.

And I know no questions got asked about this, but this is an important time for us because like I said, we announced that we are committing that our greenhouse footprint will half by 2035. The greenhouse footprint of our products will come down by 60%. The reason that we are able to say this is that we believe we have the scale, we believe we have the technology.

We believe we have the capabilities to be able to cater to more sustainable products at reasonable prices. That's the trick. So well, we'll see how this pans out. But I personally am very, very proud that we are able to meet that commitment today.

Moderator: Thank you very much.

Promeet Ghosh: Thank you.

Natasha Kedia : Thank you.

Moderator: Thank you, sir. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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Date: November 12, 2025

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 117 /202 5-26 Our Reference: 117 /2025-26

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated October 24, 2025 and November 6, 2025 regarding
the Earnings Call on the Una udited Financial Results for the quarter and half year ended September
30, 2025 , held on November 06, 2025 , please find enclosed herewith the transcript of the same.

You are requested to take the above information on your record.
Thanking you,
For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839
Encl: A/a
Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 1 of 18

Crompton Greaves Consumer Electricals Limited
Q2 FY26 Investor Conference Call
November 06, 2025

MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR & CHIEF EXECUTIVE
OFFICER
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL OFFICER
MS. SWETHA SAGAR – CHIEF BUSINESS OFFICER , BUTTERFLY
GANDHIMATHI APPLIANCES LIMITED

MR. RAJAT CHOPRA – BUSINESS UNIT HEAD – HOME ELECTRICALS
AND PUMPS
MR. SHALEEN NAYAK – BUSINESS UNIT HEAD – LIGHTING AND
SOLAR ROOFTOPS
MS. NATASHA KEDIA – HEAD – INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

HOST ANALYST : UMANG MEHTA – KOTAK SECURITIES LIMITED

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 2 of 18 Umang Mehta: Hi, everyone. On behalf of Kotak Securities, we welcome you all to Q2 FY26 Earnings Conference call of Crompton Greaves Consumer Electricals Limited. We have with us today, the management represented by Mr. Promeet Ghosh – Managing Director and Chief Executive Officer, Mr. Kaleeswaran Arunachalam – Chief Financial Officer, Ms. Swetha Sagar – Chief Business Officer (Butterfly Gandhimathi Appliances Limited), Mr. Rajat Chopra – Business Unit Head (Home Electricals and Pumps), Mr. Shaleen Nayak – Business Unit Head (Lighting and Solar Rooftops), Ms. Natasha Kedia – Head of Investor Relations and Corporate Communications.

Now, I hand over the call to management for their opening remarks and post that we will open the floor for Q&A. Thanks, sir, and over to you.

Promeet Ghosh : Good evening, everyone. Welcome to the Earnings Call for Q2 FY26 of Crompton. And to begin with, I want to thank Kotak for hosting this call and as you already know, Kalees, Shaleen, Rajat, Swetha, and Natasha are joining me today.

To begin with, I want to say that I am delighted to announce that Euromonitor International has certified Crompton as the World's #1 Ceiling Fan Company. This is, of course, a reiteration of the leadership position that we have, not only in India but, now across the world. It is very gratifying that we have been so validated by an international firm. Needless to say, this has many implications in terms of the scale of operations that Crompton has in ceiling fans. But that is something that we can discuss as we go along.

Firstly, now, let me get into the business itself. Many of you have seen that in the recent months, you have seen the step-up in our solar business. Initially, it was in the solar pumps business.

Now, solar rooftops are also joining the party. Since we announced our entry into solar rooftops a few months ago, there has been a flurry of activities. We are rapidly scaling up our presence. We recently secured our first solar rooftop order, which was Rs. 52 Cr. Now, that was followed by a landmark order of Rs. 445 Cr. In aggregate, the solar rooftop business has already secured about Rs. 500 Cr., about 50,000 units in the course of just a month or so. This, we believe, sets us off to a flying start in the solar rooftop business and positions us extremely well in the retail solar business also. This is something that, I think, you will see in the months and years to come.

In the meantime, our solar pumps business has also been growing very fast. Again, a business which is growing on the strength of the Crompton brand, because farmers across the country are choosing Crompton solar pumps, which has resulted in our rapidly gaining a market share now, which was about 6% to 8% nationally, all within the space of about two years. This is a business that, as you are aware, we have been growing at 100%+ YoY. These are two businesses that we are very excited about. We can talk about this at some length going forward. But we do expect that the solar business, with its strong profitability, strong retail connects, and strong return on capital, will likely become possibly the second largest business for Crompton within the next 1-2 years. So, lots of potential there.

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 3 of 18 Both, solar pumps and rooftops are high ticket opportunities, along with our core categories. They deliver, as I already said, strong unit economics, have great capital efficiency, and high return ratios. Most importantly, they leverage off the core strengths of Crompton, which is the Crompton brand, which is something that consumers have great faith in. This is particularly important because in solar business, to give you a sense, the amount of money that a family may spend on solar, let us say if you

set up a 3kW unit solar rooftop, you spend maybe Rs. 2 lakh -

Rs. 2.5 lakhs. That is more than all the products that Crompton currently sells into the home. So, if you put pumps and mixer grinders, Butterfly, chimneys, kitchen products, all of them, if you put together, they will probably add up to an expenditure of Rs. 1 lakh - Rs. 1.5 lakhs. This is a huge opportunity, and people are asking for our products by name. So, it is something that we are quite excited about. And it, of course, also leverages off the extensive distribution network that we have, and the very effective sales service network that we have.

Now, to come back to our other core businesses, before I get into reviewing the numbers, let me

say Crompton 2.0 is continuing apace. We have renewed our focus on consumer centricity. Particularly in this situation, we have, in the previous quarter, completed a very extensive U&A study i.e. usage and a attitude study. As a consumer company, as you might imagine, this is critical to how we are evolving as a company. This has also meant a considerable amount of expense. But this, to give you a sense of how extensive this U&A study was, 17,000 consumers were interviewed across the various products that we manufacture and sell, their detailed views about what they think of our brand, what they think of other brands, what they particularly take into consideration in buying various products is something that this study is thrown up. I have to say, very insightful for us. And I think what you will see in the months and quarters to come, you will see us hopefully translating this into the premiumization roadmap into the product, consumer centricity roadmap of each one of our products.

Our GTM revamp, again, a large transformation project that we have undertaken, which I have referred to, I think, from time-to-time, is also progressing well. We have a global consultant working with us. We have particularly co-created city level execution plans with field teams to run targeted pilots, alongside with a very dedicated rural acceleration program. The pilot focus is selling more in existing regions, range selling and premiumization. Early results are encouraging. We expect to see meaningful progress in our GTM plan also over the next 18 months to 20 months, and we expect that this will further strengthen our distribution as well as penetration.

Diving into our Q2 FY26 results. Revenue performance has been steady, underpinned by a 3% YoY growth in underlying volumes. We have remained steadfast in being able to not only hold, but gain market share across various categories, despite difficult market conditions.

Particularly, as you are aware, weather conditions have not been favorable. This has led, over a period, to a stocking up with the entire channel, which frequently does lead to not only impacting one product, but a few other products are also impacted because of this.

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 4 of 18 ECD has witnessed encouraging momentum across categories with market share gains. YoY, margins have been impacted, particularly in the LDA and the TPW segment because of adverse market conditions. There is also the impact of commodity price movements, which as you must be aware is something that has afflicted several players in the segment. We have already started taking pricing actions to address some of these. In fact, we were the first company in ceiling fans to announce an increase in prices, which came into effect about 24th of last month. So, we are taking the lead, as always, in pricing action, and we believe that the rest of the industry, which has also been impacted by commodity price increases, will also follow.

Our BLDC fans now is coming off the launch on the Nucleus platform, which I spoke about maybe 6-9 months ago. This led to the launch of fully indigenously developed BLDC products into t

he market, Niteo and Nucleoid. They have been very well received by the market. Our BLDC products in this segment have been growing at very strong double-digit numbers, 50%+ numbers. And we expect this momentum to continue and indeed strengthen as we go forward with further product introductions in the BLDC segment.

Our pumps business delivered a mid-teens growth, supported by solar orders of about Rs. 92 Cr. that came in last quarter. SDA has continued to grow in strong double-digits. Our kitchen business, which combines Butterfly, our SDA business, and our large kitchen appliance business, as I have said before, is the second largest kitchen business in the country and in that business, we are growing at double-digit growth, which on that scale, I do not think any of our competitors comes anywhere near competing.

On Butterfly itself, this was a standout quarter. Revenue growth, now this is something that you guys would have seen already, revenue has grown 13.6%, driven by strong channel execution and new product launches. EBITDA in Butterfly has grown at 21%. Growth in Crompton kitchen is comparable, in fact, a little bit better. So, you can see how the kitchen business at Crompton is doing.

Further, lighting has demonstrated strong performance in both top line, which is about 3.1% YoY growth; and EBIT, which grew at 50% YoY. EBIT margins in lighting, which came in at 15.5%, expanded by 480 bps YoY.

Now with that, I hope, you have had the time to look through the investor presentations that we have put out. One last point, I want to also flag to all of you. Results this quarter also have an exceptional item. For the first time, we are calling out an exceptional item, largely because of the single quantum that was spent on it. As you know, and if you do not, I am happy to elaborate, we have been embarking on a transformation of various parts of the organization.

One part of this transformation has been the restructuring of our Baroda operations. Now, in the last quarter, we incurred a cost of about Rs. 20 Cr. in restructuring the Goa operations. Apart from the restructuring, there has been a big change in the way that the Baroda operation has evolved as a consequence. This is also an operation which started earlier being a lighting

business. This is a legacy lighting products company. Over the last few quarters, it has changed
Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 5 of 18 dramatically. It is now not only a lighting manufacturing unit, it is a fan manufacturing unit, it is an L KA manufacturing unit, and soon to be also a manufacturing unit for a part of our solar rooftop business. In addition to this, this is also the location where we have set up a significant testing facility. So, that is just to give you a small glimpse of how the transformation, which is a part of Crompton 2.0, is evolving. And you, of course, heard of some of the other things that we can talk about, which is the U&A study and the GTM process. With that, I will pause, and we will take questions.

Umang Mehta: Sure. Thank you, sir. We will open the floor for Q&A. The first question comes from the line of Aditya Bhartia.

Promeet Ghosh : Hi, Aditya.

Aditya Bhartia: Hi. Good evening. My first question is on the ECD margins. While you kind of elaborated on it a bit, but the margin drop has been quite sharp and sudden and which is why I wanted to understand, is it largely only in the fans category and SDA category where in we are seeing this margin erosion?

Solar pumps and rooftop, I do not think we will be having too much of revenues at this stage.

But those are okay in terms of margins. And on the fans side, when do you expect these margins to be coming back with the pricing actions that have been taken? And is there a competition angle also attached to it?

Promeet Ghosh : Actually, I do not know how you kind of concluded that the margin dro

p is attributable to fans

and SDA. Like what I mentioned was that the margin drop is a consequence of, one, the commodity price increases in our ECD businesses . Secondly , it is attributable to the TPW and the LDA businesses. Now, as you are aware, the LDA business comprises our air coolers business, as well as our water heaters business and the TPW business. Now both are significantly impacted by seasonality . And while the channel had purchased, had stocked up some, that is impacted their ability to come back and purchase more. And I think there has been a considerable amount of competitor activity in these products. So, yes, we do expect that the price increas es that we are taking will help.

To a smaller extent in fans as we go into BEE transition, which is 1

st of January, we have also

been, obviously, going into the last quarter, it is important that we are well prepared with our inventories in the Q3 FY26 , because there is a cliff on the 1

st of January. So, some of that has

also obviously been acted upon. That , this is until the 1st of this quarter. But it is important to start working in advance and we have already started doing that. S o those are, I think, the factors which have gone into substantially explain the margin in this quarter.

There is another element here. We have significantly stepped up our investments also in transformation, which are currently not, obviously, giving the returns that come along with these

investments itself. So, for instance, we would have started spending money in GTM ahead of the impact that it has on sales, we have started spending you can imagine. These are only ones

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 6 of 18 that I am putting out there. We have also stepped up our investments in digital. Again, these are investments that you make first in various capital expenditures or whatever, expenditures that you incur in transforming your operations. So, it is above the gross margin level. I told you what the reasons are. Below the gross margin level, there is the transformation expenses that we have stepped up. Now, for the first time, because there was a combined expenditure last quarter of about Rs. 20 Cr., we are also calling that out separately. But even outside of the restructuring expenses, there are other expenses which we have incurred last quarter. These are all , I think , very important for us because they will contribute, we think , to making Crompton 2.0 happen.

Aditya Bhartia: Sure. One thing that is a little surprising is that there have been times when we have seen sharp RM inflation, but I cannot remember any time when we saw margins as low as what we are seeing in the ECD vertical. And which is why, I wanted to ask what exactly has been playing out and by when should we be expecting these margins to be recovering? The segment used to have high teens kind of margins. What should we now start expecting as sustainable margins for this segment as well?

Kaleeswaran A: So, Aditya, if you look at it, Promeet walked you through on the comparative to previous year which is, why is the reason this is a combination of our seasonal categories not bringing in the revenue, which is on a higher gross margin. So, mix on that has got adverse.

Sequentially, if you look at Q1 FY26 till now, it is largely due to operating leverage. Q1 FY26 is a large seasonal quarter, and we do not have that scale. That is the reason for it coming down.

Now, looking at from a forward perspective, what are we doing to get the margin restored , as

you would know that we did this just recently on ECD when we restored the margin back to its mid-teens level. That is our intrinsic margin and that is a portion that we want to move. This quarter, we talked about the reasons . As we move forward, a price increase has been communicated for November. There will be a few more initiatives towards that will be taken as

we move forward. Unnati is getting accelerated. So, we will look at further cost saving that needs to come in.

Some of the benefits that we have seen on ceiling fans, on cost initiatives, we may now start moving towards table, pedestal, and wall fans also. Coupled with that, there is also a mix that should help us positively on the premium side. Those are the initiatives that we are looking at. I would continue to say that from an industry perspective, when we look at it, yes, there has been a margin pressure across the industry, but we continue to lead on margin as we speak, and we are confident to restore it as we move forward with the actions that we talked about.

Promeet Ghosh : See, you do not ask us to give you specific guidance . But I will just give you another indication . The last time I was asked these questions was in March '24, right?

Kaleeswaran A.: Yes, that is right.

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 7 of 18 Promeet Ghosh : March '24, where margins had impacted. And you know the trajectory of margins . So do not ask

us to give you forward guidance, but we do believe that there are factors which have gone into the margin, particularly the unseasonal impact on LDA and TPW, because of which we have seen what we have seen. And we are taking the lead in addressing this, and we are the first company in fans to take a price increase.

Aditya Bhartia: Sure, sure. Thank you so much.

Umang Mehta: The next question is from the line of Siddhartha Bera .

Siddhartha Bera : Yes. Thanks for the opportunity. Sir, my first question is on this price hike which you indicated in the fan's portfolio. So, is it possible to highlight the quantum, how much has been taken, and is it for the entire portfolio? Because we have seen like about 80 bps sequential gross margin drop in this quarter. So just wanted to understand, is it good enough to offset this drop?

And second is, at a portfolio level, you have talked about solar being Rs. 2,000 Cr. type of revenue in two years. How should we think about the profitability of this portfolio? Will it be at par with the ECD sort of margins which we have? Or how should we think about this as a margin over a period?

Promeet Ghosh : Sure. Let me answer both those questions. We have taken a price increase of about 1.4% in our fans business. That is what we have started with. I think, you will see what happens as we go along. So hopefully that addresses the first part of your question. I do not think we are able to particularly take price increases in the LDA business just yet, to be clear.

Insofar as the margin and the return profile of our solar business is concerned, the solar business has a very similar margin profile to the rest of the company in terms of the EBIT margins. To be clear, this business does not work the way that the other businesses work. This is a business in which much of the gross margin flows through directly to the EBIT . So, the margin profile of the company is very similar to the margin profile of the solar business. It is, at that same time, a very high ROCE business . Especially , the rooftop business where much of the payment comes in pretty much with the installation. Now, I do not need to get into what this thing is, I have talked to you about that before. If you want, I will get into it. But this is a high growth business, a high ROCE business. This is going to grow, supplement our core businesses where, as I said, we are gaining share in fans, we are significantly ramping up our BLDC position, and in pumps also we have gained share. That leaves our SDA business, which is growing in strong double - digit and, like I said, is the fastest growing kitchen business in the country.

Siddhartha Bera : Got it, sir.

Siddhartha Bera : So, sir, I just had a follow -up on this solar pump. You indicated a strong order pipeline. Is it possible to highlight the quantum? We

had talked about this in the last quarter also. So, this quarter also, if you can just highlight the quantum of the order pipeline, it will be helpful.

Rajat Chopra: Rs. 255 Cr.

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 8 of 18 Promeet Ghosh : The current order pipeline is Rs. 255 Cr, as we speak.

Siddhartha Bera : Okay. Great, sir. Thanks a lot.

Promeet Ghosh : One sec. Just so we are clear, that is the unexecuted order.

Siddhartha Bera : Yes. Yes, okay.

Promeet Ghosh : I mean, again, not to get into numbers , that is growing at 100%+ YoY.

Siddhartha Bera : Got it, sir. Thanks a lot. I will come back in the queue.

Umang Mehta: Thank you. The next question is from Renu Baid.

Renu Baid: Yes. So just one question, circling back on the solar rooftop portfolio that we are having since essentially, it will be an outsourced business model for us. And you mentioned ROCEs are very high. How would, in your view, be the net working capital intensity and the key risk on the execution side? Any warranty obligations required on the performance of the panels ?

Promeet Ghosh : Sorry, one second. If I just put down the questions , you are asking what the working capital requirements in that business are? And two, what are the commitments that we are making on warranty?

Renu Baid: On the performance as in typically for rooftop, there are also performance related warranties which are required in terms of the efficiencies of the panels. So, to what extent it would be back-to-back covered with the panel supplier, and on our books, what could be the liabilities related to these?

Shaleen Nayak: Yes. So , we are completely covered on the back-to -back as far as the panels go.

Promeet Ghosh : Renu, to answer your question, these are back-to -back. This is not very different from many of our other businesses. As you already know, we have a healthy mix of products that we outsource and products that we make in-house. Crompton does a splendid job of ensuring that the quality of the product that is put out into the market, regardless of whether it is made in-house or outsourced, meets the Crompton standard. Now, insofar as the working capital is concerned, as I have already told you, this is a business in which ROCEs are high . So, the working capital intensity of this business is low. So it is, many of our businesses, we operate a s very capital efficient businesses. That is the case with our fans and pumps business. And this is also a business which is a high ROCE business.

In this business, on the retail side of the business, solar rooftops, 85% to 90% of the payment is made in advance.

Renu Baid: Got it. And on the panel side, would it be possible for you to elaborate on who our partners here would be in terms of sourcing partners?

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 9 of 18 Promeet Ghosh : One second. If you do not mind, we will not disclose who our partners are . Obviously, when we

have gone and got these bids, we have decided for sourcing the solar panels. But I want to make this point here. And this is a question that you have not asked but has been asked of us.

Renu Baid: Because panel availability is a constraint and at what price? So as in, how are we covered on that aspect? Do we have annual rate contracts with some of the larger suppliers here in the market? Or how does it work?

Promeet Ghosh : Okay. So, the solar rooftop business, we have clarity of what price we are going to get the panels at, okay . So that is point number one. Point number two, now, because we have such a large scale in solar pumps as well as in solar rooftop, that enables us to get well -negotiated prices in the solar panel business, as you might imagine. In fact, one of the very key things that this order allows us to do is to get scale on our sourcing, both on the solar pumps business as well as in the rooftop business

s, and not only in these orders, but outside these orders as we go out and implement orders, directly take orders from individuals. So, the product is the same. If you have 50,000 units that you have a scale already in, that obviously significantly steps up your ability to get better prices for these products as well as will help us step up the execution of these products because that is also something that you need to do. One of the reasons why we have managed to get sharp uptick in solar pumps is because we have done the execution well.

Renu Baid: Got it. And sir, lastly, a question related to fans, where obviously we have a table rating change coming through from Jan. So, last time, remember, Crompton had been low on inventory up stocking of the older inventory. There was significant destocking ahead of these changes. This time around, do we have a strategy in place . We are already in November. So, would we be on the board with other industry peers to up stock on the older rating products ahead of the change, or we would go low on inventory, channel inventory, and then push the new product range from Jan?

Promeet Ghosh : And clearly, we have learned our lessons from the last time. I will leave it at that. And , there have been two projects which have been running in Crompton for the last six months. They are called Utkarsh 1 and Utkarsh 2 . Utkarsh 1 is how the stocking and destocking of current B-rated fans is going to work. And Utkarsh 2 is how we are going to start manufacturing new B-rated fans. And I dare say that we are well prepared, as far as we can tell today. Hopefully, you will start seeing some of these fans sooner rather than later. So, we made this point earlier. We are technically preparing ourselves not only for BEE 2.0, but also for BEE 3.0. That is why I went and announced to you, now nine months ago, gave you a glimpse of the technology that we were using. So, yes, I think we are in a reasonable state of preparedness. The extent of up stocking in the industry, I can tell you , is not going to be probably like what happened the last time. That is

not in any way Crompton related. That is because I think the industry, the channel partners last time had up stocked across the board, other than in Crompton. And they, I do not think felt that that served them particularly well. So, our sense is the levels of up stocking in the channel will be more moderate across the industry. But we are well prepared.
Renu Baid: Surely. Thanks much, team, and best wishes. Thank you.
Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 10 of 18 Promeet Ghosh : Yes.

Umang Mehta: Thank you. Next question is from the line of Achal Lohade .

Achal Lohade : Yes. Thanks for the opportunity. Two questions. First, on the lighting, if you could help us understand, we have had a record margin, how sustainable are these? What has driven this margin expansion? And B, mid-teens volume growth is pretty encouraging. How do you see that playing out going forward? What is driving any particular sub-segment which is helping in terms of the growth?

Promeet Ghosh : Okay, so let me take the first crack at it. And I will ask Shaleen to step in if needed. Lighting, as you know, comprises two parts, B2B and B2C. In our case, the growth has been similar in both B2B as well as B2C. So, we are not particular believers that we should just do lots of B2B businesses, which are kind of very low margin business otherwise. So, we have done in B2B as well as B2C, our growth has been consistent.

In B2C, we have been calling out for some time that we are significantly reorienting our product mix. Our product mix used to be lamps and b attens. Our product mix today is panels, lamps, and battens . Some time ago, our lamps and battens used to be more than 65% of our product mix. Today, they are about together probably 40% of our product mix. We have added a lot of both panels as

well as other products like flood lights, et c. All of these are going towards a material uptick in the margin in our lighting business.

In our B2B business also , we have been working towards improving the quality of our B2B business. Without taking specific numbers, one of the objects of our B2B business has been to reduce the kind of government exposure because they have tended to be in our B2B business, and increase our industrial part of our business. And that is also something that we are managing to do. The largest contract that we currently have is with an industrial company , JSW Steel, we have fully disclosed. So, there are a spat e of activities that we hav e done in our lighting business, not the least of which is , also addressing the manufacturing costs of our lighting business. Now, the lighting business had two manufacturing units. One was in Ba ddi, the other was in Baroda. In Baddi, we have changed that manufacturing unit. And now it is a fully dedicated fans business, which is a 50% increase in production capacity to what we used to manufacture in Baddi before. There is no more lighting in Baddi.

In Baroda, as you have already heard, one that manufacturing unit has gone from being a dedicated facility only to lighting to many other PLs (product lines). And in this last quarter, we have also undertaken significant restructuring, which will come now. The benefits of that will come now to all the PLs that are now based out of Baroda. So , if you have spent Rs. 20 Cr., typically, the payback of these expenditures tends to be about .

Kaleeswaran A. : Sub two years.

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 11 of 18 Promeet Ghosh : Yes, less than two years . Obviously, we have not spent it just like that . So, what you are seeing

in lighting is the benefits of both front -end as well as back -end improvements.

Achal Lohade : Is it fair to say that this is now the new normal margins? Would that be a fair assessment?

Kaleeswaran A. : From a forward- looking perspective, Achal, as you know, we do not give guidance. But having said that, the idea is to also reinvest back to get lighting on growth. So, we also look at opportunities to step up our A&P in this.

Achal Lohade : Got it. The second question I had was with respect to the solar piece. If I look at solar pumps and rooftop, both are dependent on the government schemes. So, if you could help us understand, what is the visibility you have got, particularly on the PM -KUSUM, there was expectation that it should come through the PM -KUSUM 2.0 anytime now. So just wanted to check any update on that.

Promeet Ghosh : Okay. So let us step back for a second. Both the businesses are not government dependent. I will explain why. Firstly, insofar as solar pumps is concerned, as you are no doubt aware, KUSUM 1.0 is expiring, KUSUM 2 .0 has already been announced.

Rajat Chopra: September onwards .

Promeet Ghosh : Yes. So , in the month of September, the son of KUSUM 1 has already been announced, KUSUM 2.0 and while 15 lakh pumps have been, I think, implemented in KUSUM 1, the aspiration is 36 lakhs ?

Rajat Chopra : 36 lakhs .

Promeet Ghosh : 36 lakh pumps are the aspiration in KUSUM 2.0. So clearly, the government has every intention to continue to invest in KUSUM 2.0. In fact, from our point of view, we see opportunity in other states where today we are not present. As I mentioned earlier, got a market share of about 6%. That is working in a restricted number of states. Basically, we have been in Maharashtra, Rajasthan, and Haryana. We think, there is opportunity for us, now that we have done so much work, to also expand into other regions, and with that will come further increases in our market share. Insofar, as the solar rooftop business is concerned, the first orders are from the government. This is a huge business in the retail market. What these orders do is that

at that gets

our business off to a flying start. Basically, it gives us scale in terms of installation, in terms of procurement. But also most importantly, this is a business where you can imagine the strength of the Crompton brand where you want to spend Rs. 2 lakhs on a product, and Crompton goes and says, look, we have also installed 50,000 units.

There is nobody else who can easily make such commitments to the people. So, this is a Rs. 20,000 Cr. market, today. I am not talking about the future. This is a Rs. 20,000 Cr. market, so this is a large business. Simultaneously to implementing the solar rooftop business in Andhra and Telangana, we have also launched our retail presence in a set of states.

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 12 of 18 And as that picks up pace, I will keep you informed about it. So, we do believe that going forward, we will have a healthy mix of direct to retail. This is different from B2B and B2C that we do in other businesses. In other businesses, B2B is a different product, entirely different product. It is a made-to-order product.

Here, this is the same product that we install in any home. If we put up a 2kW product in any home, this is exactly the same product, exactly the same installation, exactly the same survey, and therefore, very similar supply chain. So, I hope that answers your question.

Achal Lohade : Yes, very much. Just one small request, if I may. Please allow us some more time for reading, going through the presentation. Keep some gap between the presentation and the conference call.

Promeet Ghosh : Yes. Appreciate that. Unfortunately, our Board deliberations always overrun. So poor Natasha does not get much time to upload the investor deck. But yes, point taken.

Umang Mehta: Thank you. Next question is from Aniruddha Joshi.

Aniruddha Joshi : Yes. Thanks for the opportunity, Sir, two questions. One, both the schemes, you said, have got high ROCE and high growth also. But if we exclude the benefits in both PM-KUSUM as well as PM Surya Ghar, eventually the consumers may not like to get into these kinds of products because it will reduce the benefits to the consumers.

Second point, if the government realizes that the people engaged in or the middlemen between government and the eventual consumers are making high ROCE, eventually government may immediately cut down on the subsidy benefits also. So, assuming subsidy goes down materially almost to zero, do you still think that the businesses can generate high ROCE? And also, lastly, on high ROCE means, the definition that you are looking at, it just means more than 25%, more than 30%, where would you peg that number? If you can give a broad range, it will be helpful.

That is question number one.

And last question, in case of fans, obviously the table will change in January. Also, we have seen there is a material inflation in most of the commodity prices also. So how do you see the overall price hikes that we may need to take considering both the table change and RM inflation? And how much we have taken right now and how much pending price hike will be required?

Promeet Ghosh : Okay. First point I want to make. I said it is a high ROCE business. It is a high ROCE business for us. That does not mean that it is a high ROCE business per se. It is a high ROCE business for us because it is a combination of the brand pull and the fact that we have scale in our manufacturing, in our sourcing, and because we have over a period of time invested significantly with our partners in the execution of these. Otherwise, businesses do not have high ROCE. So, there are some things that I think differentiates us. Let us understand, in the pumps business, what is happening in the pumps business, is that the government is already doing an auction. So, the government cannot say, boss, I will give it to you at lower than the auction. There is

an

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 13 of 18 auction. So, if somebody can bid lower, they are already bidding lower. But after the auction is done, the government says, ask the farmers, now, these are the five pumps which are available, please tell us which pump they want, which pump you want, right?

Aniruddha Joshi : Right.

Promeet Ghosh : So, somebody can bid. But at the end of the day, the farmer recognizes one or two brands only,

and he has faith only in one brand if I may say so, I will just come to it. So, by the way, the government is not giving a subsidy just like that.

Aniruddha Joshi : Correct.

Promeet Ghosh : In the solar pumps business, as you are aware, many farmers get electricity at zero cost.

Aniruddha Joshi : Correct.

Promeet Ghosh : If you get it from the grid. And then, because it comes at zero cost, the electricity is very intermittent, and that, of course, has its own impact. What the government is doing is, basically giving a subsidy that you do not have to draw electricity from the grid and particularly, do not have to draw electricity, so that I do not have to give you free of cost.

Aniruddha Joshi : Right.

Promeet Ghosh : So, what the government has obviously thought through the subsidy program at some length.

Now, similarly, in the solar rooftop business, what this rooftop business does is, if you have a solar rooftop, it is a two-way meter that you have. The government gives you a subsidy, and the government is deeply, deeply focused on the spread of green energy. The government has, as you are aware, very ambitious targets about the carbon footprint of the country, right.

Aniruddha Joshi : Right.

Promeet Ghosh : And what the SCBs do is that when you put up a solar rooftop, when you are generating during the day, part of it you use, part of it you give back to the grid, right.

Aniruddha Joshi : Right.

Promeet Ghosh : So, first of all, this is something that has been carefully thought through by the country and the government is not simply giving money away. Secondly, and even more importantly, this is not unique journey. We have seen this happen in business after business. As the scale grows and the benefits of these products becomes clear, you can see it in fame, one, two, three, and so on and so forth, governments find that it is not necessary for the subsidy to continue because the math makes sense for people anyway. I mean, soon, anyway, there is a large investment being made by the government in this. KUSUM 2.0 is a ready demonstration of it. But I do not think we should approach this business as being a short run business. Sorry, Kalees, you wanted to say something.

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 14 of 18 Kaleeswaran A.: I will come to the second question, maybe, and then I will address the first one. Second one on

fans, what you asked, as we communicated earlier, 1.5% of price increase has already been taken. There are also actions that we will take as we move into the BEE 2.0 regulatory change. It need not be price only. As you would know, for consistently over the years, we have been running a successful Unnati program that helps us to optimize cost. So, both are running in parallel. This will help us to get back to margin in due course, as we are planning to work on these actions.

Typically, sunrise industries always start with a subsidy. That is what we are doing in solar pumps and rooftop. And end of the day, you are building a library when it becomes a business, which is beyond subsidy, you have Crompton as a household name available for the farmer, or

for the consumer at household to get it installed. And the unit economics works today for the farmer because intermittent power supply is ending up in spending cost on diesel, which is significantly high and borrowed at a cost of 36%+. Organized financiers are planning to

get into

it where funding will be at 8%, 9%. So, it will be a standalone business with very good payback to the farmers on pumps.

On B2C solar rooftop, it is a straight case. There is no need to even look at the unit economics.

As we move forward with scale, that pays back by itself. So, I do not think subsidy has got anything to do with it.

Promeet Ghosh : In fact, as subsidies go down, the focus of the individuals on products which are long lasting, which when you put in a large amount of money, will give you a consistent, reliable supply becomes even more important.

Aniruddha Joshi : Right. This is very helpful. Yes. Thank you.

Umang Mehta: The next question is from the line of Natasha Jain.

Natasha Jain : Yes. Thank you for the opportunity. Sir, I wanted to know, in terms of newer categories, are we looking at something more in tune with our distribution channel, like, say, wires? And given that wires have a strong double-digit outlook in the future, why are we not getting into this category?

And our distribution strength is so good. I mean, we can probably leverage and cross-sell or sell through the same channel. So, I wanted to know if we are looking into getting into this segment.

Kaleeswaran A.: Natasha, as you would appreciate, this is for a quarterly earnings call of what has happened in Q2 FY26. We would refrain from giving you insights on future product categories we will enter.

We have called out the way in which we would enter. At appropriate time, you will hear from us about it.

Promeet Ghosh : So, we are well aware of our strengths, Natasha. So, I will leave it at that. I think you will also

appreciate that when we formally announced the entry into a segment, it is after having done some homework in the background. So, I mean, solar rooftops are an instance where, obviously, if you have gone and got a Rs. 500 Cr. order book, that has not happened over the last two

Crompton Greaves Consumer Electricals Limited
November 06, 2025

Page 15 of 18 months . So, if we have announced that business three or four months ago, it will tell you that there is some background work that was going on. So, at the right time, you will hear about our entering various categories. And we are aware of our strengths in various categories. And our strengths are our brand and our distribution. That is not lost on us.

Natasha Jain : Thank you, sir.

Umang Mehta: Okay. The next question is from the line of Himanshu Singh.

Himanshu Singh: Yes. Thanks for the opportunity. Sir, I wanted to check how has been the growth trajectory for fans in October post the monsoon retreat in large parts of the country, if you can elaborate.

Promeet Ghosh : It has been a slight improvement, I would say, in trajectory, a little bit better than last quarter.

We will have to see how that pans out. I must say that our expectation for the previous quarter was a better growth trajectory.

That did not quite pan out. This time, I hope , I will be surprised

positively. But I think importantly, it is at times like this, I mean, leaving TPW aside, which I

said as TPW tends to be the most seasonally impacted segment , because fans, lots of TPW gets

bought when the weather is hot. And I think that is something that we have seen the impact of,

particularly over the last quarter. But the fans business, even in a tough market, we have

continued to gain market share, which is something that, frankly, is quite important to us. And sometimes, tough times are also opportunities for larger players like us.

Himanshu Singh: Okay. Thank you, sir. Another question, sir. What is the salience of e-commerce and modern trade channels for ECD? And how does the margin stack for these channels? And do we see any pressure or downward risk on margins if their salience grows over the near-term?

Kaleeswaran A.: We do not share the specific channel category wise data, Himanshu. But the unit economics are strong.

That is something that we underpin for all the categories and channels we operate in. So, we know that e-commerce is a channel for growth. But we also have strong unit economics governing the profitability for it.

Promeet Ghosh : Maybe I will give him a little bit of color. Look, the channel margins initially tend to be a little

lower in MOR and e-commerce. But remember that the e-commerce and MOR mix structurally

is higher in our kitchen appliances business than it is in our ECD business , and I think, it should

not be a surprise to you that we figured out how that mix should be worked with. So let me

answer it myself. You are aware that in our Butterfly business where the e-commerce salience

is quite high, we have worked very hard over the last few quarters to materially improve the

profitability of our e-commerce business. And remember, when you are one of the largest

consumer product companies in the country, that also makes a difference when you are negotiating with e-commerce

channels, as well as with the MOR . So, it is not a straight answer,

Himanshu . I mean, you can tell from the way that the margins at Butterfly have improved, that

we do have some sense of how to deal with the e-commerce mix.

Himanshu Singh: Okay, sir. Thank you so much, sir. That is all from my side.

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 16 of 18 Umang Mehta: Thank you. Next question is from the line of Deepak Lalwani. Deepak, please go ahead.

Deepak Lalwani : Thank you for the opportunity. Sir, my question is on Butterfly. We have seen good growth in this quarter. If you can share the outlook for Butterfly. Is this growth a one-off? Or should we see it continuing?

Promeet Ghosh : You have asked this question for the last few quarters. So, I mean this is three-off because the

last three quarters is not a one-off but a three-off, Deepak, I think it is fair to say that we are

optimistic of the trajectory that the business is taking. The Crompton kitchen appliance business

has also been, whatever, growing at a solid rate, consistently.

Deepak Lalwani : Okay. Yes. I just had one more clarification. So, the Rs. 500 Cr. order book in the solar rooftop

business, executable over 12 months, so should we assume a Rs . 100 Cr.- Rs. 125 Cr. quarterly

run rate for this ?

Promeet Ghosh : Look, guys, how exactly it will bunch I do not want to tell you. But yes, the expectation is that over the next 6 months to 12 months, the order will be executed.

Deepak Lalwani : Sure. And sir, just a clarification on your comment that the recovery in fans is positive in

October. Can you call out how has it panned out across the products, TPW, pedestal, et c.?

Promeet Ghosh : Look, I mean, I will answer it as best as I can. Look, at the end of the day, the TPW season is

past. But insofar as ceiling fans are concerned, we are seeing some pickup, early days yet, but

we are seeing some pickup.

Deepak Lalwani : And are we seeing a similar case for coolers as well?

Kaleeswaran A.: Coolers is again not in season, Deepak. So , I think cooler season has passed . It is more to start

with the other seasonal products for winter. So therefore, nothing to impact on.

Promeet Ghosh : There was some stocking in that segment, as you might imagine, and that kind of impacted the profits there. But that is, of course, episodic. But the season is not really looking up. I mean, it is not season. Fundamentally, it is not season.

Umang Mehta: Thank you, Deepak.

Promeet Ghosh : Actually, some fans of ours in the TPW segment will pick up with the crop , because they are used to dry crops. To that extent, it will be interesting to see, now that the monsoon has been very strong, and presumably the crops are quite good. Unlike many other companies, we have quite a strong exposure to rural India. And some of our products are used for drying crops. And that should come up soon. But I have not s

een it yet, because it is still raining in some parts.

Umang Mehta: Thank you, sir. I have a question from my end. Maybe Kalees can answer to it. Is there any particular reason why solar as a category is being prioritized? And how are you generally thinking about it internally?

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 17 of 18 Kaleeswaran A.: I think the way we have been looking at it is, Crompton as a B2C brand has been very well known in this country, and it is an 85-year -old brand. And we continuously look at categories that we have a right to win. When we have entered solar pumps or solar rooftop, it is not to win couple of orders and see what is to be done, but it is look at how the consumption in India is going to move over the period of time.

Pumps, we believe that Agri pumps at a point of time is going to be replaced by solar pumps as an industry. And this could potentially be a USD 2 billion to USD 3 billion industry in size. In the history of Crompton in 85 years, we have done about, say, Rs. 250 Cr. of Agri pumps. In about less than two years, we have crossed that number, and we are looking at double as we look at this year. So, significant right to win for Crompton as a brand. And Crompton as a brand getting accepted with the farmers helps us a library to be built across, which also becomes a very strong replacement market as we move forward. That is as far as solar pumps are concerned. Solar rooftop, the idea for us is to look at it from a perspective that we have been a household name. I think a large part of Indian household has grown with Crompton as a name. And one of the biggest challenges that has been there in solar rooftop is , companies with credibility coming and taking this up. And you do not have fly-by-night operators, who cannot stand and provide a warranty for a longer duration.

What Crompton brings on the table is that an ability to execute this, which we have demonstrated in solar pumps, an ability to have a supply chain that can address it and install and provide post installation support with great quality. So that is why we feel solar rooftop is another industry that helps us to grow.

Combined as we look at it from a B2C perspective, which is the way that we are approaching this, we see this scaling up to about Rs. 2,000 Cr. in the next 18 months - 24 months. That is what we are looking like an outlook for it. The profitability of these businesses is like what Crompton is making as overall business. So, there is no difference from that. We do see the unit economics is much more favorable, and the balance sheet is lighter. Consistently, over period, there has been no significant fixed asset investment that we have done. This is no different from that.

Our working capital has been negative. While there could be some working capital involved, but the ROCEs are going to be higher than the average. So, in all, we see this as a sunrise sector that is going to pick up in a significant way for the country. And as a brand that has been there for 85 years, it is an opportunity for us to participate and reshape the consumer experience both in households and for the farmers. So that is why we are looking at solar as a huge opportunity, and we want to be part of shaping this. And one of the things that we also committed is how do

we work towards a clean energy journey for the country. This also helps from our commitment that we have made, which we announced it in the last quarter from a 2035 energy commitment. So over and all, a great business that is a consumer franchisee for us, a great unit economics, and helps us to drive sustainability and clean energy. So, it ticks all the boxes for us to grow. Most

Crompton Greaves Consumer Electricals Limited

November 06, 2025

Page 18 of 18 importantly, we do not want to go linear here. When we aggressively scale this up to Rs. 2,000 Cr., which we are

looking at, it gives us enormous benefits on supply chain. It gives us enormous benefit on technology and IoT that also will help us and rub off positively in many other segments also. That is largely why we are into it and why we are getting into it. Trust that answers, Umang.

Umang Mehta: Yes. Thanks. That was quite comprehensive. If I can just squeeze one last question. Would you be able to

share current inventory levels in fan? Is it normal, more than usual or?

Promeet Ghosh : Current inventory levels in fans are reasonable. I assume that you mean inventory levels with us.

Umang Mehta: Yes, and the channel.

Promeet Ghosh : Yes, are reasonable. Like I said, we have been running two programs, Utkarsh 1 and Utkarsh 2 .

And both of them are progressing apace. And if I may just add to what Kalees said, absolutely, it is not that we are prioritizing the solar rooftop business or the solar pumps business. It is the reason I spent some time talking about it is because these are new businesses which you may not be familiar with, and certainly we have not talked about them in the past. Then let there be no mistake that we are very, very focused also on our core businesses. I told you that in the fans business, now we are recognized as the largest solar ceiling fan company in the world. That gives scale. And let me tell you that we are not taking that scale lightly. Yes, the fans business

has come through a period where seasonality has impacted the fans business a little bit.

But even during that time, we have gained market share. It is during that time that we have made investments in X Tech and Nucleus. So, we continue to invest in our core businesses. One other business that we spoke about earlier, which used to be asked about earlier, was our kitchen business and our lights business. And you have seen that with the focus that we have had in those businesses, the trajectory of those businesses has changed. So that is not to say that we are neglecting our other businesses.

Umang Mehta: Got it, sir. Thank you so much. With this, we will end the Q&A session. I will hand it over to you for closing remarks, if any. Thanks for the opportunity to host you.

Promeet Ghosh : Yes. Thank you very much. And if you need to reach out to us, Natasha is obviously available.

Yes. Thank you, and you have a good evening.

Kaleeswaran A.: Thank you, guys.

Call: Feb 2026

Crompton Greaves Consumer Electricals Limited
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Date: February 11 , 202 6

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 159 /202 5-26 Our Reference: 159/2025-26

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirement s) Regulations,
2015) – Transcript of Earnings Call

With reference to our earlier intimation s dated January 19, 2026 and February 06, 2026 regarding
the Earnings Call on the Una udit ed Financial Results for the quarter and nine months ended
December 31, 2025 , held on February 06, 202 6, please find enclosed herewith the transcript of the
same.

You are requested to take the above information on your record.

Thanking you,

For Crompton Greaves Consumer Electricals Limited

Rashmi Khandelwal
Company Secretary & Compliance Officer
ACS – 28839

Encl: A/a Crompton
Crompton Greaves Consumer Electricals Limited
February 06, 202 6

Crompton Greaves Consumer Electricals Limited
Q3 FY26 Investor Conference Call
February 06, 2025

MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR & CHIEF EXECUTIVE
OFFICER
MR. KALEESWARAN ARUNACHALAM – CHIEF FINANCIAL OFFICER

MS. SWETHA SAGAR – CHIEF BUSINESS OFFICER , BUTTERFLY
GANDHIMATHI APPLIANCES LIMITED
MR. RAJAT CHOPRA – BUSINESS UNIT HEAD - HOME ELECTRICALS
MR. SHALEEN NAYAK – BUSINESS UNIT HEAD - LIGHTING AND
SOLAR ROOFTOPS AND WIRES
MS. NATASHA KEDIA – HEAD - INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

HOST ANALYST: DHRUV JAIN – AMBIT CAPITAL

Crompton

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Moderator: Hello everyone, welcome to Crompton Consumer Electrical Q3 FY26 earnings call. From the management today , we have with us Mr. Promeet Ghosh, Managing Director and CEO, Mr. Kaleeswaran Arunachalam, Chief Financial Officer, Ms. Shweta Sagar, Chief Business Officer, Butterfly Gandhimathi, Ms. Natasha Kedia, Head Investor Relations and Corporate Communications, M r. Rajat Chopra, Business Head, Home Electricals and Mr. Shaleen Nayak, Business Head, Lighting, Solar Rooftop and Wires .

Thank you so much and I request the management to give the opening remarks.

Promeet Ghosh : Thank you very much. Thank you everyone for joining and good evening. Welcome to this earnings call.

As you already know, Kaleeswaran , Shweta, Shaleen, Rajat and Natasha are with me here. I will make some initial remarks and then we can follow that up with Q&A.

Throughout Crompton's 85 plus year history, as you are aware, we have deliberately entered categories where we can build meaningful leadership through scale, distribution and a trusted brand.

Our track record from fans and pumps to lighting, appliances, kitchen and now solar shows that focused plans plus disciplined execution , leveraging our strengths coupled with strong unit economics and thoughtful capital allocation , delivers results. Today, I am delighted to announce another important strategic step. Crompton is launching a range of residential wires. This is a large and attractive market. There is clear adjacency with many of our products and we have a strong right to win in this market. We will leverage Crompton's brand equity, pan -India distribution, and deep dealer relations

hips to pursue meaningful scale and leadership. This expansion materially increases our addressable market, enables us to become an end -to-end home solution player and supports our long -term objective of delivering sustainable shareholder value. These products will become available to consumers in selec t markets in the next six to seven weeks.

On another front, one of the big activities and events for our business has been the BE E 2.0 transition in our ceiling fans category. This was effective from 1st of January 2026 and was a major industry inflection point. We transitioned seamlessly as the world's number one ceiling fans brand. Managing this technology shift at scale required decisive cross -functional execution. Our two -part approach comprised responsibly managing and liquidating legacy one star inventory and ensuring future readiness through targeted engineering and R&D. We delivered this smoothly, seamlessly and I am delighted to say with no hiccups.

Moving on to financial performance. Beginning with the Q3 performance, sequentially we have witnessed strong improvement quarter on quarter. Consolidated revenue was Rs.1,898 crores. EBITDA grew 18.5% QoQ and EBITDA margin expanded to 10.3%. This recovery was led by volume and margin improvement in ECD complemented by continued industry -leading margins

in lighting. We continue to gain share across categories. Our progress in BLDC fans is particularly encouraging. We are also now the second largest water heater brand in GT. Crompton Greaves Consumer Electricals Limited

February 06, 2026

nationally. Along with this encouraging sequential trajectory, our year-on-year growth has also witnessed positive traction. Revenue grew about 7% driven by ECD growth about 8% and lighting growth about 7% YoY.

ECD performance was led by strong solar pump execution, volume growth in LDA and continued improvement in SDA. Lighting growth was supported by ceiling lights and accessories together with new product launches.

Commodity cost, this is something you hear very often in the consumer durables business now. Over the last quarter, commodity cost inflation persisted. Pricing actions were taken during the quarter, and we expect that further actions to defray cost increases will continue to be taken going forward. We anticipated the commodity cost increases and for a while now, we have been qualifying alternate raw materials without compromising quality and continue to offer industry-leading warranties in our products. We calibrated brand investments due to seasonality, maintained tight cost discipline and strong execution across channels. PBT prior to exceptional items was Rs.156 crores this quarter with a margin of 8.2%.

Butterfly delivered a steady revenue of Rs.245 crores with a growth of 3% YoY led by premiumization in gas stoves and GST driven demand for cookers. Both areas registered double digit growth. EBITDA margin, an area that we have been focusing on for some time, expanded by nearly 100 basis points YOY to 8.2%. This was aided by gross margin improvement and cost optimization. Overall, the net profit of Butterfly grew 44% YoY this quarter.

We remain confident of our ability to scale the businesses that we are entering while delivering resilient performance in all our core categories.

I now open the floor to Q&A and as is required, I'll ask my colleagues down the table to step in and answer questions that might arise. I am hoping that this one-page readout addresses all your questions, but nevertheless, we remain open.

Moderator : Sure. Thanks for the opening remarks. Anyone who wishes to ask a question may use the raise hand function and we will put you on board. We request you to restrict your questions to two per participants. We will wait for a moment till the question queue assembles.

We will take the first question from Aditya Bhartia. Aditya, you can go ahead with your question.

Aditya Bhartia : Hi, good evening, sir. My first question is on the wires business. Just want to understand what is going to be our procurement strategy around that. Are we going to manufacture or are we going to procure it from third parties? What kind of CAPEX and OPEX costs this business may entail? And how are we looking at sales ramping up? What are some of the initial targets that we have set for the team?

Promeet Ghosh : Aditya, this is a business that we are currently beginning based on outsourced product. As you are aware, we do a fairly good job of outsourcing our products. But we have spent the last six to nine months, doing a bunch of work on the go-to market as well as the supply chain. By the way I didn't announce that we entered the wires business. I announced the launch of those products. Crompton Greaves Consumer Electricals Limited

February 06, 2026

So, you can imagine there is a slight difference. The products are ready, and we expect that, in select markets, near full range of residential wires will become available in the next six to seven weeks. I don't want to talk about what kind of revenues we expect. That is a forward-looking statement. But we do expect that this is a very large business, about Rs.36,000 -37,000 crores, where we have a right to win. And over a period, I would expect us to get a fair share, if not a leadership share, in the near to medium term.

Aditya Bhartia : Understood, sir. My second question is on the solar rooftop business, wherein we had won some reasonably large-sized tenders. Just want to understand the progress around that. Have we started recognizing some revenues from that? And if not, then can we expect something to be starting from fourth quarter?

Promeet Ghosh : We have started recognizing revenues. And we have booked about Rs.18- 19 crores in the solar business last quarter. And we expect this to keep ramping up in the coming quarters. Again, we announced our entry into the market after some work had been done. And that is why you're able to see us start to book revenues from the get-go.

Aditya Bhartia : Sure. And it is from the state tender order only? Or is it from direct sales to consumers?

Promeet Ghosh : Currently, it is from the state tender orders, B2B orders. And this quarter, I am expecting that the other direct-to-consumers will also kick in.

Aditya Bhartia : Perfect. That is great to hear. I will come back in the queue. Thank you.

Moderator: Thanks. We will take the next question from Siddhartha Bera. Siddhartha, you may unmute your line and go ahead.

Siddhartha Bera : Thanks for the opportunity, sir. Sir, first question again, on this wire and cable side, will it be limited to wires or do you at some point also plan to enter cables? And by when should we expect

full pan India sort of launch of the wires? And would we also look to target the institutional clients, or it will be only limited to the retail network which we have?

Promeet Ghosh : So, we are currently entering residential wires, which is an overwhelming majority of the market. Obviously, cables will be an area that we potentially keep looking to evaluate and enter as we go along. Currently, as I said, we are going to be available in limited markets . Over a period we will become available pan India, like our other products are.

Siddhartha Bera : Got it, sir. And on the solar pump side, can you also highlight the revenues and any order book? Because I could not find that in the presentation.

Kaleeswaran A : Siddhartha, as you know, we do not disclose that specifically, allow us to skip that. I think our order book is robust. As and when we are getting an order , we do make a SE announcement around it. And that execution is ongoing.

Promeet Ghosh : I think it is fair to say that our solar pumps business revenue has double YoY . To be fair, more than double the revenue. But I mean, that is the

limit of the guidance that we give.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Siddhartha Bera : Got it, sir.

Moderator: Thanks. Next question is from Umang Mehta. Umang requests you to restrict yourself to one question.

Umang Mehta : Okay, sure. So, the only question I wanted to ask was on water heaters. So sometime back, management had highlighted that we were number one on E -com, but number five or six on GT .

Just wanted to check, have you gained significant market share in that space ?

Promeet Ghosh : In water heaters, I am now delighted to say that we are number two by market share in GT. So, we wanted to ramp up our presence in GT. That is what's been happening over the last couple of quarters.

Umang Mehta : On wires front, could you share some color on a strategy that you are going to kind of deploy in terms of whatever you can share on pricing or influencer engagement, distribution? Some more insights would be helpful . Thank you.

Kaleeswaran A : We announced #TechwithHeart , and we had a meeting with analysts and held a press meet. . Similar to that, we will have an engagement on which we will have a n analyst, and a press meet where we will talk about the product range and what are we differentiating with. And that's short term. It's a matter of few weeks in which we'll hear it. Strategically, we are entering in because there is a right to win. We have a go -to-market. The brand is very strong. And as you know, Crompton, whenever we enter a category, it's to approach towards a leadership. And this is in line with that. And that is what we are going to do in wires also.

Umang Mehta : Sure. Thank you so much.

Promeet Ghosh : Tongue in cheek, I can tell you, Crompton has been selling several order of magnitude, a lot of wires in the market. But only thing , Crompton Greaves did not sell them. So, now Crompton is going to sell by itself. You know what I mean?

Umang Mehta : Yes, I do. I am aware about that. Wish you all the best. Thank you.

Promeet Ghosh : Thank you. But this is a direct to market, as you might imagine. So, we have identified the channel , some channel partners and select markets where we are first going to start and then ramp up from there.

Moderator: Thanks. The next question is from Anirudh Joshi.

Promeet Ghosh : Hi, Anirudh.

Anirudh Joshi : Hi, sir Thanks for the opportunity. Sir, in terms of fans, just a strategic question. Now, the price hikes in induction fans will be far higher than the price hikes in BLDC fans . So do you see the category of induction fan may, phase out in five-six years, like CRT televisions or very basic light. Will that automatically lead to a premium ization of BLDC category as well as Crompton also? So that is one question.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

And then second and last question is we are entering various categories like mobile accessories, cable wire, solar rooftops, and like obviously fans etc. is already there. So, the distribution network overlap will be very minimal, like mobile accessories would be largely e -comm category. So how do you see synergies between all these products working out? That's it from my side.

Promeet Ghosh : First question about induction motors and BLDC motors. Firstly, I don't necessarily agree with you. The kind of cost increases in induction motors depends on the technology and the work that you are doing on the inside. And as Kalees briefly mentioned, this is something that we have been working on, not just today, but for the last one and a half years. So , I do not think that induction motors will necessarily get priced out in this market if anything. And there are advantages in BLDC and those necessarily do not overlap. You know, for instance, an induction motor fan, the kind of air delivery that it can deliver cannot be made by any other technology, not now and not for

some time to come. So, in fact, induction motor, particularly for players like us, remember, we are not the largest induction motor fan company in India. We are the largest ceiling fan company in the world. We do believe that, that kind of leverage will allow us to competitively offer both induction as well as BLDC fans in the long run. In fact, even in the short run, as you will find out soon enough. What was the second question?

Kaleeswaran A : Second question, maybe on the channel strength and other things that we're taking in. I think fundamentally, Anirudh, if you look at it, we had a clear called out strategy that TAM expansion is going to be crucial. And we divided this into play -to-win and play -to-participate. If you look at some of the core categories that we are looking at, ideas to how do you take your Rs.80,000 TAM to about 200,000. The large categories that we are entering as play -to-win from that perspective, apart from where we are already is what we have announced, solar pumps, solar rooftop, where meaningful businesses are getting built. Now wires come in. So, with this, the TAM is already moving into almost Rs1.5 to 1.6 lakhs. After that, there are play -to-participate categories, mobile etc. is a simple play -to-participate category, not a large category that we are looking at it.

Also wanted to tell you that as we speak, while Crompton is extremely strong in general trade, we are the number one e-commerce player in the segments that we operate in also. So, it complements that and that will help us to grow the play to participate categories also.

Moderator: Thanks. The next question is from Manoj. Thanks. Manoj, you can unmute yourself and go ahead with your question.

Manoj Gori : Thanks for the opportunity. Sir, you just give a brief indication of the entry or launch into wires and cables. I just want to understand the thought process like right now we are outsourcing but probably with scales moving up somewhere in FY27 we plan to invest more into this business, set up your own manufacturing facilities. Secondly, just continuing with wires, your channel synergies will be the best part for Crompton but in terms of distributors and all, there would be new distributors which you need to get on board. So how things are progressing over there? Crompton Greaves Consumer Electricals Limited

February 06, 2026

And second question on the fans, the price hikes that are required to offset the commodity inflation and INR depreciation. So, whether industry considering the demand environment, whether industry is set to take those kinds of price hikes and should we expect margins to remain at normalized levels going forward as well?

Promeet Ghosh : Okay, good questions. Firstly, on wires, what is our sourcing strategy? Currently, our sourcing strategy is outsourced. Remember that, this is something that we do quite well. In many of our products for the last several years, we have a reasonably large outsourcing that's because one of the competencies that Crompton has is to ensure that the product quality can be very strictly maintained, we can get good quality product at reasonable prices. So currently, our greatest strength is our brand and our go-to-market, and we do not, as of now in the next year, anticipate significant capital investments in this. We will see as we go along and see as we get to scale. As far as fans are concerned, yes, commodity prices are a concern. You will remember the last time when we had a conversation, a similar question was asked. And I had told you that, for our part, we would want to continue to take constructive pricing actions to defray cost increases. You can see that coming through in our margins this quarter. I do expect that the industry will also be equally responsible in this regard in the current quarter. So, it is very difficult to say how commodity prices will go. But, I am hoping that t

he industry will be as responsible as we have been in this regard.

Manoj Gori : Thank you, sir. So just to follow up on wires, with regards to your channel synergies. So, retailers, yes, it would be the same retailers, most of the retailers. But when it comes to distributors, I think you need to get distributors on board. And how we plan to progress wires reach into a greater number of states and probably how we are planning for that. That is all.

Promeet Ghosh : Like I said earlier, you know, we have been planning this go-to-market for some time. So, you know, we will have a mix. But given Crompton's position, we do believe that we have the right to have a strong go to market.

Kaleeswaran A : And Manoj, to add to it today, also, if you look at it, we have good synergy on many categories where distributors overlap. So, when we are talking about entering this category, groundwork has already been done amongst the number of distributors that we have, where we have synergies, where we have overlap, which market we need to appoint a new distributor and how do we need to go about it. That planning has been done in detail. And therefore, what we want to say is that consciously we are entering in few states, there is a value proposition with which we are going to test in these markets. As the value proposition gets accepted, there is a national scale up that would happen. As that happens, other things including supply chain investment required would also follow. Right now, it is a very cautious, clear capital allocation on a growth category to expand our TAM with a clear strategy on how to win.

Manoj Gori : Thank you, sir. And wish you all the best.

Moderator: Thank you. Thanks. The next question is from Praveen Sahay. Praveen, you may unmute your line and go ahead with your question.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Praveen Sahay : Thank you for taking my question. So , first question is related to the price hike and you had given an indication there is some substitute RM to minimize the impact of RM inflation. So can you talk more like last quarter you indicated around one and a half percent of price hike in the fan. So, what percentage of RM have you covered with the price hike and what kind of substitute RM are you taking to minimize the RM inflation?

Kaleeswaran A : Praveen, some of these alternative RMs are very strategic and competitive information, so allow us not to disclose. The way we are working is how do we get our gross margin up considering there is a flagship UNNATI cost program that we have been running for many years now that continues to provide good accrual that includes technical levers that we use for saving and also some of the commercial negotiations that we do considering the scale at which we operate. Subject to that, wherever there must be price that needs to be taken up to pass on, we have been consistently doing it. There has been a price hike that has been taken in January, net price increase of about say one to one and a half percentage. We are looking at two more rounds of price increase that would happen in Q4 and Q1.

Praveen Sahay : Thank you for that. My next question is related to your announcement earlier of a greenfield expansion with the 3.5 billion. So , where we are about that?

Promeet Ghosh : That is progressing and I would venture that we would be in a position to give you more details in the near term.

Kaleeswaran A : It's progressing very well.

Moderator: Thank you. The next question is from Rachna Kukreja. Rachna, you can go ahead with your question.

Rachna Kukreja : Yes, my first question would be on Butterfly . What is the primary driver of gross margin improvement in Butterfly given raw material prices have remained volatile?

Swetha Sagar : So, hi, Rachna. I think we did talk about our change in go to market sometime back. I think that's what is paying us off. So,

we have two parts over here. The first

one is in terms of preimmunizing our own portfolio. So , we did launch our range of Idea First Series in Q2 this year, which started doing well for us and our contribution is right now significant. The second one is, we are in sync in terms of taking our price increases in line with price increases that are happening in the market. So , it is a mix of both. One is price increases, and the other one is premiumization that is there .

Promeet Ghosh : So, what you see playing out in Butterfly is initiatives that we flagged over the last two quarters. The product mix is improving. Not only is the ASP going up, but the margin of new products that have been added is higher. That is helping. And, I want to emphasize , we have been saying for some time that the terms of trade with the go -to-market, we are working very hard to reset those terms of trade. And again, what you are seeing now is improvements coming through from there.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Rachna Kukreja : Okay, understood. One more question, data related. I understand Idea First series have traction well., I have seen good reviews on Amazon as well. In presentation also we have mentioned that the contribution has increased. If you could quantify how much it has increased versus previous quarter and overall in terms of volume, what has been the growth for Butterfly this quarter year on year?

Kaleeswaran A : Specificity Rachna, we do not share. I just wanted to leave with the thought that Idea First series has played a significant role, not only ability to sell premium products through Idea First, but also uplifting the overall brand, where we become a choice for consumer. We have been a number two player in many categories apart from leadership in Gas stove. Now we are challenging the number one player by meaningful innovation being brought in. So , allow us not to share the specific contribution. From a volume growth perspective, largely, it's been a quarter that has been led by pressure cook er, which is what we are called out in our press release. Also , it is about a single digit volume growth is what we have delivered.

Moderator: Our next question is from Manjeet. Manjeet, you can unmute yourself and go ahead with the question.

Manjeet Buaria : Promeet, I have just one question. You know, I am curious about this. Every time, a leading company in our industry enters an adjacency, the rationale is obviously, you will leverage your brand and your distribution, which are already strong in some category. But what I noticed is very rarely does that company become a top two player. And even if they get meaningful revenue share, the profit share is like very minuscule. And I think to some extent, we have seen it with wires and cable, leading peer who did it and fans, etc., where they never really got any profits. And if I could be a bit this thing, even our lighting business over the decade has not really done much right in terms of growth or making good profits. So , I am just curious, why this wires and cables will be any different?

Promeet Ghosh : Manjeet, I cannot tell you what other people have done and what other people have achieved. I

can tell you what Crompton has done, and what Crompton is demonstrating today. As far as Crompton is concerned, we entered an adjacent category of solar pumps, two and a half years ago, our business has steadily grown. And not only has it grown, but it is also very profitable. And in the last quarter alone, where the solar pumps business market has de-grown overall, we have more than doubled our sales. Which means significant share improvement in market share. Similarly, as far as our lighting business is concerned. Our lighting business, we started before our fans business. But while I agree with you that our lighting business had a marked time, for a few years in t

he earlier. Now, over the last two years, it has been an area of significant focus. And today, our lighting has leading growth and leading margins. So especially if you take out non-allied products of competition, sometimes, it includes wires also, sometimes includes switchgear also. If you do pure lighting, in both the areas, we are leading and I have to say that, now that we have started to realize and leverage the benefits of Crompton's position, it is for all to see what that can translate into. So, I don't want to comment on what other people have done or not done and how well they have done it or not done it. But we do believe that wires is another area, where we have a right to win. And we will see where that goes.

Crompton Greaves Consumer Electricals Limited
February 06, 2026

Kaleeswaran A : I want to add to what you said. I think fundamentally, we talked about play to win categories. As Promeet said, I would urge to go back and look at history, what we have delivered. While yes, fans are something that followed lighting. Today, we are not only India's number one player, but we are also world's number one player in fans.

Secondly, if you look at pumps, we again entered after that. today, we are India's number one company in residential pumps. Subsequently, we entered water geyser, we are number one in e-commerce, number two in GT. Then we got into kitchen, we got a Butterfly acquired from a top six, we are a top three player. Then we got into air coolers again came from seven or eight and then moved into top three. Solar pumps already we are touching at about a top three player. So, if you look at it, in the past 10 years, we have not entered a category to fish around for a very short-term duration. Category strategy is very well thought through. It is not something that we come and announce and see that's what we think about it. It is a long-term plan. And I am sure you would be aware that for the last two years, we have been consciously calling out that there is going to be an addressable market expansion that Crompton is going to work and do it category after category. And some of these calls that we have taken is an outcome of that. As and when we enter new category, it is important that we continue to be a leader in the existing category and further push the bars.

So as Promeet said, we would not be able to comment on what competition has done, on where and what. We have a strategy on how we need to pursue and that is probably what we would be able to do and deliver.

Manjeet Buaria : Thanks for the detailed response, folks. I will come back to you later on a one-on-one meeting.

Moderator: Thanks. The next question is from Parag Khare. Parag, you may unmute your line. Go ahead, please.

Parag Khare : Good afternoon, sir. Thank you for the opportunity. Sir, just a question out of curiosity, we are the number one company in the world in Fans. How about thinking aggressively in terms of exporting these offerings and probably garner more market share outside India? So that's the first question.

And the second question is how confident we are in solar rooftop business where, outside Telangana and Andhra Pradesh, we would be able to scale up aggressively and probably gain strong foothold. So, these are two questions.

Promeet Ghosh : Parag, firstly, I agree with you. As the world's leading ceiling fans company, exports are an area of focus. I am very happy to announce to you that in the last quarter, we have demonstrated our focus on this area by hiring a very well experienced team on that segment. We have always had a team, but the idea is to take it to the next level. And to that extent, we have significantly strengthened our team in exports the last quarter itself. And sorry, what was the other question?

Parag Khare : The next question is the solar rooftop business.

Crompton Greaves Consumer Electricals Limited
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February 06, 2026

Promeet Ghosh : So solar rooftop business is shaping up quite well. Currently, we are executing the orders that we have. But simultaneously, we are also trying to proceeding apace on the B2C offering. And I am hoping that in the near term, we will be able to formally disclose to you orders that we have got in that segment. I do want to say one more thing. I have reiterated the point that I had made earlier. In all our businesses, scale makes a difference. And what we are finding is that the way we have scaled up our solar business is already making a difference to our margins in both solar rooftop as well as in solar pumps. Material difference at the gross margin, because now we have the scale. I don't know if we are disclosing, but these are material improvements in the margin

of these businesses, which also means that it positions us better to be able to provide a good product in the retail space.

Parag Khare : Okay. Sir, any new category or adjustments in the coming quarters or we are done?

Kaleeswaran A : We have given announcements around where we have entered, what we will do in the future, allow us to let us know close to the quarter. Thank you.

Promeet Ghosh : As you guys are aware , we do not make any announcements well in advance. And I think we have clearly been very transparent with you where we are close to launches and making those launches.

Parag Khare : Sure, sir. Good top line growth , good EBITDA margin. Congratulations and good luck for the future.

Promeet Ghosh : Thank you.

Moderator: The next question is from Renu . You may unmute your line and go ahead, please.

Renu : Hi, sir . This is Renu from IIFL . Couple of questions. In case if I missed it, can you mention how is the situation of channel inventory when it comes to fans, both with the company as well as with the channel partners on the new rating fans and the old rating with the channel partners?

Promeet Ghosh : I think it's fair to say that the channel had a fair amount of old star rated fans, some of which they have sold off in the last month. We, of course, being Crompton, from the day one started selling only the new star rated fans from the 1st January. And I do believe that the season so far has been shaping up decently .

Moderator: We move to the next question from the line of Pratham Setia. Pratham, you may unmute your line. Go ahead, please.

Pratham Setia : Thanks for the opportunity, sir. My question is related to the core business activity of the company, because we are the goods company. And now recently we entered the solar related business, solar pump as well as the solar rooftop. Nothing wrong in diversifying the business. But my question is, what are the strong reasons to enter the solar business? Naturally, your answer may be to make the profit. But does the company have the enough bandwidth to compete with the established player in the solar rooftop or solar pump business? And another reason is there may be a slow growth in the electric goods and that was the reason. Sir, kindly explain.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Promeet Ghosh : Thanks for the question, Pratham. We are very much great believers in doing things that we understand well. So far as solar pumps are concerned, remember that we have been a pumps company for the last 50 years. And we are also the leading residential pumps company in India. Heart of solar pumps is pumps. And as to whether we can compete in that business, I leave that to your judgment.

I have told you that we are continuing to grow our business at 100 % plus every quarter. And we have quickly become one of the largest players in that segment already with a strong profitability profile. Similarly, for solar rooftops, this is, we believe, very much an adjacency for our business. And together with solar pumps, we have significant scale. Now, you may be aware that shortly

after we entered that business, we also announced that we have order book of close to Rs.500 crores. So again, leave it to your judgment that whether you think that we can scale up that business or not. But we do see us being able to enter these businesses and not only make profits but build leadership positions. We are not interested in entering businesses in which we are not going to be leaders.

Pratham Setia : But our growth in the electric goods will remain the constant or will it grow faster?

Promeet Ghosh : So, you know, to give you a sense of the growth in our current businesses . Last year, our traditional businesses, which are pump s and fans, those businesses have suffered, not only us, but the entire segment has also suffered because of adverse season. But I am a great believer that these businesses will continue to be great profit and revenue growth drivers going forward. And even in this time, to give you a sense, in the fans business, we have been stepping up our BLDC range. And sequentially, I don't mind telling you that our BLDC range has grown materially 50% plus. Which means that we have also gained market share 5% plus. So , even in times where the season hasn't been the most supportive, we continue to find pockets of growth.

In our pumps business, for instance, we have now a full product range, including Agri and specialty pumps. And while that segment has been degrowing for the rest of the market, we are growing very strongly in that segment as well. So, short point is that we continue to strengthen our positions in our traditional areas as well as enter area s where we believe we have the right to win.

Moderator: Thanks. We will take a follow up from Praveen Sahay to go ahead with his question.

Praveen Sahay : Thank you for a follow up opportunity. Sir, my question is related to the solar rooftop. As there is a Rs.365 crore of order book, and also you had highlighted, it's not of a B2C, it's more of a B2B. So, can you give some more color, like it's a B2B or B2G one, and the second is a procurement strategy here, like you are procuring from a domestic manufacturer or importing, how you are doing this in this segment?

Promeet Ghosh : Guys, I explained this earlier. The order book that we started with in our solar rooftop business

is not Rs.365 crores, it is Rs.500 crores. While this ordering has been with through the medium of the government, the product that we are selling is the same product that we are selling in the B2C business. There is a big difference here. When we do B2B in lighting, the product that we

Crompton Greaves Consumer Electricals Limited

February 06, 2026

sell in the B2B lighting is a very different business product than we sell in the B2C lighting. This is not that product. We are installing rooftops at homes in Andhra Pradesh in 38,000 homes in Andhra Pradesh. It is just that the government has intermediated in that order. And so far as the supply chain is concerned, this is a supply chain that we built up also while we were wrapping up our solar pumps business. So, we have an ongoing arrangement with panel suppliers, with inverter suppliers, with AC /DC suppliers, and so on and so forth. And as I said earlier, because we are buying products at such large scale in both our pumps and our solar business, that is leading us to be more and more competitive in both our solar rooftop as well as our pumps business.

Moderator: Thanks. The next question is from Aditya Vikram. You may go ahead with your question, please.

Aditya Vikram : One of the things I have been attending a lot of phone calls, your humility and how grounded you are is exceptional. So, compliments to you and your team. I hope this continues as it is.

So, if I can ask a question, and I probably won't fret about the new launches or anything else, I just see a lot of volatility in terms of your margins. If ideally somebody asked to look at the company,

what should be the appropriate margin? And with you entering wires and cables, what should be the steady state of margin? What is the management looking at, is my question, sir.

And I would appreciate if you cannot give a number but qualitative input as to where you're looking at and what should be the steady rate. Thank you. That's the only question.

Promeet Ghosh : Aditya, let me attempt it as best as I can and then I will hand it over to the guy who knows much better than I do. Namely Kalees .

Guys, when we look at margins, you can look at gross margins, and then you can look at EBIT margins . Now, we must understand that the gross margin and the EBIT margin structure of different businesses is different . If we look at a business -like fan , there is high gross margin, reasonable amount of cost below gross margin and you come to a certain EBIT margin. If you look at other products, for instance, B2B lighting, there is a lower gross margin but very little cost below gross margin and therefore you come to a certain EBIT margin . So, as the mix changes, the gross margin structure will change . So, that is a fact of life that we have to deal with.

Now, to answer the question about variability, our fans margin, for instance is impacted by, of course, season because at the end of the day, if the season doesn't perform as per expectations and the level of competition in the business goes up . And as a consequence , there can be an impact on margin. It also impacts a little bit on commodity prices. Insofar as we are concerned, the fans business, we have explained to you before, we are coming away from a period of intense competition. We are also coming away from a period where there are high commodity prices.

Now, we have done various things to defray that. We have on one hand, being the leader that we are, taken price increases and on the other hand worked on the product. So, we are now being able to show to you an improvement in margins . Do we expect some of the benefits to continue .. Inshallah, yes, is what I would say. We will have to see .

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Similarly, in lighting, the margins have historically been where they have been. What we have done is that we have done a whole bunch of work on two fronts. We changed our product mix, we introduced newer products which are higher margin . And, we worked on our supply chain. So, what you are seeing in lighting is the benefits of material improvement on both. We have been saying to you for a very long time that we are going to ramp up our ceiling lights business . What you are seeing is that we have ramped that up quite a bit, right? And of course, as we ramp up, as we do premiumization, the margins improve.

Again, similarly in Butterfly , we told you that we are going to get into premium products. We told you that there would be higher margin production. That is why you are seeing the benefits in the margin, right? Again, I can go on each of the businesses, but short point is we are continuing to work a pace on not only growing the business revenue growth, but also margin improvements . I am afraid I cannot give you a more detailed answer. You will appreciate. It should give you a sense of what we are up to. Last point I will tell you, we , for a long time, said we are leaders in residential pumps. We are by far and away the leader in residential pumps. We said we would get into Agri and specialty pumps. What you are seeing today is our Agri and specialty pump business growing significantly faster than the industry. Not only are you seeing it grow significantly faster than the industry, but it is also now a material share of our pumps business. I am not talking about solar. Solar is different. I am talking about Agri and specialty in our traditional pumps business. Not only it is a material part of our pumps business today, our margins

in that product has also gone up because as we've got scale .

So, look, at the end of the day, the margin profile is going to evolve going forward. But these are underlying trends that people can read into our various products.

Aditya Vikram : You know, that's very helpful, Promeet . I appreciate you giving such a detailed answer. And best of luck for the new product launches. And I hope the margin trajectory and premiumization continues, as you have stated it out very loud. Appreciate each one of your times and best of luck for the future endeavors.

Moderator: Thank you. The next question is from Keshav Lahoti. Keshav, you may unmute your line. Go ahead, please.

Keshav Lahoti : So, my first question is, as we can see the solar rooftop business execution have started. So, this Rs.500 crore order, when it will be executed? And secondly, as it is a government order, will it lead to stretch on the working capital days?

Promeet Ghosh : The expectation, is that this order book will be executed over approximately the next 9 to 12 months. As I already said, this last quarter, we have already executed about Rs.19 crores of solar rooftop sales. Look, these are government orders, but we have a reasonable payment schedule that has been agreed with the government. So, we do believe that these are the working capital will be above expectations in this segment and the working capital has already been baked into our margins. This is not something that's new to us. We also have a large solar pumps business where we have been making reasonably quick recoveries of receivables from the government.

Crompton Greaves Consumer Electricals Limited

February 06, 2026

Of course, this is something that you must keep working at, but it's a muscle that we have learnt and are continuing to build.

Keshav Lahoti : Got it. One last question from my side. What would be the total impact of BE E norm changes on fan side? What were the cost escalation and what is the commodity escalation happening? And as you highlighted, you have taken 1-1.5% hike and possibly more two hikes are in store in Q4 and Q1. So, what sort of hike you are planning in these two hikes and whether it will cover all the cost impact?

And secondly, your margin will be, you know, impacted till Q1 as the entire cost pass -on won't happen at least till Q1?

Kaleeswaran A : Yeah, I think, Keshav, we talked about this earlier. This is not only going to be a price hike, there is going to be a cost improvement that we are working through UN NATI, coupled with mix also going to play a significant role.

Now, in terms of cost of B EE 2.0 is concerned, some of these things we are probably ready ahead of time. And we could mitigate a large part of the cost increase that needs to happen on account of B EE as compared to the industry and segment .

Yes, commodity is going up. That's the reality. But that's where we talked about baking in two price increases, one that has already happened after that one more in Q4 and one more in Q1.

We think that should help us to largely offset coupled with the other cost initiators that we discussed.

Promeet Ghosh : So, Keshav, a lot of people asked us about 9 -12 months ago when we announced XTEC H. This is what XTEC H was about . Getting ready in advance for the B EE transition. Of course, also the next B EE transition, but certainly this transition. And I think it's fair to say that we are quite well prepared from a cost point of view for this B EE transition which happened earlier in January.

Umang Mehta : Okay. Thank you, sir.

Moderator: Thank you. I leave the floor to the management for any closing remarks.

Promeet Ghosh : No, nothing more. Have fun, guys. And, have a good weekend. Thank you.

Moderator: Thanks, everyone.

Call: May 2026

Crompton Greaves Consumer Electricals Limited
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Date: May 19, 2026

To,
BSE Limited ("BSE") ,
Corporate Relationship Department,
2nd Floor, New Trading Ring,
P.J. Towers, Dalal Street,
Mumbai – 400 001. To,
National Stock Exchange of India Limited
("NSE") ,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block,
Bandra - Kurla Complex Bandra (East),
Mumbai – 400 051.
BSE Scrip Code: 539876 NSE Symbol: CROMPTON
ISIN: INE299U01018 ISIN: INE299U01018
Our Reference: 25/2026-27 Our Reference: 25/2026-27

Dear Sir/Madam,

Sub : Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015) – Transcript of Earnings Call

With reference to our earlier intimations dated May 05, 2026, and May 13, 2026, regarding the Earnings Call on the Audited Financial Results for the quarter and financial year ended March 31, 2026, held on May 13, 2026, please find enclosed herewith the transcript of the same.

You are requested to take the above information on your record.
Thanking you,
For Crompton Greaves Consumer Electricals Limited

Kaleeswaran Arunachalam
Chief Financial Officer

Encl: A/a
Page 1 of 16

Public

"Crompton Greaves Consumer Electricals Limited
Q4 FY26 Earnings Conference Call "
May 13, 2026

MANAGEMENT : MR. PROMEET GHOSH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED
MR. KALEESWARAN ARUNACHALAM – CHIEF
FINANCIAL OFFICER – CROMPTON GREAVES
CONSUMER ELECTRICALS LIMITED
MS. SWETHA SAGAR – CHIEF BUSINESS OFFICER –
BUTTERFLY GANDHIMATHI APPLIANCES LIMITED

MR. RAJAT CHOPRA – BUSINESS HEAD, HOME ELECTRICALS & PUMPS – CROMPTON GREAVES CONSUMER ELECTRICALS LIMITED
MR. SHALEEN NAYAK – BUSINESS HEAD, LIGHTING , SOLAR ROOFTOP AND WIRES – CROMPTON GREAVES CONSUMER ELECTRICALS LIMITED
MR. RUCHIR JAIN – HEAD, INVESTOR RELATIONS , CORPORATE STRATEGY AND FP&A – CROMPTON GREAVES CONSUMER ELECTRICALS LIMITED

MODERATOR : MR. RAVI SWAMINATHAN – AVENDUS SPARK INSTITUTIONAL EQUITIES

Crompton Greaves Consumer Electricals Limited .
May 13, 2026
Page 2 of 16

Public Moderator: Ladies and gentlemen, good day and welcome to the Crompton Greaves Consumer Electricals Limited FY26 Earnings Call hosted by Avendus Spark. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I would now like to hand the conference call over to Mr. Ravi Swaminathan from Avendus Spark. Thank you and over to you.

Ravi Swaminathan: Hello, everyone. On behalf of Avendus Spark, welcome to Crompton Greaves Consumer Electricals Limited Q4 FY26 Earnings Call. From the management today, we have with us: Mr. Promeet Ghosh, Managing Director and CEO; Mr. Kaleeswaran Arunachalam, Chief Financial Officer; Ms. Swetha Sagar, Chief Business Officer, Butterfly Gandhimathi; Mr. Rajat Chopra, Business Head, Home Electricals; Mr. Shaleen Nayak, Business Head, Lighting, Solar Rooftop and Wires; and Mr. Ruchir Jain, Head, Investor Relations, Corporate Strategy and FP&A. Thank you so much. And I request the management to give the opening remarks.

Promeet Ghosh: Ladies and gentlemen, great to have you back with us for discussing not only the quarterly results, but also what we've achieved this past year. It's actually quite an exciting time for us. Lots and lots of things happening, some of which are being announced today. So, I'm sure we'll have a lively conference call today.

Very quickly let me introduce some familiar faces and some not so familiar faces. Swetha, I'm sure you know , Ruchir looks after Investor Relations, Corporate Strategy and FP&A at Crompton; Kaleesh , the CFO, who you know again; and Rajat and Shaleen, Business Unit leaders and Senior Leaders at Crompton; and Rishabh Jain, who's looking after Investor Relations for us and also a new hire.

So, I'll kick that off very quickly . I assume that you guys have seen the press release and the also the investor presentation that we've put out. Let me very quickly take you through the highlights of this quarter and then we jump straight into questions and answers. As you all know, FY26 was a year which has been very demanding , shaped by muted demand coming out of seasonal - frankly, unseasonal weather patterns and towards the end –we felt some geopolitical action as well.

From an external point of view, there were various headwinds that businesses faced. However, I'm very delighted to say that our execution remained very steadfast throughout this year and as we progressed through the year, quarter after quarter after quarter we improved our performance, pulling back from some of the effects that we were being forced to deal with.

And as you can see, the results of this quarter are very indicative of how we've managed to deal with the challenges that have been thrown our way. A very robust second half. The second half was a little bit of the festive season. Some small parts of our business benefited from GST 2.0. But most importantly for us , this quarter was the first quarter after the BEE 2 .0 regulatory transition in our fans business , which went off quite well for us.

Crompton Greaves Consumer Electricals Limited .
May 13, 2026
Page 3 of 16

Public While in Q3 both ECD and lighting gained significant momentum, I'm glad to report that that momentum was more than maintained in Q4. For the first time , for instance , in 6 years outside of COVID impacted quarters, which tended to have widely varying growth rates , in the last 6 years, the kind of growth that we've reported in lighting, this is the best.

So, this is a quarter where we've been very focused on margin discipline. Our EBIT margins improved from 6.8% in H1 to exit at about 10% in Q4. This was driven by operating leverage, premiumization and actually very concerted pricing actions. We

can talk about that in greater

detail if you like and of course supplemented by sustained cost optimization.

You will also notice that the process that we started a couple of years ago of really cleaning out our table, that process has been taken one step forward. Even as we have significantly improved the performance of our Butterfly business, it is back now to growing in strong double digits not only on revenue, but also in profits.

We also thought it was a good time to look at the carrying cost of Butterfly and as you would know this, we've taken an impairment on our Butterfly holding value. This really aligns with the business value of the company and also obviously it doesn't have any impact on the cash flows of the company or any other part of the business.

So now that we have spent a whole lot of effort under the management of Swetha getting our arms around the business, this is a year when we've now also completed a whole lot of strategic actions. At the end of the year, we've also decided to take an impairment on the Butterfly value. This of course does have an impact on ROCE and asset turnover, which I'm sure you are well aware of.

Turning to the quarterly performance, Q4 stood with sharp recovery across segments.

Consolidated revenue grew by 11% Y-o-Y to Rs. 2,283 Cr led by a 10% growth in ECD and, like I said, the industry-leading growth of 14% in lighting. Like I said, not growth that we've seen for a very, very long time outside of disruptions. ECD saw a broad-based growth driven by pumps as well as by small domestic appliances and fans.

Fans had robust traction with record volumes in 2026 March supported by our foray and emphasis on BLDC. Our BLDC portfolio, which has been bolstered by product introductions earlier in the year is now growing at 30% -plus. And a spate of new BLDC products was, in fact, introduced during this quarter, the benefit of which we are already beginning to see in this quarter.

Within SDA, this was a story of not only mixer grinders, but a range of new product introductions. Earlier in the year, we introduced infrared cooktops, which of course benefited in the last quarter. We also introduced air fryers, we also introduced a range of high-end juicers, etc. All of which have helped this business grow at even stronger numbers than it has been growing in the past.

But more importantly, along with the strong growth numbers which, from time to time, we have been talking about, this business is also now benefiting from scale, and this is something that we had flagged. This is a material business.

Crompton Greaves Consumer Electricals Limited.

May 13, 2026

Page 4 of 16

Public Kitchen overall is an area that we've been talking about, and it has been a key area of focus for Crompton. So firstly, we spent a lot of time and effort in turning around the Butterfly business, bringing it to an even keel and now it's been taking off in the last several quarters.

Now similarly in the SDA business, I have no hesitation in saying that this business is probably the fastest-growing kitchen appliance business in the country of a comparable size with maybe smaller companies. But this company has been -- this business is arguably the fastest. It picked up further pace in the last quarter, but it combined that growth with profitability improvements.

So, there was a significant jump in the profitability, in fact a step jump, in the profitability that we saw in our small domestic appliance business. In LDA, which is the large domestic appliance business, which is the water heater and air cooler business, we saw double-digit growth in water heaters. And market share growth and gains both in water heaters as well as in air coolers.

We've been among the Top 2, Top 3 players in India in water heaters in GT for the longest time.

Now we are number 2 player in our understanding. So, as with various other parts of the business,

s,

we are gaining market share.

Importantly, as we had flagged earlier, we entered two very big type businesses last quarter. One of them was wires, the other was solar rooftops. And this was after having gestated these businesses internally for several quarters. These products are now actually available in the market. So shortly after we announced, we started selling these products. There are a number of houses where we have already installed rooftop solar, about 1,000, Shaleen?

Shaleen Nayak: If you count Telangana, it'll be more than 5,000.

Promeet Ghosh: 5,000, okay.

Shaleen Nayak: Andhra has already crossed 2,500.

Promeet Ghosh: Okay. All right. So, there you have it. And that's changing by the day because a large number of them are coming up on a daily basis. So about 5,000 homes now already have rooftops coming out of the Crompton stable and that's after we really stepped-up execution of this product in the last 2-3 months.

—Now coming to lighting. Lighting comprises 2 segments, B2B and B2C. The performance is equally strong in both the segments. Industry-leading growth of 14% overall.

Butterfly business delivered a 17% revenue growth together with steady EBIT margins. with not

only steady EBIT margins, but also putting incremental dollars back into advertising, which is the way that we wanted to build the business. So that's how the Butterfly business is doing. Consolidated EBITDA in Q4 at Rs. 271 Cr with margins of 11.9%. Wires, I'm sure you've seen the ads. Crompton Armor is the brand that we are going with in wires and it's now available in South India and soon to be available in other parts of the country.

And by the way in Butterfly apart from the fact that growth is robust, profitability is robust, cash flows are also robust. So, as you will see, Butterfly and Crompton are now both strongly net

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 5 of 16

Public cash positive. Crompton, of course, always has been net cash positive for a long time. But now even Butterfly with about Rs 170 Cr of cash, is cash flow positive as well. Yes, that's the summary.

And the Board has decided to announce a dividend -- identical dividend as last year. And Kaleesh is reminding me that there's another announcement that's just happened. We are very delighted to announce that a new product line has been created in Crompton called 'Crompton Rhion'.

This PL is tasked with introducing super premium products from the Crompton stable.

Most of these are cutting-edge technology and the next generation of design. As you will be aware, we've been investing heavily into innovation and design over some years. So, this is the result of the investment that we've been making in innovation and design over the last 3 or 4 years. So, you will, I hope, begin to see this new range of products soon in the market.

And what we are also doing is that we have a Large Kitchen Appliance business. This large kitchen appliance business is being folded into Rhion and Swetha is taking on the additional responsibility of leading the Rhion PL as well.

But for now, I leave the floor open to be asked questions.

Moderator: Thank you very much. We'll take our first question from Aditya Bhartia from Investec.

Aditya Bhartia: My first question is on the kind of cost inflation that we are seeing. We understand that there have been sharp price increases that have also been taken. So just want to see the connect between the kind of cost inflation that we have seen and the kind of price increases that we have taken and what's really going to be the strategy around that? Do you think that we have largely passed on the kind of inflation that we were seeing in the last few months?

Promeet Ghosh: Yes, very fair point and maybe I should have talked about that little bit. And this is something that we are acutely aware of and watching very carefully

. Because of the war, there have been

cost inflation as well as availability issues in several of our products.

So far, we have largely managed this by, managing cost, but also passing on price increases into the market. So, in the last year since the war was launched, we have passed on two price increases into the market, in our ECD business, and frankly, those price increases have been ahead of competition.

I am hoping that competition, rather than playing the pricing game, will now also start to see that the impact of the war is not going to go away anytime soon. So that remains a concern, and frankly, we have a war room which is dealing with this on almost a weekly basis, if not a daily basis.

So, I know I should have talked at some more length about it. But it's something that is impacting us, as well as everybody in the market. And while we are trying to behave like the industry leaders, that we are passing on price increases, we'll have to wait and see how that evolves into the market.

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 6 of 16

Public Aditya Bhartia: Sure. Any numbers that you can put to it? What kind of cost inflation would we have seen? And these two price increases cumulatively, how much would they account for?

Kaleeswaran A.: So, if you look at it for Q4 or even cumulative for last year, we've taken about 7% to 8% price increase in our lead category like fans. A large part of that coming in Q4, by and large, offsetting the material cost inflation that we had. But subsequently, we are seeing further material cost inflation happening in April.

A large part of that, we have tried to offset through pricing combined with some cost activities also, that we have taken as part of Unnati. Some of these benefits could be back ended, but it will also help us to ensure that the margin rate comes back as we move forward.

Near-term, we are waiting and watching. We are keen on maximizing the demand. Summer is starting well means that we are entering the quarter well. So, we just want to maximize that and take a call, as we move forward on what is to be done for balance of Q1 and Q2.

Moderator: We take our next question from Dhruv Jain from Ambit Capital.

Dhruv Jain: Congrats on a good set of numbers. I had two questions. So, one you've spoken a lot with respect

to the solar ramp -up in the past and you also wrote in the presentation that you've seen a reasonable amount of growth in solar pumps.

So, what's the kind of contribution that this portfolio's had in FY26 ? And in terms of ramp -up, just wanted to understand in F Y27 what sort of the ballpark kind of contribution do you expect from this portfolio will be for your overall top line?

Promeet Ghosh: Okay. So first of all, the way that we deal with the solar business is in two parts and they sit in separate PLs within the company. The back end is integrated, but the front end is not. So , we have solar pumps and we have solar rooftops.

Solar pumps, if you recall, we started with a Rs. 20 Cr revenue 3 years ago, then it doubled to Rs. 200 Cr. And this year , I don't know if we are disclosing, but significant growth over that Rs. 200 Cr, very significant growth over that growth last year. So that business has grown by, fair to say, leaps and bounds.

Insofar as the solar rooftop business is concerned , which we've started more recently, it's fair to say that this is something that we've disclosed. The solar rooftop business when we started, we quickly managed to increase our order book to order of magnitude about Rs. 500 Cr. And we are in the process of executing solar rooftops , out of which, as you heard, we have already executed about 5,000 homes.

As we've disclosed in the past, that 5,000 -- the order book comprised about 38,000 units in Andhra and some more in Telangana. So , as you can see, that business is starting from 0 and the order book nee

ds to be completed reasonably quickly. So that should give you a sense of how that business is doing. I don't know if that answers your question.

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 7 of 16

Public Dhruv Jain: No, no. Thanks a lot. I think this is useful. The second question is on lighting. So , while you've had a reasonable top line growth -- a good top line growth in this quarter, but we've seen some dip in margin. So , what explains that? And incrementally, how should we look at this business going forward?

Do you think that this kind of growth that you've seen in this quarter , if not in the same range, is the worst over? I'd rather ask that question in that business and we should start to see a reasonable top line growth there?

Promeet Ghosh: Okay. So let me answer the question, Kaleesh. See, insofar as the lighting business is concerned, this used to be a business that, as you will recall, there used to be perennial concerns over both growth, profit etc.

We have, I think it's fair to say, made a very concerted effort over the last 3 years to fundamentally change the trajectory of our lighting business . And what you're seeing now is the benefits of that changed trajectory.

So, there are a few things that have happened very, very succinctly, there are a few things that have happened in the lighting business, which comprises 2 parts, B2B and B2C. In the B2B business, we have changed the kind of contracts that we used to take on. So , a large share of our contracts in B2B used to be government related.

I can tell you that the share of government -related contracts has declined . As a part of the mix, it's declined by nearly 500 basis points last year. So , they are not only less government focused, but also higher margin. So, for instance , we've stepped up materially our share of indoor commercial, which we didn't do earlier. So that's things that we are doing in B2B.

In B2C, the product mix has changed hugely. We used to be a Lamps and Battens company. Now we are actually a Panels and a Lamps and Battens company together with a range of other products like flood lights and so on and so forth, which not only are higher unit price ASP, but also higher margin.

But underpinning all of this, we have also changed dramatically our supply chain in lighting. So last year , you saw the benefits come through of, first of all, our fully restructuring of lighting unit that we used to have in Baddi and restructuring of our unit in Baroda. So, during the year, we talked about clearing the deck, if you remember .

So, this was another clearing the deck , that we did earlier in the year , where we reset the cost, we gave VRS to a whole bunch of people and now the cost structure and the way business is done in Baroda is very different.

Now that is , obviously also , helping us compete in the market. So earlier, if you remember, the constant discussion about Crompton was , is there going to be a constant price erosion in our lighting business. Now I think we've managed to address those issues. We are growing strongly in the teens now and we also have robust profitability.

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 8 of 16

Public Insofar as margins are concerned, I must tell you , we are now supplementing our profitability with more money back in the brand. So , in lighting , for instance, these margins have been realized after a stepped -up investment in the brand.

Again, I hope this is nothing new to anybody because I've been telling people that this is what we'll do , fix the supply chain, fix the product range and continue to invest in the brand. So that's kind of -- actually if you look at year -on-year, the margin is roughly the same and that's after a materially higher investment in ad spends during this quarter.

Moderator: Next question is from Indrajit Agarwal from CLSA.

Indrajit Agarwal: I hav

e two questions. First, on the new segment, the Rhion premium part. So , what is the sourcing strategy and which product segments would be present in here? Would it be more in - house or outsourced?

Promeet Ghosh: Well, Indrajit, if you will, leave this with us for a little bit. I don't want to -- I'm just announcing the plan now and the creation of the PL. What I can tell you is that the products that are coming out of Rhion are products that we have been developing over a period of time in our innovation centre.

They'll either be distinctive looking or cutting -edge technology or both. So , I think , the good news is that we've made considerable progress in this area and in course of time , there will be products that will come in this segment, which come out of different parts of our PLs as well. Some PLs that may not exist in Crompton today, but many of these products will be ones that - - for which we have existing product lines , in obviously with distinctive technology has. I can't tell you more just now, Indrajit.

Indrajit Agarwal: Sure. Thank you. My second question is on the new segments that are already operational that is solar pump, solar rooftop and wires. So , what kind of top line we could estimate in the next couple of years? And is the margin broadly similar to the erstwhile ECD segment or materially different from what we have over there?

Promeet Ghosh: I already told you about new segments. I gave you a sense of the kind of order book that we have in solar rooftop. Solar pumps, we've given you a sense of the kind of trajectory that's been there. We'll see how that trajectory evolves, but we've given you a sense. And wires is something that we've started selling in the market just now.

I would not speculate so much , and if you don't mind, we'll not talk about what kind of revenues will come in each one of these businesses. But I do want to say this that , the ROCE in these businesses is strong and that is because Crompton has a right to win.

We don't enter a business unless we believe that we have a right to win. So , the ROCE in these businesses is strong. And generally speaking, as you would have seen when we entered solar pumps, we are quite frugal in the way that we enter these businesses. So , profit margins at an EBIT level -- because they have different structures, at an EBIT level , especially after the ramp up a little bit , are pretty robust.

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 9 of 16

Public Moderator: Next question is from Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Sir, for FY26 , if you could give us some sense. We've had 1% growth in ECD. If you could call out, if possible, the category -wise growth. If not, at least which categories have delivered growth, and which have seen pain? If you could just quantify for FY26 ?

Promeet Ghosh: Sorry your math and our math is slightly different, I think. So maybe what you can do is have a conversation with Kaleesh separately, but the growth is not 1%. So, while you have an offline conversation what I can tell you is that in the ECD business across every product, we have gained share and these numbers that I'm sure are easily available to you from Market Pulse etc.

So, the strongest growth in ECD has come from SDA where, as we've said before, the growth for the year is early 20% s, last quarter close to 30% growth. Insofar as our fans business is concerned , it also grew. The growth of that business has been -- like I said, in our fans business, we've grown market share maybe not a lot, but kind of we've still grown.

But the big gain for Crompton has been that we wanted to step up our BLDC product range. And last year , we introduced NITEO and at the end of the year, we introduced Grace and Elevate , apart from the smart range of other BLDC fans including Fluidio and SilentPro. So , I think , it should give you a sense that the BLDC

range growth has, as a consequence, stepped up significantly.

It's a product that , anyway , was growing fast and there we are growing faster than the market. So, I think I gave you a hint earlier that the BLDC range for instance has been growing at about 30% plus.

Now insofar as Pumps is concerned, the Residential pumps and Agricultural and Special ity pumps. I gave you a sense of the last one Solar Pumps I've already told you that it's grown very

strongly last year. I think it's fair to say that it's doubled. It's also a year in which because of heavy rains, the industry demand for pumps was quite tepid, Residential pumps was quite tepid. So, I'd say we kind of broadly maintained our market share in Residential. But insofar as Agricultural is concerned, where we are not market leaders and our aspiration has been that we will step up our growth in Agricultural and Specialty, we did some product interventions during the year. As a consequence, they have grown in the teens. Is that a fair number?

Okay. So, Rajat is telling me that while the growth -- industry growth was, frankly, very tepid, we also gained market share in Residential. And we did, of course, might gain market share in Agricultural and which, by the way, were areas that other people de-grew materially. We grew in the teens. Am I missing any ECD segment?

LDA, again not a great year for LDA at all because, as you know, summer was very tepid. There was heavy rain. So again, we've gained market share. Now, as I said earlier, in water heaters, we are the second largest player in GT. Air coolers, we and most of the market were stuck with heavy inventories because they did not sell in early part of the year, which is really the season.

Crompton Greaves Consumer Electricals Limited.

May 13, 2026

Page 10 of 16

Public This season I think, it's fair to say that, we've liquidated those and I think marginally gained market share. I think marginally we would have gained market share in air coolers. Does that answer your question?

Achal Lohade: Yes, yes, comprehensively. Just a clarification. Sorry, I'm harping on this. I'm looking at the consolidated segment-wise revenue breakup.

Promeet Ghosh: Why don't you have a chat with Kaleesh?

Achal Lohade: Certainly. And if you could also -- this is my second question with respect to margins. How do we see given the new categories, R&D, A&P investments, everything put together, how do you see the margin trajectory over the next couple of years? Do you see it going back to the historical levels or do you think the improvement will be more gradual?

Promeet Ghosh: See, for margins in the near-term, obviously, everybody is kind of struggling with the fact, that there has been a sharp increase in input costs, which we are trying to address by passing on the cost to the consumer. I'm hoping that the rest of the market also follows, but we'll see. Over a period of time, as the turbulence that we are hoping is episodic because of the war, as that settles down, I think margin should go back up.

What speed they will go back up I cannot tell you. But the stepped-up investments are already in the book. So, including capex and opex, as I've said to you guys earlier, for a company of our size, we are spending annually about Rs. 100 Cr in R&D and innovation, which is why, we are also able to come up with some of the products in the super premium range as well.

So, look lots of these investments are already in the book and already ongoing investments. So, brand investments, last year for instance, Butterfly relaunched its entire range and you will see similar things happening across the product portfolio.

A consistent theme in Crompton, not for the last 3 years, but for the last 10-12 years has been premiumization. Now what you're really seeing is premiumization in individual products. Also, premiumization not only bottom

up, but top down.

So, as you introduce a premium -- super-premium range of products, that obviously showcases the kind of capability that Crompton has, in terms of product development, in terms of design, etc, etc. All of this, we are hoping, will help towards improving the brand positioning of Crompton going forward. I don't know if I answered much more than you asked for, but sorry, there you have it.

Moderator: Next question is from Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Good set of numbers. Sir, two questions. On Butterfly, now we have taken a big write-off so what is the tax break, first of all, available on that? And earlier the thought process was to merge Butterfly with Crompton. So, any change in plans or any further update on that? That is question number one.

Crompton Greaves Consumer Electricals Limited.

May 13, 2026

Page 11 of 16

Public And question number two, when do we see the national rollout for the wires happening?

Currently it is rolled out in 2 states. So how do you see the national rollout happening? Any plans or whether it will be rolled out completely in next 6 months or it will be a gradual launch or we will play it in certain markets only being a new player? So, what will be the strategy on that? That is question number two.

And last, from July we are going to see BEE norms getting implemented in geysers or water heaters also. So, what will be the cost increases plan and how do you see the readiness of industry

as well as Crompton? Also is there any plan to see or any possibility to gain market share in water heaters also? Yes, thanks. Thanks, sir.

Promeet Ghosh: I don't know if there's 5 questions or 4 questions, but I lost somewhere along the way, Aniruddha .

Okay. So, tax benefit, I'll come to you, Kaleesh. This is not driven by tax. The write -down of Butterfly valuation -- Butterfly value has nothing to do with our plans to merge the companies.

So, in fact , this certainly does not delay or adversely impact any merger that we may have.

At the right time, definitely that is on the cards and that is something that we have announced in the past also. So , in fact if anything, what you can see is how much focus and effort has been put into taking -- first of all, clearing the decks again in Butterfly , where we actually took some losses, wrote off lots of stuff and reset the terms of trade and built it back to what is a very robust business.

So, Butterfly and kitchen is a hugely important area and an area that we expect to get significant growth in. Like I said already, close to 30% growth in SDA, which is the Crompton kitchen appliances and the public and you already know what the Butterfly growth is. So , no questions about that. Insofar as the rollout in wires and insofar as the BEE, I'll let Shaleen and Rajat answer quickly. Yes, right.

Shaleen Nayak: So, I'll go first , if that's all right. Yes, I think as you very correctly put it, the launch did start with Tamil Nadu and Karnataka. We will ramp up throughout the country. It will not be spread over the entire year , and we will not restrict our distribution to select towns or cities but seek to leverage the maximum extent of Crompton distribution that we have nationwide.

Rajat Chopra: As per our preparedness for the BEE for water heaters are concerned, I think we are fully prepared. We have already done the required changes in the product category. In terms of cost, there will be some changes, but that we are planning to mitigate and also maybe pass on to the market, but that call we'll take eventually when the time comes.

Promeet Ghosh: Kaleesh, you want to say anything ?

Kaleeswaran A.: No, there's no tax angle at all on that.

Aniruddha Joshi: Sorry, sir, I missed the tax angle ?

Kaleeswaran A.: We are saying there is no tax impact on account of this, Aniruddha. This is not a decision that is taken from a tax perspective. Just to clarify,

this is not a write -off. This is an impairment that

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 12 of 16

Public has been done in line with the accounting practice. So , this is a test of value of an asset. From an accounting perspective, this has been recognized.

Moderator: Next question is from Pulkit Patni from Goldman Sachs.

Pulkit Patni: Would it be possible to share the breakdown of the ECD segment especially the broad breakdown?

Promeet Ghosh: I'm sorry, we don't really break that down. That's not something that we've been doing historically.

Pulkit Patni: Sir, given the fact that , we've got more segments getting added, it's just useful for us to be able to understand , what's the contribution from new segments versus growth in the existing ones.

So, if there's any way you can share it?

Promeet Ghosh: Which new segment?

Pulkit Patni: I'm talking about , for example , rooftop solar, which is ramping up.

Promeet Ghosh: Rooftop, I gave you a sense of. So , I gave you a sense of where it is rapidly ramping up, rooftop solar. So , both are -- I mean , of course , solar pumps have already ramped up, which I think we've given you some sense of what the solar pumps business is doing. I have already given you a sense of how much the solar rooftop business is doing.

There is a minimal impact of this last year, but a significant ramp -up as we speak. And both the latest segments that we've introduced, I must say are very robust and we are encouraging growth in both of these segments. But I don't know what we can share more than that in a separate conversation.

Kaleeswaran A.: We don't typically share, Pulkit. I think today we have 3 segments as lighting, Butterfly and ECD. And within ECD, we see largely the growth opportunities are across the segments. As and when solar becomes a meaningful business , to the size at which we are operating a lighting or a Butterfly for us to materially impact the results, we'll start calling that out separately.

And considering the fact that , we have been reasonably giving clarity what is the order book that we hold or order book that we execute on solar rooftop and solar pumps, that gives us a fair idea of what the pipeline is. Outside that, we have already called out our aspiration in solar as a portfolio that we want to build a Rs. 1,500 Cr business in the next 3 - 4 years is where the journey is. So that's a separate thing outside this.

Promeet Ghosh: Actually , I said, Kaleesh , to be fair, I said we want to -- sorry guys, but you guys must remember. I didn't say Rs. 1,500 Cr, I said Rs. 2,000 Cr.

Moderator: Next question is from Natasha Jain from PhillipCapital.

Natasha Jain: Just one question. So , when we go on the ground, we're just hearing initial signs of stress in terms of payments being delayed, say, from the last leg of the value chain meaning the contractors, builders, etcetera and therefore, the stress is being seen slightly in the entire value chain.
Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 13 of 16

Public chain. So , I would want to know if this observation is correct. And on that similar line, would want to also know if we do any kind of channel financing ? Thank you.

Kaleeswaran A.: First to start with, Natasha, I think one of the strongest points of our business metrics and financial metrics is cash flow generation . And you would have seen that it continues to generate a good amount of cash, even in FY26 crossing Rs. 500 Cr. Second is in terms of how we are looking at the overall value chain on collections, our debtors in traditional trade , kind of remain the same.

There is no major change compared to last year to this year. In terms of solar pumps, which is the business that we do with government, the collections are moving in line with what is our expectation that we have with all the contractors with a very good R OCE coming in.

So , we

don't see any specific challenge in the categories that we operate in at this point of time.

Promeet Ghosh: And I'm not quite sure, Natasha, which part of the value chain you're referring to when you say builders. Builders and contractors, I suppose , our exposure there is relatively small. So perhaps that is not something that we've so far seen. It's always possible that it will spread. But at least so far , I'm sure it's building up, but we haven't seen so much of it is what I'm saying.

Moderator: Next question is from Muskan Agarwal from Svan Investments.

Muskan Agarwal: I just want to know like for the Rhion that has been launched, what will be our go -to-market strategy for this one?

Promeet Ghosh: Please give us a little bit of time, we will come back. And as we launch products, we will flesh this out and tell you. As you can imagine , when you launch more premium products, the business that the premium segment go -to-market comprises EBOs, MBOs, large format retail, e - commerce at a very broad level, Swetha ?

Swetha Sagar: Yes.

Promeet Ghosh: So, you can expect that , we would have a similar strategy for. The good news is that we had invested -- the business itself was not very large scale, which I think will change going forward.

We had invested in building out an EBO platform for our LKA business. So , I would suspect that, that's something that the Rhion brand would be able to significantly leverage off.

Now , insofar as large format retail is concerned, which is really MBOs and these chain stores, I must tell you that , it is something that Butterfly and at Crompton, we have been investing in growing quite heavily. So , if I'm not mistaken, the fastest -growing channel for Butterfly last year was the large format retail.

So again , we've been building up the capability in -house of being able to introduce the kind of high premium products that Rhion will introduce. So , I don't know if that answers your question, but this is broadly the way that it will go.

Crompton Greaves Consumer Electricals Limited .

May 13, 2026

Page 14 of 16

Public It will also be supplemented of course with GT , but the share of MBOs, EBOs, LFR, e -commerce tends to be higher in premium products. We already have order of magnitude about 70 EBOs, which are running in the country.

Moderator: Next question is from Rachna Kukreja from SIMPL.

Rachna Kukreja: I have two questions. My first question is related to the kitchen industry and Butterfly. See in ECD industry, gross margins have seen slight pressures due to raw material inflation. So similarly in kitchen appliances segment as well for Butterfly, are we seeing similar pressures on gross margins and would this continue in the near long term as well? What has been the impact on consumer demand? And are we passing on the cost increases fully or absorbing some cost in Butterfly as well as in kitchen as a whole?

Promeet Ghosh: Maybe I'll kick off and then you add, Swetha. Cost increases are across the board. All products are facing cost increases. If there is a petrol price hike, I think , those cost increases will further be added. So , it is not unique to any product range. It may be in different measures, but there are cost increases that are coming and happening. The kitchen is no outlier.

In kitchen , as well, it is inevitable that we add on -- pass on these cost increases to the consumer.

The extent that we are able to pass on these cost increases , of course , depends on two things.

One, whether the consumer is willing to pay; and two, whether your competitors are doing the same or taking a large share of this on their own books ?

Now as we have said before, our approach as leaders of the industry and even in kitchen appliances, by the way, we are the second largest in the industry. Between Crompton and

Butterfly, we have a very large operation. Our preference has been to pass on price increases. We have

n't necessarily always seen so far, some of our competitors follow. Having said that, we probably think that they will.

Now there's another aspect of whether the consumer is willing to pay or not. Now there are two aspects of this and specifically I'll leave the question to Swetha. But remember that many of our products are only partially discretionary. So, if you need a fan, you need a fan. You can't go and settle for something else. If your mixer grinder has conked out, you need a mixer grinder. You may downgrade a little bit, but you cannot do without the product.

The flip of this is, the people who are buying it because they don't need it are anyway people who can afford to pay. So, what typically tends to happen is that when prices go up, there's a sticker shock. So, the first time he comes into the store, he will say this was available at Rs. 2,000, now you're giving it to me for Rs. 2,200. Sorry, I will not buy. He will go away.

Then in 2-3 days he'll realize Rs. 2,200 is not coming down, it is only going up, then he'll come and buy. This is the way that consumer behaviour works. Swetha, you want to add? So, you've also taken price increases in Butterfly, again similar price increases as Crompton ECD has taken.

Rachna Kukreja: Okay. Understood. One more question. Our idea was to leverage Crompton's distribution network to expand Butterfly's business in non-South markets and we had also opened warehouses in these regions. Now it has been almost a year, could you provide some qualitative Crompton Greaves Consumer Electricals Limited.

May 13, 2026

Page 15 of 16

Public colour on how Butterfly's business has scaled in non-South markets and what would be the benefit of leveraging Crompton's distribution network?

Promeet Ghosh: Yes. Two things. One is that as I said earlier, our focus on Butterfly has first been strengthen the core and really the effort of the last one and half years has exactly been this. We are not to forget that we are a leading player in kitchen appliances in South India and that is where a bulk of our cash flows, our profitability, our brand recognition comes from.

And we focus, a hell of a lot on getting that back on track and really getting back to a trajectory to a point where now we are gaining share across the board there, in the South. I would say that this is something that we are considerably advanced in. In the coming year, the focus will be on gaining traction in Butterfly, in other parts of the country, in North-East-West (NEW), so to say and I think from time to time we'll come back and keep you posted about how that is going.

There are various parts of Crompton which Butterfly will leverage out of, things like a huge service network, the fact that Crompton is a broadly very, very well-known brand and so on and so forth. And what we would do in Butterfly is that we are starting in certain markets where we hope to gain material traction and then you will see this get rolled out in other parts of the country.

Rachna Kukreja: Okay. Understood. One last question. Butterfly enjoys leadership in grinders and gas stoves. And as we grow, according to you, which categories are evolving as being the next category leaders and have the potential to gain leadership? And additionally, across which channels do you think category leadership will be evolving most strongly?

Promeet Ghosh: Swetha, you want to answer that question?

Swetha Sagar: So, first thing is we have a very strong leadership in gas stoves in South and gas stoves being our lead category, I think, we will focus our energies in terms of taking the lead and moving forward in NEW and emerge as a category leader at a national level with respect to gas stoves. So that's where our energy is going to go behind for the first part.

The second one is, with respect to mixer grinders, I think, we're also looking at stepping up another category within

the mixer grinders, which is basically mixer grinders plus plus. Maybe

it could be a food processor or a juicer or anything plus that comes from a mixer grinder. I think, that's the fastest growing segment within mixer grinders where we will focus and we will try to make the brand presence felt in that particular category.

Apart from that, there are new emerging categories in kitchen that we are looking at, some of it which have already taken off, for example, air fryers where the penetration is low and the growth is very high. And even in case of chimneys, where you have a decent growth coming in from a low penetration category.

So, these are few spaces that we are also looking at, but major of our focus would be to take our strength that we have in South and become a national leader in those particular categories where we already have built capability. So that's how we work.

Crompton Greaves Consumer Electricals Limited.

May 13, 2026

Page 16 of 16

Public Moderator: Thank you. That was the last question for today. I now hand the conference over to management for closing comments. Over to you.

Promeet Ghosh: Well, ladies and gentlemen, thank you so much for joining this earnings call. As I said in the beginning, these are very exciting times for us. Many of the things that we started investing in, as you can see, have started to bear fruit and are also, I think, showing up in the way that the business is evolving. If you have further questions, please do not hesitate to get in touch with Rishabh, Ruchir, Kaleesh. And you have a good evening.

Moderator: Thank you, sir. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us and you may now exit the meeting.